

REPORT OF THE AUDITOR-GENERAL

FOR THE FINANCIAL YEAR ENDED

DECEMBER 31, 2025

ON

LOCAL AUTHORITIES

Presented to Parliament of Zimbabwe: 2026



Office of the Auditor-General of Zimbabwe
5th Floor, Burroughs House
48 George Silundika Avenue
Harare, Zimbabwe.

The Hon. Professor M. Ncube
Minister of Finance, Economic Development and Investment Promotion
Mgandane Dlodlo Building
Corner S.V. Muzenda/ Samora Machel Avenue
Harare.

Dear Sir,

I hereby submit my report on the audit of Local Authorities in terms of Section 309(2) of the Constitution of Zimbabwe read together with Section 10(1) of the Audit Office Act [*Chapter 22:18*], for the year ended December 31, 2025.

Yours faithfully,

.....

V. CHIKWENHERE,
AUDITOR-GENERAL.

HARARE
June 26, 2026.

We assure accountability

OAG ZIMBABWE

Office of the Auditor-General



Vision Statement

A model Supreme Audit Institution fostering transparency and accountability for the benefits of citizens.



Mission Statement

To audit and report on the management of public resources and provide, through Parliament, an independent assurance that enhances service delivery by 2030.

Core Values

Professionalism
We act independently demonstrating objectivity, expertise, skills and high level of competence maintaining confidentiality and transparency.

Integrity
We act honestly, reliably, in good faith and in the public interest.

Excellence
We are committed to continuous improvement and delivering value-adding audit services that meet international standards.

Teamwork
We collaborate and work together towards a common goal, respecting each other, valuing diverse perspectives, demonstrating empathy, leveraging each other's strengths & expertise to drive collective success.

Accountability
We uphold and comply with applicable laws, regulations and conventions and avoid any conduct that may discredit the SAI.

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LIST OF ACRONYMS

1. BIQ – Business Intelligence Quotient
2. CEO- Chief Executive Officer
3. EIA – Environmental Impact Assessment
4. EMA- Environmental Management Agency
5. GAAP - Generally Accepted Accounting Practice
6. IPSAS - International Public Sector Accounting Standards
7. ISA - International Standards on Auditing
8. ISSAI - International Standards for Supreme Audit Institutions
9. LAPF- Local Authorities Pension Fund
10. NEC- National Employment Council
11. NSSA - National Social Security Authority
12. OAG - Office of the Auditor-General
13. PAYE- Pay As You Earn
14. PFMA – Public Finance Management Act
15. PSIP - Public Sector Investment Programme
16. SDL- Standards Development Levy
17. SLB- Service Level Benchmarking
18. UCPF- Urban Councils Pension Fund
19. UDCORP- Urban Development Corporation
20. UNICEF- United Nations Children Education Fund
21. USD - United States Dollars
22. VAT- Value Added Tax
23. ZIMDEF- Zimbabwe Manpower Development Fund
24. ZIMRA- Zimbabwe Revenue Authority
25. ZINARA- Zimbabwe National Roads Administration
26. ZINWA- Zimbabwe National Water Authority
27. ZRDCWU- Zimbabwe Rural District Council Workers' Union
28. ZUCWU - Zimbabwe Urban Councils Workers Union
29. ZWL - Zimbabwean Dollar
30. ZWG - Zimbabwe Gold

DEFINITION OF TERMS

"Local Authority" means a municipal Council, town Council and local board established in terms of the Urban Councils Act [Chapter 29:15] or Rural District Council established in terms of the Rural District Councils Act [Chapter 29:13]. Local Authorities are established with the overall mandate of governing respective Council areas.

Local authorities are categorised into two groups which are:

A. Rural District Councils and

B. Urban Councils, in which a local authority can either be classified as a:

i. City Council,
ii. Municipality,
iii. Town Council and,
iv. Local Board.

"Generally Accepted Accounting Practice" - means accounting practices and procedures that are consistent with the PFM Act and are recognized by the accounting profession as appropriate for reporting financial information relating to a public entity.

"Misstatement"- According to the International Standards on Auditing (ISAs)a misstatement represents: "A difference between the amount, classification, presentation or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework."

"Consolidated financial statements"- In relation to annual financial statements, means to combine the annual financial statements of reporting unit, public entity and constitutional entity.

"Misstatement of financial statements"- According to the International Standards on Auditing (ISAs) a misstatement represents: "A difference between the amount, classification, presentation or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework."

"Governance issues"- Weaknesses in oversight, accountability and compliance with laws and regulations that guide how local authorities are administered.

"**Revenue and debt recovery"-** Gaps in revenue collection and recovery of debts, that is, billing, recording and recovery of amounts owed by customers.

"Procurement of goods and services" - Non-compliance with procurement regulations which results in Local Authorities not realising value for money in their procurements.

"Employment cost" - Weaknesses around recruitment, promotion and payroll.

"Management of assets"- How the Local Authorities manage and deploy assets under their control and ownership.

Types of audit opinions

- **"Adverse audit opinion"** - The financial statements contain material misstatements that are not confined to, or misstatements represent a substantial portion of the financial statements.

- **"Disclaimer of opinion"** - The auditor has not been able to obtain sufficient appropriate audit evidence to provide a basis of an audit opinion. The lack of sufficient evidence is not confined to specific areas nor represents a substantial portion of the financial statements.

- **"Qualified audit opinion"** - The financial statements contain material misstatements in specific amounts, or there is insufficient evidence to conclude that specific amounts included in the financial statements are not materially misstated.

- **"Unqualified / clean audit opinion"** - The financial statements contain no material misstatements.

Types of audit Opinions

1. **Unmodified / clean opinion**



2. **Qualified opinion**



3. Adverse opinion



4. Disclaimer of opinion



5. Report on going concern/ sustainability of services



PREAMBLE

Introduction

This report contains the results of audits of Local Authorities following the end of the 2025 financial year. The primary purpose of financial statements is to provide relevant and reliable information to users about a reporting entity's financial position and performance. In the public sector, the users of financial statements include various stakeholders, inter alia, ministers, parliament, development partners and the public at large. The objectives of financial statements audit in the public sector are often broader than expressing an opinion on whether the financial statements have been prepared, in all material respects, in accordance with the applicable financial reporting framework but also to address service delivery issues. Local Authorities' service delivery is critical in improving the quality of life of citizens.

Mandate

My mandate is set out in the Constitution of Zimbabwe Amendment (No. 20) Act, 2013 and amplified in the Audit Office Act [*Chapter 22:18*]. I am required to audit and report to the Parliament my findings on the examination of accounts of all public entities. In fulfilling this mandate, I do contract from time to time, some of the audits to public auditors registered in terms of the Public Accountants and Auditors Act [*Chapter 27:12*] as stated in Section 9 of the Audit Office Act [*Chapter 22:18*]. Accordingly, I have included audit findings from such auditors in this report.

Basis of preparation of Local Authorities financial statements

Management of public funds is governed primarily by the Constitution of Zimbabwe Amendment (No. 20) Act, 2013 and the Public Finance Management Act [*Chapter 22:19*]. Section 37 read together with Statutory Instrument 41 of 2019 requires the preparation of financial statements to comply with International Financial Reporting Standards (IFRSs) or International Public Sector Accounting Standards (IPSASs). IFRSs and IPSASs comprise interpretations adopted by the International Accounting Standards Board (IASB) and the International Public Sector Accounting Standards Board (IPSASB) respectively, which set common rules so that financial statements can be consistent, transparent and comparable around the world.

The regulator of the accountancy profession in Zimbabwe, Public Accountants and Auditors Board (PAAB) prescribed the International Public Sector Accounting Standards (IPSASs) for use in Zimbabwe on March 1, 2019, following the gazette of Statutory Instrument 41 of 2019. The transitional period commenced on January 1, 2023, and was established to span a duration of up to three years, leading to full compliance by December 31, 2025. Full IPSAS implementation provides a standardized, transparent accounting framework that ensures public funds are managed with clear accountability and trust. I appreciate the efforts by the Ministry of Finance and Economic Development and Investment Promotion in training financial statements preparers and the Ministry of Local Government and Public Works in carrying out valuation of assets, thereby assisting Local Authorities in transitioning and migrating to full IPSAS. As I present this report, twenty - eight (28) Local Authorities out of twenty-nine (29) that previously reported on IFRS migrated to IPSAS and submitted IPSAS financial statements for audit by April 30, 2026 in line with Treasury Circular Number 1 of 2026.

Audit approach

I conducted my audits in accordance with the International Standards of Supreme Audit Institutions (ISSAIs) and the International Standards on Auditing (ISAs). These Standards require that I comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement. In this regard, my audit approach was designed to enable me to express an opinion on the Local Authorities' financial statements.

All aspects of the Local Authorities' activities and processes may not have been examined. I consider maintenance of adequate internal controls to be the responsibility of management. My audits cannot therefore be expected to identify all weaknesses in the systems and processes, which a special investigation directed at those areas might reveal. As to the possibility of fraud, I plan my audits to have a reasonable expectation of its disclosure if the potential effects of the fraud would be material in the financial statements. However, there are many kinds of fraudulent activities, particularly those involving defalcation, forgery, collusion and management override of controls, which would be unreasonable to expect the normal audit to uncover.

Audit opinions

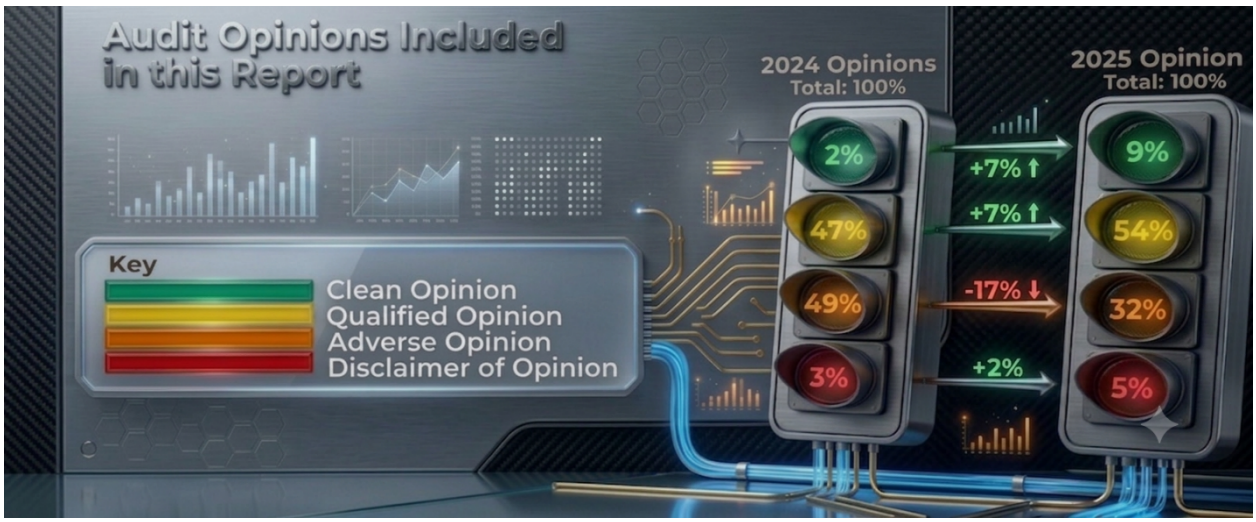
The principal objective of my audit procedures is to enable me to express an opinion on the truthfulness and fairness of the financial statements as a whole. An audit opinion is based on the concept of reasonable assurance. It is not a guarantee that the financial statements are free of misstatements. Where I have issued an unqualified/ clean, qualified and adverse opinion, I believe that the audit evidence I have obtained is sufficient and appropriate to provide the basis for my opinion of the respective financial statements. Where an entity has received a disclaimer of opinion it's because I was unable to obtain sufficient appropriate audit evidence to express an opinion.

There was a slight improvement in Local Authorities that received unqualified/ clean opinion from two (2) to eight (8) in the current year. However, the majority continued to receive modified opinions for 2022, 2023, 2024 and 2025 due to inability to adjust for misstatements on the opening balances by not applying the requirements of International Public Sector Accounting Standard (IPSAS) 3 - "Accounting Policies, Changes in Accounting Estimates and Errors", beer levy, valuation of property, plant and equipment and non-inclusion of Schools in the segment reporting, incomplete records etc. In this report, I issued eight (8) unmodified opinions, fifty- one (51) qualified opinions, thirty (30) adverse opinions and five (5) disclaimers of opinion. The basis of these opinions were mainly non-compliance with standards in particular IPSAS 17/ 45 - "Property, Plant and Equipment, IPSAS 16 - "Investment Property", IPSAS 29/ 41 - "Financial Instruments", IPSAS 35 - "Consolidated Financial Statements", IPSAS 12 - "Inventories" and because of, inter alia, payroll, payables, unsupported journals, incomplete records, unsupported expenditure and suspense accounts.

Summary Audit opinion

Opinion	2025	2024	2023	2022	2021
Unqualified/ clean	8	2	2	1	0
Qualified	51	61	29	22	11
Adverse	30	64	58	68	41
Disclaimer	5	4	7	7	3
Total	**94**	**131**	**96**	**98**	**55**

Audit Opinions for 2024 and 2025 report



Audit Opinions in the 2025 report



Summary of Audit opinion by category

		Opinions									
	Category	**Unmodified / clean opinion**	**%**	**Qualified**	**%**	**Adverse**	**%**	**Disclaimer**	**%**	**Total Opinions**	**%**
1	City Councils	-	0%	3	43%	3	43%	1	14%	7	100%
2	Municipalities	-	0%	4	80%	1	20%	-	0%	5	100%
3	Town Councils	-	0%	2	20%	8	80%	-	0%	10	100%
4	Local Boards	-	0%	2	40%	3	60%	-	0%	5	100%
5	Rural District Councils	8	12%	40	60%	15	22%	4	6%	67	100%
	Total	**8**	**9%**	**51**	**54%**	**30**	**32%**	**5**	**5%**	**94**	**100%**

Report structure

This report outlines the findings identified during the financial statement audits of the Local Authorities, based on the submitted accounts. The Local Authorities reported are in arrears (2022-2024) with the exception of Makoni Rural District Council. Under each audited client are audit findings, associated possible risks/ implications, audit recommendations, management responses and comments to management responses where necessary. Although some of the issues identified are common within the audited entities, most of the findings are not the same due to the nature, uniqueness and varying mandates of the entities.

Acknowledgements

It is my honour to appreciate all stakeholders who contributed, in their various ways, in the work of my Office. I wish to record my appreciation to Public Accounts Committee (PAC) of the Parliament of Zimbabwe for their oversight role in ensuring that entities address audit findings raised in my report and to the various audit firms, UDCORP and our valued clients who made it possible for me to submit my report for the year under review. I also extend my indebtedness to our development partners for their unwavering financial and technical support and to our printers for their invaluable co-operation. Finally, I extend my sincere appreciation to the Audit Office Board for their support and to management and staff for their continued commitment and dedication to duty. Without all this support, the production of this report could not have been possible.



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HARARE
June 26, 2026.

V. CHIKWENHERE,
AUDITOR-GENERAL.

EXECUTIVE SUMMARY

This report covers the results of the audit of ninety-six (96) financial statements of eighty-one (81) Local Authorities. The financial statements audited comprises of the statement of financial position, statement of financial performance, statement of changes in net assets, statement of cash flows, statement of comparison of budget and actual amounts and notes to the financial statements. The report highlights key audit findings noted during the audits and recommendations on how issues raised may be addressed to improve public sector transparency, accountability, good corporate governance and service delivery.

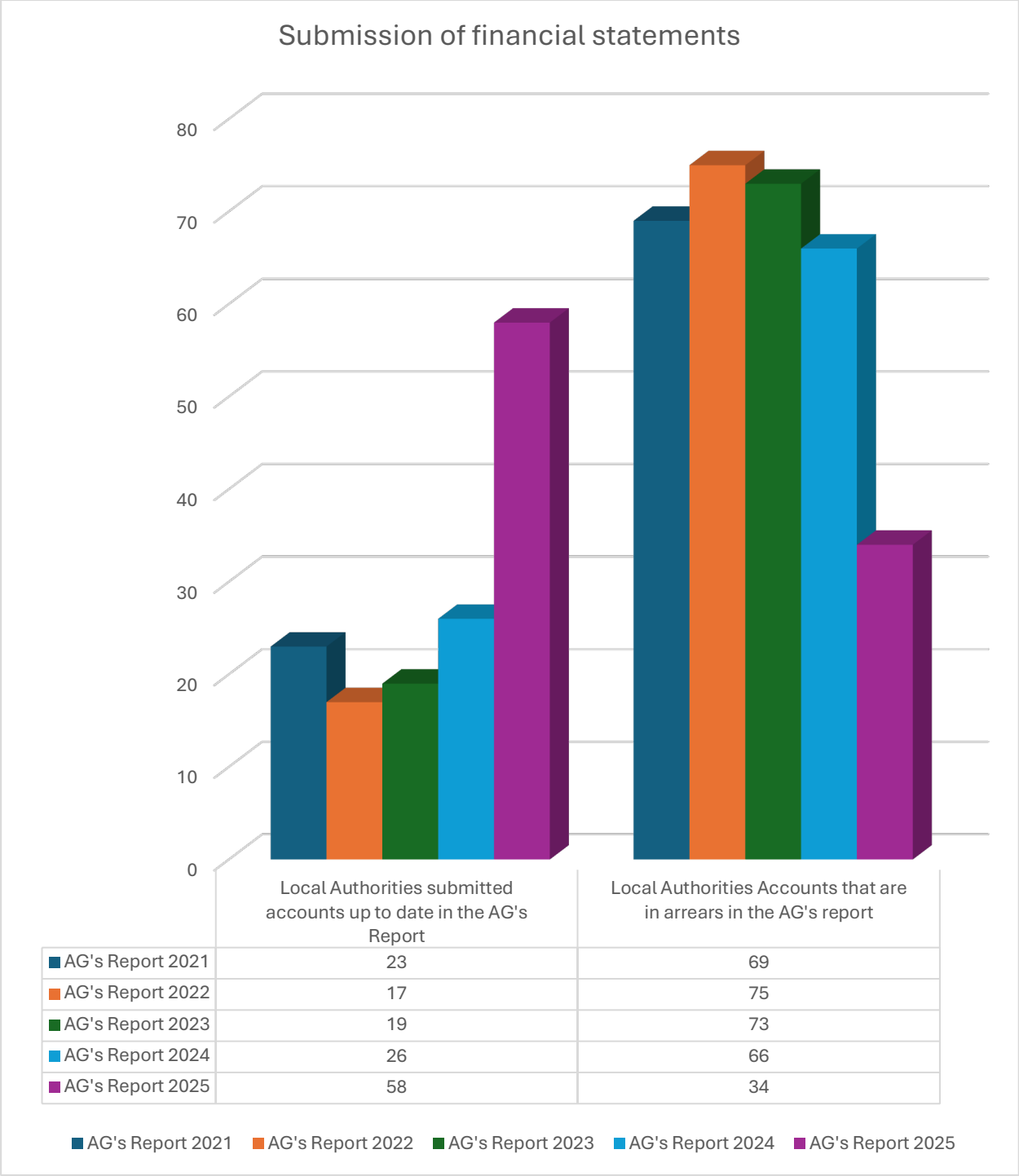
At the time of producing this report, in relation to 2022, 2023, 2024 and 2025 financial years, ninety-six (96) financial statements that were submitted for audit have been completed while seventy-eight (78) financial statements that were submitted for audit were in progress and some being finalized. There was a significant increase in submission of financial statements whereby fifty-eight (58) Local Authorities have submitted financial statements up to the financial year ended December 31, 2025 compared to the previous year where twenty-six (26) were current, while thirty-four (34) Local Authorities were yet to submit financial statements for the year ended December 31, 2025 compared to sixty-six (66) in the prior year. This signifies an improved performance in submission of financial statements and clearance of arrears.

There were six (6) Local Authorities that did not submit financial statements for the 2023-2024 period, and they should be closely monitored. Late submission of financial statements creates accountability gaps and also results in the inability of Local Authorities to provide supporting documents or reconcile variances identified during the audit.

I appreciate the role of the Ministry of Finance, Economic Development and Investment Promotion in continuing to assist the Local Authorities towards full IPSAS implementation. The IPSAS implementation journey, has significantly contributed to the increase in the submission of arrear accounts by Councils and in bringing financial audits up to date thereby promoting transparency and accountability. However, it is noteworthy that one of the key issues within my report is the non-accounting of Council Schools by Rural District Councils. The Ministry can provide ongoing support by conducting skills gap assessments across all Rural District Council (RDC) Schools. This will inform the roll-out of a phased national programme aimed at closing skills gaps, strengthening operational capacity, and standardising financial reporting practices in Rural District Council Schools.

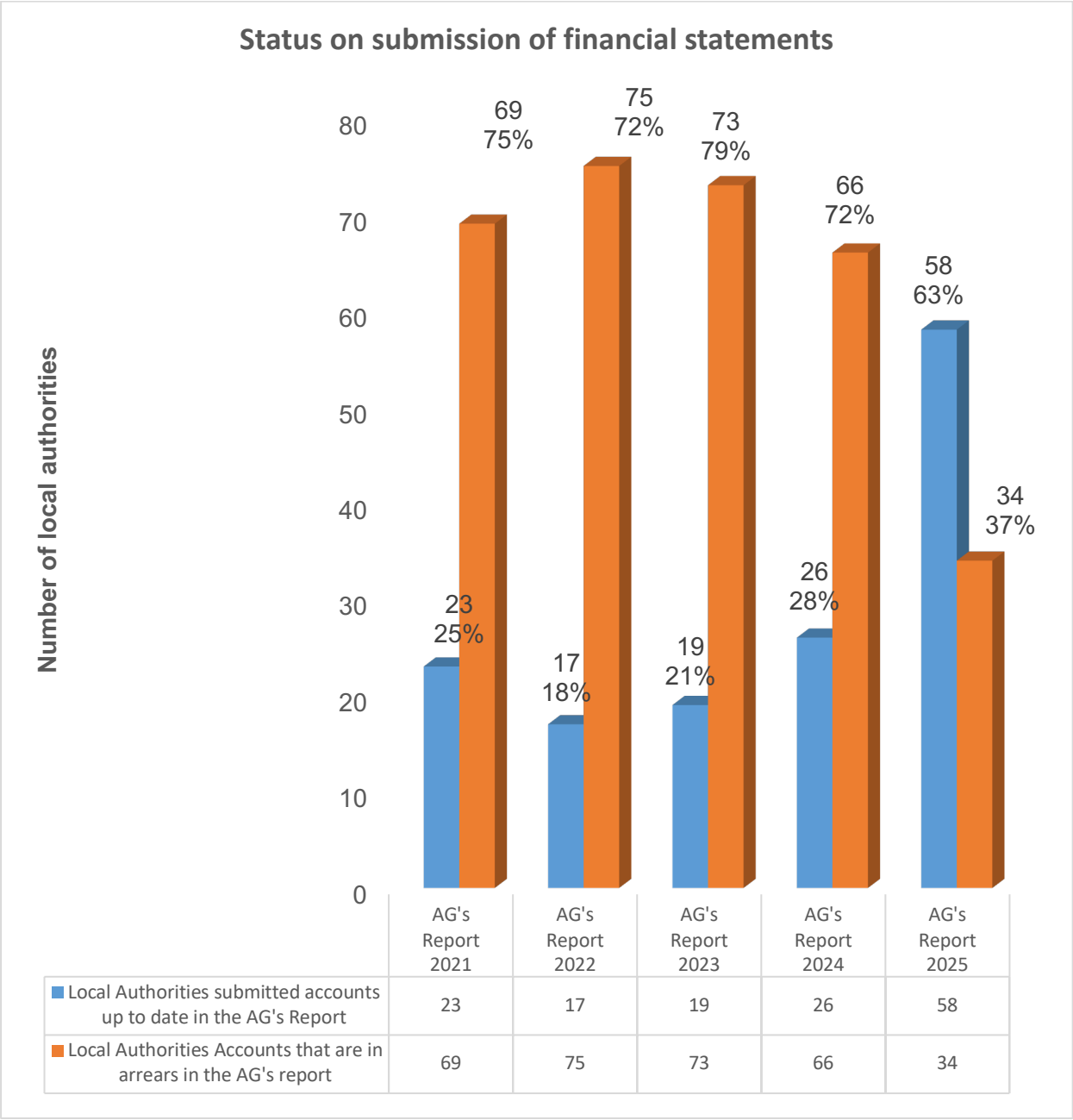
Below are graphs on the status of submission of financial statements;

Five-year trend analysis on submission of financial statements



	Local Authorities submitted accounts up to date in the AG's Report	Local Authorities Accounts that are in arrears in the AG's report
AG's Report 2021	23	69
AG's Report 2022	17	75
AG's Report 2023	19	73
AG's Report 2024	26	66
AG's Report 2025	58	34

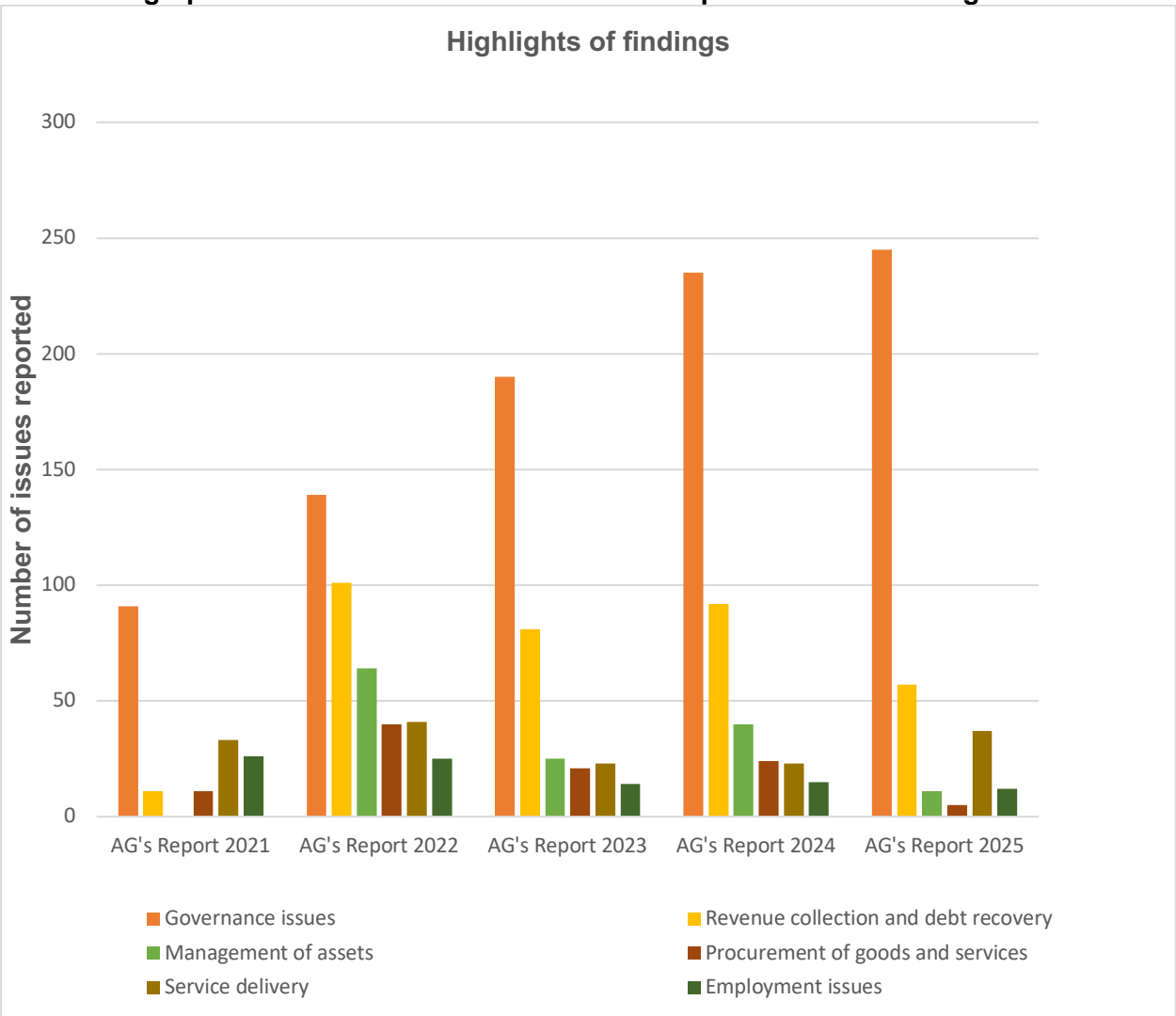
Trend of submission of financial statements



Highlights

The audit covered aspects on governance, revenue collection and debt recovery, management of assets, procurement of goods and services, employment issues and service delivery. The aspects covered are in line with our quest to promote transparency, accountability and service delivery. It is expected that the impact of addressing my findings will have a positive effect on the lives of the citizens of Zimbabwe.

Below is a graphical and tabulated overview of the aspects covered during the audit.



Findings by category

	AG's Report		AG's Report		AG's Report		AG's Report		AG's Report	
Category	**2021**	**%**	**2022**	**%**	**2023**	**%**	**2024**	**%**	**2025**	**%**
Governance issues	91	53%	139	34%	190	54%	235	55%	245	67%
Revenue collection and debt recovery	11	6%	101	25%	81	23%	92	21%	57	16%
Management of assets	0	0%	64	16%	25	7%	40	9%	11	3%
Procurement of goods and services	11	6%	40	10%	21	6%	24	6%	5	1%
Service delivery	33	19%	41	10%	23	6%	23	5%	37	10%
Employment issues	26	15%	25	6%	14	4%	15	3%	12	3%
Total	**172**	**100%**	**410**	**100%**	**354**	**100%**	**429**	**100%**	**367**	**100%**

Governance issues

There was a marked relative increase of approximately forty-three percent (43%) in governance issues per audited Local Authority, after adjusting for the number of Local Authorities audited, from two hundred and thirty-five (235) issues across one hundred and thirty-two (132) accounts in 2024 to two hundred and forty-five (245) issues across ninety-six (96) accounts. In this report governance weaknesses continue to be prevalent due to the non-recognition and valuation of assets, instances of weak internal control over inventory, compliance with laws and regulations, cash management, absence of bank reconciliations, unsupported adjustments, incomplete records and non-accounting for Schools by Rural District Councils. In addition, majority of Local Authorities were lagging in embracing technology as most of their business processes were still manual or partially automated. Lack of full automation of accounting systems resulted in late submission of financial statements and due to lapse of time, document retention is compromised resulting in incomplete records. In light of the above, Local Authorities and those charged with governance are therefore encouraged to embrace Government's thrust on implementation of Information Communication Technology.

Revenue collection and debt recovery

There was a moderate relative reduction of approximately fifteen percent (15%) in revenue collection and debt recovery issues per audited Local Authority, after adjusting for the number of Local Authorities audited, from ninety-two (92) issues across one hundred and thirty-two (132) accounts in 2024 to fifty-seven (57) issues across ninety-six (96) accounts. However, most of the Local Authorities did not have automated revenue collection systems to manage revenue collection processes resulting in accounting for revenue on cash basis. In addition, Local Authorities were losing revenue due to the absence of complete/ updated databases for their various revenue streams to enable billing and excessive non-revenue water caused by leakages, illegal connections and non-functional meters. There were also instances of non-billing of revenue and unresolved variances between the revenue records and the reported figures in the financial statements.

Management of assets

There was a commendable relative decrease of approximately sixty-two percent (62%) in management of assets issues per audited Local Authority, after adjusting for the number of Local Authorities audited, from forty (40) issues across one hundred and thirty-two (132) accounts in 2024 to eleven (11) issues across ninety-six (96) accounts. However, some Local Authorities did not maintain comprehensive asset registers which would have enabled accountability of public assets. In addition, the Local Authorities did not have replacement strategies for assets, a practice that will enhance service delivery. In light of the above, Local Authorities and those charged with governance are encouraged to put in place plans for asset replacements to support service delivery.

Procurement of goods and services

There was an encouraging relative decline of approximately seventy-one percent (71%) in procurement of goods and services per audited Local Authority, after adjusting for the number of Local Authorities audited, from twenty-four (24) issues across one hundred and thirty-two (132) accounts in 2024 to five (5) issues across ninety-six (96) accounts. However, there were weak procurement controls due to non-compliance with procurement laws and regulations. There were two (2) Local Authorities that procured a motorised grader and motor vehicle respectively that were yet to be delivered. In addition, there was a land swap for cement which did not have clear terms on the quantities and price of the cement to be received by the Council thereby not being able to determine whether value for money was realised in the transaction. Therefore, Local

Authorities need to strengthen the due diligence processes to include evaluation of capacity to deliver the goods to be procured and include clear terms in the contracts.

Employment cost issues

There was a moderate relative increase of approximately ten percent (10%) in employment cost issues per audited Local Authority, after adjusting for the number of Local Authorities audited, from fifteen (15) issues across one hundred and thirty-two (132) accounts in 2024 to twelve (12) issues across ninety-six (96) accounts. There were payroll control weaknesses that compromise service delivery, financial reporting and statutory compliance. Some allowances and benefits were being processed outside the payroll system thereby not paying tax and statutory obligations were not being remitted due to cashflow challenges. There were unresolved variances between payroll summaries and figures in the financial statements. Those charged with governance should enforce strong payroll controls to ensure statutory compliance and non-recurrence of findings.

Service delivery issues

There was an elevated relative increase of approximately one hundred and twenty-one percent (121%) in service delivery issues per audited Local Authority, after adjusting for the number of Local Authorities audited, from twenty-three (23) issues across one hundred and thirty-two (132) accounts in 2024 to thirty-seven (37) issues across ninety-six (96) accounts. A number of Local Authorities are experiencing population growth, however, facilities have not been upgraded to match with the growth. Water, sewerage infrastructure and waste management were not being upgraded to match the growth in population. Most Local Authorities did not have engineered landfills for disposal of solid waste and were using dumpsites against EMA regulations. Council schools had inadequate infrastructure thereby compromising the delivery of education to learners. Non availability of ambulance services was another challenge being faced by some local authorities thereby compromising emergency health response especially in rural districts.

The Government's commitment to supporting Local Authorities through devolution funding is acknowledged. Notwithstanding this, management responses to certain audit findings indicate that delays and, in some instances, non-remittance of these funds have occurred, which have affected the timely implementation of some planned service delivery activities.

Summary of reported issues

	Governance Issues	Revenue collection	Management of assets	Procurement of goods	Service delivery	Employment costs
Relative % increase/ (decrease)	43%	(15%)	(62%)	(71%)	121%	10%
2025	245	57	11	5	37	12
Total accounts	96	96	96	96	96	96
2024	235	92	40	24	23	15
Total accounts	132	132	132	132	132	132

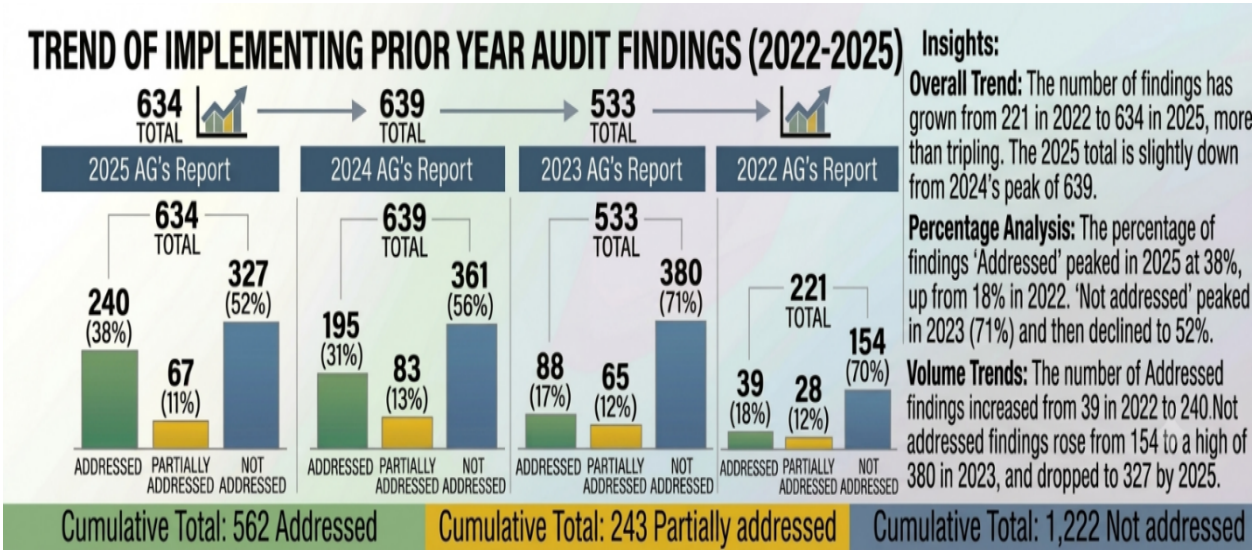
Governance issues were prevalent even though the percentage increase was lower than that of service delivery which had the highest percentage increase indicating a regression in achieving the core mandate of Local Authorities thereby requiring urgent attention. On the other hand, procurement of goods and services decreased showing an improvement.

Follow up on prior year audit findings

I followed up six hundred and thirty-four (634) audit findings that were raised in my reports from 2022 - 2025 and noted that two hundred and forty (240) were addressed, sixty-seven (67) were partially addressed and three hundred and twenty-seven (327) were not addressed. Issues not addressed included completeness of database, completeness of asset registers, non-delivery of procured goods, non-compliance with environmental legislation. Local Authorities should put in place action plans and robust monitoring mechanisms to address the recurrence of findings.

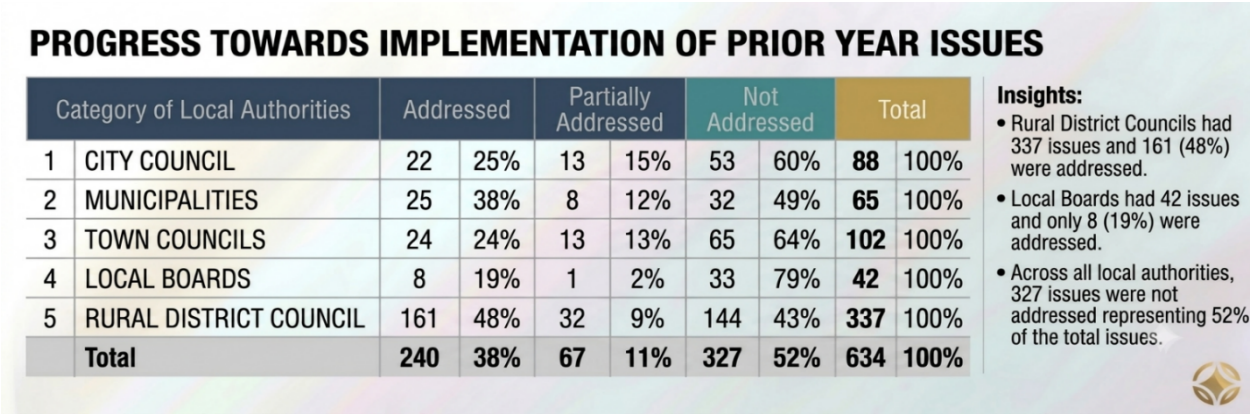
The progress made is further analysed below:

	2025 AG's Report		2024 AG's Report		2023 AG's Report		2022 AG's Report	
Findings	**No. of issues**	**%**	**No. of issues**	**%**	**No. of issues**	**%**	**No. of issues**	**%**
Addressed	240	38%	195	31%	88	17%	39	18%
Partially addressed	67	11%	83	13%	65	12%	28	12%
Not addressed	327	52%	361	56%	380	71%	154	70%
Total	**634**	**100%**	**639**	**100%**	**533**	**100%**	**221**	**100%**



PROGRESS TOWARDS IMPLEMENTATION

	Summary	Progress Towards Implementation of Prior Year Issues							
	Category	**Addressed**	**%**	**Partially Addressed**	**%**	**Not Addressed**	**%**	**Total**	%
1	City Councils	22	25%	13	15%	53	60%	**88**	100%
2	Municipalities	25	38%	8	12%	32	49%	**65**	100%
3	Town Councils	24	24%	13	13%	65	64%	**102**	100%
4	Local Boards	8	19%	1	2%	33	79%	**42**	100%
5	Rural District Councils	161	48%	32	9%	144	43%	**337**	100%
	Total	**240**	**38%**	**67**	**11%**	**327**	**52%**	**634**	**100%**



Conclusion

The report enables Parliament and those charged with public sector governance to discharge their oversight responsibilities by addressing audit findings. Therefore, the effective implementation of the report's recommendations helps in building public trust in government institutions, thereby contributing to a stable economic environment and the achievement of national development goals.

The issues I have raised above, if not addressed, service delivery and efforts made to enhance transparency and accountability through various instruments may be compromised. Concerted efforts from those charged with governance is required to put in place measures to address reported weaknesses in order to enhance transparency, accountability, good corporate governance and service delivery.

CITY COUNCILS

BULAWAYO CITY COUNCIL 2022 AND 2023

I have audited the financial statements of Bulawayo City Council for the years ended December 31, 2022 and 2023. The Council's reporting framework was not explicit as to whether it was International Public Sector Accounting Standards (IPSASs) or International Financial Reporting Standards (IFRSs). The financial statements were prepared with reference to the Urban Councils Act [*Chapter 29:15*] and the Public Finance Management Act [*Chapter 22:19*]. As a result, I could not express an opinion for both years.

Below are other material issues noted during the audit**;**

1. GOVERNANCE ISSUES

1.1 Basis of preparation

Finding

The Council's reporting framework was not explicit as to whether it was International Public Sector Standards (IPSASs) or International Financial Reporting Standards (IFRSs). The Financial statements were prepared with reference to Urban Councils Act [*Chapter 29:15*] and the Public Finance Management Act [*Chapter 22:19*]. As a result, the financial statements were not suitable for other purposes.

Risk/ Implication

The Financial statements may lack compatibility and may not be useful to users.

Recommendation

The Council should consider early adoption of IPSAS financial reporting framework.

Management response

To be implemented through IPSAS full compliance by financial year 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Meter readings

Finding

The Council was not consistently conducting water meter readings for its properties. Council billed its customers based on estimates during the year ended December 31, 2022. As a result, there were under and over billing of water consumption. This was contrary to the Council's internal control system and the revenue procedure manual, which prohibits the Council to exceed a period of two months without taking meter readings of a consumer.

Risk/ Implication

Financial loss from underbilling and liability

Reputational risk from overbilling

Financial loss due to possible under or over billing of consumers.

Recommendation

The Council should conduct meter readings as per internal procedures while considering smart water meters.

Management response

Concur with audit recommendation. Work study currently reviewing the revenue section structure to establish the appropriate human resource requirements. Council is also exploring the feasibility of installing smart water meters.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing the findings that I raised in my 2024 report. I raised thirteen (13) findings, four (4) findings were addressed, four (4) were partially addressed and five (5) were not addressed as indicated below;

3.1 Basis of preparation

The finding was not addressed. Council adopted the IPSAS reporting framework from 2023.The 2023 transitional financial statements were prepared and submitted for review. The Council is therefore working towards full compliance by financial year ending December 31, 2025.

3.2 Documentation of assets additions

The finding was addressed. The Council improved its filing system, and 2022 and 2023 asset additions were provided to audit.

3.3 Sewer

The finding was not addressed. Lotshe Hlabangana sewer line update was not done.

3.4 Valuation of property, plant and equipment

The finding was not addressed. Council did not have an asset register with values.

3.5 Valuation of capital investment in City of Kings Business Ventures (COKBV)

The finding was not addressed. Valuation of shares is expected to be done in 2024.

3.6 Completeness of trade and other payables

The finding was not addressed. Reconciliations were not prepared in a timely manner.

3.7 Completeness of revenue from service charges and property taxes to ratepayers

The finding was addressed. This has been resolved through the IT department.

3.8 Occurrence, measurement, and completeness of royalties income

The finding was addressed. Royalties income is now being billed.

3.9 Public contributions and inventory donations

The finding was addressed. Registers for donated items are now in place and the donated amounts are now being recorded in the BIQ system.

3.10 Policies and manuals

The finding was partially addressed. Some of the policies remain at the draft stage and have not yet been finalized or implemented.

3.11 Water losses

The finding was partially addressed. The water project was not completed due to insufficient funding.

3.12 Repairs of water pipes

The finding was partially addressed. The Council continues to repair water pipes, subject to the availability of funding.

3.13 Obsolete equipment at the Thorngrove sewer purification plant

The finding was partially addressed. The Council continues to implement measures to address the matter; however, funding remains the primary hindrance.

I have audited the financial statements of Gweru City Council for the year ended December 31, 2024, and I issued a disclaimer of opinion.

Disclaimer of Opinion

I do not express an opinion on the financial statements of Gweru City Council. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer of Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not adjust the financial statements for the effects of inflation contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires the financial statements of an entity operating in a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date. Had the Council applied the requirements of IPSAS 10 - 'Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 36 - "Investment in Associates and Joint Ventures"

The Council did not account for its investment in Gweru City Parking Management Company (Private) Limited and Upenyu Breweries t/a Go Beer (Private) Limited in the financial statements. This was contrary to IPSAS 36 - 'Investment in Associates and Joint Ventures" paragraph 22 which requires an entity with joint control to account for its share of surplus or deficit of the joint venture entity. Had the Council accounted for its investments, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - 'Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise the revenue, expenses, liabilities and assets of its schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - 'Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets. Had the Council complied with IPSAS 1 - 'Presentation of Financial Statements" and IPSAS 18 - 'Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - *"*Property, Plant and Equipment*"*

The Council did not maintain an asset register to support its property, plant and equipment balance of ZWG5 million recognised in the financial statements. In addition, the Council's

infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for as part of property, plant and equipment. This was contrary to the IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires the Council to recognise items that meet the definition of property, plant and equipment. I could therefore not satisfy myself on the completeness and valuation of property, plant and equipment.

v. Leave pay

The Council's cash in lieu of leave amounting to ZWG2.95 million did not reconcile with the movement in leave provision recognised in the statement of financial position of ZWG57.18 million resulting in a variance of ZWG54.23 million. As a result, I could not satisfy myself on the accuracy and existence of cash in lieu of leave balance.

vi. Cash and bank

The Council did not perform bank reconciliations for the year under review. As a result, there was an unreconciled variance of ZWG89 million between the cashbook balances of ZWG93.5 million and an overdraft of ZWG4.5 million as per bank statements. In addition, the Council had an unexplained variance of ZWG167.69 million between the cash and bank trial balance of ZWG202.69 and general ledger balance of ZWG40 million. As a result, I could not satisfy myself on the completeness and accuracy of bank and cash balances disclosed in the financial statements.

vii. Suspense account

The Council did not maintain adequate records and was not practicing the principle of double entry. As a result, the financial statements had a suspense balance of ZWG1.29 billion included in non-distributable reserve. I was unable to determine the extent to which other accounts on the financial statements may be misstated. Had the Council cleared the suspense account balance, the financial statements would have been materially different.

viii. Receivables

The Council did not perform receivables reconciliations during the period. As a result, there was an unreconciled variance of ZWG43.98 million between the receivables listing balance of ZWG632.25 million and trade receivables balance of ZWG588.27 million recognised in the financial statements. Had the Council performed receivables reconciliations, the financial statements would have been materially different.

ix. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - *"Inventories"*

The Council did not recognise repossessed commercial stands as inventory. This was contrary to IPSAS 12 - "Inventories" paragraph 9 which requires assets held for sale in the normal course of business to be recognised as inventory. In addition, the Council's inventory valuation report had a negative balance of ZWG2.62 billion while the inventory financial statements had a positive balance of ZWG23.81 million resulting in an unreconciled variance of ZWG2.64 billion. I could not satisfy myself on the completeness, existence and valuation of inventory recognised in the financial statements.

x. Unsupported journal entries

The Council posted journal entries amounting to ZWG99.4 million which were not supported. As a result, I could not satisfy myself on the validity and accuracy of journals posted in the financial statements.

xi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise allowance for credit losses on receivables balance disclosed in the financial statements. This was contrary to IPSAS 41 - 'Financial Instruments" paragraph 73 which requires recognition of allowance for credit losses on financial assets. Had the Council recognised allowance for credit losses, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not recognise the revenue, expenses, liabilities and assets for its four (4) schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should recognise the financial results of its schools in its financial statements.

Management response

Council acknowledges omission of schools from consolidated financial statements. Schools will be incorporated into consolidated financial statements by June 30, 2026.

1.2 Inflation adjusted financial statements

Finding

The Council did not adjust the financial statements for the effects of inflation contrary to IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" which requires the financial statements of an entity operating in a hyperinflationary economy to be stated in terms of the measuring unit current at the reporting date.

Risk/ Implication

Loss of decision-making relevance

Financial statements may be misstated.

Recommendation

The Council should prepare inflation adjusted financial statements.

Management response

Council acknowledges non-compliance with IPSAS 10 due to capacity constraints. Inflation accounting will be adopted by September 30, 2026.

1.3 Property, plant and equipment

Finding

The Council did not maintain an asset register to support its property, plant and equipment balance of ZWG5 million recognised in the financial statements. In addition, the Council's infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for as part of property, plant and equipment. This was contrary to the IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires the Council to recognise items that meet the definition of property, plant and equipment.

Risk/ Implication

Mis-appropriation of assets.

Misstatement of financial statements.

Recommendation

The Council should maintain a comprehensive asset register and recognize infrastructure assets in the financial statements.

Management response

Current ERP system is not compatible with an IPSAS compliant Asset Register. Council is pursuing a new ERP system by December 31, 2026. Internal team of experts assisted by external engineers will conduct an inventory count of infrastructure assets and

conduct valuation using depreciated replacement cost approach as per ZFRM.

1.4 Suspense account

Finding

The Council did not maintain adequate records and was not practicing the principle of double entry. As a result, the financial statements had a suspense balance of ZWG1.29 billion included in non-distributable reserve. This was contrary to the Urban Councils Act [*Chapter 29:15*] section 286(1) which requires the Council to maintain a proper record of all matters relating to the financial transactions of the Council.

Risk/ Implication

Financial loss due to fraud.

Misstatement of financial statements.

Recommendation

The Council should investigate and clear the suspense account balance.

Management response

The suspense account balance was due to weak application of accounting principles and unresolved historical items. Management plans to investigate and clear the suspense account and strengthen controls by August 31, 2026.

1.5 Stands inventory

Finding

The Council did not recognise repossessed commercial stands as inventory. This was contrary to IPSAS 12 - “Inventories” paragraph 9 which requires assets held for sale in the normal course of business to be recognised as inventory. In addition, the Council’s inventory valuation report had a negative balance of ZWG2.62 billion while the inventory financial statements had a positive balance of ZWG23.81 million resulting in an unreconciled variance of ZWG2.64 billion.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise repossessed stands as inventory in its financial statements.

The inventory balance should be supported by an inventory valuation report.

Management response

The non-compliance was due to poor inventory classification and interdepartmental

coordination. Management plans to identify, value and include the repossessed stands in inventory by September 30, 2026.

1.6 Bank reconciliations

Finding

The Council did not perform bank reconciliations for the year under review. As a result, there was an unreconciled variance of ZWG89 million between the cashbook balances of ZWG93.5 million and an overdraft of ZWG4.5 million as per bank statements. In addition, the Council had an unexplained variance of ZWG167.69 million between the cash and bank trial balance of ZWG202.69 and general ledger balance of ZWG40 million.

Risk/ Implication

Misstatement of financial statements.

Fraud and errors may not be detected on time.

Recommendation

The Council should perform bank reconciliation and clear the variances noted.

Management response

The plan is to adjust cash book balances to agree with bank ZWG take-on balances as at April 5, 2024 and update bank reconciliations.

1.7 Journal entries

Finding

The Council did not avail supporting documentation for selected journal transactions amounting to ZWG99.44 million. This was contrary to the Urban Councils Act [*Chapter 29:15*] section 286(1) which requires the Council to maintain a proper record of all matters relating to the financial transactions of the Council.

Risk/ Implication

Financial loss due to fraud.

Misstatement of financial statements.

Recommendation

Journal transactions should be supported by the relevant documentation.

Management response

Council acknowledges weaknesses in supporting documentation for journal entries. This will be rectified by May 31, 2026.

1.8 Investment in joint venture

Finding

The Council did not account for its investment in Gweru City Parking Management Company (Private) Limited and Upenyu Breweries t/a Go Beer (Private) Limited in the financial statements. This was contrary to IPSAS 36 - "Investment in Associates and Joint Ventures" paragraph 22 which requires an entity with joint control to account for its share of surplus or deficit of the joint venture entity.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for its investment in joint venture.

Management response

Council acknowledges non-recognition of investments in associated entities. Contracts will be analysed and applicable IPSAS standards applied by 31 July 2026.

1.9 Allowance for credit loss

Finding

The Council did not recognise allowance for credit losses on receivables balance disclosed in the financial statements. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires recognition of allowance for credit losses on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses.

Management response

The audit was finalised during the responsible officer's absence and the current staff failed to provide the External Audit with the ECL for 2024 till the audit was finalised.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Council did not perform receivables reconciliations during the period. As a result, there was an unreconciled variance of ZWG43.98 million between the receivables listing balance of ZWG632.25 million and trade receivables balance of ZWG588.27 million recognised in the financial statements.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should prepare monthly receivables reconciliations and clear the variances noted.

Management response

Management will investigate the variances and prepare reconciliations by June 30, 2026.

3 EMPLOYMENT COSTS

3.1 Leave pay provision

Finding

The Council's cash in lieu of leave amounting to ZWG2.95 million did not reconcile with the movement in leave provision recognised in the statement of financial position of ZWG57.18 million resulting in a variance of ZWG54.23 million. This was contrary to Public Finance Management Act [*Chapter 22:19*] section 44(1)(a)(i) which requires the establishment and maintenance of an effective, efficient and transparent systems of financial and risk management and internal controls.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should reconcile the leave provision and clear the variances noted.

Management response

Variances to be investigated and resolved. Possible currency conversion errors from ZWL to ZWG will be analysed and adjusted.

4 PROGRESS IN ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2024 report. I raised fifteen (15) findings, three (3) findings were addressed and twelve (12) findings were not addressed as indicated below.

4.1 Asset register

The finding was not addressed. Asset register was not prepared and the Council has not yet migrated to an ERP with an asset module.

4.2 Hyperinflation accounting

The finding was not addressed. The financial statements were not hyper-inflated.

4.3 Consolidation of subsidiary companies

The finding was not addressed. The subsidiary was not consolidated.

4.4 Investment in joint venture

The finding was not addressed. The investment was not accounted for.

4.5 Property, plant and equipment

The finding was not addressed. Infrastructure assets were not accounted for, and asset register was not developed.

4.6 Bank reconciliations

The finding was not addressed. Bank reconciliations were not performed and there were cash and bank variances in 2025

4.7 Journal entries

The finding was not addressed. There were unsupported journal entries amounting to ZWG99.4 million in 2025.

4.8 Grant income

The finding was not addressed. The Council had unsupported grant income of ZWG5.36 million in 2025.

4.9 Purchase of backhoe loader

The finding was addressed. The overpayment was utilised when the Council purchased additional equipment from the same supplier.

4.10 Expenditure

The finding was addressed. Expenditure for 2025 was adequately supported.

4.11 Cash and bank balances

The finding was not addressed. Council did not maintain proper records of its cash and bank.

4.12 Beer levy

The finding was not addressed. The Council did not obtain beer levy statistics.

4.13 Payables reconciliations

The finding was not addressed. The Council did not perform payable reconciliations.

4.14 Receivables

The finding was not addressed. The Council did not perform reconciliations on receivables.

4.15 Debtors with credit balances

The finding was addressed. The Council cleared the credit balances.

I have audited the financial statements of Harare City Council for the years ended December 31, 2022, and 2023, and I issued an adverse opinion for both years.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Harare City Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 3- "Accounting Policies, Changes in Accounting Estimates and Errors"

The Council did not restate the comparative amounts to resolve misstatements which resulted in an adverse opinion in the prior year. This was contrary to IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors" paragraph 47, which requires correction of material prior period misstatements retrospectively. Had the Council corrected the prior year misstatements, financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35- "Consolidated Financial Statements" and IPSAS 38 - "Disclosure of Interests in Other Entities"

The Council did not consolidate its subsidiaries contrary to IPSAS 35 - "Consolidated financial statements" paragraph 5, which requires the consolidation of subsidiaries in financial statements. In addition, the carrying amount of investments in subsidiaries such as Harare Sunshine Holdings (Private) Limited, Rufaro Marketing (Private) Limited and Harare Quarry (Private) Limited were not disclosed in the financial statements. This was contrary to IPSAS 38 - "Disclosure of Interests in Other Entities" which require disclosure of interests in other entities. Had the Council consolidated its subsidiaries and disclosed all its interests in other entities, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions (Taxes and Transfers) and IPSAS 9- "Revenue from exchange transactions"

The Council recognised revenue amounting to ZWL200.07 billion from property tax, licenses and permits, grants and subsidies, exchange of goods, rendering of services, waste removal, rental income and other income. The Council did not maintain complete records for the revenue streams such as billing reports, properties database, businesses and shops database

and lease records. As a result, I was unable to perform any alternative procedures necessary to obtain sufficient and appropriate audit evidence to establish the completeness and accuracy of revenue.

v. Payroll

The Council recognised employment costs amounting to ZWL53.48 billion which was not supported by underlying payroll records. I was unable to obtain sufficient and appropriate audit evidence to confirm the accuracy and completeness of employee costs and employee obligations recognised in the financial statements.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 19- "Provisions, Contingent Liabilities and Contingent Assets"

The Council recognised leave pay provision of ZWL4.14 billion. However, management used a flat rate of 10% of the total salary bill to calculate the leave pay provision as at December 31, 2022. This was contrary to IPSAS 19 – "Provisions, Contingent Liabilities and Contingent Assets" paragraph 44 which requires a provision to be a best estimate of the amount required to settle an obligation at reporting date. Had the Council calculated leave pay provision based on actual accrued days (best estimate) and salary rates, the leave pay provision balance recognised would have been different.

vii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not revalue its assets in the last financial years despite operating in a hyperinflationary environment. This was contrary to IPSAS 17 - "Property, plant and equipment", paragraphs 44 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date. In addition, the Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date. Had the Council revalued its assets and assessed them for impairment, the financial statements would have been materially different.

viii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories" and IPSAS 27 - "Biological Assets"

The Council recognised inventory amounting to ZWL11.22 million. However, I was unable to verify the valuation of stock items on hand as at December 31, 2022, due to the absence of supporting documentation. I could not verify unit costs by alternative means.

In addition, Council recognised inventory from agricultural activities amounting to ZWL2.63 million. However, the City Council did not value and disclose livestock in accordance with IPSAS 27 **-** "Biological Assets" which requires biological assets to be measured at fair value less costs to sell. Had the Council, measured its inventory from agricultural activities, the inventory balance would have been materially different.

ix. Unsupported expenditure

The Council did not avail supporting documentation for transactions amounting to ZWL11.79 billion. As a result, I could not satisfy myself on the occurrence, completeness, accuracy and classification of expenses classified under repairs and maintenance, bulk purchases and general expenses.

x. Payables

The Council had an unresolved variance of ZWL242.11 billion between the creditors control of ZWL298.69 billion and the balance disclosed in the financial statements of ZWL56.58 billion. In addition, the Council had a suspense account balance of ZWL13.40 billion included in payables. As a result, I was unable to satisfy myself as to the completeness and validity of trade and other payables disclosed in the financial statements.

xi. Value Added Tax (VAT)

The Council was not recognising VAT at the transaction processing stage. As a result, the Council recognised a VAT provision of ZWL4.12 billion on outstanding gross receivables at year end. I was not availed with supporting documentation to verify the accuracy and completeness of the provision recognised in the financial statements.

xii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council classified properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 – "Investment Property" paragraph 5 which requires properties that meet the definition criteria to be recognised as investment property. In addition, the Council used the cost model to value its investment properties in a hyperinflationary economic environment which makes the use of the cost model inappropriate. Had the Council correctly classified investment property and used the fair value model to recognise investment property, the financial statements would have been materially different.

xiii. Foreign exchange gains and losses

The Council did not recognise exchange gains on its foreign currency transactions except for foreign currency denominated loans. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 32 which requires exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition to be recognised in surplus or deficit. Had Council accounted for exchange gains or losses on its foreign currency transactions, the financial statements would have been materially different.

xiv. Receivables

The Council had an unresolved variance of ZWL17.87 billion between the gross receivables age analysis balance of ZWL124.25 billion and the balance in the financial statements of ZWL142.12 billion. As a result, I could not satisfy myself on the valuation of the receivables balance recognised in the financial statements.

xv. Cash and cash equivalents

The Council did not recognise bank balances of USD25 246 and ZWL17.28 million for five (5) bank accounts in the financial statements. As a result, I was unable to satisfy myself on the accuracy and completeness of cash and cash equivalents disclosed in the financial statements.

xvi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20- "Related Party Disclosures"

The Council did not include disclosures in the financial statements in respect of a loan receivable with a carrying amount of ZWL4.96 million advanced to a subsidiary. This was contrary to IPSAS 20 – "Related Party Disclosures" paragraph 27, which requires a reporting entity to disclose the nature of relationship, transactions that would have occurred and the significance of the transactions with a related party. Had the Council complied with IPSAS 20 - "Related Party Disclosures", the disclosures to the financial statements would have been materially different.

xvii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 24- "Presentation of Budget Information"

The Council's Statement of Comparison of Budget and Actual Amounts for the year ended December 31, 2022, was based on revenue and expenditure amounts that were misstated. In addition, there were no explanations of material differences between the budgeted and actual amounts presented. This was contrary to IPSAS 24 - "Presentation of Budget Information" paragraph 14(c) which requires disclosure of explanations of material differences. Had the Council disclosed explanations of variances, the disclosures to the financial statements would have been materially different.

xviii. Material uncertainty related to going concern

The Council did not include disclosures in the financial statements to support the use of the going concern assumption. There was evidence of existence of a material uncertainty related to going concern as the Council's current liabilities of ZWL121.07 billion exceeded its current assets of ZWL111.11 billion by ZWL9.97 billion and the Council was failing to service its foreign currency denominated loan with an outstanding balance of USD77.05 million. Had the Council disclosed the conditions and events indicating the existence of a material uncertainty related to going concern, the disclosures to the financial statements would have been materially different.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Harare City Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance compliance with International Public Sector Accounting Standard (IPSAS) 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The Council did not restate the comparative amounts to resolve misstatements which resulted in an adverse opinion in the prior year. This was contrary to IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors" paragraph 47, which requires correction of material prior period misstatements retrospectively. Had the Council corrected the prior year misstatements, financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 35- "Consolidated Financial Statements and IPSAS 38 - "Disclosure of Interests in Other Entities"

The Council did not consolidate its subsidiaries contrary to IPSAS 35 - "Consolidated financial statements" paragraph 5, which requires the consolidation of subsidiaries in financial statements. In addition, the carrying amount of investments in subsidiaries such as Harare Sunshine Holdings (Private) Limited, Rufaro Marketing (Private) Limited and Harare Quarry (Private) Limited were not disclosed in the financial statements. This was contrary to IPSAS 38 - "Disclosure of Interests in Other Entities" which require disclosure of interests in other entities. Had the Council consolidated its subsidiaries and disclosed all its interests in other entities, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18- "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23- "Revenue from Non-Exchange Transactions (Taxes and Transfers) and IPSAS 9- "Revenue from exchange transactions"

The Council recognised revenue amounting to ZWL3.17 trillion from property tax, licenses and permits, grants and subsidies, exchange of goods, rendering of services, waste removal, rental income and other income. The Council did not maintain complete records for the revenue streams such as billing reports, properties database, businesses and shops database and lease records. As a result, I was unable to perform any alternative procedures necessary to obtain sufficient and appropriate audit evidence to establish the completeness and accuracy of revenue.

v. Payroll

The Council recognised employment costs amounting to ZWL637.81 billion which was not supported by underlying payroll records. I was unable to obtain sufficient and appropriate audit evidence to confirm the accuracy and completeness of employee costs and employee obligations recognised in the financial statements.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not revalue its assets in the last financial years despite operating in a hyperinflationary environment. This was contrary to IPSAS 17 - "Property, plant and equipment", paragraphs 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date. In addition, the Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date. Had the Council revalued its assets and assessed them for impairment, the financial statements would have been materially different.

vii. Unsupported expenditure

The Council did not avail supporting documentation for transactions amounting to ZWL57.64 billion. As a result, I could not satisfy myself on the occurrence, completeness, accuracy and classification of expenses classified under repairs and maintenance, bulk purchases; and general expenses.

viii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories" and IPSAS 27 - "Biological Assets"

The Council recognised inventory amounting to ZWL275.71 billion. However, I was unable to verify the valuation of stock items on hand as at December 31, 2023, due to the absence of supporting documentation. I could not verify unit costs by alternative means.

In addition, Council recognised inventory from agricultural activities amounting to ZWL19 billion. However, the City Council did not value and disclose livestock in accordance with IPSAS 27 - "Biological Assets" which requires biological assets to be measured at fair value less costs to sell. Had the Council, measured its inventory from agricultural activities, the inventory balance would have been materially different.

ix. Value Added Tax (VAT)

The Council was not recognising VAT at the transaction processing stage. As a result, the Council recognised a VAT provision of ZWL41.70 billion on outstanding gross receivables at year end. I was not availed with supporting documentation to verify the accuracy and completeness of the provision recognised in the financial statements.

x. Foreign exchange gains and losses

The Council did not recognise exchange gains on its foreign currency transactions except for foreign currency denominated loans. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 32 which requires exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition to be recognised in surplus or deficit. Had Council accounted for exchange gains or losses on its foreign currency transactions, the financial statements would have been materially different.

xi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council classified properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 5 which requires properties that meet the definition criteria to be recognised as investment property. In addition, the Council used the cost model to value its investment properties in a hyperinflationary economic environment which makes the use of the cost model inappropriate. Had the Council correctly classified investment property and used the fair value model to recognise investment property, the financial statements would have been materially different.

xii. Receivables

The Council had an unresolved variance of ZWL2.56 trillion between the gross receivables age analysis balance of ZWL4.19 trillion and the balance in the financial statements of ZWL1.63 trillion. As a result, I could not satisfy myself on the valuation of the receivables balance recognised in the financial statements.

xiii. Cash and cash equivalents

The Council did not recognise bank balances of USD94 347 and ZWL0.61 million for five (5) bank accounts in the financial statements. As a result, I was unable to satisfy myself on the accuracy and completeness of cash and cash equivalents disclosed in the financial statements.

xiv. Payables

The Council had an unresolved variance of ZWL428.10 billion between the creditors control of ZWL6.93 billion and the balance disclosed in the financial statements of ZWL435.03 billion. In addition, the Council had a suspense account balance of ZWL529.18 billion included in payables. As a result, I was unable to satisfy myself as to the completeness and validity of trade and other payables disclosed in the financial statements.

xv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20- "Related Party Disclosures"

The Council did not include disclosures in the financial statements in respect of a loan receivable with a carrying amount of ZWL4.96 million advanced to a subsidiary. This was contrary to IPSAS 20 – "Related Party Disclosures" paragraph 27, which requires a reporting entity to disclose the nature of relationship, transactions that would have occurred and the significance of the transactions with a related party. Had the Council complied with IPSAS 20 - "Related Party Disclosures", the disclosures to the financial statements would have been materially different.

xvi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 24- "Presentation of Budget Information"

The Council's Statement of Comparison of Budget and Actual Amounts for the year ended December 31, 2022, was based on revenue and expenditure amounts that were misstated. In addition, there were no explanations of material differences between the budgeted and actual amounts presented. This was contrary to IPSAS 24 - "Presentation of Budget Information" paragraph 14(c) which requires disclosure of explanations of material

differences. Had the Council disclosed explanations of variances, the disclosures to the financial statements would have been materially different.

xvii. Material uncertainty relating to going concern

The Council did not include disclosures in the financial statements to support the use of the going concern assumption. There was evidence of existence of a material uncertainty related to going concern as the Council's current liabilities of ZWL1.66 trillion exceeded its current assets of ZWL0.86 trillion by ZWL0.8 trillion and the Council was failing to service its foreign currency denominated loan with an outstanding balance of USD77.05 million. Had the Council disclosed the conditions and events indicating the existence of a material uncertainty related to going concern, the disclosures to the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Opening balances

Finding

The Council did not restate the comparative amounts to resolve misstatements which resulted in an adverse opinion in the prior year. This was contrary to IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors" paragraph 47, which requires correction of material prior period misstatements retrospectively.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should correct prior period misstatements in line with IPSAS 3.

Management response

Management acknowledges the finding. The matters raised largely relate to historical balances and prior period misstatements that accumulated over several reporting periods and continued to affect the financial statements during the period under review.Management is maintaining an audit findings implementation register and continues to review and resolve historical balances and long-outstanding reconciling items. Financial statement review procedures and balance sheet reconciliations have been strengthened to improve the accuracy and reliability of financial reporting. Management will continue to assess prior period errors, quantify their impact where practicable and process the necessary adjustments and disclosures in accordance with IPSAS 3 requirements.

1.2 Consolidation of subsidiaries

Finding

The Council did not consolidate its subsidiaries contrary to IPSAS 35 - “Consolidated financial statements” paragraph 5, which requires the consolidation of subsidiaries in financial statements. In addition, the carrying amount of investments in subsidiaries such as Harare Sunshine Holdings (Private) Limited, Rufaro Marketing (Private) Limited and Harare Quarry (Private) Limited were not disclosed in the financial statements. This was contrary to IPSAS 38 - “Disclosure of Interests in Other Entities” which require disclosure of interests in other entities.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should consolidate the subsidiaries in its financial statements.

Management response

Management acknowledges the findings and notes the following. The matters raised relate primarily to the consolidation, reporting and disclosure of financial information relating to investee entities and strategic business units. During the period under review, the City's financial reporting framework did not fully support the generation of segment-based financial information required under IPSAS 18. As a result, financial information was reported on an aggregated basis rather than by individual service delivery segments.

Council has established a Business Development Unit responsible for coordinating strategic business units, monitoring performance and ensuring the submission of financial statements and other financial information required for reporting purposes. The establishment of the Business Development Unit has further strengthened oversight of investee entities and will facilitate the collection of information required for related party reporting and disclosure purposes. Management is reviewing all investments and investee entities to ensure appropriate classification, disclosure and reporting in accordance with IPSAS 35 and IPSAS 38 requirements.

Processes are also being strengthened to facilitate the preparation of consolidated financial information and the maintenance of complete records of the City's investments.

1.3 Segment reporting

Finding

The Council did not disclose its segments contrary to IPSAS 18 - “Segment Reporting” paragraph 52 which requires the Council to disclose segments financial information.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS18.

Management response

Council has adopted the Government Chart of Accounts and is implementing the BIQ ERP system, both of which have been configured to capture financial information by Programme, Sub-Programme, Function, Region and Funding Source. This framework provides the foundation for segment reporting and will enable the preparation of segment-based financial information in accordance with IPSAS requirements. Management is also reviewing its financial reporting policies and disclosure frameworks to ensure that future financial statements incorporate the necessary segment reporting disclosures and analysis.

1.4 Property, plant and equipment

Finding

The Council did not revalue its assets in the last financial years despite operating in a hyperinflationary environment. This was contrary to IPSAS 17 - "Property, plant and equipment", paragraphs 44 and 49 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using fair value at the reporting date. In addition, the Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should revalue its assets and conduct impairment assessment to comply with IPSAS 45.

Management response

Management acknowledges the findings. The matters raised largely relate to historical challenges associated with maintaining property, plant and equipment (PPE) records through manual asset registers and limitations within the existing ERP environment which did not fully support integrated asset management processes. These challenges affected asset verification, valuation, reconciliation and reporting during the period under review. Management has since prioritised the strengthening of asset management processes through institutional, policy and system reforms aimed at improving the completeness, accuracy and reliability of PPE records and ensuring

compliance with IPSAS requirements. Council commenced a comprehensive asset verification and valuation exercise in 2024, which is currently nearing completion. The Finance Department has been restructured and a dedicated Asset Management Section established to strengthen asset accounting, asset monitoring and compliance with applicable reporting requirements. Council has also adopted an Asset Management Policy aligned with the Zimbabwe Financial Reporting Manual (ZFRM) to guide the acquisition, recording, safeguarding, valuation and disposal of assets. Upon completion of the asset verification and valuation exercise, management will update and reconcile asset registers to the general ledger and undertake impairment assessments where necessary. Council is implementing the BIQ Asset Management Module, which will provide an integrated asset management platform capable of supporting asset registration, valuation, depreciation, impairment reviews, disposals and reporting. The implementation of the asset module is expected to significantly strengthen asset management controls, improve the accuracy of asset records and enhance compliance with IPSAS reporting requirements.

1.5 Unsupported expenditure

Finding

The Council did not avail supporting documentation for transactions amounting to ZWL11.79 billion. As a result, I could not satisfy myself on the occurrence, completeness, accuracy and classification of expenses classified under repairs and maintenance, bulk purchases; and general expenses.

Risk/ Implication

Misstatement of financial statements.

Fraudulent transactions may go undetected.

Recommendation

The Council should ensure that all expenditure is supported by relevant documentation.

Management response

Management acknowledges the finding. The matters raised relate mainly to supporting documentation gaps and historical record management challenges that affected the availability of audit evidence during the period under review. Management has strengthened document management procedures and expenditure review controls to improve the completeness, retention and accessibility of supporting records. Reconciliations between procurement, stores, creditors and expenditure records are being enhanced to improve the accuracy and completeness of expenditure reporting. The implementation of the BIQ ERP system will provide integrated procurement, inventory, creditor and financial management functionality, strengthening expenditure controls and audit trails.

1.6 Payables

Finding

The Council had an unresolved variance of ZWL242.11 billion between the creditors control of ZWL298.69 billion and the balance disclosed in the financial statements of ZWL56.58 billion. In addition, the Council had a suspense account balance of ZWL13.40 billion included in payables. This was contrary to section 286 (1) of the Urban Councils Act [*Chapter 29:15*] which requires maintenance of proper books of accounts relating to the financial transactions of the Council.

Risk/ Implication

Misstatement of financial statements.

Fraud and errors may go undetected.

Recommendation

The Council should investigate and clear the variances and suspense balance.

Management response

Management acknowledges the finding. The matters raised largely relate to historical creditor reconciliation challenges, manual processing procedures and supporting documentation limitations during the period under review. Management is undertaking a review and reconciliation of creditor balances to ensure that supplier listings, creditor control accounts and supporting records are aligned. Supplier statement reconciliations and creditor reviews are being strengthened to improve the completeness, accuracy and reliability of accounts payable balances. The implementation of the BIQ ERP system will provide integrated procurement, creditor management and payment processing functionality, enabling automated reconciliations and strengthening controls over accounts payable and financial reporting.

1.7 Value Added Tax (VAT)

Finding

The Council was not recognising VAT at the transaction processing stage. As a result, the Council recognised a VAT provision of ZWL4.12 billion on outstanding gross receivables at year end. I was not availed with supporting documentation to verify the accuracy and completeness of the provision recognised in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Financial loss due to fines and penalties.

Recommendation

The Council should recognise VAT payable at the transaction processing stage.

Management response

Management acknowledges and agrees with the finding. The City Council recognises that VAT should be accounted for through appropriate VAT control and accrual accounts at the point of transaction processing, supported by adequate reconciliations and documentation. Management also acknowledges the need to strengthen VAT accounting processes and supporting records to ensure compliance with statutory and financial reporting requirements. Management has reviewed its VAT accounting processes and has incorporated the auditors' recommendations into the BIQ ERP implementation project. VAT accounting structures have been designed to ensure that VAT payable is recognised at the transaction processing stage through dedicated VAT control and accrual accounts, thereby eliminating the need for year-end VAT provisions. Management will strengthen VAT reconciliations, maintain adequate supporting documentation for all VAT balances and conduct periodic reviews of VAT accounts to ensure completeness, accuracy and compliance with ZIMRA requirements.

1.8 Inventory and biological assets

Finding

The Council recognised inventory amounting to ZWL275.71 billion. However, I was unable to verify the valuation of stock items on hand as at December 31, 2023, due to the absence of supporting documentation. I could not verify unit costs by alternative means.

In addition, Council recognised inventory from agricultural activities amounting to ZWL19 billion. However, the City Council did not value and disclose livestock at in accordance with IPSAS 27 - “Biological Assets” which requires biological assets to be measured at fair value less costs to sell.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should ensure that inventory is supported by valuation reports.

The Council should value and disclose biological assets at fair value less costs to sell.

Management response

Management acknowledges the findings. The matters raised relate mainly to historical inventory management practices, classification issues and system limitations that affected inventory valuation and reporting during the period under review. Management has since reviewed its inventories and biological asset accounting practices to ensure alignment with applicable IPSAS requirements and the Zimbabwe Financial Reporting Manual (ZFRM). Management has reclassified livestock from inventories to biological resources and has aligned the accounting treatment and

disclosures with the requirements of IPSAS 27. An Inventory Management Policy aligned to the Zimbabwe Financial Reporting Manual (ZFRM) has also been adopted to strengthen inventory management, valuation and reporting processes. Management continues to strengthen inventory record management, periodic stock verification procedures and supporting documentation controls. The implementation of enhanced inventory management processes and system improvements will further strengthen compliance with IPSAS 12 and IPSAS 27 requirements.

1.9 Investment property

Finding

The Council classified properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 – "Investment Property" paragraph 5 which requires properties that meet the definition criteria to be recognised as investment property. In addition, the Council used the cost model to value its investment properties in a hyperinflationary economic environment which makes the use of the cost model inappropriate.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should classify all properties that meet the definition criteria, as investment property.

Management response

Management acknowledges the finding and is undertaking measures to strengthen the identification, classification and valuation of investment properties in accordance with IPSAS 16 requirements. As part of the ongoing asset verification and valuation exercise commenced in 2024, management is reviewing the City Council's property portfolio to identify properties that meet the definition of investment property and to ensure that they are appropriately valued and disclosed in the financial statements. The establishment of the Asset Management Section and adoption of the Asset Management Policy aligned to the Zimbabwe Financial Reporting Manual (ZFRM) will further strengthen the management and reporting of investment properties.

1.10 Budget versus actual

Finding

The Council's Statement of Comparison of Budget and Actual Amounts for the year ended December 31, 2022, was based on revenue and expenditure amounts that were misstated. In addition, there were no explanations of material differences between the budgeted and actual amounts presented. This was contrary to IPSAS 24 - "Presentation of Budget Information" paragraph 14(c) which requires disclosure of explanations of material differences.

Risk/ Implication

Unreliable budget reporting

Reduced accountability due to misstated figures and lack of variance explanations

Misstatement of financial statements.

Recommendation

The Council should include explanations for significant variances between budgeted and actual amounts.

Management response

Management acknowledges the findings. The matters raised relate to the accuracy of the underlying revenue and expenditure information as well as the absence of detailed variance explanations in the Statement of Comparison of Budget and Actual Amounts. Management has strengthened budget monitoring and reporting processes through periodic budget performance reviews and variance analysis. Going forward, material budget variances will be analysed, documented and disclosed in the financial statements in accordance with IPSAS 24 requirements. The implementation of the Government Chart of Accounts and BIQ ERP system will strengthen budget-to-actual reporting, variance analysis and financial reporting accuracy.

1.11 Foreign exchange gains and losses

Finding

The Council did not recognise exchange gains on its foreign currency transactions except for foreign currency denominated loans. This was contrary to International Public Sector Accounting Standard (IPSAS) 4 – "The Effects of Changes in Foreign Exchange Rates", paragraph 32 which requires exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition to be recognised in surplus or deficit.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise foreign exchange gains or losses in the financial statements.

Management response

Management acknowledges the finding. The matters raised relate primarily to the manual processes used in identifying, monitoring and revaluing foreign currency denominated assets and liabilities, which affected the completeness of exchange rate gains and losses recognised during the period under review. Management is reviewing procedures for the identification and periodic revaluation of all foreign currency denominated assets and liabilities to ensure that exchange differences are

appropriately recognised and disclosed in the financial statements. The implementation of the BIQ ERP system will provide enhanced multi-currency functionality, enabling the automated monitoring, revaluation and reporting of foreign currency denominated transactions, assets and liabilities. This is expected to significantly improve the completeness, accuracy and reliability of foreign exchange reporting.

1.12 Cash and cash equivalents

Finding

The Council did not recognise bank balances of USD94 347 and ZWL0.61 million (2022: USD25 246 and ZWL17.28 million) for five (5) bank accounts in the financial statements. As a result, I was unable to satisfy myself on the accuracy and completeness of cash and cash equivalents disclosed in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Misappropriation of funds.

Recommendation

The Council should disclose all bank account balances in the financial statements.

Management response

Management acknowledges the finding. The bank accounts identified by the auditors largely relate to accounts that formed part of the City's bank account rationalisation exercise and were in the process of being closed during the period under review. Delays in the completion of closure processes by some financial institutions resulted in certain accounts remaining active and reflected in bank confirmations despite having been earmarked for closure. Management has established and continues to maintain a centralised bank account register for all accounts held in the City's name. The bank account rationalisation exercise is ongoing and management continues to engage the respective financial institutions to ensure the closure of redundant accounts and the regularisation of all remaining accounts. Periodic reviews of all bank accounts are being undertaken and monthly bank reconciliations are being performed and reviewed. The implementation of the BIQ ERP system will further strengthen bank account administration, reconciliation processes and cash management controls.

1.13 Related party disclosures

Finding

The Council did not include disclosures in the financial statements in respect of a loan receivable with a carrying amount of ZWL4.96 million advanced to a subsidiary. This was contrary to IPSAS 20 – “Related Party Disclosures” paragraph 27, which requires a reporting entity to disclose the nature of relationship, transactions that would have occurred and the significance of the transactions with a related party.

Risk/ Implication

Potential conflicts of interest

Non-arm's-length arrangements

Failure to disclose suggests weak governance controls and poor oversight by management and those charged with governance.

Lack of transparency may cover misappropriation or irregular financial support.

Misstatement of financial statements.

Recommendation

The Council should disclose all transactions with related parties.

Management response

Management has since reviewed the related party balances and incorporated the loan receivable from Harare Quarry (Private) Limited into the accounting records and financial reporting framework. In addition, procedures have been strengthened to ensure that related party transactions, balances and supporting documentation are identified, maintained and appropriately disclosed in the financial statements.

1.14 Going concern

Finding

The Council did not include disclosures in the financial statements to support the use of the going concern assumption. There was evidence of existence of a material uncertainty related to going concern as the Council's current liabilities of ZWL1.66 trillion exceeded its current assets of ZWL0.86 trillion by ZWL0.8 trillion and the Council was failing to service its foreign currency denominated loan with an outstanding balance of USD77.05 million.

Risk/ Implication

Misstatement of financial statements.

Sustainability of services may be compromised.

This might lead to deterioration in service quality

Interruption of operations, and

Loss of stakeholder confidence.

Recommendation

Council should adequate disclosures are included in the financial statements, clearly outlining any material uncertainties related to going concern and management's mitigation strategies.

Perform and document a formal going concern assessment supported by realistic assumptions and cash flow forecasts.

Management response

Management acknowledges the finding. Whilst the City continues to operate as a statutory local authority responsible for the provision of essential public services and has ongoing revenue generating capacity, management recognises the need to strengthen the formal assessment and documentation of going concern considerations in support of the financial statements. Management is strengthening its financial planning, liquidity monitoring and cash flow forecasting processes to support the formal assessment of going concern assumptions. Measures aimed at improving revenue collection, strengthening debt recovery, enhancing working capital management and improving financial sustainability are also being implemented. The implementation of the General Valuation Roll, establishment of the Debtors and Credit Control Section, and implementation of the BIQ ERP system are expected to strengthen revenue management, cash flow monitoring and financial reporting. Management will ensure that future financial statements are supported by a formal documented going concern assessment and appropriate disclosures.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Council recognised revenue amounting to ZWL3.17 trillion (2022: ZWL200.07 billion) from property tax, licenses and permits, grants and subsidies, exchange of goods, rendering of services, waste removal, rental income and other income. The Council did not maintain complete records for the revenue streams such as billing reports, properties database, businesses and shops database and lease records.

Risk/ Implication

Misstatement of financial statements.

Fraud and errors may not be detected.

Recommendation

The Council should maintain complete records of its revenue.

Management response

Management acknowledges the findings. The matters raised relate primarily to the availability of supporting information, historical database limitations and challenges in reconciling revenue information between legacy billing systems and financial records

for the period under audit. Management notes that significant progress has since been made through the implementation of the General Valuation Roll, ongoing customer database cleansing exercises, strengthening of revenue management processes and the implementation of the BIQ ERP system which is expected to improve integration between billing, receipting and financial reporting functions. The City Council has implemented the General Valuation Roll and continues with data cleansing and verification of customer information. Revenue databases are being reviewed and updated, whilst the BIQ ERP implementation and Government Chart of Accounts project will strengthen revenue reporting, reconciliations and audit trails. Management will continue enhancing revenue assurance processes, lease management controls and periodic reconciliations between billing systems and financial records.

2.2 Receivables

Finding

The Council had an unresolved variance of ZWL17.87 billion between the gross receivables age analysis balance of ZWL124.25 billion and the balance in the financial statements of ZWL142.12 billion. As a result, I could not satisfy myself on the valuation of the receivables balance recognised in the financial statements.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should investigate and clear the variances noted.

Management response

Management acknowledges the findings. The matters raised largely relate to historical receivable balances, debtor reconciliation challenges and limitations in supporting information arising from legacy system constraints. Management has since undertaken various initiatives to strengthen debtor management, improve the quality of receivable records and enhance compliance with IPSAS reporting requirements. The Revenue Division has been restructured to strengthen revenue management and debt recovery functions, including the establishment of a dedicated Debtors and Credit Control Section responsible for debtor monitoring, debt recovery and revenue assurance activities. Management has implemented the General Valuation Roll and continues with customer database cleansing and validation exercises to improve the completeness and accuracy of billing information. Ongoing debtor reconciliation exercises, customer database cleansing and revenue management improvements are being undertaken to improve the quality and accuracy of the underlying receivables information used in impairment assessments. Management will continue enhancing debtor recovery processes, periodic reconciliations and financial statement disclosures.

3. EMPLOYMENT COSTS

3.1 Payroll costs

Finding

The Council recognised employment costs amounting to ZWL637.81 billion (2022: ZWL53.48 billion) which was not supported by underlying payroll records. This was contrary to section 286 (1) of the Urban Councils Act [*Chapter 29:15*] which requires maintenance of proper books of accounts relating to the financial transactions of the Council.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should support employment costs with the relevant records.

Management response

Management acknowledges the finding. The matters raised largely relate to system integration limitations between the payroll and financial management systems, manual payroll reconciliation processes and challenges associated with the calculation of employee obligations during the period under review.

3.2 Leave pay provision

Finding

The Council recognised leave pay provision of ZWL4.14 billion. However, management used a flat rate of 10% of the total salary bill to calculate the leave pay provision as at December 31, 2022. This was contrary to IPSAS 19 – "Provisions, Contingent Liabilities and Contingent Assets" paragraph 44 which require a provision to be a best estimate of the amount required to settle an obligation at reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should calculate leave pay provisions using actual accrued leave days and salary rates at year end.

Management response

The Council is currently undertaking a leave days' verification and records cleansing exercise to improve the accuracy and completeness of employee leave records in preparation for migration to the new ERP environment. The implementation of the BIQ ERP system will provide an integrated payroll and leave management module,

eliminating the need for manual payroll journal transfers and enabling the automated calculation, monitoring and reporting of employee obligations. This is expected to significantly strengthen payroll controls, employee obligation reporting and financial statement disclosures.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 annual report. I raised twenty-five (25) findings, two (2) findings were partially addressed and twenty-three (23) were not addressed as indicated below;

4.1 Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

4.2 Cash and bank

The finding was partially addressed. The Council was not performing reconciliations for all bank accounts.

4.3 Current liabilities

The finding was not addressed. The Council did not have documents to support payables figure.

4.4 Impairment of assets

The finding was not addressed. The Council did not assess its assets for impairment.

4.5 Related parties disclosures

The finding was not addressed. The Council did not make disclosures for related parties.

4.6 Revenue

The finding was not addressed. The Council did not have supporting documents for revenue recognized.

4.7 Employment costs

The finding was not addressed. The payroll figures recognised were not supported by underlying records.

4.8 Opening balances

The finding was not addressed. The Council did not restate comparative figures to correct prior year misstatements.

4.9 Foreign exchange gains and losses

The finding was not addressed. The Council did not account for foreign exchange gains and losses.

4.10 Consolidated financial statements

The finding was not addressed. The Council did not consolidate its subsidiaries.

4.11 Segment information

The finding was not addressed. The Council did not disclose segment information.

4.12 Allowance for credit loss.

The finding was partially addressed. The Council adopted a credit management policy. However, the assumptions and methods used were not disclosed.

4.13 Provisions and contingent liabilities

The finding was not addressed. The Council did not disclose a note on contingent liabilities.

4.14 Dividend income

The finding was not addressed. Documents supporting dividends income were not availed.

4.15 Other income

The finding was not addressed. Documents supporting land sales such as agreements were not availed.

4.16 Leave pay provision

The finding was not addressed. The Council did not avail leave pay schedules.

4.17 Financial statements not supported by underlying records

The finding was not addressed. The Council's asset register was not updated and validated.

4.18 Investment property

The finding was not addressed. The Council did not disclose the fair value of its investment property as required by IPSAS 16.

4.19 Inventory and biological assets

The finding was not addressed. Council did not account for its inventory in line with IPSAS 12 - "Inventories and IPSAS 27 - "Agriculture".

4.20 Prepayments

The finding was not addressed. The Council did not maintain proper records on prepayments.

4.21 Borrowings

The finding was not addressed. The Council did not maintain proper records of its borrowings.

4.22 Deferred grant

The finding was not addressed. Council did not maintain appropriate records of its deferred grant.

4.23 Equity/ net assets

The finding was not addressed. Council records to Equity / net assets are still inaccurate.

4.24 BIQ system

The finding was not addressed. Council is yet to comply with section 45 of the Public Finance Management Act [*Chapter 22:19*].

4.25 Disaster recovery and business continuity

The finding was not addressed. The Council is yet to establish an offsite disaster recovery site.

I have audited the financial statements of Kwekwe City Council for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Kwekwe City Council as at December 31, 2023 and its financial performance and its cashflows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-cash Generating Assets"

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. In addition, the Council did not assess its assets for indicators of impairment contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment for indicators of impairment at each reporting date. Had the Council recognised infrastructure assets and assessed its assets for impairment, the financial statements would have been materially different.

ii. Inventories

The Council was not updating stands inventory records. As a result, thirty (30) stands sold, and twenty-eight (28) stands under lease were still appearing as available for sale. Consequently, I was unable to satisfy myself on the existence and valuation of the inventory amounting to ZWL225.1 billion reported in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise the revenue, expenses, liabilities and assets of its five (5) Schools in the financial statements. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment the revenue, expenses, liabilities and assets. Had the Council complied with IPSAS 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Stands inventory

Finding

The Council was not updating stands inventory records. As a result, thirty (30) stands sold, and twenty-eight (28) stands under lease were still appearing as available for sale. This was contrary to Section 42 of the Public Finance Management Act [*Chapter 22:19*], which requires the Council to ensure protection of public assets and records.

Risk/ Implication

Fraud and error may go undetected.

Recommendation

Management should update the stands inventory records.

Management response

Physical verification and reconciliation of stands available for sale in line with IPSAS 12 have commenced and will be conducted on an annual basis going forward during the year end stock takes. The processes are also underway to ensure that all transactions relating to stands available for sale are timeously captured by the Planning Section as well as the Housing and the Principal Committee Officer to improve accuracy and completeness of records.

1.2 Accounting for schools

Finding

The Council did not recognise revenue, expenses and liabilities of its five (5) Schools in its jurisdiction. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

Council should recognise its Schools in the financial statements.

Management response

Delays in consolidation were due to some schools' failure to provide the financials. To address this matter, Council has seconded an Accountant to specifically conclude the outstanding School financial statements. Once these are completed, the accounts will be consolidated with those of Council in the next financial year. Council maintains that this is a timing and administrative matter and corrective action is already in progress to ensure full compliance going forward.

1.3 Property, plant and equipment

Finding

The Council did not value and recognise infrastructure assets such as roads, sewer pipes, water pipes and streetlights in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. In addition, the Council did not assess its assets for indicators of impairment contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment of assets for indicators of impairment at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should recognise its infrastructure assets and should assess its assets for impairment at the end of each reporting period.

Management response

Recommendations have been noted for implementation. Management further note that the procurement process for the valuation of assets is already at an advanced stage. The tender had previously failed several times due to non-responsive bidders. However, the process has since been re-initiated in line with procurement regulations. Council remains committed to finalising the engagement of a professional valuer to ensure accurate and compliant asset valuations.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not significant make progress in addressing audit findings that I raised in my 2024 report. I raised three (3) audit findings, one (1) finding was addressed and two (2) findings were not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. Infrastructure assets were not included in the financial statements.

2.2 Procurement of ambulance

The finding was addressed. The ambulance was delivered.

2.3 Remittance of statutory deductions

The finding was not addressed. The Council is not up to date with payment of statutory obligations.

I have audited the financial statements of Masvingo City Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Masvingo City Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47- "Revenue"

The Council recognised business licence revenue for the year ended December 31, 2025, amounting to ZWG31.3 million in the period ending December 31, 2024. This was contrary to IPSAS 47 - "Revenue" paragraph 7 which requires transactions to be recognised when they occur and not on actual receipt. Had Council recognised business licence revenue in the correct period, the revenue disclosed would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council classified its Eastvale flats which are rented out for residential use as investment property. However, the Council was renting out the family flats and Bachelor's flats below the market rates. This was contrary to IPSAS 16 - "Investment Property" paragraph 13 (f) which requires recognition of properties being rented out for amounts below market rates as property, plant and equipment. Had the Council recognised these flats as property, plant and equipment, the balance of investment property and property, plant and equipment would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48, which requires the useful lives of assets to be reviewed at each reporting date. As a result, the carrying amount of transport equipment did not reflect the physical condition of the assets. Had the Council reviewed the useful lives of its assets, the financial statements would have been different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Sale of stands to Councillors

Finding

The Council sold stands to seven (7) of its Councillors for a total of USD94 001 for the year under review. However, there was no evidence that the Councillors were making payments as there were no invoices, sale agreements, or accounts opened in the PROMUN system to facilitate their monthly instalments. This was contrary to Ministry of Local Government and Public Works Circular Number 12/2020 (Councillors allowance and perks) paragraph 4.1 which requires Local Authorities to offer stands to Councillors on a lease with the option to purchase with payments made in equal monthly instalments and completed before the end of the term of office.

Risk/ Implication

Financial loss due to non-payment.

Recommendation

The Council should comply with Circular No.12 of 2020 Councillors allowance.

Management response

Noted. The offer of stands to Councillors under Circular Number 12/2020 was done in line with Council's procedure, whereupon stands are allocated on a 'provisional' basis with a sale deemed to have materialised upon payment of first deposit by the client. However, in this case the councillors did not respond in time, hence, the delays in creation of accounts in the PROMUN System and signing of sale agreements as observed by audit. In future, Council will consider applying a different policy for Councillors' condition of service stands since we appreciate that the chances of withdrawing the offers are limited hence accounts creation as well as the signing of sale agreements would be done upon offer. Management has engaged the respective Councillors to submit payment plans that ensure that the stands are fully paid up by the end of their term. The payment plans will provide a basis for opening of accounts and follow up on payments.

1.2 Investment property

Finding

The Council classified its Eastvale flats which are rented out for residential use as investment property under IPSAS 16 – "Investment Property". However, the Council was renting out the family flats and Bachelor's flats below the market rates. This was contrary to IPSAS 16 paragraph 13 (f) which requires recognition of properties being rented out for amounts below market rates as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should review the rentals to align with market rentals and business model.

Management response

Noted. Management still opines that the classification of the Eastvale flats as Investment property is still in order. However, we need to improve our rental review processes to ensure that we keep up with the market.

1.3 Property, plant and equipment

Finding

The Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48, which requires the useful lives of assets to be reviewed at each reporting date. As a result, the amount of transport equipment carried at ZWG 169 million did not reflect the physical condition of the assets.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should revalue its assets to ensure carrying amounts do not differ materially from fair values.

Management response

Noted. Management has constituted a taskforce comprising of valuers, engineers and accountants to undertake the process of re-estimating remaining useful lives. Thus, for the 2026 financial year and beyond, Council will be able to revalue its assets in line with the requirements of IPSAS 45 - "Property, Plant and Equipment".

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Accounting for business licenses

Finding

The Council recognised receipts amounting to ZWG31.3 million received between October and December as business license revenue for the year 2024. However, these receipts were for the period beginning January 2025. This was contrary to IPSAS 47 - "Revenue" paragraph 7 which requires transactions to be recognised when they occur and not on actual receipt.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise revenue in line with IPSAS 47 and implement appropriate cut off procedures.

Management response

It has been Council practice to account for business licence fees on a cash basis. This position is informed by the fact that business licences are on-demand service, and the clients are not refunded the fees even if they close their businesses before the expiry of the licence, the licence is also not transferable to another premise or individual making tracing of accruals and prepayments nearly impracticable. Considering renewals made in the year preceding the year of the licence, management had considered that the amounts would nearly off-set, for example 2024 renewals done in 2023 would almost cancel out with 2025 renewals done in 2024, hence there will not be a material difference on the revenue recognized.

3. MANAGEMENT OF ASSETS

3.1 Beerhalls

Finding

The Council was not conducting routine inspections to its leased beerhalls. As a result, the tenants partitioned the leased beerhalls into smaller sub-units and sublet the premises to other operators at Farai Beerhall. I was not provided with any written consent authorising these structural alterations. This was contrary to clause 6.6 of the lease agreements, which prohibits structural alterations without prior written consent from the lessor and Clause 5.1 of the lease agreements requires the properties to be used solely for liquor and leisure activities and should not be sublet.

Risk/ Implication

Damage or misuse of public assets.

Recommendation

Management should make routine inspections on leased properties and ensure that Beerhalls are being used for intended purposes.

Management response

Farai beerhall was partitioned by the tenant without authority. The lease agreement states that if a tenant is to make any structural changes, this has to be sanctioned by the lessor. Unfortunately, this was not the case. In pursuit of this anomaly, the tenant approached Council in retrospect in a bid to regularise the illegal partitions. As a stop gap measure, Council Management agreed to regularise the partitions on condition that the partitions are temporary and that no structural changes are done to the main building. It was also made clear that no subletting of the property should be done. The property section that was partitioned was very idle. However, the fact that the partitions added value to the property does not mean that Council has sanitized them.

4. SERVICE DELIVERY

4.1 Rujeko Markets

Finding

The ablution and water facilities at Rujeko A and B markets were not functional. This was contrary to the Public Health Act [*Chapter* 15:09] and Council's service delivery mandate require provision of safe, clean, and accessible water and sanitation facilities in all public markets.

In addition, market structures were dilapidated and were not being maintained. This was contrary to Council's service delivery mandate and Section 152 of the Urban Councils Act [*Chapter* 29:15], which requires Councils to be responsible for providing and maintaining adequate market infrastructure and to ensure safe and orderly trading environments.

Risk/ Implication

Compromise of service delivery.

Recommendation

Council should maintain it market stalls and repair its non-functional public toilets.

Management response

Noted. Council will include the construction of ablution facilities and markets upgrading in the 2026 Council Budget.

4.2 Clinics

Finding

The Councils Runyararo and Runyararo West clinics had no incinerators for the disposal of medical waste. As a result, the Council was relying on Provincial hospital for disposal services. This was contrary to section 25 of the Second Schedule of the Urban Councils Act [*Chapter 29:19*] which requires the Council to provide facilities necessary for the maintenance of health.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should construct incinerators at its clinics.

Management response

Noted. Council will budget for the construction of an incinerator at North West Medical clinic in the 2026 Council Budget.

4.3 Hot-sitting arrangement

Finding

Runyararo primary school has 25 classrooms against the required 43 classes from ECD A to Grade 7. As a result, the School operated a hot sitting system, whereby some learners attend lessons in the morning and others in the afternoon, as the School could not accommodate all learners at the same time. This was due to inadequate planning and budgeting for classroom infrastructure, resulting in delayed development that did not keep pace with enrolment growth. This was contrary to Section 3.8.2 of the School Development Committee (SDC) Handbook Manual, which requires the School to provide adequate infrastructure to accommodate all learners.

Risk/ Implication

Service delivery is compromised.

Recommendation

The School should build additional classrooms or facilities to accommodate all students.

Management response

Management acknowledges this challenge. The hot sitting system has arisen due to high enrolment against limited infrastructure. The School has engaged the Ministry of Primary and Secondary Education and the City Council for support in constructing additional classrooms. Meanwhile, efforts are being made through the School Development Committee to mobilise resources for infrastructure expansion.

5. PROGRESS IN ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2024 report. I raised fifteen (15) findings, seven (7) were addressed, one (1) was partially addressed and seven (7) were not addressed as indicated below.

5.1 Service rebates for Councillors

The finding was partially addressed. Council sought ministerial approval and awaiting the authorisation.

5.2 Donations of drugs

The finding was addressed. The Council recognised drug donation in the financial statements.

5.3 Stands inventory

The finding was addressed. The Council recognised stands inventory.

5.4 Procurement of Prado VX-L

The finding was not addressed. The Council procured the vehicle at a price above ministerial approval by not seeking condonation.

5.5 Evaluation of tenders

The finding was addressed. There were no issues observed for the period under review.

5.6 Non-revenue water

The finding was not addressed. The water loss was still high.

5.7 Taxation

The finding was not addressed. Council did not tax prior years benefits on disposed motor vehicles.

5.8 Recruitment of Senior Internal Auditor

The finding was addressed. Council did a job revaluation and that post was excluded on the Organogram.

5.9 Overpayment of lot 2 works-roads rehabilitation

The finding was not addressed. The Council did not recover the overpaid amount of ZWL 2 561 445.

5.10 Maintenance of stands register

The finding was addressed. The Council recognised stands inventory.

5.11 Health services provisions

The finding was addressed. The Council engaged a provincial medical doctor who operate on request for specific patients.

5.12 Useful lives of assets

The finding was not addressed. The Council still did not assess useful lives of assets.

5.13 Investment property

The finding was addressed. The Council employed an estate valuer who is now doing the valuations of assets including investment property.

5.14 Recognition of business licenses

The finding was not addressed. The Council recognised business licenses on cash basis.

5.15 Delivery of procured goods

The finding was not addressed. The pick-up truck, new starter for a fire tender and dozer sent for repairs were still not delivered.

I have audited the consolidated financial statements of Mutare City Council and its subsidiary for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of matters described in the Basis for Qualified Opinion section of my report, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Mutare City Council and its subsidiary ("the Group") as at December 31, 2024, and of its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Group did not carry out an assessment of the residual values and useful lives of its property, plant and equipment disclosed at a carrying amount of ZWG35.74 billion. This was contrary to IPSAS 45 – "Property, Plant, and Equipment" paragraph 48 that requires the residual value and the useful life of an asset to be reviewed at least at each reporting date. Had an assessment of residual values and useful lives been performed, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Group did not disclose the fair values of its investment property. This was contrary to IPSAS 16 – "Investment Property" paragraph 90(e) which requires the Council to disclose the fair value of investment property. Had the Council disclosed fair values of investment property, the carrying amounts would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not assess the residual values and useful lives of its property, plant and equipment disclosed in the financial statements at a carrying amount of ZWG35.74 billion. This was contrary to IPSAS 45 – "Property, Plant, and Equipment" paragraph 48 that requires the residual value and the useful life of an asset to be reviewed at least at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should assess the residual values and useful lives of its property, plant and equipment at each reporting date.

Management response

Noted. The residual values of Council assets were adjusted to match those in ZFRM and assessment of useful lives was done for the year 2023.

1.2 Investment property

Finding

The Council did not disclose the fair values of its investment property. This was contrary to IPSAS 16 – "Investment Property" paragraph 90(e) which requires the fair value of investment property to be disclosed.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose the fair values of its investment properties in accordance with IPSAS 16 – "Investment Property".

Management response

Noted, Council could not come up with the fair value of the investment property because of cost implications since Council had revalued all assets in 2023. Management will rectify the issue.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Market stalls

Finding

The Council did not maintain lease agreements register for one thousand eight hundred and thirty-one (1 831) market stalls. This was contrary to section 11.6 of the Council's informal sector policy, which requires all traders to acquire a trading permit or to have a lease agreement with the Council.

Risk/ Implication

Financial loss due irregular transactions.

Recommendation

All Council market traders should have permits or lease agreements.

Management response

There were traders who operated without permits during the period under review. Permits were issued to those who have cleared the outstanding balance or on payment plan. Eighty hundred (800) notice of repossession were issued and the issuing of notices is an ongoing exercise starting with large amounts.

2.2 Business licences

Finding

Council issued a single trading license valued at USD1 200 to Central Park Mall, housing multiple independent business operators. The business operators included clothing and spare parts and phone shops with actual tariffs of ZWG539.97 and ZWG410 respectively. This was contrary to the requirements of the Shop Licences Act [*Chapter 14:17*] section 21 which requires a licensing authority to issue a separate licence in respect of each shop, store or other fixed place of business. Each operator should have obtained a separate shop licence, and the estimated potential revenue loss to the Council was USD 3090.

Risk/ Implication

Loss of revenue due to fraud and or error.

Recommendation

Council should issue a separate trading license to each business operator in line with Shop License Act.

Management response

Issuance of single trading license (USD 1 200) was an administrative error done by Council employee. The business operators were not liable to pay for Council error. However, this has been rectified in 2025 when the issue was discovered. Each individual was made to apply for separate licence and subsequent licence fees were paid. The department had no senior staff and current recruitments will improve the supervisory framework on all operations.

3. EMPLOYMENT COSTS

3.1 Employees living conditions

Finding

The Council staff houses at Odzani water treatment plant were in a state of dis-repair with broken windows, unlockable doors and makeshift wiring of sockets (loose plugs and outlets). The employees were sharing two employees per room. In addition, four (4) old ablution facilities with the pour flash squat toilet being shared by the whole compound and sewage was overflowing. This was contrary to section 6 of the Labour Act [Chapter 28:01] which requires that no employer shall require any employee to work under any conditions or situations which are below those prescribed by law or by the conventional practice of the occupation for the protection of such employee's health or safety.

Risk/ Implication

Health and safety of employees may be compromised.

Recommendation

Council should improve the living conditions of its staff houses.

Management response

The observation is noted. The Safety, Health, and Environment (SHE) officers will work closely with the relevant departments to ensure that immediate health and safety risks are mitigated, and that sustainable improvements are implemented. Council remains committed to improving employee welfare and ensuring a safe and dignified living and working environments for all its staff. Council is in the process of renovating council buildings.

4. SERVICE DELIVERY

4.1 Landfill

Finding

The Council did not have an approved landfill for proper solid waste management. This was contrary to Environmental Management Act [*Chapter 20:27*], (Effluent and Solid Waste Management) Regulations, 2007 which requires Council to have an approved landfill.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should have an approved landfill.

Management response

Council is working to strengthening recycling which can significantly reduce waste for final disposal while working towards compliance with the Environmental Management Act [Chapter 20:27].

5.1 Hot – sitting

Finding

The Chirovakamwe Primary School had a total enrolment of two thousand and sixty – two (2 062) for the year under review. However, the School did not have enough classrooms as six hundred and fifty – seven (657) students were learning under hot sitting conditions (outside classrooms). There was no evidence of a plan or budget for the construction of extra classrooms to accommodate these learners.

Risk/ Implication

Compromised service delivery.

Recommendation

The School should plan and budget for the construction of extra classrooms.

Management response

Students learning under hot sitting conditions are 657. The school is planning to build classrooms.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations raised in my previous audit report. I raised thirteen (13) audit findings, four (4) were addressed, five (5) were partially addressed and four (4) were not addressed as indicated below;

6.1 Gimboki sewer plant

The finding was partially addressed. The scoping for fencing was done and works budgeted for in the 2024 budget. The sewer plant is now being manned by security.

6.2 Clinics

The finding was partially addressed. The Council is in the process of renovating all clinics.

6.3 Asset management register

The finding was addressed. The Council now has an asset register.

6.4 Vehicle registration

The finding was partially addressed. The three (3) vehicles were still not registered in Council's name.

6.5 Procurement of vehicles

The finding was partially addressed. Council managed to recover ZWL$39 860.

6.6 Water losses

The finding was not addressed. Water losses were still high.

6.7 Bulky water meters

The finding was not addressed. The Council did not have bulky water meters.

6.8 Matida flat and Mcgregors hostels

The finding was not addressed. The rented properties did not have adequate water supply.

6.9 Meter replacement

The finding was partially addressed. The standard operating procedures (SOP) for faulty water meter replacement by customers was put in place and tender was concluded for procurement of water meters.

6.10 Opening balances

The finding was addressed. The Schools submitted financial statements and the opening balances were corrected.

6.11 Incomplete records

The finding was addressed. Adequate accounting records such as ledgers for payables and receivables were put in place.

6.12 Contract management

The finding was addressed. An addendum to the contract was signed.

6.13 Street lighting

The finding was not addressed. The Council still have non-functional streetlights.

I have audited the financial statements of Victoria Falls City Council for the year ended December 31, 2024 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Victoria Falls City Council as at December 31, 2024, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not recognize five (5) buildings that were rented out to tenants. This was contrary to IPSAS 16 – "Investment Property" paragraph 20, which requires buildings rented out to be recognized as investment property. Had the Council recognized the five (5) buildings, the carrying amount of the investment properties would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Estate funds

Finding

The Council utilised funds from Estate Account amounting to US$114 598 to fund the procurement of mayoral motor vehicle contrary to section 300 (2) of the Urban Councils Act [*Chapter 29:15*] which requires Estate funds to be utilized for estate capital expenditure.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should ring fence estates funds for the intended purposes.

Management response

Noted. Council will start repayments of the funds in October 2025. Cash flows were affected by rate payers' unwillingness to pay Council in USD.

1.2 Investment property

Finding

The Council did not recognize five (5) buildings that were rented out to tenants. This was contrary to IPSAS 16 - “Investment Property” paragraph 20, which requires that buildings rented out to be recognized as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognize all its investment property.

Management response

The Council will include all its investment properties in its assessment of fair value in the 2025 financial statements.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Water meters

Finding

The Council billed 3.5 million out of the 5.5 million litres of water produced during the year resulting in a 37% loss of treated water. The percentage of water loss was above the world standard non-revenue water loss of 25%.

In addition, Council had 2 337 non-functional water meters out of a total of 7 510 meters. As a result, water consumers with non-functional meters were being charged estimated fixed rate as it was difficult to ascertain the variable element.

Risk/ Implication

Financial loss due to non-revenue water.

Recommendation

Council should replace non-functional water meters with functional water meters.

Management response

The water distribution system is old. Sometimes sand affects the water meters and even if they are replaced, they do not last. We are investigating the causes of non-water revenue to come up with strategies to reduce water losses.

3. EMPLOYMENT COSTS

3.1 Taxation of benefits

Finding

The Council granted seventy- five percent (75%) discount to its employees on the purchase of stands under the B100 scheme in line with Council resolution number three (3) of 2008. The benefit was processed outside the Council's payroll system and this resulted in the benefit not being taxed. In addition, the Council provided airtime allowances and fuel for managers, which were not being taxed. No records were being maintained to distinguish between business and personal fuel usage. This was contrary to Income Tax Act [Chapter 23:06] Section 8(f) which requires these defined benefits to be subjected to income tax.

Risk/ Implication

Financial loss due to penalties and fines.

Recommendation

All employee benefits should be processed through the payroll and taxed accordingly.

Management response

Council notes the observation and modalities will be set to consider taxation of land sale benefits to employees.

Airtime allowances were taxed from January 2025. The fuel benefit taxation will be corrected going forward.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised four (4) findings, three (3) were addressed and one (1) was partially addressed as indicated below;

4.1 Opening balances

The finding was addressed. Council submitted schools for audit.

4.2 Incomplete records

The finding was addressed. The Council Schools accounting systems and procedures were aligned to the International Public Sector Accounting Standards.

4.3 Contract management

The finding was addressed. The addendum was signed with the Supplier to comply with Public Procurement and Disposal of Public Asset Act.

4.4 Street lighting

The finding was partially addressed. There is an ongoing repair program for streetlights. However, there are funding constraints, which is affecting the repair program.

MUNICIPALITIES

I have audited the financial statements of Chegutu Municipality for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chegutu Municipality as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Opening balances

The Municipality did not recognise its share of interest in the joint arrangement which wound up in the year 2022. Despite the Municipality obtaining the financial statements of the joint arrangement in 2024, residual interest was not determined therefore no adjustments were made to the opening balances of the financial statements to recognize the interest. This was contrary to International Public Sector Accounting Standard (IPSAS) 36 - "Investments in Associates and Joint Ventures" paragraph 26 which requires Council to recognise the retained interest in the former joint venture. Had interest in the joint arrangement been included, financial statements could be materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Municipality did not carry out an assessment of the residual values and review useful lives of its property, plant and equipment contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the residual values and useful lives of assets to be assessed at least at each reporting date. In addition, the Municipality did not perform an impairment assessment on its property, plant and equipment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26 which requires that an assessment at each reporting date whether there is any indication that an asset may be impaired. Had the Municipality assessed useful lives, and performed an impairment assessment of its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47- Revenue"

The Municipality did not invoice USD 61 203 in respect of sixty (60) billboards out of eighty-nine (89) billboards and stand sales were recognised on cash basis. This was contrary to IPSAS 47 - "Revenue" which requires recognition of revenue when it is earned, not when cash is received. In addition, the billing system was not configured to account for Value Added Tax (VAT) separately when posting to the general ledger. As a result, business licenses, land sales and health inspection fees revenue were recognised in the financial statements inclusive of Value Added Tax (VAT). Had the Municipality recognised revenue on accruals basis and Value Added Tax (VAT) from revenue separately disclosed, the financial statements would have been materially different.

iv. Unallocated deposits

Included in current liabilities were unallocated deposits of ZWG29.4 million which could not be posted to the respective client accounts due to absence of customer details. I therefore could not ascertain the accuracy of payables, revenue and receivables disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment valuation

Finding

The Municipality did not carry out an assessment of the residual values and review useful lives of the property, plant and equipment contrary to IPSAS 45 - “Property, Plant and Equipment” which requires the residual values and useful lives of assets to be assessed at least at each reporting date. In addition, the Municipality did not perform an impairment assessment on its property, plant and equipment despite evidence of non-functional transport equipment. This was contrary to IPSAS 21- “Impairment of Non-Cash Generating Assets” paragraph 26 which requires tan entity to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should conduct impairment assessments and assess useful lives and residual values of assets.

Management response

Noted. This will be done.

1.2 Bank reconciliations

Finding

The Municipality delayed performing and review of bank reconciliation statements in 2024 due to delays in conversion process that was done in the system from May 2024 from ZWL to ZWG. A review of the bank reconciliation statements revealed that ten (10) bank reconciliations were performed and reviewed in 2025. This was contrary to the Municipality’s Standard Operating Procedures Manual section 6 which requires bank reconciliations to be performed monthly to detect anomalies timely.

Risk/ Implication

Fraud and errors may not be detected on time.

Recommendation

The Municipality should prepare and review bank reconciliation statements monthly.

Management response

The observation has been noted. Bank reconciliation statements were delayed because of the conversion process that was done in the system from May 2024 from ZWL to ZWG. This took longer to be completed. We have a target to clear the backlog by mid-December 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Municipality recognised stand sales on cash basis for the period May to December 2024. As a result, revenue and receivables which accrued during the same period were not recognised in the financial statements. This was contrary to IPSAS 47 - "Revenue" paragraph 56 which requires revenue to be recognised when the conditions of the binding arrangement have been met. In addition, the billing system was not configured to account for Value Added Tax (VAT) separately when posting to the general ledger. As a result, business licenses, land sales income and health inspection fees revenue were recognised in the financial statements inclusive of Value Added Tax (VAT).

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should recognise revenue on accrual basis.

The Municipality should engage the service provider to rectify the configuration challenges.

Management response

Noted. Revenue from stand sales shall be recognised in the year when the stands are sold. The billing system is currently being upgraded to enable multicurrency and to separate VAT.

2.2 Billboard revenue

Finding

The Municipality did not invoice USD 61 203 in respect of sixty (60) billboards out of eighty-nine (89) billboards in its jurisdiction. This was contrary to the Public Finance Management Act [*Chapter* 22:19] section 44(1)(b)(i) which requires the accounting authority to take effective and appropriate steps to collect all revenue due to the public entity.

Risk/ Implication

Financial loss due to non-billing and collection of billboard fees.

Misstatement of financial statements.

Recommendation

The Municipality should invoice all billboards within its jurisdiction and accrue the revenue.

Management response

The recommendation has been noted. In 2025 we managed to come up with a database for all billboards, and the invoicing will be done.

2.3 Unallocated deposits

Finding

The Municipality had unallocated deposits of ZWG29.4 million which could not be posted to the respective client accounts due to absence of customer details. This was contrary to Public Finance Management Act [*Chapter 22:19*] section 44 (1) (a) which requires accounting authorities to establish and maintain effective, efficient and transparent systems of risk management and internal controls.

Risk/ Implication

Financial loss due to misappropriation of funds.

Misstatement of financial statements.

Recommendation

The Municipality should engage its bankers and ratepayers to include sufficient details when making deposits.

Management response

Noted. We will engage our banks, ratepayers and clients to provide enough information to minimize unallocated deposits.

3. MANAGEMENT OF ASSETS

3.1 Registration of motor vehicles

Finding

The Municipality did not register four (4) motor vehicles acquired during the year ended December 31, 2024, within the stipulated timeframe. This was contrary to the Vehicle Registration and Licencing Act [*Chapter* 13:14] which requires vehicles to be registered within fourteen (14) days from the date of acquisition.

Risk / Implication

Misappropriation of assets.

Recommendation

The Municipality should register all acquired vehicles in its name within the stipulated timelines.

Management response

Noted. The Red Lion Fire Tender was procured through the Ministry of Local Government and Public Works. There were delays in accessing relevant documents needed for registration purposes. For the Quantum Ambulance, New Holland Tractor and Tractor drawn skip bin trailer, there were also delays in processing registration on the part of suppliers of the vehicles. We are putting efforts to ensure the vehicles are registered.

4. SERVICE DELIVERY ISSUES

4.1 Water provision

Finding

The Municipality did not adhere to routine maintenance of its water treatment plant. As a result, two water pumps, clarifier and one filter bed were non-functional leading to compromised water treatment capacity and erratic water supply to residents. In addition, the Municipality water treatment statistics showed that 2 329 mega litres of water was treated and distributed for the year ended December 31, 2024. However, 1 125 mega litres was billed resulting in 1 204 (52%) being non-revenue water which was above the globally acceptable non-revenue water of 25%.

Risk/ Implication

Service delivery may be compromised.

Financial loss due to non-revenue water.

Recommendation

The Municipality should carry out routine maintenance and repair of its water treatment plant equipment.

The Municipality should consider replacing/ rehabilitating its water infrastructure.

Management response

Noted. Rehabilitation of the water infrastructure is on-going. Council is in the process of resuscitating the other pump set at the water treatment plant. Council has taken a decision to introduce prepaid water meters to reduce non-revenue water.

4.2 Sewer management

Finding

The Municipality's sewer infrastructure was aged, and its capacity was no longer sustaining the growing population resulting in persistent blockages in Wards 4, 9, 6 and 7. This led to spillages of raw sewerage into nearby rivers.

Risk/ Implication

Health hazards due to contamination of rivers that supply residential areas.

Financial loss due to fines and penalties.

Recommendation

The Municipality should upgrade its sewer system in line with the growing population.

Management response

Noted. Rehabilitation and upgrading of the sewer network were ongoing and the project will be prioritized.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2024 report. I raised nineteen (19) findings, seven (7) were addressed, one (1) was partially addressed and eleven (11) were not addressed as indicated below;

5.1 Taxation of termination benefits

The finding was addressed. The Municipality is now calculating tax using correct tax rates.

5.2 Assessment of useful life

The finding was not addressed. The Municipality did not assess the useful lives of its assets.

5.3 Joint venture interest

The finding was not addressed. The Municipality was yet to account for residual interest in the joint venture.

5.4 Taxation

The finding was not addressed. The Municipality did not tax the benefits to its employees for the stands allocated before.

5.5 Accounting for donations

The finding was not addressed. The Municipality did not have donations register in place to account for donations in kind.

5.6 Stands register

The finding was not addressed. The Municipality did not use the Housing Module.

5.7 Solid waste management

The finding was not addressed. The Municipality did not have a landfill.

5.8 Policy document

The finding was partially addressed. The Policy was yet to be approved by the Full Council.

5.9 Bank reconciliations

The finding was not addressed. The variances were not cleared.

5.10 Beer levy

The finding was addressed. The Municipality obtained schedules from the Breweries.

5.11 Meter status

The finding was not addressed. Properties are yet to be installed with functional water meters.

5.12 Wheel clamping

The finding was not addressed. Municipality not yet issuing tickets stating the offenses committed and amounts due.

5.13 Overdraft facility

The finding was not addressed. The Municipality was funding the salaries through overdraft facility.

5.14 Expected credit losses

The finding was addressed. The Municipality determined the allowance for credit loss as per IPSAS 41 - “Financial Instruments” guidance.

5.15 Expenditure

The finding was addressed. No unbudgeted expenditure identified for the period.

5.16 Expenditure supporting documentation

The finding was not addressed. The Municipality did not avail expenditure supporting documents.

5.17 Valuation of investment property

The finding was addressed. The Municipality revalued its investment property and fair values

were recognised.

5.18 Recognition of schools

The finding was addressed. The Municipality recognised Schools property, plant and equipment and land reserve.

5.19 Stands inventory

The finding was addressed. The Municipality recognised all the inventories and was supported by inventory valuation reports.

I have audited the financial statements of Chitungwiza Municipality for the year ended December 31, 2023, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chitungwiza Municipality as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

The Municipality did not recognise its infrastructure assets such as road networks in the financial statements contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. In addition, the Municipality last revalued its property, plant and equipment in 2019 contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 44 which requires revaluations to be performed with sufficient regularity to ensure that the carrying amount does not differ materially from the current values at the reporting date. Had the Municipality revalued its non-current assets and recognise infrastructure assets, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Revaluation of non-current assets

Finding

The Municipality last revalued its property, plant and equipment in the year 2019 despite operating in a hyperinflationary environment. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 44 which requires property, plant and equipment to be revalued with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using current values at the reporting date.

Risk/ Implication

Misstatement of financial statements

Recommendation

The Municipality should revalue its property, plant and equipment to comply with IPSAS 17 - "Property, plant and equipment".

Management response

We have engaged the Ministry of Local Government and Public Works to carry out the revaluation exercise, and the correct asset position will be updated in the 2026 financial statements.

1.2 Infrastructure assets

Finding

The Municipality did not recognise infrastructure assets such as road networks in the financial statements contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires that such assets be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should recognise infrastructure assets as required by IPSAS 17 - "Property, Plant and Equipment".

Management response

We have engaged the Ministry of Local Government and Public Works to carry out the revaluation exercise, and the correct asset position will be updated in the 2026 financial statements.

1.3 Fuel management

Finding

The Council's controls over fuel management were not adequate as the fuel issue out records had incomplete metering recordings to show fuel movements and there was no evidence of reconciliations performed. As a result, 13 919 litres of fuel could not be accounted for during the year under review. This was contrary to Section 49(1)(a) of the Public Finance Management Act [*Chapter 22:19*], which requires accounting officers to maintain effective systems of internal control.

Risk/ Implication

Financial loss due to misappropriation of fuel.

Recommendation

The Municipality should mobilise funding to acquire a fuel dispenser system while investigating the noted variances.

Management response

The observation has been noted. The Municipality is in the process of procuring a complete fuel dispenser system which will address the issue of variances because currently we are relaying on readings from dip stick only. After we noted that they were huge variance on fuel issued and readings from the dip stick at the end of day, the Municipality assigned the Internal Audit to investigate the causes of the variance and employees who were involved in misappropriating fuel were dismissed.

1.4 Payroll

Finding

The Municipality did not execute employee transfer procedures following the transfer of two nurse aids from the Municipality payroll to the Government payroll on November 30, 2021. As a result, the two remained on the Municipality payroll until December 2023 and May 2023 respectively. For a period of more than twelve months, a total of ZWL12.06 million (ZWL8.86 million and ZWL3.20 million) was incurred from the Municipality's payroll whilst the two also received salary from government payroll.

Risk/ Implication

Financial loss due to irregular expenditure.

Recommendation

Municipality should process payroll transfers on time to avoid financial loss.

The Municipality should engage the two with the view to agree a recovery plan of the total amount paid.

Management response

The two (2) employees here mentioned were not on the lists communicated to Salaries Office that they have been transferred to Government. All the other employees that were on the first list were terminated on time. When we noted later that they were receiving salaries from government, then Salaries Office was notified hence the delayed terminations from payroll.

1.5 Vacant posts

Finding

The Municipality had key vacant posts at senior management level. Vacant posts include Director of Works, Human Resources Manager, Chamber Secretary, Director of Health Services, Director of Housing and Community Services and Procurement Manager which are of strategic importance to the Municipality's operations.

Risk/ Implication

Reduced organisational performance and accountability arising from prolonged temporary placements.

Recommendation

Municipality should fill in key vacant posts with substantive employees.

Management response

The Municipality is in the process of carrying out a job evaluation exercise and these issues will be dealt with when results of the job evaluation exercise are being implemented. Some of the positions could not be filled due to legal issues that are still pending and directives by Ministry of Local Government that did not allow employees with court cases to report for duty.

2. SERVICE DELIVERY ISSUES

2.1 Sewer infrastructure

Finding

The Municipality's sewer treatment plant has been non-functional for more than five years. In addition, the deteriorated condition of the sewer infrastructure resulted in frequent sewer bursts that have been occurring in both residential and commercial areas. This was contrary to the Urban Councils Act [*Chapter 29:15*], which mandates local authorities to provide, maintain, and manage sewerage and sanitation systems, effectively and sustainably. The condition was due to lack of capital investment in sewer system rehabilitation, maintenance and infrastructure upgrading.

Risk/ Implication

Health hazard to the community.

Financial loss due to penalties and fines.

Recommendation

The Municipality should rehabilitate its sewer treatment plant and the reticulation network.

Management response

The Municipality is rehabilitating a total of 4.7km of sewer outfall lines (the contractor is currently on site and inhouse interventions using donated pipe material (9.888km). Council had engaged an investor for a Public Private Partnership arrangement which did not materialise. Due to the magnitude of the project, the Council is unable to fund that project and is in the process of looking for a partner to do the project.

3 PROGRESS IN ADDRESSING OF PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Municipality did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised ten (10) audit findings, one (1) was addressed, three (3) were partially addressed whilst the other six (6) were not addressed as indicated below;

3.1 Statutory deductions

The finding was partially addressed. The Municipality is now on a payment plan with the with the statutory bodies.

3.2 City of Harare water purchases

The finding was not addressed. The Municipality is still purchasing water from Harare City Council and making follow-ups to the Ministry.

3.3 Stand sales

The finding was not addressed. The Municipality is still performing the verification exercise of the disputed 2019 offer letters which lead to convictions.

3.4 Revenue from non-exchange transactions

The finding was not addressed. The Municipality's LADs business license module is not yet operational.

3.5 Receivables

The finding was partially addressed. Not all critical information on new allocations was captured.

3.6 Valuation of property, plant and equipment

The finding was not addressed. The Municipality engaged the Ministry of Local Government and Public Works to assist with the valuation of assets.

3.7 Water meters

The finding was not addressed. Faulty meters were not replaced.

3.8 Lease agreements

The finding was partially addressed. The Municipality has since initiated the process of evicting those with arrears and leases being given to new tenants.

3.9 Payables

The finding was not addressed. The Municipality did not reconcile its payables.

3.10 Hyperinflationary accounting

The finding was addressed. The Municipality prepared inflation adjusted financial statements.

I have audited the financial statements of Gwanda Municipality for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Gwanda Municipality as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Municipality accounted for properties held for earning rentals as property, plant and equipment in the financial statements. This was contrary to IPSAS 16 - "Investment Property" which requires property held to earn rentals or for capital appreciation to be classified as investment property. Had Council classified the properties held for earning rentals as investment property, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Municipality did not carry out an impairment test assessment of its assets although there were indicators for impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets", paragraph 26 which requires an assessment of assets for impairment indicators at each reporting date. Had the Municipality assessed the assets for impairment, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 24 - "Presentation of Budget Information in financial statements"

The Municipality did not disclose budget information in the financial statements for the year ended December 31, 2024. This was contrary to IPSAS 24 - "Presentation of Budget Information in Financial Statements" paragraph 21 which requires a statement of comparison of budget and actual amounts to be disclosed in the financial statements. Had the Municipality disclosed budget information, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Budget information

Finding

The Municipality did not disclose budget information in the financial statements for the year ended December 31, 2024. This was contrary to IPSAS 24 - “Presentation of Budget Information in Financial Statements” paragraph 21 which requires a statement of comparison of budget and actual amounts to be disclosed in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should disclose budget information in the financial statements.

Management response

Noted. The Municipality will implement the recommendation in the 2025 financial statements.

1.2 Investment property

The Municipality accounted for properties held for earning rentals as property, plant and equipment in the financial statements. This was contrary to IPSAS 16 - “Investment Property” which requires property held to earn rentals or for capital appreciation to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should account for properties held for earning properties as investment property.

Management response

Noted. The Municipality will implement the recommendation in 2025.

1.3 Impairment of assets

The Municipality did not carry out an impairment test assessment of its assets although there were indicators for impairment. This was contrary to IPSAS 21- “Impairment of Non-Cash Generating Assets”, paragraph 26 which requires an assessment for impairment indicators at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should carry out an impairment assessment at each reporting date.

Management response

Noted. The Municipality will implement the recommendation in 2025 financial year.

2 SERVICE DELIVERY

2.1 Council Clinic

Finding

The Municipality's Phakama polyclinic operated without critical resources such as diagnostic equipment, resuscitators, ambulances and essential staff. This was contrary to Section 34 of the First Schedule of the Rural District Act [*Chapter 29:13*] which requires Council to provide and operate clinics and dispensaries for the maintenance of public health.

Risk/ Implication

Service delivery may be compromised.

Health hazards.

Recommendation

The Council should procure essential diagnostic equipment, medicine and ambulance.

Management response

Noted. The Municipality has resolved to charge cost recovery fees to cater for the running costs of the clinic.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing the findings that I raised in my 2024 report. I raised thirteen (13) findings, eight (8) findings were addressed, two (2) were partially addressed and three (3) were not addressed as indicated below;

3.1 Impairment of assets

The finding was not addressed. The Municipality did not perform impairment test of its assets.

3.2 Property, plant and equipment

The finding was addressed. The Municipality depreciated its assets.

3.3 Value Added Tax

The finding was addressed. Municipality used the correct tax rates.

3.4 Investment property

The finding was not addressed. The Municipality did not account for investment property as property, plant and equipment.

3.5 Payroll

The finding was addressed. Reconciliations were done and the variances were cleared.

3.6 Asset ownership

The finding was partially addressed. Only the relevant document needed for registration have been obtained.

3.7 Hyperinflation accounting

The finding was addressed. Correct rates were used in 2024.

3.8 Receivables

The finding was addressed. A new ERP was installed and variances were cleared.

3.9 Statutory deductions

The finding was not addressed. The Municipality did not remit statutory deductions to the responsible authority.

3.10 Dilapidated stores building

The finding was partially addressed. The Municipality completed the planning process only.

3.11 Valuation roll

The finding was addressed. The valuation roll is now in place.

3.12 Unbilled stands

The finding was addressed. All the stands were captured in the system.

3.13 Staff benefits

The finding was addressed. All staff debtors were captured in the payroll system.

I have audited the financial statements of Kariba Municipality for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of the Kariba Municipality as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Revenue

The Municipality recognised revenue from stand sales, business licence fees and beer levy amounting to ZWG3.90 million, ZWG2.31 million and ZWG0.28 million respectively on cash basis. This was contrary to IPSAS 47 - "Revenue" paragraph 5 which requires revenue to be recognised on accrual basis.

In addition, the Municipality disclosed a foreign exchange gain of ZWG181.49 million in the financial statements which could not be substantiated. The Municipality did not also reconcile a variance of ZWG3.48 million between the balance as per billing reports of ZWG90.04 million and amount disclosed in the financial statements of ZWG93.51 million. Had the Municipality recognised revenue on accrual basis, reconciled the variances and substantiated the foreign exchange gain, the financial statements would have been materially different.

ii. Payroll

I was not availed with payroll summaries to support payroll costs amounting to ZWG92.38 million disclosed in the financial statements. I therefore could not satisfy myself on the completeness and accuracy of payroll costs reported in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Municipality did not recognise the revenue, expenses, receivables and payables of its two (2) Schools in its financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18 – "Segment Reporting" paragraph 12, which requires segment information to be disclosed. Had the Municipality complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in recognising its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for Schools

Finding

The Municipality did not recognise the revenue, expenses, receivables and payables of its two (2) Schools in its financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Municipality's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires segment information to be disclosed.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Municipality should recognise its schools in the financial statements.

Management response

Observation is noted. The Council had its 2 schools namely Nyanhewe Primary School and Mahombekombe Secondary School's financial statements for 2024 audited late after the audit of the Council was already concluded. However, we look forward to consolidating the Council Schools from the year ending 31 December 2025 going forward.

1.2 Foreign exchange gain

Finding

The Municipality disclosed a foreign exchange gain of ZWG181.49 million in the financial statements which could not be substantiated. This was contrary section 286 (1) of the Urban Councils Act [*Chapter 29:15*] which requires Municipality to keep and maintain proper books of accounts of all matters relating to the financial transactions of the Municipality.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Municipality should avail documentation to support the foreign exchange gain.

Management response

The observation is noted. Municipality will engage the service provider to implement a foreign currency module in the Promun accounting system. The service provider is currently on the ground upgrading to the new version.

1.3 Payroll

Finding

The Municipality did not avail payroll summaries to substantiate payroll costs amounting to ZWG92.38 million disclosed in the financial statements. This was contrary section 286 (1) of the Urban Councils Act [*Chapter 29:15*] which requires Municipality to keep and maintain proper books of accounts of all matters relating to the financial transactions of the Municipality.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should avail payroll summaries to substantiate payroll costs.

Management response

The Municipality will ensure that the payroll summaries are printed every month since once it is closed you cannot print the summaries for audit review.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Municipality recognised revenue from stand sales, business licence fees and beer levy amounting to ZWG3.90 million, ZWG2.31 million and ZWG0.28 million respectively on cash basis. This was contrary to IPSAS 47 - “Revenue” paragraph 5 which requires revenue to be recognised on accrual basis. In addition, the Municipality did not reconcile a variance of ZWG3.48 million between the balance as per billing reports of ZWG90.04 million and amount disclosed in the financial statements of ZWG93.51 million.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Municipality should recognise revenue on accruals basis in line IPSAS 47.

Municipality should investigate and reconcile the variances.

Management response

Going forward, the Municipality will accrue stand sales income at the time sales are made and not when customer subsequently settles their debt. In addition, the Municipality will ensure that a comprehensive business licence fees database is maintained, and it shows the amounts that are charged business operators, and that fixed business operators will be accounted for on accrual basis. Further, the Municipality will continue engaging the brewer with a view of ensuring that beer sales quantities are provided to accrue correct figures in the financial statements. The variances were caused by adjusting journals made after billing. Going forward, the Municipality will ensure that supporting documents are properly filed. In addition, the Municipality now has a new valuation roll.

3. SERVICE DELIVERY

3.1 Waste management

Finding

The Municipality did not have a landfill to manage solid waste and was using a dumpsite. This was contrary to the Environmental Management Act [*Chapter 20:27*], First Schedule 11(a) which requires the Municipality to have a landfill.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Municipality should mobilise funds to establish a landfill in compliance with environmental laws and regulations.

Management response

The lack of an approved landfill has been due to financial constraints. The Municipality has budgeted for landfill establishment as plans for landfill cells are available and the establishment of landfill will be done in phases with one cell at a time.

4 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Municipality did not make significant progress in addressing audit findings that I raised in my 2024 report. I raised sixteen (16) audit findings, five (5) were addressed and eleven (11) were not addressed as indicated below;

4.1 Accounting for schools

The finding was not addressed. The Municipality did not account for revenue, expenses, assets and liabilities of its two (2) schools in the financial statements

4.2 Bank reconciliations and cash books

The finding was not addressed. The Municipality did not resolve variances on bank balances.

4.3 Unsupported journals

The finding was addressed. The journals are now adequately supported.

4.4 Revenue

The finding was not addressed. The Municipality accounted for business licences fees on cash basis.

4.5 Employee benefits

The finding was addressed. Municipality processed allowances through the payroll.

4.6 Provision of sewerage services

The finding was not addressed. Municipality did not resolve the sewer blockages.

4.7 Property, plant and equipment

The finding was addressed. Municipality included infrastructure assets in the financial statements.

4.8 Payables

The finding was not addressed. Municipality did not avail supplier statements and reconciliations.

4.9 Cash and cash equivalents

The finding was not addressed. The Municipality had no supporting cash books and bank reconciliation statements.

4.10 Expenditure

The finding was not addressed. Municipality did not avail supplier invoices and receipts.

4.11 Service level agreements

The finding was addressed. Municipality had service level agreements available.

4.12 Statutory deductions

The finding was not addressed. The Municipality was not up to date with clearing of statutory deductions.

4.13 Estate funds

The finding was addressed. The Municipality reimbursement estate funds borrowed and used for recurrent expenditure.

4.14 Payroll reconciliation

The finding was not addressed. Municipality did not perform payroll reconciliations.

4.15 Sale of public assets to management

The finding was not addressed. The approval of sale of assets to management was not availed.

4.16 Water meters

The finding was not addressed. The Municipality did not replace non-functional meters.

I have audited the financial statements of Marondera Municipality for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Marondera Municipality as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not value and recognise land reserve measuring 721.98 hectares in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 5 which requires land reserve to be recognised as property, plant and equipment. Had the Council valued and accounted for the land reserve, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Land reserve

Finding

The Council did not value and recognise land reserve measuring 721.98 hectares in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 5 which requires land reserve to be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements**.**

Misappropriation of land.

Recommendation

The Council should account for its land reserve in the financial statements.

Management response

The audit observation has been noted. Council will ensure that its land has been valued as per IPSAS 45 in 2025. A supplementary valuation will be carried out to include all the assets that were left out in the previous valuation.

2. EMPLOYMENT ISSUES

2.1 Employee performance appraisal

The Council did not carry out performance appraisal of its employees except for the Town Clerk, Mayor and Head of Departments (HODs) during the year ended December 31, 2024. This was contrary to the government integrated results-based management policy which requires the Council to regularly appraise its employees.

Risk/ Implication

Performance gaps and training needs may not be identified.

Service delivery may be compromised as employee performance may not be measured.

Recommendation

Council should conduct performance appraisals to identify performance gaps and training needs for its employees.

Management response

During the year Council only managed to undertake performance appraisal for the Town Clerk and Mayor. For 2025 Council managed to undertake performance appraisals for the Town Clerk, Mayor and HODs and Council plans to roll out the same to middle managers and other employees in 2026.

3. MANAGEMENT OF ASSETS

3.1 Lease contract management

Finding

The Council did not collect rental income amounting to USD 62 191 from its two beerhalls. In addition, the tenants were operating without lease agreements.

Risk/ Implication

Financial loss due to non-collection of rental income.

Recommendation

The Council should strengthen its lease contract management processes.

Management response

Audit observation noted, Council had no lease management policy in year 2024. During the close of 2024 Council recommended that one of the properties be converted to a clinic and the other one be advertised for new tenants. Council will strengthen its lease contract management processes for all the properties still to be considered under lease as recommended.

4. SERVICE DELIVERY

4.1 Waste management

Finding

The sewer reticulation system was not functional, and Council was discharging raw effluent into the nearby river. This was contrary to section 70(1) of the Environmental Management Act [*Chapter 20:27*] which prohibits the discharge of waste in a manner that cause pollution to the environment. As a result, Council was fined an amount of USD$1 775 by the Environmental Management Agency.

In addition, the Council did not have a landfill as result it was fined USD2 898 by the Environmental Management Agency for using a dumpsite.

Risk/ Implication

Health hazards to the community and environment.

Financial loss due to penalties and fines.

Recommendation

Council should upgrade its sewer infrastructure.

Council should construct an engineered landfill.

Management response

Upgrade of the sewer infrastructure is currently being implemented by Council in phases according to the funding available. The other portion of the upgrades have been budgeted under the Devolution projects and in 2024 there was partial funding (23%) which was channelled to waster infrastructure and the balance was not received up to date.

Council has also identified a site for the landfill, engineering designs have been done, and Council is now at the stage of preparing an Environmental Impact Assessment plan required by EMA. Council has adopted a phased approach, and construction is budgeted for 2026 using own funds since council has managed to acquire some of the needed equipment for the construction.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2024 report. I raised seven (7) findings, four (4) were addressed, two (2) were partially addressed and one (1) was not addressed as indicated below;

5.1 Municipality Schools

The finding was addressed. Council has managed to include all its schools in the 2024 financial statements.

5.2 Valuation of property, plant and equipment

The finding was addressed. The Council conducted an asset valuation exercise during the year.

5.3 Investment property

The finding was addressed. Valuation of investment property was conducted and finalised.

5.4 Investment in shares

The finding was partially addressed. Council to advertise for the shares.

5.5 Business licenses

The finding was addressed. Council invoiced all businesses for business licence fees and recognised revenue in a manner prescribed in IPSAS 47.

5.6 Fuel requisitions

The finding was partially addressed. The workshop section is currently undertaking the routine inspection and maintenance of council vehicles. However, the recruitment of the transport officer has been moved to 2026 due to funding constraints.

5.7 Lease contracts

The finding was not addressed. The Council did not formalise contracts with tenants.

TOWN COUNCILS

I have audited the financial statements of Chipinge Town Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chipinge Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS)45 - "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to the requirements of IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires infrastructure assets to be recognised.

In addition, the Council last revalued its assets in 2011, contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29 which requires revaluation to be done with sufficient regularity to ensure that the carrying amount does not differ materially from current values at the reporting date. Had Council revalued its property, plant and equipment and recognised infrastructure assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, liabilities and assets of its six (6) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraphs 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets. Had the Council complied with the requirements of IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting", the financial statements would have been materially different.

iii. Donations

The Council did not recognise donations received for upgrading water infrastructure during the year under review as income. The extent of the misstatement could not be quantified as the Council did not value the work that was done due to absence of supporting documents and unavailability of donor confirmation response. As a result, I was unable to satisfy myself on the completeness and accuracy of income reported in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 27 - "Agriculture"

The Council recognised biological assets amounting to ZWG0.21 million based on 2014 market rates. This was contrary to IPSAS 27 - "Agriculture" paragraph 16, which requires biological assets to be valued at fair value less costs to sell. Had the Council determined the fair values as at the reporting date, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment properties. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 which requires investment property to be disclosed at the fair value even when the cost model has been adopted. Had the Council disclosed the fair values of its investment property, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Submission of financial statements for audit

Finding

The Council did not submit financial statements for the year ended December 31, 2024, for audit within the statutory deadline. The financial statements were submitted for audit in April 2025. This was contrary to the Public Finance Management Act [*Chapter 22:19*] section 49 (1)(c) which requires public entities to submit the financial statements for audit within two months after the end of the financial year.

Risk / Implication

Transparency and accountability may be compromised.

Recommendation

The Council should submit financial statements within the statutory deadline.

Management response

Observation is noted. The 2024 External Audit field work was completed on 10 July 2025. Council is expecting to carry 2025 financial year audit by 31 March 2026 as stipulated by section 35(7) of the Public Finance Management Act [*Chapter 22:19*].

1.2 Accounting for Council Schools

Finding

The Council did not recognise the revenue, expenses, assets and liabilities for its six (6) Schools in the financial statements. This was contrary to International Public Sector

Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should recognise segment information for its Schools in accordance with IPSAS 1 and disclose in accordance with IPSAS 18.

Management response

The Council is working on consolidating Schools' accounts with Council's financial statements as per IPSAS requirements. Engagements will continue to be held with both the school heads and bursars offering guidance on financial statements preparation. Further, the Council will ensure that more IPSAS training workshops are attended by the school bursars. Currently, Schools are facing challenges conducting IPSAS training workshops due to financial challenges.

1.3 Property, plant and equipment

Finding

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements contrary to the requirements of IPSAS 45 – "Property, Plant and Equipment" paragraph 6 which requires infrastructure assets to be recognised.

In addition, the Council last revalued its assets in 2011, contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29 which requires revaluation to be done with sufficient regularity to ensure that the carrying amount does not differ materially from current values at the reporting date.

Risk/ Implication

Misstatements of financial statements.

Recommendation

The Council should revalue its assets and account for infrastructure assets.

Management response

Observation is noted. Council is in the process of engaging the parent Ministry, the Ministry of Local Government and Public Works to be assisted in the valuation of its assets. A request letter was sent to the Ministry waiting for the response. All assets that have reached their useful lives are going to be disposed.

1.4 Investment property

Finding

The Council did not disclose fair value of its investment properties. This was contrary to International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property" paragraph 90 and Zimbabwe Financial Reporting Manual paragraph 13.4(a) which requires investment property to be disclosed at the fair value even when the cost model has been adopted.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should disclose fair value of its investment properties.

Management response

Observation is noted. The Council will engage an expert to revalue investment properties.

1.5 Valuation of biological assets

Finding

The Council recognised biological assets amounting to ZWG0.21 million based on 2014 market rates. This was contrary to IPSAS 27 – "Agriculture" paragraph 16, which requires biological assets to be valued at fair value less costs to sell.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for biological assets according to the requirements of IPSAS 27 – "Agriculture".

Management response

Observation is noted. However, the Council is in the process of disposing them off. The disposal is scheduled to be done in the last quarter of 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Donations

Finding

The Council did not recognise donations received for upgrading water infrastructure during the year under review as income. The extent of the misstatement could not be quantified as

the Council did not value the work that was done due to absence of supporting documents and unavailability of donor confirmation response.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise all donations received.

Management response

Observation is noted. The Council was having challenges in obtaining confirmation responses from development partner. The partner was not allowed to share their donations information with the Council.

2.2 Stand sales

Finding

The Council sold partially serviced residential stands in Gaza and Usanga residential suburbs. As a result, there was no sewer and water connections contrary to Council's housing policy section 3.1.2 which requires Council to sell stands which are fully serviced.

Risk/ Implication

Outbreak of water borne diseases due to sell of un-serviced stands.

Recommendation

The Council should adhere to the requirements of its housing policy and sell stands in fully serviced areas.

Management response

Observation is noted. Going forward, the Council will ensure that stands are sold when fully serviced.

3. SERVICE DELIVERY

3.1 Dumpsite

Finding

The Council did not have a landfill as per the requirements of the Environmental Management Act [*Chapter 20:27*]. The Council was making use of a dumpsite which was not fenced and as a result was accessible by the community. This was contrary to section 70 of the Environmental Management Act which prohibit disposal of waste in a manner that causes pollution to the environment. In addition, there were illegal dumping sites which had emerged in Wards 2, 4, 5 and 6.

Risk/ Implication

Health hazard to the community.

Financial loss due to fines and penalties.

Recommendation

The Council should establish a landfill in compliance with environmental legislation.

Management response

Council is in the process of procuring 2 tractors and dumper trailers which will assist in refuse collection. In the year 2025, Council managed to budget for the fencing and drilling of a borehole at the dumpsite, and this will assist in providing the requirements from EMA. Water samples for the downstream river are also collected to monitor leachate contamination.

3.2 Provision of sewerage services

Finding

The Council had one thousand, five hundred and fifty-one (1 551) households that were not connected to the sewerage system. These areas require the use of sewer systems as per Council's housing plan. In addition, there were sewer spillages being experienced in Wards 3, 4 and 6 in Gaza high density.

Risk/ Implication

Financial loss due to penalties and fines.

Water pollution leads to outbreaks of water borne diseases.

Recommendation

Council should connect the households to the sewer reticulation systems.

Management response

Observation is noted. The cause of failure to connect some households and replace absolute pipes is due to financial constraints and residents failing to finalise household plumbing so that they are connected to Council sewer lines.

Council has started carrying out repairs and planned maintenance at sewer treatment plants, sewer lines and manholes. Awareness campaigns on the need to desist from dumping objects or inappropriate materials into sewer lines and manholes is ongoing and Council is considering penalties to make sure that people desist from causing blockages.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2024 annual report. I raised fifteen (15) findings, four (4) findings were partially addressed while the other eleven (11) findings were not addressed as indicated below;

4.1 Statutory deductions

The finding was not addressed. Council did not comply with statutory deductions payment deadlines.

4.2 Property, plant and equipment

The finding was not addressed. Council did not revalue its assets and recognise its infrastructure assets in the financial statements.

4.3 Valuation of biological assets

The finding was not addressed. Council did not recognise its biological assets at fair value less costs to sell.

4.4 Investment property

The finding was not addressed. The Council did not recognise fair values of its investment property.

4.5 Council schools

The finding was not addressed. Council did not include its Schools in the financial statements.

4.6 Donations

The finding was not addressed. The Council did not account for donations income received for upgrading water infrastructure.

4.7 Beer levy

The finding was partially addressed. Council is in the process of engaging commercial brewers.

4.8 Taxation of benefits

The finding was partially implemented. Fuel and airtime allowances were not processed through the payroll and not taxed.

4.9 Ownership of assets

The finding was not addressed. The Council did not provide proof of ownership for its assets.

4.10 Contract workers

The finding was not addressed. Council did not cease the casualisation of labour contrary to the requirements of the Labour Act of 2016.

4.11 External loans

The finding was not addressed. Council is yet to repay the PSIP loan.

4.12 Non-revenue water

The finding was not addressed. Council did not fix non-functional water meters and minimise water leakages.

4.13 Sewerage system

The finding was not addressed. Council is yet to construct a sewer reticulation system.

4.14 Water supply

The finding was partially addressed. The Council installed solar energy on eight (8) boreholes.

4.15 Refuse removal

The finding was partially addressed. Refuse collection was done on a weekly basis.

I have audited the financial statements of Chiredzi Town Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chiredzi Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities of its school in the financial statements for fair presentation. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments. Had the Council recognised its school in compliance with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 -"Segment Reporting", the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated its foreign currency denominated revenue into the reporting currency using a constant rate for the month. The rates used did not meet the definition of spot rate in accordance with IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates" paragraph 10 as foreign currency was not available for immediate delivery at this rate. Had the foreign currency transactions and balances been translated using appropriate exchange rates, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue its assets since 2011. This was contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the current values at the reporting date.

In addition, the Council did not recognise land and infrastructure assets such as road networks and bridges in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires assets that meet the recognition criteria to be recognised as property, plant and equipment. Had the Council revalued its property, plant and equipment, recognised land and infrastructure assets, the carrying amount of property, plant and equipment disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised stand sales and beer levy revenue on cash basis. This was contrary to the requirements of IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. Had the Council recognised revenue using the accrual basis, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair values of its investment properties. This was contrary to IPSAS 16- "Investment Property" paragraph 90 (e) which requires the fair values of investment property to be disclosed even when the cost model has been adopted. Had the Council disclosed the fair values of investment properties, the disclosures in the financial statements would have been materially different.

vi. Payables

There was an unresolved variance of ZWG16.53 million between payroll payables disclosed in the financial statements of ZWG19.1 million and balance as per payroll payables listing of ZWG2.57 million. As a result, I was unable to satisfy myself on the completeness and validity of payables disclosed in the financial statements.

vii. Expenditure

The Council incurred expenditure amounting to ZWG3.27 million which was not supported with the requisite supplier invoices and receipts. As a result, I could not satisfy myself on the accuracy and validity of expenditure balance disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for school

Finding

The Council did not recognise revenue, expenses, assets and liabilities of its school in the financial statements for fair presentation. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise its school in the financial statements.

Management response

Observation is noted. The Council will ensure the school Bursar and Headmaster get trained and will also work on consolidating the schools' audited accounts with Council's financial statements as per IPSAS requirements. The Council will ensure that the schools accounts for 2025 are audited and they will be included in the Councils 2025 financial statements.

1.2 Foreign exchange rates

Finding

The Council translated its foreign currency denominated revenue into the reporting currency using a constant rate for the month. The rates used did not meet the definition of spot rate in accordance with IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 10 as foreign currency was not available for immediate delivery at this rate.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should use appropriate exchange rates when translating foreign currency transactions.

Management response

The observation is noted, however, the challenge with implementing exchange rates daily was that it affects debtors' balances, and this meant adjusting debtors' accounts on a daily basis. The Council's billing is in USD, yet the ERP can only maintain records in ZWG, therefore, whenever the Council changes the rate, it must adjust debtors to match the initial monetary values.

1.3 Property, plant and equipment

Finding

The Council did not revalue its assets since 2011. This was contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the current values at the reporting date.

In addition, the Council did not recognise land and infrastructure assets such as road networks and bridges in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires assets that meet the recognition criteria to be recognised as property, plant and equipment.

Risk / Implication

Misstatement of financial statements

Recommendation

The Council should revalue its assets and recognise land and infrastructure assets.

Management response

Observation is noted. The Council is in the process of fully adopting IPSAS and has engaged valuators from the Ministry of Local Government who did field work and the Council is awaiting to receive the final revaluation report. This will present the true position of the Council's assets.

1.4 Investment property

Finding

The Council did not disclose the fair values of its investment properties. This was contrary to IPSAS 16 – "Investment Property" paragraph 90 (e) which requires the fair values of investment property to be disclosed even when the cost model has been adopted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose the fair value of its investment property in compliance with IPSAS 16.

Management response

Observation is noted. The Council is to fully implement IPSAS by end of 2026. The Council engaged valuators from Ministry of Local Government and Public Works to assist with revaluation of all Council assets. Once the revaluation is completed, the Council will account for investment property in the financial records at fair value and in line with IPSAS 16. There is need to train accounting staff on IPSAS as per the IPSAS Implementation Matrix and Action Plan.

1.5 Payables

Finding

There was an unresolved variance of ZWG16.53 million between payroll payables disclosed in the financial statements of ZWG19.1 million and balance as per payroll payables listing of ZWG2.57 million. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish a strong system of financial management and internal control.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should investigate the variances noted and make the necessary adjustments.

Management response

The observation was noted. We will investigate the variances and adjust them in the 2025 accounts.

1.6 Expenditure

Finding

The Council incurred expenditure amounting to ZWG3.27 million which was not supported with the requisite supplier invoices and receipts. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish a strong system of financial management and internal control.

Risk/ Implication

Misstatement of financial statements.

Recommendation

All expenditure should be supported by the relevant documentation.

Management response

Noted. Management acknowledges that there is need for improvement in our filing systems. The Council will continuously improve filing and documents management. Management is currently pursuing the e-filing option as a lasting solution to misplaced documents.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Council recognised stand sales of ZWG4.3 million and beer levy revenue of ZWG1.4 million on cash basis. Stand sales revenue recognised related to sales made in prior years as no sales were made during the year under review. In addition, beer levy revenue was recognised based on receipts made rather than using beer sales schedule from the brewer. This was contrary to the requirements of IPSAS 47 - “Revenue” paragraph 3 which requires revenue to be recognised on accrual basis.

Recommendation

The Council should recognise revenue on accrual basis.

The Council should engage the brewer with a view of ensuring that beer sales quantities are provided.

Management response

Observation is noted. This was caused by poor coordination between Housing and Finance departments. To account for land sales on accrual basis, detailed lists of stands to be sold should be provided to finance and the prices to enable the creation of new property accounts numbers and immediate debit raising. This allows that all stands sold are regarded as land stock or inventory in the financial statements until actual allocation and avoids cash basis recognition and double allocations.

Reconciliations between the disbursements received and beer sales schedule are currently being conducted to validate the revenue recognized. The brewer is now accompanying disbursement schedules with sales schedules as from the 1st of January 2025 hence reconciliations are now being done on periodic basis.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 annual report. I raised eight (8) findings, one (1) was partially addressed and seven (7) were not addressed as indicated below;

1.4 Bank reconciliations

The finding was not addressed. Bank reconciliations were not being performed.

1.5 Accounting for school

The finding was not addressed. Council did not account for its schools.

1.6 Supporting documents

The finding was not addressed. The Council did not revalue its assets.

1.7 Receivables

The finding was partially addressed. The Council is in the process of preparing reconciliations.

1.8 Payables

The finding was not addressed. The Council did not reconcile the variances.

1.9 Property, plant and equipment

The finding was not addressed. The Council did not revalue its assets and recognise its land

and infrastructure assets.

1.10 Revenue

The finding was not addressed. The Council did not recognise beer levy revenue on accrual basis.

1.11 Cash and cash equivalents

The finding was not addressed. Bank confirmation responses were not received.

I have audited the financial statements of Gokwe Town Council for the year ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Gokwe Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment since 2015. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires the Council to conduct revaluations with sufficient regularity.

In addition, the value of land was not separated from buildings resulting in land being depreciated contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which requires land and buildings to be accounted for separately even when they were acquired together.

The Council did not also recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to the requirements of IPSAS 45 - "Property, Plant and Equipment" which requires assets that meet the definition criteria of property, plant and equipment to be recognised in the financial statements. Had the Council applied the requirements of IPSAS 45 in accounting for its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not account for the revenue, expenses, assets and liabilities of its two (2) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 – "Presentation of Financial Statements" and IPSAS 18 – "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

iii. Payroll

There was an unresolved variance of ZWL1.5 billion between the payroll balance as per payroll summaries of ZWL1.9 billion and balance disclosed in the financial statements amounting to ZWL 3.4 billion. As a result, I could not satisfy myself on the accuracy of the

payroll costs disclosed in the financial statements.

iv. Receivables

There was an unresolved variance of ZWL1.1 billion between balance as per trade receivables listing ZWL6.1 billion and the balance disclosed in the financial statements of ZWL5 billion. As a result, I was unable to satisfy myself on the completeness of the receivable balance disclosed in the financial statements.

v. Payables

There was an unresolved variance of ZWL4.5 billion between balance as per the trade payables listing of ZWL0.66 billion and the balance disclosed in the financial statements of ZWL5.1 billion. As a result, I was unable to satisfy myself on the existence of the payables disclosed in the financial statements.

vi. **Inventories**

There was an unresolved variance of ZWL698 million between the balance on the inventory valuation report of ZWL750 million and the balance as per the financial statements of ZWL52 million. As a result, I was unable to satisfy myself on the accuracy and valuation of inventory disclosed in the financial statements.

vii. Accumulated fund

The Council made an unsubstantiated adjustment amounting to ZWL431 million to the accumulated fund. As a result, I was unable to satisfy myself as to the accuracy of the accumulated fund balance of ZWL4 billion disclosed in the financial statements.

viii. Cash and cash equivalents

The Council was not performing bank reconciliations properly as a result, there was an unreconciled variance of ZWL803 million between the total balance of the cashbooks recorded of ZWL711 million and the balance reported in the financial statements of ZWL1.5 billion. I was unable to satisfy myself as to the accuracy of the cash and cash equivalents balances disclosed in the financial statements.

ix. Expenditure

Expenditure amounting to ZWL80.7 million was not supported with the requisite documentation such as supplier invoices and receipts. I could not satisfy myself as to the accuracy of expenditure balances disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Schools financial statements

Finding

The Council did not account for the revenue, expenses, assets and liabilities of its two (2) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for Schools in the financial statements.

Management response

Observation noted. Council is taking steps to ensure that schools staff are trained on IPSAS to produce Financial Statements for consolidation.

1.2 Inventories

Finding

The Council was not utilizing its inventory module in the PROMUN system and was therefore manually recording its inventories. As a result, there was an unresolved variance of ZWL$698 million between the balance on the inventories valuation report of ZWL$750 million and the balance as per the financial statements of ZWL$52 million.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should train staff on the use of the Inventory Module and investigate the variances.

Management response

Observation noted. We will send our relevant staff for training to utilise the inventory management module once the funds are available.

1.3 Cashbook variances

Finding

The Council was not performing bank reconciliations properly as a result, there was an unreconciled variance of ZWL803 million between the total balance of the cashbooks recorded of ZWL711 million and the balance reported in the financial statements of ZWL1.5 billion.

Risk/ Implication

Misstatement of financial statements.

Potential fraud.

Recommendation

The Council should investigate the variances.

Management response

Observation noted. Going forward we will investigate the variances and resolve them in a timely manner.

1.4 Accumulated fund

Finding

The Council made an unsubstantiated adjustment amounting to ZWL431 million to the accumulated fund. This was contrary to the Urban Council Act [*Chapter 29:15*] section 286 (1) which requires Council to keep such books of account as may be necessary to maintain a true and proper record of all matters relating to its financial transactions.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should investigate the balances.

Management response

Observation is noted. The Council will investigate the adjustment balance noted and ensure that corrective action is taken, and it does not recur in future.

1.5 Estate funds

Finding

The Council utilised estate funds amounting to USD166 986 and ZWL1.02 billion for recurrent expenditure this was contrary to section 300 of the Urban Council's Act [*Chapter 29:15*] which requires estate funds to be utilized for related capital expenditure. The funds borrowed from the estates account were yet to be refunded as the Council was facing financial challenges.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should utilise estate funds for capital related expenditure.

Management response

Management notes the audit observation. This was mainly due to cash-flow challenges. In future, the Council will ensure that the estate funds are used as outlined on section 300 (2a-2d) of the Urban Council's Act.

1.6 Property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment since 2015. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires the Council to conduct revaluations with sufficient regularity.

In addition, the value of land was not separated from buildings resulting in land being depreciated contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which requires land and buildings to be accounted for separately even when they were acquired together.

The Council did not also recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to the requirements of IPSAS 45 "Property, Plant and Equipment" which requires assets that meet the definition criteria of property, plant and equipment to be recognised in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should apply the requirements of IPSAS 45 - "Property, Plant and Equipment" when accounting for its property, plant and equipment.

Management response

Observation noted. We will endeavour to improve our cashflows and implement the audit recommendation. In addition, the land will be valued and accounted for separately.

1.7 Payables reconciliations

Finding

The Council was not performing monthly payables reconciliations as a result, there was an unresolved variance of ZWL4.5 billion between balance as per the trade payables listing of ZWL0.66 billion and the balance disclosed in the financial statements of ZWL5.1 billion.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should perform payables reconciliations monthly.

Management response

Observation noted. Reconciliations and journals will be done as the variance are being caused by Creditors being maintained manually. Journal entries will be done to ensure that balances as per creditors listing match financial statements.

1.8 Receivables reconciliations

Finding

The Council was not performing monthly receivables reconciliations as a result, there was an unresolved variance of ZWL$1.1 billion between balance as per trade receivables listing ZWL$6.1 billion and the balance disclosed in the financial statements of ZWL$5 billion.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

Council should perform monthly reconciliations and noted variances should be investigated and cleared.

Management response

Observation noted. Going forward, we will ensure debtors reconciliations are properly done.

1.9 Payroll reconciliations

Finding

The Council did not perform reconciliations of the payroll summaries and the general ledger. As a result, there was an unresolved variance of ZWL$1.5 billion between the payroll balance as per payroll summaries of ZWL$1.9 billion and balance disclosed in the financial statements amounting to ZWL$ 3.4 billion. This was contrary to section 45(2) c of the Statutory Instrument (SI) 135 - Public Finance Management (General) Regulations, 2019 which require management to perform monthly reconciliations between listings and general ledger balances, and to resolve any differences identified.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should perform monthly payroll reconciliations and investigate the variances noted.

Management response

Observation noted. Variances noted between financial statements and general ledger will be investigated, established and adjusted accordingly.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2023 report. I raised twenty (20) findings, seven (7) were addressed, three (3) were partially addressed and ten (10) were not addressed as indicated below;

2.1 Foreign exchange gain

The finding was not addressed. The Council is yet to provide supporting evidence for foreign exchange gain disclosed.

2.2 Miscellaneous income

The finding was not addressed. The Council was still making unsubstantiated journals.

2.3 Taxation of benefits

The finding was not addressed. The Council did not tax benefits such as food hampers.

2.4 Payroll costs

The finding was not addressed. The Council did not reconcile payroll costs.

2.5 Payables reconciliations and supporting documents

The finding was not addressed. The Council did not reconcile payables and provide supporting evidence.

2.6 Manual accounting system

The finding was not addressed. Council did not digitalize its accounting system for its sub-offices.

2.7 Valuation roll

The finding was addressed. New valuation roll was now in use.

2.8 Leased properties

The finding was not addressed. The Council did not have lease agreements for its leased properties.

2.9 Unsupported expenditure

The finding was not addressed. The Council did not provide supporting documents for some of its expenditure.

2.10 Revenue variances

The finding was addressed. The Council investigated and cleared revenue variances.

2.11 Stand sales recognition

The finding was addressed. The Council is now billing stand sales using SIMACC system.

2.12 Beer levy

The finding was addressed. The Council collected statistics from the brewer.

2.13 Key vacant posts

The finding was addressed. The Council employed the Town Engineer and Housing and Community services.

2.14 Inventory management and valuation

The finding was partially addressed. The Council accounted for inventory as required though it was maintained manually.

2.15 Asset revaluation

The finding was partially addressed. Asset valuation was underway in 2024 and the values were yet to be recognised in the 2024 financial year.

2.16 Investment properties

The finding was addressed. The Council was accounting for investment properties as required by IPSAS 16 – “Investment Properties”.

2.17 Provision of social amenities

The finding was not addressed. The Council did not rehabilitate the community hall, swimming pool and tennis court.

2.18 Policies and procedure manuals

The finding was addressed. Asset capitalisation policy was now in place approved.

2.19 Allocation of commercial stands

The finding was not addressed. Council is yet to avail evidence of an offer letter and resolution approving sale of the commercial stand.

2.20 Ambulance and fire services

The finding was partially addressed. Fire services are now available, but Council is yet to procure an ambulance.

I have audited the financial statements of Mvurwi Town Council for the years ended December 31, 2023, and 2024, and I issued an adverse opinion for both years.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mvurwi Town Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not account for the revenue, expenses, assets and liabilities of its two (2) schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council's expected credit losses balance was determined using a rate of 20% which was not supported by reasonable information. This was contrary to IPSAS 41- "Financial instruments" paragraph 90(c) which requires expected credit losses to be measured at an amount that reflects reasonable and supportable information about past, present and future economic events. I could not satisfy myself on the accuracy of the receivables balance disclosed in the financial statements.

iii. Payables

The Council recognised Value Added Tax (VAT) payables amounting to ZWL$1.26 billion in the financial statements which were not supported by reconciliations and tax returns. I was unable to satisfy myself on the accuracy and completeness of payables balance disclosed in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and IPSAS 16 - "Investment Property"

The Council did not revalue property, plant and equipment since 2015. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially

from the fair value determined at the reporting date. In addition, the Council did not disclose the fair values of its investment property. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair value of its investment property. Had the Council revalued its property, plant and equipment and disclosed the fair values of its investment property, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised beer levy income of ZWL$385.97 million on cash basis contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. In addition, the Council recognised stands sales revenue upon allocation of the stand before satisfying the compliance obligation of the binding arrangement with the customer. This was contrary to the requirements of IPSAS 47 - "Revenue" paragraph 56 (c) which requires recognition of revenue after satisfying the compliance obligations. Had the Council complied with the requirements of IPSAS 47 - "Revenue" in accounting for its beer levy and stands sales revenue, the financial statements would have been materially different.

Adverse Opinion 2024

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mvurwi Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities of its two (2) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52, which requires segment information to be disclosed. Had the Council recognised its schools, the financial statements would have been materially different.

ii. Non- compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised beer levy income amounting to ZWG3.2 million on cash basis contrary to IPSAS 47 "Revenue" paragraph 3 which require revenue to be recognised on accrual basis. In addition, the Council recognised stands sales revenue upon allocation of the stand before satisfying the compliance obligation of the binding arrangement with the customer. This was contrary to the requirements of IPSAS 47 - "Revenue" paragraph 56 (c) which requires recognition of revenue after satisfying the compliance obligations. Had the Council complied with the requirements of IPSAS 47 - "Revenue" in accounting for its beer levy and stands sales revenue, the financial statements would have been materially different.

iii. Foreign exchange gains

The Council reported exchange gains of ZWG38.17 million which were not supported by transactions breakdown and reconciliations. I could not verify the accuracy and completeness of the exchange gain reported in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and IPSAS 16 - "Investment Property"

The Council did not revalue property, plant and equipment since 2015. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date.

In addition, the Council did not disclose the fair values of its investment property. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair value of its investment property. Had the Council revalued its property, plant and equipment and disclosed the fair values of its investment property, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not account for the revenue, expenses, assets and liabilities for its two (2) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

Council should account for the revenue, expenses, assets and liabilities of its schools and

disclose the education service segment.

Management response

Management acknowledges the omission of schools' financial statements. A new financial reporting framework for Council schools has been adopted. A separate segment for education will be included in the 2024 financial statements.

1.2 Value added tax

Finding

The Council recognised Value Added Tax (VAT) payables amounting to ZWL$1.26 billion in the 2023 financial statements which were not supported by reconciliations and tax returns. The Council did not file and submit to Zimbabwe Revenue Authority (ZIMRA) the value added tax (VAT) returns contrary to Value Added Tax Act [*Chapter 23:12*] which requires VAT returns to be submitted by the 25th of the following month.

Risk/ Implication

Misstatement of financial statements.

Fines and penalties from the Authority.

Recommendation

The Council should submit VAT returns and reconcile the VAT payable.

Management response

All outstanding VAT returns for 2023 have since been submitted. Council has created a VAT calendar and designated a dedicated VAT officer to ensure compliance going forward. Monthly reconciliations are now being performed.

1.3 Valuation of assets

Finding

The Council did not revalue property, plant and equipment since 2015. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from the fair value determined at the reporting date. In addition, the Council did not disclose the fair values of its investment property. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair value of its investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets with sufficient regularity in line with IPSAS 45.

Management response

Council agrees with the recommendation and will engage a qualified valuer to revalue assets in accordance with IPSAS 45. This exercise is scheduled for the 2026 fiscal year.

1.4 Allowance for credit losses

Finding

The Council's expected credit losses balance was determined using a rate of 20% which was not supported by reasonable information. This was contrary to IPSAS 41 - "Financial instruments" paragraph 90(c) which requires expected credit losses to be measured at an amount that reflects reasonable and supportable information about past, present and future economic events.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should apply the requirements of IPSAS 41 - "Financial Instruments" in determining the expected credit loss.

Management response

Observation noted. Council will amend its allowance for credit loss policy and align it to IPSAS 41.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Beer Levy

Finding

The Council recognised beer levy income on cash basis contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. In addition, the Council did not obtain beer sales schedule from the brewery contrary to the Traditional Beer Act [*Chapter 14:24*] section 15 which requires the Council to obtain records of production to verify the accuracy of the amount remitted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should obtain beer sales schedules and account for beer levy on accrual basis.

Management response

Noted. Engagements with the brewer are still underway so that Council gets beer sales information for it to calculate and reconcile the levy receivable from brewers.

2.2 Stand sales revenue

Finding

The Council recognised stands sales revenue upon allocation of the stand before satisfying the compliance obligation of the binding arrangement with the customer. This was contrary to the requirements of IPSAS 47 - "Revenue" paragraph 56 (c) which requires recognition of revenue after satisfying the compliance obligations.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise revenue from stand sales after satisfying compliance obligations.

Management response

Management acknowledges the non-compliance with IPSAS 47 and is committed to revising the revenue recognition policy to ensure that revenue from stands is only recognised when all significant risks and rewards of ownership have been fully transferred to the purchaser.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised seven (7) audit findings, one (1) was addressed, and six (6) were not addressed as indicated below;

3.1 Fire service vehicles

The finding was addressed. The Council received a fire tender from the parent Ministry.

3.2 Receivables

The finding was not addressed. The Council did not maintain an age analysis and did not assess for allowance for credit losses.

3.3 Revenue

The finding was not addressed. The Council did not recognise beer levy on accrual basis.

3.4 Property, plant and equipment

The finding was not addressed. Council did not conduct the revaluation exercise.

3.5 Waste water management

The finding was not addressed. Council did not complete and operationalise Kurai sewer stabilisation ponds.

3.6 Dump site

The finding was not addressed. Council is still using a dumpsite.

3.7 Stands files

The finding was not addressed. Council did not create stand files.

I have audited the financial statements of Norton Town Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Norton Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not depreciate its property, plant equipment disclosed at a carrying amount of ZWG77.56 million in the financial statements. This was contrary to IPSAS 45 - "Property, Plant, and Equipment" paragraph 41 which requires an item of property, plant and equipment with a cost that is significant to be depreciated separately. In addition, the Council did not assess its assets for impairment contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment to be done at reporting date. Had the Council applied the requirements of IPSAS 45 - "Property, Plant, and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets", the financial statements would be materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment disclosed at a carrying amount of ZWG77.56 million in the financial statements. This was contrary to IPSAS 45 - "Property, Plant, and Equipment" paragraph 41 which requires an item of property, plant and equipment with a cost that is significant to be depreciated separately. In addition, the Council did not assess its assets for impairment contrary to IPSAS 21 - "Impairment of Non-cash Generating Assets" paragraph 26 which requires an impairment assessment to be done at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its assets and conduct impairment assessment in line with the standards.

Management response

Management resolved to outsource the valuation of both property, plant and equipment assets to external service provider. The procurement process is in progress.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below;

2.1 Revaluation of assets

The finding was not addressed. Council intends to outsource valuation services of the assets by December 31, 2025.

2.2 Information and Communication Technology Strategic Plan

The finding was addressed. The strategic plan was put in place.

2.3 Allowance for credit losses

The finding was addressed. The Council recognised allowance for credit losses in the financial statements.

I have audited the financial statements of Plumtree Town Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Plumtree Town Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairments in terms of IPSAS 21 - "Impairment of Non-Cash Generating Assets" despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires entities to assess at each reporting date whether there is any indication that an asset may be impaired. Had Council assessed the property, plant and equipment for impairment the carrying amounts would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Segment reporting

Finding

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS 18.

Management response

The Council has adopted an ERP system designed to support program-based reporting and the implementation of segment reporting.

1.2 Impairment of assets

Finding

The Council did not assess its assets for impairments in terms of IPSAS 21 - "Impairment of Non-Cash Generating Assets" despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires entities to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21.

Management response

The Council is working on asset revaluation exercise to update its asset register. The updated records will help facilitate implementation of the relevant standard.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised ten (10) findings, eight (8) findings were addressed and two (2) were not addressed as indicated below;

2.1 Policies and procedure manuals

The finding was addressed. Council drafted and revised outdated policies, all of which were approved.

2.2 Double entry bookkeeping

The finding was addressed. Council implemented an ERP system that supports double-entry accounting.

2.3 Property, plant and equipment valuation

The finding was addressed. The asset register was updated.

2.4 Impairment of assets

The finding was not addressed. The Council did not assess the assets for impairment.

2.5 Suspense account

The finding was addressed. The imbalance was cleared.

2.6 Segment reporting

The finding was not addressed. The Council did not disclose its segment information.

2.7 Revenue recognition.

The finding was addressed. The Council land sales were recognised on accrual basis.

2.8 Expenditure without supporting documents

The finding was addressed. The Council improved filling system, payment vouchers are now filled with the required supporting documents.

2.9 Water works

The finding was addressed. A meter was acquired and installed.

2.10 School infrastructure

The finding was addressed. A new primary and secondary school was constructed at Mathendele.

I have audited the financial statements of Rusape Town Council for the years ended December 31, 2023 and I issued an adverse opinion.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial Statements do not present fairly, the financial position of Rusape Town Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs)**.**

Basis for Adverse Opinion

i. Incomplete records

The Council had incomplete records to support the payables balances and expenditure amounts recognised in the financial statements. As a result, I could not verify the valuation, accuracy and completeness of the payables balances and expenditure amounts disclosed.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency denominated transactions and balances into ZWL using interbank exchange rates. The exchange rates used did not meet the definition of spot rate in accordance with IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", as foreign currency was not available for immediate delivery. In addition, monetary items were not translated at the closing rate and foreign exchange gains or losses were not recognised. Had Council applied spot rate and recognised foreign exchange gains or losses, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17- "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. In addition, the Council did not separate land from buildings contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 74 which requires land and buildings to be accounted for separately. Had the Council recognised infrastructure assets and separated land from buildings, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council classified properties held to earn rentals such as beerhalls and leased houses as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rental income to be classified as investment property. Had the Council classified properties held to earn rental income as investment property, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Incomplete records

Finding

The Council had incomplete records to support the payables balances and expenditure amounts recognised in the financial statements. There was no evidence that the Council was maintaining ledgers, sub-ledgers and reconciliations on all foreign currency transactions. As a result, amounts recognised in the financial statements were not supported by the trial balance.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should maintain ledgers and reconfigure the accounting system to support multi-currency transactions.

Management response

We acknowledge the auditors' finding. Previously PROMUN system did not have a nostro cashbook and the service provider was still finding a solution to cater for the problem. The service provider came up with a solution in January 2026 and we are in the process of upgrading.

1.2 Foreign currency transactions

Finding

The Council translated foreign currency denominated transactions and balances into ZWL using interbank exchange rates. The exchange rates used did not meet the definition of sport rate in accordance with IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", as foreign currency was not available for immediate delivery. In addition, monetary items were not translated at the closing rate and foreign exchange gains or losses were not recognised.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should use the spot rates and recognise foreign exchange gains or losses in surplus or deficit.

Management response

We acknowledge the auditors' finding. We are going to implement as per the auditors' recommendation.

1.3 Valuation of property, plant and equipment

Finding

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 6 which requires items that meet the definition of an asset to be recognised.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise infrastructure assets in the financial statements.

Management response

Land was not accounted for due to the fact that land valuation was never done before. It will be valued and included in 2025 financial statements.

1.4 Investment property

Finding

The Council classified properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rental income to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise properties held to earn rental income as investment property.

Management response

The auditors finding is acknowledged. This was due to lack of asset valuation so the Council could not separate investment property from property, plant and equipment. Going forward Council is going to carry out asset valuation and separate investment assets from property, plant and equipment at correct values.

2. SERVICE DELIVERY

2.1 Solid waste management

Finding

The Council did not have a landfill for disposal of waste material. As a result, the Council was using a dumpsite at Tsanzaguru. This was contrary to the Environmental Management Act [*Chapter 20:27*], First Schedule 11(a) which requires the Council to have a landfill facility for solid waste management.

Risk/ Implication

Financial loss due to fines and penalties.

Health hazards to the community.

Recommendation

The Council should mobilise funds to establish a landfill in compliance with environmental laws and regulations.

Management response

Council acknowledge the audit finding. Currently Council is using the Tsanzaguru temporal dumpsite only. Council to prioritise the construction of EMA compliant landfill albeit in a phased approach. In 2026 Council to prioritise pegging and surveying of a possible site.

3. PROGRESS IN ADDRESSING AND IMPLEMENTATION OF PRIOR YEAR AUDIT FINDINGS AND RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 annual report. I raised three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below;

3.1 Foreign exchange rates

The finding was addressed. Foreign currency denominated transactions and balances of the Council were translated at appropriate exchange rates.

3.2 Financial reporting in hyperinflationary economies

The finding was addressed. The Council used the correct base numbers.

3.3 Property, plant and equipment and investment property

The finding was not addressed. Council did not separately recognise beerhalls and houses as investment property.

I have audited the financial statements of Shurugwi Town Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Shurugwi Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise land reserve in the financial statements. The Council did not determine the land value include its land reserve in the asset register. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 50 which requires land to be disclosed as a separate class. Had the Council recognised its land reserve, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWG0.11 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires fair value of investment property to be disclosed at the reporting date. Had the Council disclosed the fair value of its investment property, the financial statements would have been materially different.

iii. Unsupported expenditure

Expenditure amounting to ZWG4.9 million disclosed in the financial statements was not supported with the requisite documents such as receipts and supplier invoices. I could not satisfy myself on the accuracy and validity of expenditure reported in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue''

The Council recognised stand sales revenue amounting to ZWG87.5 million on cash basis. This was contrary to IPSAS 47- "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. Had the Council recognised stand sales on accrual basis, the financial statements would have been materially different.

v. Payables

Included in the financial statements are payables amounting to ZWG1.52 million without supporting documentation such as supplier statements and reconciliations. I could not satisfy myself on the valuation, accuracy and completeness of payables recognised in the financial

statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Land reserve

Finding

The Council's land reserve was not valued and incorporated in the fixed assets register resulting in the land not being accounted for in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 50 which requires land to be disclosed as a separate class.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for its land reserve in the financial statements in line with the requirements of IPSAS 45.

Management response

The observation is noted. However, Council managed to conduct a revaluation exercise in 2025 where land was separated from buildings.

1.2 Investment property

Finding

The Council did not disclose the fair value of its investment property with a carrying amount of ZWG0.11 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires the fair value of investment property to be disclosed at the reporting date.

Risk/ Implication

Misstatements of financial statements.

Recommendation

The Council should disclose the fair value of its investment property.

Management response

Council subsequently went on to conduct a revaluation exercise for all its assets in the year 2025, which includes fair values for investment property and will be available for 2025 audit.

1.3 Expenditure

Finding

Expenditure amounting to ZWG1.52 million was not supported by the requisite documentation such as supplier invoices and receipts. This was contrary to section 53(1) of Statutory Instrument 144 of 2019 which requires all expenditure to be adequately supported.

Risk/ Implication

Misstatement of financial statements.

Financial loss due to unauthorized expenditure.

Recommendation

All expenditure should be supported by the requisite documentation.

Management response

We want to highlight that we conducted a thorough search and some documents such as goods received vouchers were found to be misplaced. We have noted the issue and are taking steps to address it through improving our filing system.

1.4 Stand sales

Finding

The Council recognised stand sales revenue amounting to ZWG87.5 million on cash basis. The stand sales revenue relates to funds receipted for stand sales that were made in the prior years. This was contrary to IPSAS 47 – "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stand sales revenue on accruals basis in line with IPSAS 47.

Management response

Observation noted.

1.5 Payables

Finding

Payables amounting to ZWG1.52 million did not have supporting documentation such as supplier statements and reconciliations. This was contrary to section 53(1) of Statutory Instrument 144 of 2019 which requires all payables to be adequately supported.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should obtain supplier statements and perform monthly reconciliations.

Management response

Observation noted. The Council is still pursuing the suppliers to obtain statements and confirmations.

1.6 Fuel benefit

Finding

The Council was processing monthly fuel benefit for the Council Chairperson. An amount of USD 3 726 was paid without the approval of the parent Ministry. This was contrary to section 112 (1) of the Urban Councils Act [*Chapter 29:15*] which requires all Councilor's allowances and benefits to be approved by the Minister.

Risk/ Implication

Financial loss due to payment unauthorised expenditure.

Recommendation

Council should seek Ministerial approval for any allowances or benefits paid to Councilors other than their monthly allowances.

Management response

The recommendation is noted. Monthly fuel allocation to the Council Chairman was allocated to cover basic daily local errands on Council business as separate from his journeys outside the local area. Fuel allocation to the Council Chairman has been suspended as we seek approval from the Ministry

1.7 Estate funds

Finding

The Council utilised estates funds amounting to ZWG47.91 million for recurrent expenditure. This was contrary to section 300 (2) of the Urban Councils Act (*Chapter 29:15*) which requires Estate funds to be utilised for related capital expenditure. The funds borrowed from the estates account were yet to be refunded as the Council was facing liquidity challenges.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should utilise estates funds for specified purposes.

Management response

Our delay to repay back estate funds on time was mainly caused by the liquidity challenges.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing audit findings and recommendations raised in my 2024 report. I raised eight (8) audit findings, two (2) were addressed and six (6) were not addressed as indicated below;

2.1 Financial reporting in hyperinflationary economies

The finding was addressed. Council adjusted its financial statements for inflation.

2.2 Cash and cash equivalents

The finding was addressed. The variances between cash book and bank reconciliations were resolved.

2.3 Unsupported expenditure

The finding was not addressed. The Council did not provide supporting documents for expenditure.

2.4 Payroll reconciliations

The finding was not addressed. Council is yet to prepare monthly payroll reconciliations.

2.5 Land reserve

The finding was not addressed. The Council did not put a comprehensive register in place to account for land.

2.6 Sewerage reticulation

The finding was not addressed. The Council is yet to rehabilitate its water infrastructure.

2.7 Procurement of generator

The finding was not addressed. The generator paid for in January 2022 is yet to be delivered.

2.8 Non-revenue water

The finding was not addressed. The Council is yet to rehabilitate its water infrastructure.

I have audited the financial statements of Zvishavane Town Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Zvishavane Town Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment", IPSAS 46 - "Measurement" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not revalue its property, plant and equipment since 2017 except for transport equipment. However, I was not availed with assumptions used in the revaluation of transport equipment valued at ZWG9.88 million. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the current values at the reporting date and IPSAS 46 - "Measurement" paragraph 54 which requires disclosure of assumptions used.

In addition, the Council did not recognise land contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 6 of which requires land to be recognised as it satisfies the recognition criteria of an asset.

The Council did not also carry out an impairment assessment of its assets contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment to be carried at each reporting date. Had the Council revalued its assets, recognised land and assessed for impairment on its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment property contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires the disclosure of the fair values of the investment property. Had the Council disclosed the fair values of its investment properties, the amount disclosed in the financial statements would have been fairly presented**.**

iii. Payables

There was an unresolved variance of ZWG5.52 million between payables disclosed in the financial statements of ZWG17.70 million and balance as per payables listing of ZWG23.23 million. In addition, I was not availed with supporting documents such as supplier statements and subsequent payment details for payables reported in the financial statements. I could not satisfy myself as to the accuracy, completeness and validity of the payables disclosed in the

financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council recognised an allowance for credit losses of ZWG8.55 million at a flat rate of 5% on gross receivables without taking into account the recoverability and changes in credit risk of the receivables. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. In addition, the Council had receivables with a total credit balance of ZWG17.22 million which could not be resolved. Had the Council made an assessment of allowance for credit losses and cleared the credit balances, the receivables balance would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised income from stand sales and beer levy amounting to ZWG21.07 million and ZWG1.70 million respectively on a cash basis. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis.

In addition, the Council posted unsupported journals resulting in a variance of ZWG36.22 million between billable income as per financial statements of ZWG130.77 million and billing reports ZWG 94.55 million. I could not satisfy myself as to the accuracy and validity of income reported in the financial statements.

vi. Payroll

There was an unresolved variance of ZWG1.76 million between payroll summaries balance of ZWG36.20 million and balance disclosed in the financial statements of ZWG37.96 million. I could not satisfy myself on the completeness and accuracy of payroll costs reported in the financial statements.

vii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, receivables and payables of its three (3) Schools in the financial statements for fair presentation. This was contrary to IPSAS 1 – "Presentation of Financial Statements" paragraph 27, which requires financial statements to present fairly the financial position, financial performance and cash flows of the Council. As a result, no segment information was reported in respect of Council education services segment contrary to IPSAS 18 - "Segment Reporting" paragraphs 52-57 which requires the Council to disclose for each segment, assets, liabilities, revenue, and expenses. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Submission of financial statements

Finding

The Council did not submit financial statements for the year ended December 31, 2024, within the statutory deadline. The financial statements were submitted for audit in July 2025, contrary to the Public Finance Management Act [*Chapter 22:19*] section 49, which requires financial statements to be submitted for audit within two (2) months after the end of the financial year.

Risk/ Implication

Transparency and accountability may be compromised.

Recommendation

Council should submit financial statements within the statutory deadline.

Management response

The observation was noted. Delays were caused by system failure we encountered during the period under review. We had to request the services of a system specialist to attend to these challenges. We also had a breakdown of our server due to power outages. Council ended up procuring a new server and specifically solarized the system.

1.2 Accounting for schools

Finding

The Council did not recognise the revenue, expenses, receivables and payables of its three (3) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. In addition, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

Council should recognise its schools in the financial statements.

Management response

The observation was noted. Council requested for audited financial statements from its three schools. However, upon scrutinizing them it was realized that the sets of financial statements fell far too short to meet the requirements of IPSAS, hence we could not consolidate them into our financial statements.

1.3 Asset valuations

Finding

The Council did not revalue its property, plant and equipment since 2017 except for transport equipment. However, I was not availed with assumptions used in the revaluation of transport equipment valued at ZWG9.88 million. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from the current values at the reporting date and IPSAS 46 - "Measurement" paragraph 54 which requires disclosure of assumptions used.

In addition, the Council did not recognise land contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 of which requires land to be recognised as it satisfies the recognition criteria of an asset.

The Council did not also carry out an impairment assessment of its assets contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment to be carried at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for property, plant and equipment in line with IPSAS 45, IPSAS 46 and IPSAS 21.

Management response

Council notes the observation. We have written to the Ministry of Public Works` valuation department to come and carry out valuation of all properties within Council`s jurisdiction and we have rolled it to 2026 financial year where a budget of US$35,000 was provided. We will perform annual impairment test going forward.

1.4 Investment property

Finding

The Council did not disclose the fair value of its investment property contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires the disclosure of the fair values of the investment property. This was due to the Council not having in-house expertise to determine fair values and financial constraints to engage professional independent valuers.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose fair value of its Investment Property.

Management response

The observation is noted and agreed. This was due to lack of in-house expertise on the fair valuation model approach, and lack of financial resources to engage professional independent valuers. Council is planning to fully implement IPSAS by the end of 2026 and committed to engage experts to re-value all its investment properties using fair value model and train accounting staff on IPSAS and Zimbabwe Financial Reporting Manual. IPSAS training is ongoing in accordance with the IPSAS Implementation Matrix and Action Plan.

1.5 Payables

Finding

The Council was not performing monthly payables reconciliations. As a result, there was an unresolved variance of ZWG5.52 million between payables disclosed in the financial statements of ZWG17.70 million and balance as per payables listing of ZWG23.23 million. In addition, I was not availed with supporting documents such as supplier statements and subsequent payment details for payables reported in the financial statements. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish a strong system of financial management and internal control.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should investigate and resolve variances.

Management response

The observation was noted. We will investigate the variances and adjust them in the 2025 accounts.

1.6 Payroll reconciliations

Finding

Council was not performing payroll reconciliations on monthly basis. As a result, there was an unresolved variance of ZWG1.76 million between payroll summaries balance of ZWG36.20 million and balance disclosed in the financial statements of ZWG37.96 million. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish a strong system of financial management and internal control.

Risk/ Implication

Fraudulent activities may go undetected.

Misstatement of financial statements.

Recommendation

Council should perform monthly payroll reconciliations.

Management response

Council notes the observation. This was due to not performing reconciliations and we will implement the audit recommendation going forward.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Billing reports

Finding

The Council posted unsupported journals resulting in a variance of ZWG36.22 million between billable income as per financial statements of ZWG130.77 million and billing reports ZWG 94.55 million. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter 22:19*] which requires Council to establish strong system of financial management and internal control.

Recommendation

The Council should investigate the variances and avail supporting documents for journals made.

Management response

Council notes the observation. The variance however was attributed to online debit and credit journals effected during the year. We will improve our filing system going forward.

2.2 Non-revenue water

Finding

The Council billed 3.46 mega litres out of the 5.43 mega litres of water produced during the year resulting in a 36.24% loss of treated water. The percentage of water loss was above the world standard non-revenue water loss of 25%. This was due to vandalism on the water distribution network.

Risk/ Implication

Financial loss from non-revenue water.

Recommendation

Council should engage the community to avoid vandalism of infrastructure.

Council should carry out inspections and maintenance of the infrastructure.

Management response

The observation was noted. Council is in the process of engaging the community to mitigate vandalism on the distribution network. Maintenance of leaked pipes is ongoing.

2.3 Revenue recognition

Finding

The Council recognised income from stand sales and beer levy amounting to ZWG21.07 million and ZWG1.70 million on a cash basis. This was contrary to IPSAS 47 - “Revenue” paragraph 3 which requires revenue to be recognised on using the accruals basis. In addition, the Council did not obtain beer sales schedule from the breweries contrary to the Traditional Beer Act [*Chapter 14:24*] section 15 which requires the Council to obtain records of production to verify the accuracy of the amount remitted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognize its revenue on accrual basis in accordance with IPSAS 47.

Management response

The observation was noted. This was due to oversight and we are going to comply with IPSAS 47 in treatment of stand sales. On beer levy, Council has assigned dedicated personnel to make follow ups on returns and remittances from the brewer. The only return outstanding was for the month of December 2024 which was received in 2025.

2.4 Debtors' balances management

Finding

The Council recognised an allowance for credit losses of ZWG8.55 million at a flat rate of 5% on gross receivables without taking into account the recoverability and changes in credit risk of the receivables. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. In addition, the Council had receivables with a total credit balance of ZWG17.22 million which could not be resolved.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should take into account the recoverability and changes in credit risk of the receivables in determining allowance for credit losses.

Council should perform debtors' reconciliations and clear the credit balances.

Management response

The observation was noted. This was due to misposts and investigations and necessary adjustments to be done on all accounts with credit balances in the 2025 financial statements. In addition, Council is going to coordinate with the systems vendor to fix the ageing problem, and we will ensure that adequate provision for bad debts is made in future years in line with IPSAS 41.

3 EMPLOYMENT COSTS

3.1 Allowances and benefits taxation

Finding

The Council processed benefits such as cost-of-living adjustment (COLA) allowance, encashment, school fees, representation allowances amounting to ZWG11.12 million outside the payroll. This was contrary to section 8 (f) of the Income Tax Act [*Chapter 23.06*] which requires benefits accruing to employees to be taxed.

Risk/ Implication

Financial losses due to penalties and interests.

Recommendation

All employee benefits should be processed through the payroll and taxed accordingly.

Management response

The observation was noted. This was due to Integration of USD and ZWG in the payroll system. Council engaged Belina payroll system to incorporate COLA (US$) in the payroll system and the process is ongoing.

3.2 Salary level compliance

Finding

The salaries to expenditure ratio 47:53 for year 2024 was not in line with the Ministerial directive on salary rationalisation. According to the Ministry of Local Government directive CX 1/54 dated 31 May 2010 on salary rationalisation, the salaries to expenditure ratio should be 30:70.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should rationalize its salaries and allowances and ensure compliance with the circular.

Management response

The observation was noted. The ratio of salaries to expenditure increased because Council did not budget for overtime expenditure. Going forward we will try to rationalise the salaries and allowances to meet the benchmark.

4 SERVICE DELIVERY

4.1 Public sewerage services

Finding

The Council sewer infrastructure was aged, and its capacity was no longer sustaining the growing population resulting in persistent sewer spillages in Highlands, Izayi Park and Kandodo areas. The sewer transfer stations were not functional, and the sewer ponds were not fenced. The Council had budgeted ZWG34.56 million on sewerage services however, no upgrading was done due to funding constraints.

Risk/ Implication

Service delivery may be compromised.

Financial loss due to fines and penalties.

Recommendation

Council should rehabilitate its sewer infrastructure.

Management response

Council notes the observation. Efforts are being made to rectify the issues raised. Some sewerage upgrade works are currently underway along Slater Avenue, and we have already completed the upgrade of Escrow sewer line. Community awareness is also being done in the wards so that they do not discharge any objects on the manholes. Vegetation clearance and clearing of sewer treatment facilities is ongoing and underway. We already have plans to install security fence which was vandalised. Council has also set aside funds for sewer upgrade in its 2026 proposed budget.

5 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 report. I raised twenty-eight (28) findings, two (2) were addressed, five (5) were partially addressed and twenty-one (21) were not addressed as indicated below;

5.1 Accounting for Schools

The finding was not addressed. Council did not account for its Schools.

5.2 Foreign exchange gain

The finding was addressed. The Council now has a module recording foreign exchange gains and losses.

5.3 Asset revaluation

The finding was not addressed. The Council did not revalue its assets.

5.4 Donated assets

The finding was not addressed. Donated assets were recognised in the financial statements.

5.5 Accounts receivables

The finding was not addressed. There was an unresolved variance on Council receivables.

5.6 Trade and other payables

The finding was not addressed. Council did not resolve the variance between the payroll creditors listing and the balance disclosed in the ledger.

5.7 Suspense account balance

The finding was addressed. Council cleared the suspense account balance.

5.8 Taxation of allowances and benefits

The finding was not addressed. Council processed some allowances or benefits outside payroll.

5.9 Inventory management

The finding was partially addressed. PROMUN training for inventory module was done.

5.10 Estate funds reconciliation

The finding was not addressed. Council did not reimburse estate funds.

5.11 Beer levy

The finding was not addressed. The Council did not obtain sales schedules from brewer.

5.12 Lease and house rentals

The finding was not addressed. Council accounted for rentals on cash basis.

5.13 Title deeds

The finding was partially addressed. The Council applied for title deeds at the Deeds Office.

5.14 Accounting policies, changes in accounting estimates and errors

The finding was not addressed. The Council did not correct the errors.

5.15 Property, plant and equipment

The finding was not addressed. The Council did not have a detailed asset register.

5.16 Dumpsite

The finding was not addressed. Council is using a temporary dumpsite.

5.17 Public lighting

The finding was partially addressed. All streetlights were repaired and new tower lights were budgeted for in areas that do not have.

5.18 Provision of health facilities

The finding was partially addressed. Construction of clinic is work in progress.

5.19 Partial utilisation of PROMUN system and data integrity

The finding was not addressed. Council did not fully utilise the PROMUN system.

5.20 Purchase of goods and services

The finding was not addressed. Council did not avail supporting documents for goods purchased.

5.21 Lease and house rentals

The finding was not addressed. Some of the occupants did not have valid lease agreements.

5.22 Service level agreements

The finding was not addressed. Council did not have service level agreements.

5.23 Water leakages

The finding was not addressed. Council did not put in place a rehabilitation plan for the water distribution system.

5.24 Employment costs

The finding was not addressed. Benefits were being processed outside payroll.

5.25 Payroll reconciliations

The finding was not addressed. Reconciliations were not being done.

5.26 Fire protection

The finding was not addressed. The Council did not have a proper fire station and emergency toll free number.

5.27 Water supply

The finding was not addressed. Council did not service non-functional meters.

5.28 Provision of public sewer

The finding was partially addressed. Council is working on project of public sewer.

LOCAL BOARDS

I have audited the financial statements of Chirundu Local Board for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chirundu Local Board as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The foreign currency denominated transactions and balances were translated into ZWL using interbank exchange rates in 2022 and 2023 financial years. The exchange rates used did not meet the definition criteria of spot rate as foreign currency was not available for immediate delivery at these rates. Had the Board applied appropriate spot rates in accordance with the requirements of the IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", some elements of the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Board last revalued its property, plant and equipment in 2019 despite changes in the operating environment that affected fair values. This was contrary to of IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluation to be carried out with sufficient regularity, so that the carrying amount of an asset does not differ materially from its current value at the reporting date.

In addition, the Board did not recognise land reserve in Mopane in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 5 which requires land reserve to be recognised as property, plant, and equipment. Had the Board revalued its assets and recognise land reserves, the financial statements would have materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 26 - "Impairment of Non- Cash Generating Assets"

The Board did not assess its assets for impairment despite the assets having indications of impairment. This was contrary to IPSAS 26 - "Impairment of Non- Cash Generating Assets" paragraph 26 which requires the Board to assess its assets for indicators of impairment at each reporting date. Had the Board assessed its assets for impairment indicators the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Board recognised receivables amounting to ZWL1.48 billion without performing a re-assessment of the expected credit losses for the year thereby adopting the prior year figure in the current year. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 81,

which requires an entity to assess at the end of the reporting period whether there is any objective evidence that a financial asset may be impaired. As a result, I was unable to satisfy myself on the valuation of receivables disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47- "Revenue"

The Council recognized beer levy revenue amounting to ZWL186.56 million on a cash basis. This was contrary to IPSA 47 - "Revenue" paragraph 3 which requires revenue to be recognized on an accrual basis. As a result, I could not satisfy myself on the completeness and accuracy of revenue recognized in the financial statements.

vi. Unsupported expenditure

Expenditure amounting to ZWL105.7 million was not supported by the requisite documentation such as supplier invoices and receipts. I therefore could not satisfy myself as to the accuracy and validity of expenditure balances disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Board last revalued its property, plant and equipment in 2019 despite changes in the operating environment that affected fair values. This was contrary to of IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluation to be carried out with sufficient regularity, so that the carrying amount of an asset does not differ materially from its current value at the reporting date.

Risk/ Implication

Misstated of financial statements.

Recommendation

The Board should revalue its assets in line with IPSAS 45.

Management response

The Board has not undertaken a comprehensive revaluation exercise since 2019 due to limited resources and lack of in-house valuation expertise. Consequently, the cost model has continued to be applied in line. Therefore, Council shall adopt the revaluation model in line with IPSAS 45 - "Property, Plant and Equipment", which recommends that revaluations must be performed regularly so that carrying amounts don't materially differ from current value at reporting date. The Board shall continue to coordinate with the Department of Valuations in the Ministry of Local Government and Public Works, to get assistance in valuing its Property, plant, and equipment.

1.2 Land reserves

Finding

The Board did not recognise land reserve in Mopane in the financial statements contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 5 which requires land to be recognised as property, plant, and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Board should recognise land reserve in the financial statements.

Management response

We acknowledge the audit finding that our 2023 financial statements did not include Mopane land as part of our reserved land, which was omitted in error. We will take immediate action to rectify the error and ensure that the financial statements are updated to reflect the correct valuation. We will update our records to include the omitted aspect and review our internal controls to prevent similar omissions in the future.

1.3 Impairment of assets

Finding

The Board did not assess its assets for impairment despite the assets having indications of impairment. This was contrary to IPSAS 26 - “Impairment of Non- Cash Generating Assets” paragraph 26 which requires the Board to assess its assets for indicators of impairment at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should regularly assess and record and recognise impairment on assets.

Management response

The Board shall conduct a comprehensive inspection and assessment of assets in line with IPSAS 26. The process shall involve prioritizing those assets that pose the highest risk to safety and service delivery. Renovation or repair works shall commence with these critical structures.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Board recognised receivables amounting to ZWL1.48 billion without performing a re-assessment of the expected credit losses for the year thereby adopting the prior year figure in the current year. This was contrary to International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments" paragraph 81, which requires an entity to assess at the end of the reporting period whether there is any objective evidence that a financial asset may be impaired.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Board should assess expected credit losses at each reporting date.

Management response

Council acknowledges the audit finding regarding receivables, where no allowance for Expected Credit Losses (ECL) was considered. Management recognizes that this is not fully aligned with IPSAS 41 - Financial Instruments, which requires an assessment of potential impairment at the end of each reporting period. Council shall assess the credit risk of all receivables, considering past payment behaviour, outstanding balances and the likelihood of default. Finance staff shall receive in-house training on IPSAS 41 and how to calculate ECL.

2.2 Beer levy income

Finding

The Board recognized beer levy revenue amounting to ZWL186.56 million on cash basis. This was contrary to IPSA 47 - "Revenue" paragraph 3 which require revenue to be recognized on accrual basis. The Board did not obtain beer sales schedules from the breweries contrary to the Traditional Beer Act [*Chapter 14:24*], Section 15 which requires the local authorities to obtain production records of controlled liquor monies to verify the accuracy of the amount to be remitted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Board should obtain beer sales schedules and account for beer levy on accrual basis.

Management response

To ensure compliance and transparency, Council shall request monthly statements from breweries, which provide detailed calculations and supporting information on how beer levy figures have been calculated. These statements shall be used to support beer levy deposits.

3 PROCUREMENT OF GOODS AND SERVICES

3.1 Procurement of motorised grader

Finding

The Council entered a contract for the supply of a motorised grader on July 08, 2022 at a cost of USD269 762. The contract required delivery of the grader within four (4) weeks from the date of signing of the contract. The Board made an advance payment amounting to USD137 300. However, the grader was not delivered, and the Board had not recovered the amount paid.

Risk/ Implication

Financial loss due to irregular procurement.

Recommendation

The Board should engage the supplier for the delivery of the grader or recover the amount paid.

Management response

The procurement of the grader was to be financed through Devolution funds. The supplier, who also holds contracts with other local authorities, previously experienced delays in receiving payments under those contracts. Therefore, during contract negotiations, it was agreed that Board would make payment for the grader prior to delivery. However, delays in the disbursement of Devolution funds affected timely payment, which in turn delayed delivery. To address this, Council has since secured alternative financing for the grader, and delivery has been scheduled for the first week of September 2025.

Management notes that while the original contract period has lapsed. The supplier has expressed willingness to proceed with the contract provided the outstanding balance is settled. Management confirms that the remaining balance for the grader shall be paid using ZINARA funds, for which approval has already been granted by ZINARA.

3.2 Unsupported expenditure

Finding

Expenditure amounting to ZWL54.18 million was not supported by the requisite

documentation such as supplier invoices and receipts. This was contrary to the provisions of Statutory Instrument 144 of 2019 (Treasury Instructions), section 53 (1) which requires all expenditure to have adequate supporting documentation.

Risk/ Implication

Financial loss due to fraud.

Recommendation

Expenditure should be supported by requisite documentation.

Management response

Some of the invoices are now faded and the information is hard to read. All the same, the Beerhall has been closed and shall be leased out to a tenant under a formal lease agreement. This shall significantly reduce the risks of undocumented transactions and improve Council's revenue base through rental income.

Despite the closure, management is committed to tracing all historical beerhall transactions. As part of this process, Council shall formally engage Delta Beverages, to obtain official statements for the period covered by the transactions.

Going forward, all transactions must be supported by complete documentation and reviewed by Internal Audit or an authorised person. Monthly reconciliation shall be done, to prevent a recurrence of such audit issues. Invoices and other documents shall also be scanned to preserve them.

4 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Board did not make progress in addressing findings that I raised in my 2024 report. I raised three (3) findings and all of them were not addressed as indicated below;

4.1 Land and buildings

The finding was not addressed. The Board did not revalue its land and buildings.

4.2 Alignment of accounting processes to the reporting framework

The finding was not addressed. The Board did not align its accounting processes and did not perform a valuation to separate its land and buildings.

4.3 Revenue completeness

The finding was not addressed. The Board did not maintain an updated database.

I have audited the financial statements of Epworth Local Board for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Epworth Local Board as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Standards (IPSASs).

Basis for Adverse Opinion

i. Non- compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions using monthly average exchange rates in a hyper inflationary environment. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 25 which requires the use of spot rates on the date of transactions when exchange rates fluctuate significantly. Had the Council used spot rates at the date of transactions, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue its assets since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from that which would be determined using current values at the reporting date. Had the Council revalued its assets, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 43 - "Leases"

The Council did not recognise quarry lease income and receivables in respect of the lease consideration of 10% of finished stones aggregate produced by the lessee for the past 20 years. This was contrary to IPSAS 43 - "Leases" paragraph 81 which requires the lessor to recognise lease income and the related receivable. Had the Council recognised revenue and receivables from lease of the quarry, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - Financial Instruments"

The Council recognised an allowance for credit losses of ZWL237.02 million at a flat rate of 7.5% on gross receivables of different credit risk. This was contrary to IPSAS 41 - "Financial instruments" paragraph 81, which requires the Council to consider credit risk on assessment of expected credit losses. Had the Council assessed credit risk, the receivables balance would have been materially different.

Below are material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Translation of foreign currency transactions

Finding

The Council translated foreign currency transactions using monthly average exchange rates in a hyper inflationary environment. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 25 which requires the use of spot rates on the date of transactions when exchange rates fluctuate significantly.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should translate foreign currency transactions using spot rates.

Management response

Council is in the process of implementing Sage Pastel evolution which uses multi-currency module to facilitate spot rate.

1.2 Revaluation of assets

Finding

The Council did not revalue its assets since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from that which would be determined using current values at the reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets in compliance with IPSAS 45.

Management response

Assets revaluation was last done in 2009. Revaluation to be conducted in 2025.

1.3 Allowance for expected credit loss

Finding

The Council recognised an allowance for credit losses of ZWL$237.02 million at a flat rate of 7.5% on gross receivables of different credit risk. This was contrary to IPSAS 41 - “Financial instruments” paragraph 81, which requires the Council to consider credit risk on assessment of expected credit losses.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council’s financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should consider the credit risk of receivables when recognising allowance for credit loss.

Management response

Debtors were categorised into rates, stand sales and staff debtors and management will implement IPSAS 41 to come up with categorised classes of credit losses as per debtors aged analysis.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Lease revenue

Finding

The Council did not obtain production information of finished stone aggregate from the lessee. As a result, the revenue and receivables in respect of the 10% lease consideration was not recognised. This was contrary to IPSAS 43 - “Leases” paragraph 81 which requires the lessor to recognise lease revenue and receivable.

Risk/ Implication

Misstatement of financial statements.

Financial loss due to non-collection of lease revenue.

Recommendation

The Council should obtain production information of finished stone aggregate and recognise revenue and receivables.

Management response

Management to comply with all lease recommendations.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings I raised in my 2024 report. I raised five (5) audit findings, one (1) was addressed and four (4) were not addressed as indicated below;

3.1 Estate funds

The finding was not addressed. The Council is yet to reimburse the estate fund account.

3.2 Stand sales

The finding was not addressed. The Council is yet to recognise stand sales on an accrual basis.

3.3 Valuation of property, plant and equipment

The finding was not addressed. The Council did not perform a revaluation of property, plant and equipment.

3.4 Grants

The finding was addressed. The Council recognised revenue from grants on receipt.

3.5 Translation of foreign currency transactions and inflation accounting

The finding was not addressed. The Council did not translate foreign currency transactions at spot exchange rates.

I have audited the financial statements of Hwange Local Board for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Hwange Local Board as at December 31, 2023, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting"

The Council did not recognise revenue, expenses, receivables, and payables of its three (3) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires Council to identify and disclose its separate segments. Had the Council disclosed the education segment, the financial statements would have been materially different.

ii. Opening balances

The Local Board's prior year financial statements were modified due to non-compliance with the requirements of International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" as assets were last revalued in 2009. In addition, the Local Board did not correct a prior year suspense account balance of ZWL66.01 million reported under receivables and a current year imbalance of ZWL1.14 billion included in payables as Council was not maintaining complete accounting records and was not practicing the principle of double entry. The misstatements in the prior year financial statements had not been corrected in line with the requirements of (IPSAS) 3 - "Accounting policies, Changes in Accounting Estimates and Errors", resulting in material misstatement in the opening balances carried forward in the current year. Had the Council corrected the prior misstatements, the financial statements would have been materially different.

iii. Unsupported expenditure

Expenditure amounting to ZWL649 million was not supported with the requisite documents such as quotations, invoices, goods received notes and payment vouchers. In addition, a cash withdrawal from the rates bank account amounting to USD20 624 had no supporting document such as payment vouchers, cashbooks, invoices and delivery notes. As a result, I could not satisfy myself on the accuracy and validity of expenditure reported in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Travel and subsistence allowances

Finding

The Local Board paid ZITF travel and subsistence allowances amounting to ZWL2.15 million to individuals who were not staff members. I was not availed with evidence that such payments were approved as there was no policy or Council resolution to support the payments.

In addition, the Accounting Officer claimed accommodation and mileage expenses amounting to ZWL758 368 despite the expense having been paid directly to the Hotel and the car rental company as shown in the table below:

Date	Description	Amount paid (ZWL)	Amount claimed (ZWL)
17/02/23	Hotel	155 000	66 500
15/03/23	Hotel	310 000	217 000
21/03/23	Hotel	465 000	325 000
26/04/23	Car hire	2 480 325	149 868

Risk/ Implication

Financial loss due to irregular and unapproved payments.

Recommendation

The Council should recover all the irregular payments made.

Management response

The resolution on the payment of Spouses' Travel and Subsistence for the Town Secretary and the Board Chairperson could not be located during the audit due to lapse in institutional memory. However, this has remained a practice for Hwange local Board for decades, and the arrangement was put in place to deal with the exorbitant accommodation fees during the Trade Fare period. On the over-paid Claims, the omission could be because of lapses in internal controls at some point due to the incapacitation of the accounts department at that time. The control environment has since been strengthened through recruitment and training and adequate checking and authorizations have been put in place before any payment can actually be processed. Reconciliations on the double payments will be made and any over payments made will be recovered accordingly. The Council provides an assurance that such omissions will not recur in future.

1.2 Foreign travel

Finding

I was not availed with a Cabinet Authority and Treasury concurrence for foreign trips undertaken by the Accounting Officer to South Africa and China in which Council paid an amount of ZWL 2.14 million and USD 2 250 in travel and subsistence allowances. This was contrary to section 39 of Treasury Circular 5/2023 which requires Accounting Officers to obtain Treasury Concurrence and Cabinet Authority before any foreign trip is sanctioned.

Risk/ Implication

Financial loss due to irregular and unapproved payments.

Recommendation

The Council should obtain Treasury Concurrence and Cabinet Approval for all foreign travels.

Management response

The China trip was a Ministry of Local Government initiative which required Council CEOs from Matabeleland North to accompany the Provincial Minister of State to China. Hwange Local Board was invited specifically because it is twinned to Ba Phalaborwa Municipality of the Limpopo Province in South Africa. We acknowledge that cabinet authority for the trips was not availed to auditors due to document misplacement. We are still engaging the Ministry for copies of the same and as soon as they are availed, they will be shared with the audit team.

1.3 Expenditure

Finding

Expenditure amounting to ZWL649 million was not supported with requisite documents such as quotations, invoices, goods received notes and payment vouchers. In addition, a cash withdrawal from the rates bank account amounting to USD20 624 had no supporting document such as payment vouchers, cashbooks, invoices and delivery notes. This was due to lack of proper record keeping by the accounts department contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires the Council to establish and maintain an effective, efficient and transparent system of internal controls.

Risk/ Implication

Financial loss due to fraud.

Misstatement of financial statements.

Recommendation

The Local Board should implement sound system of internal controls which facilitate recording and approval of all financial transactions.

All expenditure should be supported by the relevant documentation.

Management response

The gap is acknowledged, record keeping was an issue during the year 2023 due to staff shortages on the expenditure side of the accounts department, this situation has however improved significantly since the year 2024. All cash withdrawals are now fully acquitted for and cash disbursements signed for by each recipient. A policy will be developed to guide cash handling within Council. The policy should be adopted by Council and be in operation before the end of January 2026. The bank transfers were only obtained from the bank statements. Unfortunately, even the bank statement could not indicate the recipients of these funds and the purpose of payment, hence Council could not allocate it elsewhere other than under sundry expenditure.

1.4 Accounting for Schools

Finding

The Council did not recognise revenue, expenses, receivables, and payables of its three (3) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18- "Segment Reporting" paragraph 52 to 57, which requires Council to identify and disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should account for revenue, expenses, receivables and payables for its Schools in the financial statements.

Management response

Noted, the Council is working flat out to bring the accounts of the Council Schools into the Council books. Currently, the Schools do not have qualified personnel to maintain proper accounting records. Recruitment processes for key accounting personnel at the Schools is underway and Council targets to start consolidating the Schools effective 2025. Council will ensure the Schools accounts are subjected to audit before they are consolidated into the Council accounts.

1.5 Suspense balance

Finding

The Board did not maintain complete accounting records and was not practicing the principle of double entry. As a result, the financial statements for the year ended December 31, 2023, were based on incomplete records resulting in unresolved suspense account balance of ZWL1.14 billion included in payables.

In addition, the Board did not address the prior year imbalance of ZWL66.01 million reported under receivables. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires the Council to establish and maintain an effective, efficient and transparent system of internal controls.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Local Board should maintain complete books of accounts and practice principles of double entry when posting transactions.

Management response

The observation is noted and acknowledged. Council record keeping has not been up to standard to facilitate adequate double entry accounting. There have been so many gaps in both records keeping and the accounting system itself hence the continued suspense account. To address that, Council has hired accounts clerks and Accounting Assistants to try and facilitate the bank reconciliations. Council is also working to implement a new ERP to try and facilitate online processing of reconciliations and finally the preparation of financial statements.

1.6 Valuation of property, plant and equipment

Finding

The Local Board did not carry out a revaluation of its assets with a carrying amount of ZWL4.4 billion since 2009. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 29 which requires assets to be revalued with sufficient regularity. In addition, land was not separated from buildings resulting in land being depreciated contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 50 which requires land and buildings to be accounted for separately.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Local Board should carry out a revaluation of its property, plant and equipment with sufficient regularity and separate land and buildings in line with IPSAS 45 – "Property, Plant

and Equipment".

Management response

Noted, the Council acknowledges the need for the revaluation of all assets; after clearing the audit backlog (2024), Council will revalue all the assets and determine new values. The current setback is financial constraints.

1.7 Bank reconciliations

Finding

The Local Board did not perform bank reconciliations for its thirteen (13) bank accounts as they did not maintain manual or system cashbooks. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires establishment and maintenance of effective system of internal controls.

Risk/ Implication

Fraud and errors may not be detected on time.

Recommendation

The Council should maintain cashbooks and perform monthly bank reconciliations.

Management response

The gap is acknowledged, system cash books for all forex bank accounts have since been created on the accounting system to facilitate monthly reconciliations. Effective 2024, cash books for all bank accounts will be in the system. Council will also come up with a policy to guide the preparation and review of bank reconciliations showing clearly the timelines and responsible persons for all related duties

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Banking of cash receipts

Finding

The Local Board's cash receipts amounting to USD4 310 receipted at one of its Clinics from December 29, 2022, to April 26, 2023, was not banked and the Council could not account for the utilisation of the funds. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires maintenance of effective, efficient and transparent systems of internal controls.

Risk/ Implication

Misappropriation of cash.

Recommendation

The Council should enhance controls on management of cash receipts.

The Council should account for the utilisation of cash.

Management response

There was a serious breakdown in basic controls during the period, Council will put in place a procedure manual for cash receipts and cash handling. This will also include procedures for handling cash withdrawals, the custody of keys, banking procedures and many other issues around controls around cash handling. This policy should be ready and operational before the end of January 2026.

3. MANAGEMENT OF ASSETS

3.1 Industrial warehouse

Finding

The Council's central stores perimeter fencing was no longer intact as sections of the dura-wall had collapsed, the gate had no locks, there were no flood lights and electric or razor wire on the security wall. As a result, devolution building materials worth USD877 were stolen in February 2023. This was contrary to section 45 (a) of the Public Finance Management Act [*Chapter 22:19*] which requires Councils to establish strong systems of financial management and internal controls.

Risk/ Implication

Financial loss due to theft of Council assets.

Recommendation

The Local Board should improve security controls at its industrial warehouse.

Management response

Council acknowledges the gap and will improve both security and inventory management. Council will dispose of all unused materials and obsolete stock and improve on the security of the industrial area in general.

4 PROCUREMENT OF GOODS AND SERVICES

4.1 Contract management

Finding

The Council entered a contract with a cement manufacturing company for the sale of 20 000 square meters of land valued at USD140 000 on April 4, 2019 which was to be paid for in the form of supply of bags of cement. The contract did not specify the quantity of cement that Council was supposed to receive as payment for the land, the delivery period and the unit price of the cement. As at the time of audit in October 2025, the Supplier confirmed that Council was to receive 7 265 bags of cement implying a unit price of USD23 per bag excluding transport cost despite cement prices ranging between USD11 to USD13 during the time of transaction. The Council was yet to receive 3885 bags from the confirmed total quantity. This

was contrary to section 78 of the Public Procurement and Disposal of Public (PPDPA) Act which requires all procurement contracts to clearly specify the contract price and the delivery period.

Risk/ Implication

Financial loss due to irregular procurements and undelivered goods.

Lack of recourse in the event of disputes.

Recommendation

The Council should adhere to the requirements of the procurement regulations.

The Council should follow up on the delivery of the procured cement.

Management response

Council will ensure adherence with the procurement regulation going forward and ensure all parameters of the contracts are clearly specified. Unfortunately, the collection of cement from the supplier implies an agreement to the sale (exchange) conditions including the applicable price of $23 per bag excluding transportation being claimed by the supplier. Follow up is already underway and deliveries have started coming into Council (1000 bags in October 2025) under the same conditions. Council will recover all outstanding bags of cement as per the contract.

5 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The entity did not make progress in addressing audit findings and recommendations raised in my previous audit report. I raised twenty-one (21) audit findings, one (1) was addressed, one (1) was partially addressed and nineteen (19) were not addressed as indicated below;

5.1 Estate funds

The finding was not addressed as the Council was still utilizing estate funds for recurrent expenditure.

5.2 Supporting documentation

The finding was not addressed as the Council was still incurring expenditure without supporting documentation.

5.3 Inventory

The finding was not addressed as the Council was still to clear the inventory variances noted.

5.4 Payables

The issue was not addressed as the Council did not clear the suspense account balance.

5.5 Property, plant and equipment

The issue was not addressed as the Council did not avail supporting documentation for the assets.

5.6 Cash and cash equivalents

The finding was not addressed. The Council did not perform bank reconciliations.

5.7 Stand sales

The finding was not addressed. Council is yet to follow conditions set for stand sales.

5.8 Acquisition of motor vehicles

The finding was not addressed. The Council did not comply with prescribed governance in relation to procurement of motor vehicles.

5.9 Purchase of equipment (motorised grader and ambulance)

The finding was not addressed. The Council did not receive the purchased equipment.

5.10 Taxation of employee benefits

The finding was not addressed. The Council did not tax employee benefits.

5.11 Property, plant and equipment

The finding was partially addressed. The Council now has an asset register in place although incomplete.

5.12 Sale of un-serviced stands

The finding was not addressed. The Council did not comply with the provision of the Urban Councils Act and ring fence estate funds for servicing of stands.

5.13 Waste management

The finding was not addressed. Council is yet to rehabilitate its sewer treatment plant to comply with Environmental Management Act.

5.14 Property, plant and equipment revaluation

The finding was not addressed. The Council did not revalue its property, plant and equipment.

5.15 Undelivered goods

The finding was not addressed. The Council did not recover the outstanding amounts for the undelivered goods.

5.16 Councillors' stands

The finding was not addressed. The Council did not comply with the requirements of Government circulars.

5.17 Business licenses

The finding was addressed. Business licenses were recognised on accrual basis.

5.18 Governance structure

The finding was not addressed. Engagements with the parent ministry is still ongoing.

5.19 Accounting for Schools

The finding was not addressed. The Council did not account for revenue, expenses, receivables and payables for its Schools in the financial statements.

5.20 Suspense account

The finding was not addressed. The suspense account balance was not cleared.

5.21 Accounting procedures manual

The finding was not addressed. Accounting procedure manual not yet in place.

I have audited the financial statements of Lupane Local Board for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effect of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Lupane Local Board as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Local Board did not recognise land in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 5 which requires an item of property, plant and equipment that satisfies the definition of an asset to be recognised.

In addition, the Local Board did not carry out an assessment of the residual value and useful life of its property, plant and equipment. This was non-compliance with IPSAS 45 - "Property, Plant and Equipment" paragraph 48, which requires the useful life and residual value of an asset to be reviewed at least at each reporting date. Had the Local Board recognised and carried out an assessment of residual value and useful life of its property, plant and equipment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Local Board accounted for properties held for earning rentals as property, plant and equipment in the financial statements. This was contrary to IPSAS 16 – "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be classified as investment property. Had the Local Board classified the properties held for earning rentals as investment property, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - Impairment of Non-Cash Generating Assets"

The Local Board did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment at each reporting date on whether there is any indication that an asset may be impaired. Had the Local Board assessed its assets for impairment, the carrying amounts would have been materially different from the amounts disclosed in the financial statements.

Below are material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Policies and procedure manuals

Finding

The Local Board was operating without key policies such as disaster recovery policy and information technology policy. This was contrary to Section 44, paragraph 1(a) of the Public Finance Management Act [*Chapter 22:19*] which requires the Local Board to establish and maintain effective, efficient and transparent systems of financial, risk management and internal controls.

Risk/ Implication

Inconsistences in the handling of operational issues.

Recommendation

The Local Board should put in place key policies and procedures to guide its operations.

Management response

We take note of the Auditor's observation. The above-mentioned policies will be prioritised in 2026.

1.2 Impairment of assets

Finding

The Local Board did not assess its assets for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment at each reporting date on whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Local Board should carry out an impairment assessment at each reporting date.

Management response

We acknowledge the finding, going forward management will implement the recommendation.

1.3 Property, plant and equipment

Finding

The Local Board did not value and recognise land in the financial statements. This was contrary to IPSAS 45- “Property, Plant and Equipment” paragraph 5 which requires an item of property, plant and equipment that satisfies the definition of an asset to be recognised.

In addition, the Local Board did not carry out an assessment of the residual value and useful life of its property, plant and equipment. This was non-compliance with IPSAS 45 - “Property, Plant and Equipment” paragraph 48, which requires the useful life and residual value of an asset to be reviewed at least at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should value and recognise its land in the financial statements.

The Council should review residual values and useful lives of its asset at each reporting date.

Management response

Valuation of land was initiated in July 2025 and currently we are waiting for the Valuation report from the Ministry of Local Government and Public Works, Department of Valuation and Estates Management, which will give us the value of Land. Due to financial constraints the process was initiated in 2025.

1.4 Investment property

Finding

The Local Board accounted for properties held for earning rentals as property, plant and equipment in the financial statements. This was contrary to IPSAS 16 - “Investment Property” paragraph 7 which requires property held to earn rentals or for capital appreciation to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Board should recognise properties held to earn rentals as investment properties.

Management response

Valuation of land was initiated in July 2025 and currently we are waiting for the Valuation report the Ministry of Local Government and Public Works, Department of Valuation and Estates Management, which will give us the value of Land.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Local Board did not make significant progress in addressing audit findings and recommendations raised in my 2024 annual report. I raised seven (7) audit findings, two (2) were addressed while the other five (5) were not addressed as indicated below;

2.1 Opening balances

The finding was addressed. The system balances agreed to the 2023 audited balances.

2.2 Allowance for credit losses

The finding was addressed. The Local Board assessed its receivables for allowance for credit losses.

2.3 Investment property

The finding was not addressed. The Local Board did not separate investment property was from property, plant and equipment.

2.4 Revaluation of assets

The finding was not addressed. The Local Board did not revalue its assets.

2.5 Completeness and existence of property, plant and equipment

The finding was not addressed. The Local Board is yet to recognise investment property.

2.6 Land and buildings

The finding was not addressed. The Local Board did not recognise land and buildings separately.

2.7 Deferred income

The finding was not addressed. The Local Board did not avail supporting documentation.

I have audited the financial statements of Ruwa Local Board for the year ended December 31, 2024 and I issued a qualified opinion for 2024.

Qualified Opinion 2024

In my opinion, because of the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Ruwa Local Board as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Incomplete records

The Council recognised expenditure amounting to ZWG8 million in respect of its schools which was not supported by prime records such as ledgers. This was contrary to section 53 (1) of the Public Finance Management (Treasury Instructions), 2019 which requires the maintenance of adequate supporting documentation. As a result, I could not satisfy myself on the accuracy and completeness of the expenditure amounting to ZWG 8 million recognised in the financial statements.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 41- "Financial Instruments"

The Council did not recognise an allowance for credit losses on gross receivables balance of ZWG14.8 million. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73, which requires credit losses to be measured and recognised on financial assets. Had the Council recognised an allowance for credit losses, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Incomplete records

Finding

The Council recognised expenditure amounting to ZWG8 million in respect of its Schools which was not supported by prime records such as ledgers. This was contrary to section 53 (1) of the Public Finance Management (Treasury Instructions), 2019 which requires the maintenance of adequate supporting documentation.

Risk/ Implication

There is also an increased risk of fraud since there is no audit trail.

There is also loss of accountability as without proper documentation, it becomes difficult to hold responsible individuals accountable for how funds were used.

Misstatement of financial statements.

Recommendation

Management should ensure that all expenditure recorded in the financial statements is supported by complete and verifiable prime records.

Robust internal controls should be implemented and enforced to require proper documentation before expenditure is recognised, and periodic reviews should be conducted to verify the completeness and accuracy of supporting records.

The Council should apply consistently its accounting policies to all its schools.

Management response

We will establish and maintain comprehensive accounting records to improve accuracy, completeness, and reliability of our financial statements. In addition, we will offer support and training to our staff to enhance compliance with accounting standards going forward.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Stand sales

Finding

The Board sold eight (8) stands for a total of USD217 013 to seven (7) Councillors and one (1) employee in 2024. However, the Council did not enforce the requirements of the offer letter for a fifty (50) percent deposit to be paid within twelve months of receiving the offer and the balance to be paid in equal monthly instalments over a period of 36 months. As a result, the Board collected one (1%) percent of the total stand sales.

Risk/ Implication

Financial loss due to non-collection of revenue.

Recommendation

Management should strictly enforce the terms of offer letters by requiring timely payment of the stipulated deposits and instalments, and take prompt action to recover outstanding balances, including the application of agreed sanctions for non-compliance.

The Council should enforce the terms of the offer letter.

The Council should recover the outstanding balances.

Management response

Noted. Efforts to collect the amounts due are being done and intensified. We shall make sure those debtors who are owing to deduct from their salary or allowances as applicable. Consideration will be done to handover for litigation if the beneficiary fails

to pay as on the offer letter.

2.2 Receivables

Finding

The Council did not recognise an allowance for credit loss on gross receivables balance of ZWG14.8 million during the 2024 financial year. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73, which requires credit losses to be measured and recognised on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

Management should recognise an allowance for credit loss on the total receivables.

Management response

The Board will recognise credit losses on its receivables and maintain a receivables age analysis.

3. EMPLOYMENT COSTS

3.1 Taxation benefits

Finding

The Board granted an eighty percent (80%) discount to its employees on the purchase of stands, which was not subject to taxation as a deemed benefit. In addition, the Council also exempted its employees from paying plan approvals and inspection fees which were not subject to taxation. This was contrary to the Income Tax Act [*Chapter 23:06*], Section 8, which requires benefits granted by the employer to an employee to form part of the gross income and be taxed.

Risk/ Implication

Financial loss due to penalties and fines.

Recommendation

All employee benefits should be processed through the payroll and taxed accordingly.

Management response

Taxable benefits offered to employees will be taxed immediately as guided by the legal provisions and policies as recommended.

4. MANAGEMENT OF ASSETS

4.1 Procurement of vehicle

Finding

The Board procured a vehicle valued at USD74 500 which was above the Cabinet authority approval capped at USD63 043 inclusive of value added tax. As a result, The Board incurred unapproved expenditure of USD11 457.

Risk/ Implication

Financial loss due to unauthorised and unbudgeted expenditure.

Recommendation

Management should be appropriately authorised in accordance with the Procurement and disposal of public assets Act and Regulations.

Management response

When Council submitted application for cabinet authority for the Mayor's vehicle the price range of the vehicle was USD63 000 however, when Council purchased the vehicle, the price excluding VAT was USD64 782 which amounted to $74 500 inclusive of VAT.

5. SERVICE DELIVERY

5.1 Water Supply

Finding

The Local Board's water treatment design capacity of 2.5 mega liters per day was no longer able to meet consumer demand. As a result, the Board supplied 393 058 m3 of portable water to its consumers against a budgeted production of 601 200 m3 and a demand of 9 125 000 m3 per annum leading to a water supply deficit of 8 731 942 m3.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Board should put in place strategies to increase its potable water supply.

Management response

The raw water quarter we receive from Zimbabwe National Water Authority is inadequate. The treatment capacity is also inadequate. There is need to expand the treatment works, the dam, the transmission line to match the demand. We intend to have PPP for such projects as Council cannot fund the project. We have a WASH

master plan and the Government is in the process of getting investors in the WASH projects. The Local Authority is expecting to benefit from the Kunzvi, Musami and the Marondera dams raw water augmentation projects.

5.2 Bulk water meter

Finding

The Council's bulk water meter at Donnybrook was vandalized resulting in City of Harare charging water based on an estimate of 10 000m^3 per month. The basis of the estimate was not produced for audit inspection.

Risk/ Implication

Service delivery may be compromised.

Financial loss due to possible overbilling by the City of Harare.

Recommendation

The Board should install a functional water meter at Donnybrook water.

Management response

Bulk meter was vandalized at the Donnybrook reservoir in Harare. A bulk meter costs USD15 000. The Board will procure the bulk water meter.

6. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Local Board made some progress in addressing audit findings raised in my 2024 annual report. I raised six (6) findings, four (4) findings were addressed and two (2) were not addressed as indicated below;

6.1 Accounting for schools

The finding was addressed. The Local Board is now including the financials of all of its ten (10) schools in its financial statements.

6.2 Board Inquiry

The finding was addressed. The Local Board has resolved all outstanding matters.

6.3 Beer levy

The finding was addressed. The Local Board is now receiving sales schedules from the brewers.

6.4 Solid waste management

The finding was not addressed. The Local Board dumpsite has not engineered a land fill site.

6.5 Cell phones

The finding was addressed. The issue was resolved by the police.

6.6 Functional meters and water consumed

The finding was not addressed. The Council is yet to replace non-functional water meters.

RURAL DISTRICT COUNCIL

BEITBRIDGE RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Beitbridge Rural District for the years ended December 31, 2023, and 2024 and I issued an adverse opinion for both years.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Beitbridge Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs)

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances into ZWL using the interbank exchange rates. The rates used did not meet the definition of a spot rate as foreign currency was not available for immediate delivery. This was contrary to IAS 21 - "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be translated using spot exchange rates. Had the Council applied appropriate exchange rates, the financial statements would have been materially different.

ii. Valuation of property, plant and equipment

The Council uses cost model on measurement of property, plant and equipment despite changes in the fair values due to hyper-inflationary environment in which the Council was operating on which affected the fair values. I therefore did not consider the Council's policy on measurement of property, plant and equipment to be appropriate as the values does not approximate the fair value of the assets as at December 31, 2023. Had the Council used the revaluation model on measurement of its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard (IAS) 40 - "Investment Property"

The Council classified property held to earn rentals as property, plant and equipment. This was contrary to IAS 40 - "Investment Property" paragraph 5 which requires property held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Council correctly classified investment property, the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not assess whether there is any objective evidence that receivables were impaired at the reporting date. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires determination of expected credit losses to consider changes in credit risk of financial assets. Had the Council assessed receivables for credit risk, the receivables disclosed would have been materially different.

Adverse Opinion 2024

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Beitbridge Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs)

Basis for Adverse Opinion

i. Non-Compliance with International Accounting Standard (IAS) 21 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances into ZWL using the interbank exchange rates. The rates used did not meet the definition of a spot rate as foreign currency was not available for immediate delivery. This was contrary to IAS 21 - "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be translated using spot exchange rates. Had the Council applied appropriate exchange rates, the financial statements would have been materially different.

ii. Valuation of property, plant and equipment

The Council uses cost model on measurement of property, plant and equipment despite changes in the fair values due to hyper-inflationary environment in which the Council was operating on which affected the fair values. I therefore did not consider the Council's policy on measurement of property, plant and equipment to be appropria-e as the values does not approximate the fair value of the assets as at December 31, 2024. Had the Council used the revaluation model on measurement of its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standards (IAS) 40 - "Investment Property"

The Council classified property held to earn rentals as property, plant and equipment. This was contrary to IAS 40 – "Investment Property" paragraph 5 which requires property held to earn rentals or for capital appreciation or both to be classified as investment property. Had the Council correctly classified investment property, the financial statements would have been materially different.

iv. Non-compliance with International Financial Reporting Standards (IFRS) 9 - "Financial Instruments"

The Council did not assess whether there is any objective evidence that receivables were impaired at the reporting date. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires determination of expected credit losses to consider changes in credit risk of financial assets. Had the Council assessed receivables for credit risk, the receivables disclosed would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council uses cost model on measurement of property, plant and equipment despite changes in the fair values due to hyper-inflationary environment in which the Council was operating on which affected the fair values. I therefore did not consider the Council's policy on measurement of property, plant and equipment to be appropriate as the values does not approximate the fair value of the assets.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should assess the appropriateness of using the cost model to recognise property, plant and equipment.

Management response

Noted, Council undertook valuation of all assets in December 2025.

1.2 Investment property

Finding

The Council classified property held to earn rentals as property, plant and equipment. This was contrary to IAS 40 – "Investment Property" paragraph 5 which requires property held to earn rentals or for capital appreciation or both to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should classify property held to earn rentals as investment property.

Management response

The separation of land from buildings shall be done in 2025 financial statements

1.3 Foreign currency exchange rates

Finding

The Council translated foreign currency transactions and balances into ZWL using the interbank exchange rates. The rates used did not meet the definition of a spot rate as foreign currency was not available for immediate delivery. This was contrary to IAS 21 - "The Effects of Changes in Foreign Exchange Rates" paragraph 21 which requires foreign currency transactions to be translated using spot exchange rates.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should use appropriate spot rates when translating foreign currency transactions.

Management response

Noted, exchange rates are dictated by the Central Government.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Impairment of receivables

Finding

The Council did not assess whether there is any objective evidence that receivables were impaired at the reporting date. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires determination of expected credit losses to consider changes in credit risk of financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should assess the credit risk of its receivables at each reporting date to determine allowance for credit loss.

Management response

Noted, credit risk will be taken into account when reporting the accounts receivable.

3. PROGRESS IN ADDRESSING AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 annual report. I raised seven (7) audit findings, one (1) was partially addressed and six (6) were not addressed as indicated below;

3.1 Investment property

The finding was not addressed. The Council was yet to separate investment from property, plant and equipment

3.2 Property, plant and equipment

The finding was partially addressed. The Council now depreciates assets. However,

revaluation was not done.

3.3 Expected credit losses

The finding was not addressed. The Council did not assess credit risk on receivables.

3.4 Debit balance on payables

The finding was not addressed. The Council did not clear the debit balances in payables.

3.5 Staff receivables

The finding was not addressed. The Council did not clear the payroll debit balances.

3.6 Councillors' allowances

The finding was not addressed. The Council's provision of stands to councillors was not approved by the Minister.

3.7 Residential properties database

The finding was not addressed. The Council did not update its residential properties database.

I have audited the financial statements of Bikita Rural District Council, for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of the Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council classified assets that meet the definition criteria of investment property as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 13 which requires property held to earn rental income to be classified as investment property. Had the Council correctly classified investments property, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairment at the reporting date despite having indicators of impairment. This was contrary to IPSAS 21- "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment for impairment at each reporting date. Had the Council assessed for impairment, the carrying amounts would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

Council did not depreciate its property, plant and equipment. This was contrary to the provisions of IPSAS 45 - "Property, Plant and Equipment" which requires that property, plant and equipment be depreciated over their useful life. Had the Council depreciated its property, plant and equipment, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Investment property

Finding

The Council classified assets that meet the definition criteria of investment property as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 13 which requires property held to earn rental income to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should classify property held to earn rentals as investment property.

Management response

Noted, the investment property will be reclassified from property, plant and equipment and incorporated on the statement of financial position in 2025.

1.2 **Depreciation**

Finding

The Council did not recognise depreciation for asset additions contrary to International Public Sector Accounting Standards (IPSAS) 45 - Property, Plant and Equipment paragraph 6 which requires Council to depreciate assets on a systematic basis over its useful life.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its non-current assets in compliance with IPSAS 45.

Management response

Audit observation noted and the assets will be charged depreciation.

1.3 Impairment of assets

Finding

The Council did not assess its assets for impairment at the reporting date despite having indicators of impairment. This was contrary to IPSAS 21- “Impairment of Non-Cash Generating Assets” paragraph 26, which requires an assessment for impairment at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should assess its assets for impairment indicators.

Management response

The observation is noted, Council is in the process of revaluing its assets, and the subjection of the assets to impairment testing will be done in subsequent years.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations I raised in my 2024 report. I raised five (5) audit findings, three (3) were addressed, and two (2) were not addressed as indicated below;

2.1 Allowance for credit losses

The finding was addressed. The Council recognised allowance for credit losses in 2024.

2.2 Impairment of assets

The finding was not addressed. Council did not assess its assets for impairment

2.3 Land and buildings

The finding was not addressed. Council did not separate land and buildings.

2.4 Hanyanya Investments (Private) Limited

The finding was addressed. Hanyanya Investments Private Limited was registered under Bikita Rural District Council.

2.5 Accounting in hyperinflationary economies

The finding was addressed Council accounted for hyperinflation using correct rates in 2024.

I have audited the financial statements of Bindura Rural District for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bindura Rural District Council as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council carried out a revaluation of its property, plant and equipment as at June 30, 2023. However, the valuation report was adopted and implemented in the 2024 financial statements without considering the lapse of time to adjust for depreciation for the period of one and half (1.5) years. This was contrary to paragraph 27 of the IPSAS 45 - "Property, Plant and Equipment" which requires assets to be carried at their current operational value or fair value at reporting date.

In addition, the Council did not carry out assessment of the residual values and useful lives of property, plant and equipment. This was contrary to paragraph 48 of IPSAS 45 - "Property, Plant and Equipment" which requires the residual values and useful lives to be reviewed at each reporting date. Had the Council depreciated the revalued amounts and assessed the residual values and useful lives, the amount disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council did not have lease agreements and an updated register for its billboards, as a result, billboard revenue was not recognised. This was contrary to paragraph 56 (e) of IPSAS 47 - "Revenue" which requires revenue to be recognised and disclosed. Had the Council recognise billboard revenue, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council carried out a revaluation of its property, plant and equipment as at June 30, 2023. However, the revaluation report did not take into account the lapse of time to adjust for depreciation for the period of one and half (1.5) years. The valuation report was adopted and implemented in the 2024 financial statements. This was contrary to paragraph 27 of the IPSAS 45 – "Property, Plant and Equipment" which requires assets to be carried at their current operational value or fair value at reporting date.

In addition, the Council did not carry out assessment of the residual values and useful lives of property, plant and equipment. This was contrary to paragraph 48 of IPSAS 45 – "Property, Plant and Equipment" which requires the residual values and useful lives to be reviewed at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Revaluation reports should be reviewed, adopted, and accounted for within the financial period to which they relate.

The Council should review residual values and useful lives of its asset at each reporting date.

Management response

There were some queries with the valuation report which filtered into 2024 and this made it impossible to account for the valuation in the 2023 financial statement. We then adopted the valuation as at December 31, 2024. Assessments for residual values will be done in future. Assets were being assessed and reports provided to management in management meetings. The assets were valued in the previous year hence we adopted the values as per valuation report. The Zimbabwe Financial reporting manual states that the residual value is 1% of the asset value.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Billboard revenue

Finding

The Council did not have lease agreements and an updated register for its billboards, as a result, billboard revenue was not recognised. This was contrary to paragraph 56 (e) of IPSAS 47 - "Revenue" which requires revenue to be recognised and disclosed.

Risk/ Implication

Financial loss due to uncollected revenue.

Misstatement of financial statements.

Recommendation

The Council should maintain a database and invoice all its customers.

Management response

Council did not have billboard leases in place. We will endeavour to identify existing billboards in the district and compile lease agreements. All new applicants will be required to sign lease agreements.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised five (5) audit findings, one (1) was addressed, one was (1) partially addressed and three (3) were not addressed as indicated below;

3.1 Property, plant and equipment

The finding was partially addressed. The Council revalued its property, plant and equipment however, it was not adopted in the year of revaluation.

3.2 Board of inquiries

The finding was not addressed. The Council did not conduct board of inquiries.

3.3 Recognition of sale of stands

The finding was addressed. Council updated its accounting procedure manual and stand sales were recognised on accrual basis.

3.4 Inventory

The finding was not addressed. Expired inventories were still in stock.

3.5 Dumpsite

The finding was not addressed. The Council did not have a landfill.

I have audited the financial statements of Binga Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of matters described in the Basis of Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Binga Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - 'Revenue"

The Council recognised revenue from levies and business licenses on cash basis due to absence of a billing system. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. Had the Council recognized revenue on accrual basis, the financial statements would have been materially different.

ii. Receivables

The Council recognised receivables balance of ZWG19.72 million in the financial statements which were not supported with a listing. As a result, I could not satisfy myself on the completeness and accuracy of the receivables balance disclosed in the financial statements.

iii. Cash and cash equivalents

The Council did not avail the cash book for its USD bank account. As a result, I could not satisfy myself on the completeness and accuracy of the cash and cash equivalents balance disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Cashbook

Finding

The Council did not avail the cash book for its USD bank account. As a result, I could not satisfy myself on the completeness and accuracy of the cash and cash equivalents balance disclosed in the financial statements. This was contrary to section 120 (1) of the Rural District Council Act [*Chapter 29:13*] which requires maintenance of proper books of accounts relating to the financial transactions of the Council.

Risk/ Implication

Financial loss due to fraud.

Misstatement of financial statements.

Recommendation

The Council should avail the USD cashbook.

Management response

Council will ensure that the cash books be available during the external audits.

1.2. Revenue

Finding

The Council recognised revenue from levies and business licenses on cash basis due to absence of a billing system. This was contrary to IPSAS 47 - “Revenue” paragraph 3 which requires revenue to be recognised on accrual basis.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should bill its customers and recognise revenue on accrual basis.

Management response

The Council is in the process of improving its billing by using the LADS system by operationalizing a debt section through debt management.

1.3. Receivables

Finding

The Council recognised receivables balance of ZWG19.72 million in the financial statements which were not supported with a listing. This was contrary to section 120 (1) of the Rural District Council Act [*Chapter 29:13*] which requires maintenance of proper books of accounts relating to the financial transactions of the Council.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should avail a listing to support receivables recognised in the financial statements.

Management response

The Council shall ensure that all billing is done periodically to ensure customers are charged appropriately, using the accrual basis and correct RBZ exchange rates.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing findings that I raised in my 2024 annual report. I raised two (2) findings, one (1) was addressed and one (1) was not addressed as indicated below;

2.1. Receivables

The finding was not addressed. The Council did not maintain a receivables listing.

2.2. Beer levy

The finding was addressed. The Council obtained beer sales schedule from the brewers.

BUBI RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Bubi Rural District Council for the year ended December 31, 2024 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bubi Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council recognised an allowance for credit loss amounting to ZWG14.26 million in the financial statements based on Council policy which requires a fixed expected credit loss allowance of 5% of the gross receivables. This was contrary IPSAS 41- "Financial Instruments" paragraph 81 which requires the Council to assess whether the credit risk of a financial instrument has increased significantly since initial recognition.

In addition, the receivables disclosed in the financial statements of ZWG285.22 million did not agree with the amount as per the receivable listing of ZWG82.98 million resulting in a variance of ZWG 202.24 million. Had the Council assessed the allowance for credit losses and reconciled the receivables balances the financial statement would have been materially different.

ii. Opening balances

The opening accumulated fund was not reconciled to the closing balance resulting in a variance of ZWG137.50 million. No disclosures were made to support the adjustments. I could not satisfy myself on the accuracy of accumulated funds disclosed in the financial statements.

Below are other material issued noted during the audit;

1. GOVERNANCE ISSUES

1.1 Receivables

Finding

The Council recognised an allowance for credit loss amounting to ZWG14.26 million in the financial statements based on Council policy which requires a fixed expected credit loss allowance of 5% of the gross receivables. This was contrary IPSAS 41- "Financial Instruments" paragraph 81 which requires the Council to assess whether the credit risk of a financial instrument has increased significantly since initial recognition.

In addition, the receivables disclosed in the financial statements of ZWG285.22 million did not agree with the amount as per the receivable listing of ZWG82.98 million resulting in a variance of ZWG202.24 million.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Financial statements may be materially misstated.

Recommendation

The Council should assess for allowance for credit losses and reconcile the receivable variances.

Management response

Council has a policy for allowance for credit losses which just needs to be aligned to the requirements of IPSAS 41. This will be done in 2025 financial year to comply with IPSAS 41. Council notes the oversight on debtors' reconciliations. Council will perform reconciliations for debtors.

1.2 Opening balance

Finding

The opening accumulated fund of ZWG167.49 million was not reconciled to the closing balance of ZWG29.99 million resulting in a variance of ZWG137.50 million. No disclosures were made to support the adjustments.

Risk/ Implication

Misstatements of financial statements.

Recommendation

The Council should investigate and reconcile the variance.

Management response

Noted, the difference will be investigated and corrected in the 2025 financial year.

2. SERVICE DELIVERY

2.1 Schools Infrastructure

Finding

The infrastructure at Council schools such as Balanda Primary, Dabengwa Secondary, Nkosikazi Primary, Majiji Primary and Majiji High School were not adequate. There were severe classroom shortages leading to overcrowding (up to 60 pupils per class), shortage of furniture (pupils sitting on the floor), and inadequate teacher accommodation (up to 8 teachers sharing a single cottage). In addition, illegal mining activities were affecting the structural integrity of Balanda Primary School buildings. This was contrary to the Rural District Councils Act [*Chapter 29:13*] and the Education Act [*Chapter 25:04*], which requires the responsible authority to provide a conducive and safe learning environment.

Risk/ Implication

Building collapse and physical injury due to illegal mining activities.

Service delivery may be compromised.

Recommendation

Council should mobilise resources for the construction of additional infrastructure at its Schools.

Immediate action is required to stop illegal mining near schools and to ensure all schools are fenced and staffed with qualified security and administrative personnel.

Management response

Observation noted. Council has initiated a classroom block construction project using the 40% retainable levy. Efforts are being made to improve working and learning standards across all Schools. The Council will engage relevant government departments to stop illegal mining near Schools.

2.2 Health Services

Finding

The Council's Balanda and Majiji Clinics operated with significant resource deficiencies including shortages of essential medicines such as antibiotics and functional ambulances for emergency referrals. Balanda Clinic operated without critical basic diagnostic equipment such as BP machines, thermometers and glucometers.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should procure essential diagnostic equipment, medicine and ambulance.

Management response

Provisions for an ambulance, diagnostic machines, essential drugs, and medical waste management systems have been included in the 2026 budget.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised seven (7) findings, five (5) were addressed, one (1) was partially addressed and one (1) was not addressed as indicated below;

3.1 Infrastructure assets

The finding was addressed. The Council has now included infrastructure assets in the financial statements.

3.2 Segment reporting

The finding was addressed. Council disclosed segment information as required by IPSAS18 – "Segment Reporting".

3.3 Land and buildings

The finding was addressed. Council has separated its land and buildings, and did not depreciate land.

3.4 Receivables

The finding was not addressed. The Council has not performed a reconciliation of receivables.

3.5 Taxation of employee benefits

The finding was addressed. Employee benefits were taxed.

3.6 Financial reporting in hyperinflation economics

The finding was addressed. The Council was now preparing inflation adjusted financial statements in line with IPSAS 10.

3.7 Dumpsite

The finding was partially addressed. The new site has been cleared, and Council intends to excavate a pit for waste disposal and fence the site.

BULILIMA RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Bulilima Rural District Council for the years ended December 31, 2023, and 2024, and I issued a qualified opinion for both years.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bulilima Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council recognised properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be recognised as investment property. Had the Council recognised the investment properties, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairment indicators at the reporting date despite the assets having indicators for impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment at each reporting period. Had the Council assessed its assets for indicators of impairment at the reporting date, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20 - "Related Party Disclosures"

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to IPSAS 20 - "Related Party Disclosures" paragraph 34 which requires disclosure of transactions with related parties. Had the Council disclosed related party transactions and balances, the financial statements would have been materially different.

iv. Opening balances

The Council made an unsubstantiated adjustment amounting to ZWL744.84 million to its 2023 accumulated fund. I could not satisfy myself on the accuracy of accumulated funds disclosed in the financial statements.

Qualified Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Bulilima Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not recognise stands held for sale in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 12 which requires items held for sale in the ordinary course of business to be recognised as inventory. Had the Council recognised stands inventory, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47- "Revenue"

The Council recognised revenue from sale of stands before conditions of the sale were met. This was contrary to IPSAS 47 paragraph 56 which requires recognition of revenue upon satisfaction of performance obligations. Had the Council recognised its stand sales upon satisfaction of performance obligations, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Council did not assess its assets for impairment indicators at the reporting date despite the assets having indicators for impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an impairment assessment at each reporting period. Had the Council assessed its assets for indicators of impairment at the reporting date, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Investment property

Finding

The Council recognised properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be recognised as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should reclassify properties held to earn rentals as investment properties.

Management response

Observation noted. The assets will be derecognized from property, plant and equipment and recognized in investment property in the 2025 financial statements.

1.2 Impairment of assets

Finding

The Council did not assess its assets for impairment indicators at the reporting date despite the assets having indicators for impairment. This was contrary to IPSAS 21 - “Impairment of Non-Cash Generating Assets” paragraph 26 which requires an impairment assessment at each reporting period.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at each reporting date in compliance with IPSAS 21.

Management response

Noted, impairment of assets will be done during year 2025. A policy on impairment has been adopted by Council.

1.3 Related parties

Finding

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to IPSAS 20 - “Related Party Disclosures” paragraph 34 which requires disclosure of transactions with related parties.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose related party transactions.

Management response

Noted, the related party information disclosure will be implemented during year 2025.

1.4 Opening balances

Finding

The Council made an unsubstantiated adjustment amounting to ZWL$744.84 million to its 2023 accumulated fund. I could not satisfy myself on the accuracy of accumulated funds disclosed in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should investigate and substantiate the accumulated fund adjustment.

Management response

Noted, the Council will clear the imbalance.

1.5 Stands inventory

Finding

The Council did not recognise stands held for sale in the financial statements. This was contrary to IPSAS 12 – "Inventories" paragraph 12 which requires items held for sale in the ordinary course of business to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise stands inventory in the financial statements in line with IPSAS 12.

Management response

Stands inventory were not recognised as inventory but were just recorded within Council records, Council hoped to implement the standard on stands during the year 2025. This will be corrected.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The Council recognised revenue from sale of stands before conditions of the sale were met. This was contrary to IPSAS 47- "Revenue" paragraph 56 which requires recognition of revenue upon satisfaction of performance obligations.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stand sales in line with IPSAS 47.

Management response

Land sales were recognised as revenue. Council believed issuing the stand would give client right to develop and once development has started the stand belongs to the client hence recognising the sales as revenue. However, this will be corrected during the year 20

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that I raised in my 2024 annual report. I raised five (5) audit findings, two (2) were partially addressed and three (3) findings were not addressed as indicated below;

3.1 Submission of financial statements for audit

The finding was not addressed. The Council did not meet the statutory deadlines for submission of financial statements.

3.2 Receivables

The finding was not addressed. Council did not assess its receivables for expected credit loss in line with the requirement of IPSAS 41 - “Financial Instruments”.

3.3 Assessment of the residual values and impairment

The finding was not addressed. The Council did not assess its assets for impairment.

3.4 Statutory deductions

The finding was partially addressed. The Council entered payment plans with the Authorities.

3.5 Procurement of building materials

The finding was partially addressed. The Council engaged the supplier for the delivery of the outstanding cement.

CHAMINUKA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Chaminuka Rural District Council, for the year ended December 31, 2024 and I issued an unmodified / clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the financial position of Chaminuka Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit**;**

1. SERVICE DELIVERY

1.1 Water and Sanitation Program

Finding

Chakonda area was experiencing significant water supply shortages as a result of illegal water connections which compromised the integrity and distribution of the water infrastructure. Water pumps at critical points were frequently malfunctioning or out of service due to lack of maintenance and ageing infrastructure.

Risk/ Implication

Health hazards arising from inadequate water supply.

Recommendation

Council should upgrade its water infrastructure and maintain water pumps.

Management response

A spare pump is under repair to act as a backup when the other pump is down, and Council has started rehabilitation of water tank roof. Council is doing water audits to identify illegal water connections in partnership with GIZ.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2024 report. I raised four (4) findings, two (2) were addressed and two (2) were partially addressed as indicated below;

2.1 Internal audit function

The finding was addressed. Outstanding audits were carried out in 2025.

2.2 Valuation of property, plant and equipment

The finding was addressed. The Council obtained the valuation report which was in the reporting currency from the valuer.

2.3 Stand sales

The finding was partially addressed. Council has now appointed the stands allocation committee.

2.4 Contract management

The finding was partially addressed. The contractor is now committed to the obligation evidenced by 0.5km road which was constructed in 2024.

CHEGUTU RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Chegutu Rural District Council for the year ended December 31, 2024, and I issued an unmodified / clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the financial position Chegutu Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Internal audit charter

Finding

The internal audit section was operating without an approved Internal Audit Charter which details the scope of authority, independence, responsibilities and its reporting structure.

Risk/ Implication

Ineffective governance and oversight.

Audit quality may be compromised.

Recommendation

The Council should develop, approve, and implement an Internal Audit Charter.

Management response

Audit charter is being working worked on and will be adopted before year end.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2024 report. I raised two (2) findings, and they were addressed as indicated below.

2.1. Allowances for credit losses.

The issue was addressed. The Council assessed allowance for credit losses.

2.2. Valuation of property, plant and equipment.

The issue was addressed. The Council revalued its property, plant, and equipment.

I have audited the financial statements of Chikomba Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chikomba Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 40 - "Investment Property."

The Council did not disclose the fair value of the investment property contrary to IAS 40 - "Investment Property" paragraph 79 (e) which requires fair value of investment property to be disclosed even when the cost model is adopted. Had the Council disclosed the fair value of investment property, the disclosures to the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Framework Standard (IFRS) 9 - "Financial Instruments."

The Council recognised an allowance for expected credit loss of ZWG34.8 million in the financial statements, which was not supported by assumptions and judgements. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.17 which requires Council to recognise expected credit losses (ECL) using information about past events, current conditions and forecasts of future economic conditions. I could not satisfy myself on the valuation of the receivables balance recognised in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Expected credit loss

Finding

The Council recognised an allowance for expected credit loss of ZWG34.8 million in the financial statements, which was not supported by assumptions and judgements. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.17 which requires entities to recognise expected credit losses (ECL) using information about past events, current conditions and forecasts of future economic conditions.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should support allowance for expected losses with assumptions and judgements.

Management response

Noted. The recommendation will be considered in the next financial year.

1.2 Investment property

Finding

The Council did not disclose the fair value of the investment property contrary to IAS 40 - "Investment Property" paragraph 79 (e) which requires fair value of investment property to be disclosed even when the cost model is adopted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose the fair value of investment property at each reporting date.

Management response

The exercise was budgeted for 2026. However, should Council fail to fund the exercise, we will resort to a management valuation.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations raised in my 2024 annual report. I raised four (4) audit findings, and all findings were addressed as indicated below;

2.1 Northwood primary school

The finding was addressed. The School classrooms were constructed.

2.2 Council land

The finding was addressed. Land was included in the financial statements.

2.3 Valuation of property, plant and equipment

The finding was addressed. The Council revalued its property, plant and equipment.

2.4 Inventory

The finding was addressed. Stands were included as inventory in the financial statements.

I have audited the financial statements of Chimanimani Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chimanimani Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not recognise an allowance for expected credit losses on its receivables. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on receivables. Had the Council recognised allowance for expected credit losses, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be recognised as property, plant and equipment. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

Below are other material issues noted during the audit.

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should value and recognise infrastructure assets in the financial statements.

Management response

Valuation of infrastructure will be done as advised. Council will consider using a private/ independent valuer.

1.2 Allowance for credit losses

Finding

The Council did not recognise an allowance for expected credit losses on its receivables. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on receivables.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses on its receivables.

Management response

Observation noted and recommendation accepted. Council will be assessing its receivable for impairment at each reporting date.

2. SERVICE DELIVERY

2.1 Sewer ponds

Finding

The Council constructed temporary sewer ponds following the damage caused by Cyclone Idai in 2019. However, challenges in the existing sewer infrastructure have persisted as several households were experiencing sewer leakages from extensive damage on sewer pipes. This was contrary to section 59 of the Environmental Management Act [*Chapter 20:27*], which requires management of sewer in a manner that protects the public.

Risk/ Implication

Health hazards to the community.

Recommendation

Council should mobilise resources for the rehabilitation of its sewer infrastructure.

Management response

Observation noted. Maintenance of the old sewer ponds will be included in the 2027 Council budget.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings I raised in my 2024 annual report. I raised four (4) findings, two (2) were addressed and two (2) were not addressed as indicated below;

3.1 Allowance for credit losses

The finding was not addressed. The Council did not recognise an allowance for credit losses.

3.2 Infrastructure assets

The finding was not addressed. The Council did not recognise infrastructure assets.

3.3 Debt management policy

The finding was addressed. Debt management policy now in place.

3.4 Nhedziwa sub office

The finding was addressed. The Council put in place a policy to assist the displaced families and enhance Council's expansion drive.

I have audited the financial statements of Chiredzi Rural District Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Chiredzi Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables. This was contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets. Had the Council recognised allowance for credit losses, the receivables balance disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, assets and liabilities of its one hundred and fifty-three (153) Schools. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, performance and cash flows of an entity. Consequently, no segment information was reported in respect of the Council's education services contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires segment information to be disclosed. Had the Council recognised recognise revenue, expenses, assets and liabilities for the schools, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The Council's prior year financial statements were modified due to non-compliance with the requirements of IPSAS 45 - "Property, Plant and Equipment" as assumptions and methodologies used to support valuation of assets recognised for the first time were not availed. The misstatement in the prior year financial statements was not corrected in line with the requirements of IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors" resulting in misstatement of opening balances carried forward in the current year. Had Council corrected the prior year misstatement, financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not assess its property, plant and equipment for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired. Had the Council assessed its assets for indications of impairment, the financial statements

would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency transactions and balances between January and March 2024 into ZWL using interbank rates. The interbank rates did not meet the definition of spot exchange rate as per IPSAS 4 -"The Effects of Changes in Foreign Exchange Rates" paragraph 10, as foreign currency was not available for immediate delivery at these rates. Had the Council translated foreign currency transactions using appropriate spot rates, the financial statements would have been materially different.

Below are other material issues noted during the audit;

2 GOVERNANCE ISSUES

2.1 Foreign exchange rates

Finding

The Council translated foreign currency transactions and balances between January and March 2024 into ZWL using interbank rates. The interbank rates did not meet the definition of spot exchange rate as per IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 10, as foreign currency was not available for immediate delivery at these rates.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should use spot rates for translating foreign denominated transactions.

Management response

Council was using Reserve Bank of Zimbabwe Interbank Exchange Rates in translating foreign denominated transaction into the functional currency. Council is now using the spot rate as from the April 19, 2025, the date of gazetting of Statutory Instrument 34 of 2025 liberalising exchange rates as it did not have supporting legislature permitting it to use spot rates before the 19th of April 2025.

2.2 Accounting for Schools

Finding

The Council did not recognise revenue, expenses, assets and liabilities of its one hundred and fifty-three (153) Schools. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, performance and cash flows of an entity. Consequently, no segment information was reported in respect of the Council's education services contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires segment information to be disclosed.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

Council should recognise the financial results of schools in its financial statements.

Management response

Council will in future recognise financial transactions from its schools when preparing final accounts.

2.3 Opening balances

Finding

The Council's prior year financial statements were modified due to non-compliance with the requirements of International Public Sector Accounting Standard IPSAS 45 - "Property, Plant and Equipment" as assumptions and methodologies used to support valuation of assets recognised for the first time were not availed. The misstatement in the prior year financial statements was not corrected in line with the requirements of IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors" resulting in misstatement of opening balances carried forward in the current year.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should correct prior year errors in line with IPSAS 3.

Management response

Council used management to value property, plant and equipment and will in future valuations use professional valuers.

2.4 Impairment of assets

Finding

The Council did not assess its property, plant and equipment for impairment at the reporting date despite the assets having indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an entity to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21.

Management response

Council is in the process of replacing the computers. Chiredzi has asset management procedures which guides replacement and procurement of non-compactible assets. And the said are earmarked for disposal after assessment 2026.

2.5 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council’s financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses.

Management response

Council is now assessing all debtors for expected credit losses upon invoicing basing on current and previous settlement trends.

3 MANAGEMENT OF ASSETS

3.1 Asset register

Finding

The Council did not maintain an updated asset register. As a result, assets had no asset numbers, asset names, location of assets, serial numbers of computer equipment, location and condition of assets. This was contrary to section 100(4) of Statutory Instrument 144 of 2019, which requires the Council to maintain a complete and accurate asset register.

Risk/ Implication

Misappropriation of assets.

Recommendation

The Council should update and validate its asset register.

Management response

The asset register will be updated and all serial numbers and numbers for newly bought assets which were bought during the period under review in the last quarter of 2025.

4 SERVICE DELIVERY

4.1 Ambulance service

Finding

The Council had no ambulance serving its clinics in the district. This was contrary to First Schedule, item 35 of the Rural District Councils Act [*Chapter 29:13*] which requires the Council to provide and operate an ambulance service inside the Council area.

Risk/ Implication

Service delivery may be compromised.

Recommendation

Council should mobilise financial resources for the procurement of an ambulance.

Management response

Council did not buy an ambulance because it was targeting the construction of new clinics, as well as buying equipment and dry stones. The ambulance was budgeted for, and the Council will purchase the ambulance in the year 2026. We are going to reduce expenditure on dry stones and prioritise ambulance.

5 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised twelve (12) findings, two (2) were addressed, one (1) was partially addressed and nine (9) were not addressed as indicated below;

5.1 Bank reconciliations

The finding was addressed. The Council performed bank reconciliations.

5.2 Accounting for schools

The finding was not addressed. The Council did not recognise the operations of its schools in its financial statements.

5.3 Supporting documents

The finding was not addressed. The Council did not avail the supporting documents.

5.4 Receivables

The finding was not addressed. The Council did not recognise allowance for expected credit losses.

5.5 Property, plant and equipment

The finding was not addressed. The Council did not avail a valuation report or supporting documents for the assets recognised for the first time.

5.6 Beer levy revenue

The finding was addressed. The Council received sales schedules supporting the remitted amount.

5.7 Foreign currency transactions

The finding was not addressed. The Council translated foreign currency transactions at rates that did not approximate spot exchange rates.

5.8 Allowance for expected credit losses

The finding was not addressed. The Council did not provide for allowance for expected credit losses

5.9 Procurement method

The finding was not addressed. The Council did not source three (3) quotations on procurement.

5.10 Fire services

The finding was not addressed. The Council did not have a fire brigade.

5.11 Delivery of assets.

The finding was partially addressed. The motor vehicle was not delivered, however, Council recovered ZWL1 million.

5.12 Refuse disposal services

The finding was not addressed. The Council did not have a landfill.

CHIRUMANZU RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Chirumanzu Rural District Council for the year ended December 31, 2023 and 2024 and I issued a qualified opinion for both years.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chirumanzu Rural District Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Qualified Opinion

i. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not assess the residual values and useful lives of its property, plant and equipment disclosed at a carrying amount of ZWL4.1billion. This was contrary to IAS 16 - "Property, Plant and Equipment paragraph 51 which requires the useful life of an asset to be reviewed at each reporting date. Had the Council assessed the residual value and useful life of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Financial Reporting Standard (IFRS) 9- "Financial Instruments"

The Council recognised a loss allowance for expected credit loss using a fixed percentage of five (5%) on its receivables. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires the assessment of a loss allowance for expected credit losses to consider the risk of default occurring on the financial asset at the reporting date. Had Council assessed the risk of default, receivables balance disclosed in the financial statements would have been materially different

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iii. Non-compliance with International Accounting Standard (IAS) 2 - "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IAS 2 - "Inventories" paragraph 8 which requires land held for sale to be recognised as inventory. I could not quantify the stands inventory through alternative means. Had Council recognised stands inventory the financial statements would have been materially different.

Qualified Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chirumanzu Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be carried out with sufficient regularity such that the carrying amount of assets does not differ materially from its fair value at the reporting date. In addition, the Council did not recognise infrastructure assets such as road networks and bridges contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be included in the property, plant and equipment as a separate class. Had the Council revalued its property, plant and equipment and recognised infrastructure assets the carrying amounts disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - "Inventories" paragraph 11 which requires land held for sale to be recognised as inventory. I could not quantify the stands inventory through alternative means. Had Council recognised stands inventory the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council leased out its houses for rental income. However, these buildings were classified as property, plant and equipment instead of investment property contrary to paragraph 5 of IPSAS 16 - "Investment Property", which requires any building held to earn rentals to be classified as investment property. Had Council reclassified leased assets as investment property the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Property, plant and equipment

The Council did not revalue its property, plant and equipment. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be carried out with sufficient regularity such that the carrying amount of assets does not differ materially from its fair value at the reporting date. In addition, the Council did not recognise infrastructure assets such as road networks and bridges contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be included in the property, plant and equipment as a separate class.

Risk/ Implication

Financial statements may be materially misstated.

Recommendation

The Council should revalue and annually assess for residual value and useful lives of its property, plant and equipment in line with IPSAS 45.

Management response

We expect to do the valuation exercise by May 17, 2025 using Ministry valuers and use the new values in our subsequent financial statements.

1.2. Stands inventory

Finding

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - “Inventories” paragraph 11 which requires land held for sale to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands inventory in its financial statements.

Management response

The registers of stands are in place, however, the inventory of stands was not accounted for in the financial statements, and we have taken note of that so as to include the inventory of stands in the future financial statements. In fact, we now have LADS ERP in place which shows value of every stand thereby classify them as inventory.

1.3. Valuation of investment property

Finding

The Council leased out its houses for rental income. However, these buildings were classified as property, plant and equipment instead of investment property contrary to paragraph 5 of IPSAS 16 - “Investment Property”, which requires any building held to earn rentals to be classified as investment property.

Risk/ Implication

Financial statements may be materially misstated.

Recommendation

The Council should correctly classify leased out houses as investment property in line with IPSAS 16 - “Investment Property”.

Management response

Noted, we have since complied with this IPSAS in 2025 as asset valuation was done and all asset classification will be done in the financial statements of 2025.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Assessment of expected credit losses

Finding

The Council recognised a loss allowance for expected credit loss using a fixed percentage of five (5%) on its receivables. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires the assessment of a loss allowance for expected credit losses to consider the risk of default occurring on the financial asset at the reporting date.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should assess for a loss allowance on expected credit losses in line with IFRS 9.

Management response

Noted, we will carry out the assessments in accordance to IFRS 9.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings I raised in my 2024 report. I raised three (3) findings, two (2) were addressed and one (1) was not addressed as indicated below;

3.1 Property, plant and equipment

The finding was not addressed. The Council did not revalue its assets.

3.2 Consolidation of Msena

The finding was addressed. The Council consolidated its wholly owned subsidiary.

3.3 Allowance for credit losses

The finding was addressed. The Council recognised allowance for credit losses.

I have audited, the financial statements of Chivi Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effect of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Chivi Rural District Council as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non- compliance with International Public Sector Accounting Standards (IPSAS) 21- "Impairment of Non-Cash Generating Assets"

The Council did not carry out an assessment for impairment for assets during the year under review contrary to IPSAS 21 paragraph 26 which requires entities to assess for impairment at each reporting period. Had Council assessed for impairment the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Impairment of assets

Finding

The Council did not carry out an assessment for impairment for assets during the year under review contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires entities to assess for impairment at each reporting period.

Risk/ Implication

Misstatement of financial statements

Recommendation

The council should carry out an assessment of impairment loss

Management response

Noted. Impairment assessment will be carried out at the end of year 2025 for the 2025 financial statements.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised two (2) findings, one (1) was addressed and one (1) was not addressed as indicated below;

2.1 Receivables

The finding was addressed. The Council recognised allowance for credit losses.

2.2 Council ambulances

The finding was not addressed. The Council clinics still has no ambulances.

I have audited the financial statements of Gokwe North Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gokwe North Rural District Council as at December 31, 2024, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 29 which requires revaluations to be carried out with sufficient regularity so that the carrying amount of an asset does not differ materially from its fair value at the reporting date.

In addition, the Council did not account for infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires to have a separate class of property, plant and equipment called infrastructure assets. Had the Council revalued of its property, plant and equipment and accounted for infrastructure assets the carrying amounts disclosed in the financial statements would have been materially different.

ii. Incompleteness of revenue

The Council derived a portion of its revenue from various sources including but not limited to leases, fines, and unit taxes. There was no complete data base for unit taxes and no lease agreements for mobile telecommunication companies. As a result, my verification of those revenues was limited to the amounts recorded in the records of the Council and I was unable to determine any adjustments which might be necessary.

In addition, the Council did not have a complete database for the rate paying residents in the district and as a result, I could not determine the completeness of income earned by the Council from its sources.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment due to financial challenges. This was contrary to International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" paragraph 29 which requires revaluations to be carried out regularly so that the carrying amount of an asset does not differ materially from its fair value at the reporting date. Furthermore, this non-compliance also contravenes Section 9 of the Call to Action – No Compromise to service delivery which required Councils to revalue their asset

by 30 June 2024.

In addition, the Council did not account for infrastructure assets such as road networks and bridges in the financial statements. This was contrary to IPSAS 45 “Property, Plant and Equipment” paragraph 34 which requires to have a separate class of property, plant and equipment called infrastructure assets.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets according to the requirements of IPSAS 45.

The Council should account for its infrastructure assets.

Management response

Noted. Council is going to carry out asset revaluation exercise in the last quarter of 2025 in accordance with IPSAS 45 as well as account for infrastructure assets.

1.2 Policies and procedure manuals

Finding

The Council’s policies and procedure manuals were not ratified by the Council as a good corporate governance practice and as proof of approval. This was contrary to Rural District Council’s Act [*Chapter 29:13*] section 149 which requires every order, notice, written contract or other document requiring execution or authentication by a Council to be sufficiently executed or authenticated if signed by the responsible authorities.

Risk/ Implication

Policies may not be enforceable, and no one is bound by them if they are not ratified.

Recommendation

The policies should be ratified by the Council for them to be enforceable.

Management response

Noted. Council will ensure all policies and procedure manuals adopted by Council are signed by the Council Chair by September 30, 2025.

1.3 Salary arrears

Finding

The Council had salary arrears of nine (9) months as at December 31, 2024, due to financial constraints. This was contrary to employee contracts which requires employees to be paid monthly for services rendered.

Risk/ Implication

Service delivery may be compromised.

Financial loss due to litigations.

Recommendation

The employees should be remunerated in accordance with their employment contracts.

Management response

Noted. During the year 2025 Council applied for authority to borrow funds from Estates Account to settle the salaries and statutory obligations by 31 December 2025. Besides, Council is continuously engaging its debtors on payments to settle obligations. Currently Council managed to pay USD salaries up to July 2025 although we are still working on settlement of 2024 salary arrears through estate funds.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Lease agreements

Finding

The Council did not have signed lease agreements with telecommunication companies operating in the Council's jurisdiction. This was contrary to the Public Finance Management Act (*Chapter 22:19*) section 44(1)(a)(i) which requires the Council to establish and maintain effective, efficient and transparent systems of financial and risk management and internal controls.

Risk/ Implication

Loss of revenue.

Recommendations

The Council should make the necessary steps to ensure that all telecommunications companies have signed lease agreements.

Management response

Council currently has a lease agreement with Net One. Management is in the process of engaging other telecommunications companies.

2.2 Income collecting database

The Council did not have a complete income collection database for development levy. This was contrary to Rural District Councils Act [*Chapter 29:13*] section 120(1) which requires Council to keep such books of account as may be necessary to maintain a true and proper record of all matters relating to the financial transactions of the council including, without derogation from the generality of the foregoing income earned or accrued but not received.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should compile a comprehensive database of its residents.

Management response

Noted. Council is currently working with the District Development Coordinator, Chiefs, Headmen, Village Heads and Ward Councillors in the collection and computation of database for development levy. Hopefully, this exercise will be complete by December 31, 2025.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make significant progress in addressing findings that we raised in my 2025 report. I raised five (5) findings, two (2) were addressed and three (3) were not addressed as indicated below.

3.1 Valuation of property, plant and equipment

The finding was not addressed. Council did not revalue its property, plant and equipment.

3.2 Income tax obligations

The finding was not addressed. The Council was not up to date with its Pay As You Earn (PAYE) obligations.

3.3 Completeness of revenue

The finding was not addressed. The Council had not yet compiled the database of residents.

3.4 Advance payments

The issue was addressed. The Council resolved to pay suppliers after delivery of goods or services. If the supplier requires an advance payment, the Council will require a bank guarantee.

3.5 Payment on quotations

The issue was addressed. The Council is now requesting invoices which are used to process payments,

I have audited the financial statements of Gokwe Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gokwe South Rural District Council as at December 31, 2024, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. The Council stands database did not differentiate between disposed and available for sale stands. I could not satisfy myself on the adjustments that could have been necessary.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

There was an unresolved variance of ZWG 2.27 million between receivables balance disclosed of ZWG 10.31 million and the age analysis of ZWG 12.58 million. The Council could not resolve the variance as no reconciliations were being performed, and I could therefore not satisfy myself on the accuracy and completeness of the receivables balance disclosed in the financial statements. Had the Council reconciled the receivables balance, the financial statements would have been materially different.

Below are other material issues noted during audit;

1. GOVERNANCE ISSUES

1.1 Receivables

Finding

The Council was not performing debtors' reconciliations, as a result, there was an unresolved variance of ZWG2.27 million between receivables balance of ZWG 10.31 million and age analysis balance of ZWG12.58 million. This was contrary to section 44(1)(a) of the Public Finance Management Act [*Chapter 22:19*], which requires a public entity to establish and maintain effective, efficient internal controls. I could not satisfy myself on the accuracy of receivables reported on the financial statements

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should perform debtor's reconciliations and ensure reconciling items are timeously cleared.

Management response

Noted. This was caused by system deficiencies in capturing opening balances.

2. Inventory

Finding

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. The Council stands database did not differentiate between disposed and available stands for sale. This was contrary to the Public Finance Management Act [*Chapter 22:19*] section 49 1(a) and (b) which requires the accounting authority to keep full records of its financial affairs.

Risk/ Implication

Misstatement of financial statements.

Double allocation of stands.

Recommendation

The Council should differentiate disposed and stands available for sale and recognise inventory in the financial statements.

Management response

Noted. The Council procured a housing module for use by the planning department.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024report. I raised six (6) findings, five (5) were addressed and one (1) was not addressed as indicated below;

3.1 Depreciation of property, plant and equipment

The finding was addressed. The Council is now depreciating its assets in accordance with the applicable accounting policies.

3.2 Allowance for credit losses

The finding was addressed. The policy for allowance for credit losses was adopted and applied in the 2024 financial statements.

3.3 Segment reporting

The finding was addressed. Segment reporting was correctly prepared and presented in the 2024 financial statements.

3.4 Impairment

The finding was addressed. During the scope period, the Council revalued its non-current assets, and as a result, an impairment assessment was not deemed necessary.

3.5 Policies and procedure manuals

The finding was addressed. The Council put in place the accounting policy and procedure manuals.

3.6 Income generating projects

The finding was not addressed. Council is yet to have a signed agreement with tenants.

GOROMONZI RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Goromonzi Rural District Council for the years ended December 31, 2024 and I issued an Unmodified/Clean Opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the financial position of Goromonzi Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

1. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the audit findings that I raised in my 2024 report. I raised three (3) audit findings, one (1) was addressed, one (1) were partially addressed and one (1) was not addressed as indicated below;

1.1 New engine

The finding was addressed. The Council recovered the amounts from the supplier.

1.2 Parking fees collection

The finding was not addressed. Council did not formalise the employment of the receipting officer.

1.3 Business licensing

The finding was partially addressed. Council was in the process of recruiting a debt collection officer.

I have audited the financial statements of Guruve Rural District Council for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Guruve Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment" and IPSAS 21 – "Impairment of Non-Cash Generating Assets"

The Council did not carry out a revaluation of its assets since 2019. This was contrary to IPSAS 45 **–** "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using current values at the reporting date.

In addition, the Council did not recognise infrastructure assets, such as road networks and bridges. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. The Council did not carry out an impairment assessment of assets contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" which requires an assessment at each reporting date, whether there is any indication of impairment. Had the Council revalued assets, recognised infrastructure assets and assessed for impairment, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 – "Revenue"

The Council recognised beer levy amounting to ZWL$96.4 million on cash basis. This was contrary to IPSAS 47 – "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. Had the Council recognised beer levy revenue on accrual basis, the financial statements would have been materially different.

iii. Leases

The Council recognised lease revenue amounting to ZWL$202.74 million which was not supported by key records such as lease agreements. I was unable to verify the completeness and accuracy of revenue and receivables disclosed in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 – "Inventories"

The Council did not recognise consumables and stands inventory in the financial statements. This was contrary to IPSAS 12 – "Inventories" paragraph 11 which requires items that meet the definition of inventory to be recognised. Had the Council recognised inventory, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on receivables amounting to ZWL$3.09 billion. This was contrary to IPSAS 41 **-** "Financial instruments" paragraph 73 which requires the Council to recognise a loss allowance on a financial asset. Had Council allowance for credit losses, the receivables balance disclosed in the financial statements would have been materially different.

Below are material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Property, plant and equipment

The Council did not carry out a revaluation of its assets since 2019. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amount of assets do not differ materially from those which would be determined using current values at the reporting date.

In addition, the Council did not recognise infrastructure assets, such as road networks and bridges. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 21 which requires infrastructure assets to be recognised. The Council did not carry out an impairment assessment of assets contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" which requires an assessment at each reporting date, whether there is any indication of impairment

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its property, plant and equipment and recognise infrastructure assets.

Management response

Management acknowledges the non-compliance with the revaluation requirements of IPSAS 45. The delay in conducting the asset revaluation was due to financial constraints that limited the engagement of qualified valuers. Plans are in place to conduct a comprehensive external valuation of property, plant, and equipment. The failure to assess and record impairment losses was mainly due to staff shortages in key positions within the Finance and Administration Departments. Management is committed to full compliance with IPSAS requirements and will ensure that a comprehensive impairment review of all assets is performed. The exercise will include the identification of obsolete or non-functional assets, assessment of recoverable amounts, and necessary adjustments to reflect accurate carrying values in the financial statements.

1.2. Allowance for credit loss

Finding

The Council did not recognise an allowance for credit losses on receivables amounting to ZWL$3.09 billion. This was contrary to IPSAS 41 **-** "Financial instruments" paragraph 73 which requires the Council to recognise a loss allowance on a financial asset.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should provide for an allowance for credit loss.

Management response

Noted. The non-compliance arose because the Council had not yet implemented the requirements of IPSAS 41 during the period under review, and no credit loss model was in place to assess the recoverability of receivables. A credit risk assessment policy will be developed, and training will be provided to accounting staff to ensure that expected credit losses are appropriately determined and recognised in future financial statements in compliance with IPSAS 41.

1.3. Inventory valuation

Finding

The Council did not recognise consumables and stands inventory in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 11 which requires items that meet the definition of inventory to be recognised.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should ensure that all inventory balances are properly recognised, measured, and disclosed in line with IPSAS 12.

Management response

Management acknowledges the observation. We are committed to ensure that future inventory records will keep properly and accounted for in accordance with IPSAS 12-Inventories. Year-end inventory count and verifications will be conducted in the presents of the Auditors.

1.4. Internal audit function

Finding

The Council delayed implementing the Ministerial directive to reinstate the internal auditor who was dismissed in May 2022. As a result, internal audit functions were not performed for the period May 2022 to May 2025. This was contrary to section 84 of the Public Finance Management Act [*Chapter 22:19*] which requires the Council to establish and maintain an independent and adequately resourced internal audit function.

Risk/ Implication

Fraud and irregularities may go undetected

Recommendation

The Council should ensure that Ministerial directives are implemented timeously.

Management response

Noted. The gap in the Internal Audit function arose following the dismissal of the Internal Auditor in May 2022. The dismissal was subsequently deemed unprocedural by the Minister of Local Government, who directed the Council to reinstate the officer effective November 2022. The directive was only implemented in May 2025, resulting in the absence of an Internal Audit function during 2023. Plans are underway to recruit an Assistant Internal Auditor to strengthen the department.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1. Beer levy

Finding

The Council recognised beer levy amounting to ZWL$96.4 million on cash basis due to absence of beer sales schedules from the breweries. This was contrary to IPSAS 47 - “Revenue” paragraph 3 which requires revenue to be recognised on accruals basis.

Risk/ Implication

Misstatement of financial statements

Recommendations

The Council should recognise revenue from beer levy on accrual basis.

Management response

Noted. The variance arose due to the delay by breweries in submitting output schedules that form the basis for beer levy billing. As a result, the Council accounted for the levy on a cash basis instead of the accrual basis prescribed under IPSAS 23. Management has since engaged breweries to ensure timely submission of returns, and the issue has been addressed in the preparation of the 2024 financial statements.

2.2. Leases

Finding

The Council recognised lease revenue amounting to ZWL$202.74 million which was not supported by key records such as lease agreements as the Council's Planning Office was destroyed by fire, and records were lost.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should establish a backup for its records and information.

Management response

Noted. The Council acknowledges the challenge caused by the loss of lease records following the fire incident, which affected the completeness of supporting documentation for lease revenue. Management is committed to improving record management and ensuring that all property lease information is securely maintained. Plans are underway to computerize Council systems to enhance data storage, retrieval, and integration across departments. Although implementation has been delayed due to financial constraints, a budget provision has been included in the 2026 financial year to support the computerization initiative and strengthen internal controls over lease management.

3. EMPLOYMENT COSTS

3.1 Statutory Obligations

Finding

The Council was not submitting returns and remitting deductions for Pay As You Earn and AIDS Levy on time. This was contrary to Income Tax Act (*Chapter 23:06*) which requires the Council to deduct and remit the deductions by the 10th day of the following month.

Risk/ Implication

Financial loss due penalties and interests.

Recommendation

The Council should submit statutory returns and remit payments on time.

Management response

The delays in submitting statutory returns were primarily due to staff shortages within the Finance Department. The Council has since filled key vacant positions, and all statutory returns will be prepared and submitted within the stipulated timelines.

4. SERVICE DELIVERY ISSUES

4.1 Council ambulance

Finding

The Council did not have a functional ambulance to provide emergency medical services to the communities within its jurisdiction with a population of approximately 153 000 people. This was contrary to First Schedule, item 35 of the Rural District Councils Act [*Chapter 29:13*] which requires the Council to provide and operate an ambulance service inside the Council area.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should mobilise resources to acquire an ambulance.

Management response

The delay in procuring an ambulance has been primarily due to financial constraints that have affected the acquisition of critical service delivery assets. Management is implementing measures to improve the Council's financial position and sustainability. The procurement of an ambulance has been included as a priority item in the 2026 budget estimates, and efforts will be made to secure support from relevant ministries and partners to accelerate implementation.

4.2 Road maintenance

Finding

The Council only graded 69 km of the road out of the annual target of 301 km. In addition, the condition of the road network within the Council's jurisdiction was deteriorating with evidence of potholes, erosion, and inadequate maintenance leading to reduced accessibility. This was due to frequent equipment breakdowns.

Risk/ Implication

Service delivery may be compromised.

Recommendation

Management should mobilise resources and repair roads equipment.

Management response

Management acknowledges the finding regarding underperformance in road maintenance and the absence of a resurfacing target. The shortfall in road grading (69 km achieved out of 301 km planned) was mainly due to frequent equipment breakdowns and delays in ZINARA fund disbursements.

4.3 Health facilities

Finding

There was shortage of staff accommodation at one of the Council's clinics in Ward 20 which service Ward 19, 20 and 21. As a result, nurses were residing in the mothers' waiting room, a facility intended for expecting mothers. This was contrary to Rural District Councils Act [*Chapter 29:13*] item 34 of the First Schedule which requires Council to provide facilities for the maintenance of health.

Risk/ Implication

Service delivery may be compromised

Recommendation

The Council should mobilise resources for the construction of staff accommodation.

Management response

Management fully acknowledges the finding and concurs with the audit observations regarding the inadequate maternity and staff housing facilities at Bakasa Clinic. The Council recognises the urgent need to address these shortcomings, which pose significant health and safety risks and negatively affect service delivery. A joint needs assessment of Bakasa Clinic and other district clinics will be undertaken by the Social Services Officer in collaboration with the Environmental Health Officer. The results will be incorporated into the 2026 financial year budget to guide infrastructure development and resource allocation priorities.

5. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMENDATIONS.

The Council did not make significant progress in addressing audit findings and recommendations I raised in my previous reports. I raised eight (8) audit findings, two (2) were addressed, one (1) was partially addressed and five (5) were not addressed as indicated below;

5.1 Impairment of assets

The finding was not addressed. The Council did not carry out an impairment assessment.

5.2 Allowance for expected credit losses

The finding was not addressed. The Council did not recognise an allowance for credit losses.

5.3 Provision for leave pay

The finding was addressed. The Council recognised a provision for leave pay.

5.4 Beer levy revenue

The finding was not addressed. Beer levy was recognised on a cash basis.

5.5 Revaluation of assets

The finding was not addressed. The Council did not revalue its assets.

5.6 Revenue recognition for leases

The finding was not addressed. The Council stated accruing leases revenue in 2024

5.7 Depreciation of assets

The finding was addressed. The Council depreciated its assets.

5.8 Drilling rig

The finding was partially addressed. The Council pursued the case through the courts. However, the drilling rig is yet to be delivered.

I have audited the financial statements of Gwanda Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Gwanda Rural District Council as at December 31, 2024, its financial performance and cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash-Generating Assets"

The Council did not carry out an impairment assessment of its property, plant and equipment as at December 31, 2024, contrary to IPSAS 21- "Impairment of Non-Cash-Generating Assets" paragraph 26 which requires an assessment for indicators of impairment to be performed at the end of each reporting period. Had the Council performed an assessment for indicators of impairment, the financial statements would have been materially different.

Below are other material issues noted during the audit.

1 GOVERNANCE ISSUES

1.1 Impairment of Non-Current Assets

Finding

The Council did not carry out an impairment assessment of its property, plant and equipment as at December 31, 2024, contrary to IPSAS 21– "Impairment of Non-Cash-Generating Assets" paragraph 26 which requires an assessment for indicators of impairment to be performed at the end of each reporting period.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment in compliance with IPSAS 21.

Management response

The finding is noted and acknowledged, Council will conduct the impairment of assets assessment for the year ending December 2025.

1.2 Statutory audit deadline

Finding

The Council submitted the 2024 financial statements for audit in September 2025. This was contrary to section 35(6) of the Public Finance Management Act [*Chapter 22:19*] which requires the Council to submit the financial statements to the auditors within sixty days from the financial year end.

Risk/ Implication

Transparency and accountability may be compromised.

Recommendation

The Council should submit financial statements within the statutory deadline.

Management response

Noted, the Council will ensure compliance on submission of financial statements as per the stipulated statutory requirements.

1.3 Transport equipment

Finding

The Council had two (2) vehicles and four (4) motorcycles which were not registered in its name. This was due to delays in obtaining donation certificates required to facilitate the transfer of ownership. This was contrary to section 14 of the Vehicle Registration and Licensing Act [*Chapter 13.14*] which requires the new owner to register the vehicles within fourteen days after acquisition.

Risk/ Implication

Misappropriation of assets.

Recommendation

The Council should register the vehicles and motorcycles in its name.

Management response

The recommendation of the audit is noted. Council is working towards the finalization of obtaining registration books.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings raised in my 2024 report. I raised eight (8) audit findings, four (4) were addressed, two (2) were partially addressed and two (2) were not addressed as indicated below;

2.1 Depreciation of Property, plant and equipment

The finding was addressed. Depreciation has been retrospectively adjusted in the financial

statements.

2.2 Investment property

The finding was addressed. Rental income derived from these properties was correctly accounted for and disclosed in the financial statements.

2.3 Inventories

The finding was addressed. All inventory items were accurately recognised and disclosed in the financial statements.

2.4 Valuation of biological assets

The finding was not addressed. Council did not value biological assets.

2.5 Policies and procedures manuals

The finding was partially addressed. Council put in place some key policies.

2.6 Dumpsite

The finding was addressed. The Council constructed a durawall around the dumpsite.

2.7 Receivables

The finding was not addressed. The reconciliation of debtor balances was not performed due to work backlog within the finance department.

2.8 Beer levy

The finding was partially addressed. Management was finalising the design of the policy to accrue beer levy.

HURUNGWE RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Hurungwe Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Hurungwe Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 – "Property, Plant and Equipment"

The Council did not recognize infrastructure assets such as road networks, sewer reticulation systems and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires recognition of such assets as property, plant and equipment. Had the Council recognised infrastructure assets, the amount disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets"

The Council did not carry out an impairment assessment for its assets at the reporting date. This was contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires the Council to assess its property, plant and equipment for impairment indicators at each reporting date. Had the Council assessed its assets for impairment indicators, the financial statement would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 – "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$13.3 billion. This was contrary to IPSAS 16 – "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair value of its investment property even when the cost model is used. Had the Council disclosed the fair values of its investment property the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not recognise Infrastructure assets such as road networks, sewer reticulation systems and bridges in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires the Council to recognize such assets as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should value and recognise its infrastructure assets in the financial statements.

Management response

As Council we engaged an asset valuation consultant to include infrastructure assets in November 2024.

1.2 Impairment of assets

Finding

The Council did not carry out an impairment assessment for its assets at the reporting date. This was contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires the Council to assess its property, plant and equipment for impairment indicators at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should carry out an impairment assessment of its assets at each reporting date.

Management response

Council acknowledges the recommendation and will carry out tests of impairment every year.

1.3 Investment property

Finding

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL$13.3 billion. This was contrary to International Public Sector Accounting Standard (IPSAS 16) – "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair value of its investment property even when the cost model is used.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose the fair value of its investment property.

Management response

Council conducted the valuation roll in year 2024 and we are waiting for the report.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings I raised in my 2023 report. I raised four (4) audit findings, one (1) was addressed and three (3) were not addressed as indicated below.

2.1 Policies

The finding was not addressed. The Council does not have a donations and information technology security policy.

2.2 Management of stands

The finding was addressed. Stands inventory was recognised in the financial statements.

2.3 Dororowe Road, Shortie Chinhere Road and Chinhere Uroyi

The finding was not addressed as the Council did not have project reporting mechanisms in place.

2.4 Impairment assessments

The finding was not addressed as the Council did not carry out an impairment assessment of its assets.

HWANGE RURAL DISTRICT COUNCIL 2021, 2022, 2023 AND 2024

I have audited the financial statements of Hwange Rural District Council, for the years ended December 31, 2021- 2024 and I issued a disclaimer opinion for the years 2021-2023 and a qualified opinion for 2024.

Disclaimer of Opinion 2021

I do not express an opinion on the financial statements of Hwange Rural District Council because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an opinion on the financial statements.

Basis for Disclaimer Opinion

i. Non-compliance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not prepare inflation adjusted financial statements. This was contrary to the provisions of IPSAS 10 - "Financial Reporting in Hyper-Inflationary Economies" paragraph 1A which requires entities operating in hyper-inflationary economies to prepare inflation adjusted financial statements. Had the Council complied with the requirements of IPSAS 10 - "Financial Reporting in Hyper-Inflationary Economies" the financial statements would have been materially different.

ii. Receivables

Included in the receivables balance of ZWL$107.88 million was an unsubstantiated balance of ZWL$20.97 million which did not have supporting documentation. As a result, I could not therefore ascertain the existence, valuation and accuracy of the accounts receivables disclosed in the financial statements**.**

iii. Income

The Council did not bill development levy for communal households due to absence of registers. In addition, Council invoiced one hundred and seventy-four (174) low density houses out of a customer listing of two hundred and fourteen (214) houses in the area resulting in a variance of forty (40) houses. I was therefore unable to satisfy myself on the accuracy and completeness of the reported revenue.

iv. Expenditure

Included in expenditure balance of ZWL206.88 million was an amount of ZWL57.74 million without supporting documentation. As a result, I could not satisfy myself on the occurrence, completeness and accuracy of expenditure disclosed in the financial statements.

v. Journal entries

The Council posted journal entries in the accounting system throughout the year which were not supported by underlying documentation. As a result, I could not verify the validity of the adjustments made.

Disclaimer of Opinion 2022

I do not express an opinion on the financial statements of Hwange Rural District Council because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to

provide a basis for an opinion on the financial statements.

Basis for Disclaimer opinion

i. Non-compliance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies'

The Council did not prepare inflation adjusted financial statements. This was contrary to the provisions of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" paragraph 1A which requires entities operating in hyper-inflationary economies to prepare inflation adjusted financial statements. Had the Council complied with the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Receivables

Included in the receivables balance of ZWL536.95 million was an unsubstantiated balance of ZWL41.78 million which did not have supporting documentation. As a result, I could not therefore ascertain the existence, valuation and accuracy of the accounts receivables disclosed in the financial statements**.**

iii. Income

The Council did not bill development levy for communal households due to absence of registers. In addition, Council invoiced 174 low density houses out of a customer listing of 214 houses in the area resulting in a variance of 40 houses. I was therefore unable to satisfy myself on the accuracy and completeness of the reported revenue.

iv. Expenditure

Included in expenditure balance of ZWL206.89 million was an amount of ZWL65.50 million without supporting documentation. As a result, I could not satisfy myself on the occurrence, completeness and accuracy of expenditure disclosed in the financial statements.

v. Journal entries

The Council posted journal entries in the accounting system throughout the year which were not supported by underlying documentation. As a result, I could not verify the validity of the adjustments made.

Disclaimer of Opinion 2023

I do not express an opinion on the financial statements of Hwange Rural District Council because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an opinion on the financial statements.

Basis for Disclaimer Opinion

i. Non-compliance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies"

The Council did not prepare inflation adjusted financial statements. This was contrary to the provisions of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" paragraph 1A which requires entities operating in hyper-inflationary economies to prepare inflation adjusted financial statements. Had the Council complied with the requirements of IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" the financial statements would have been materially different.

ii. Receivables

Included in the receivables balance of ZWL$1.83 billion was an unsubstantiated balance of ZWL$1.26 billion which did not have supporting documentation. As a result, I could not therefore ascertain the existence, valuation and accuracy of the accounts receivables disclosed in the financial statements.

iii. Income

The Council did not bill development levy for communal households due to absence of registers. In addition, Council invoiced one hundred and seventy-four (174) low density houses out of a customer listing of two hundred and fourteen (214) houses in the area resulting in a variance of forty (40) houses. I was therefore unable to satisfy myself on the accuracy and completeness of the reported revenue.

iv. Expenditure

Included in expenditure balance of ZWL206.88 million was an amount of ZWL57.74 million without supporting documentation. As a result, I could not satisfy myself on the occurrence, completeness and accuracy of expenditure disclosed in the financial statements.

v. Journal entries

The Council posted journal entries in the accounting system throughout the year which were not supported by underlying documentation. As a result, I could not verify the validity of the adjustments made.

Qualified of Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Hwange Rural District Council as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment''

The Council did not recognise land in the financial statements for the year ended December 31, 2024. This was contrary to IPSAS 45 - "Property, Plant and Equipment" which requires assets which meet the recognition criteria of an asset be accounted for as property, plant and equipment. Had the Council recognised land, the financial statements would have been materially different

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS)16 - "Investment Property"

The Council accounted for properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 – "Investment Property" which require such properties to be recognised as Investment Property. Had the Council accounted for these properties as Investment property, the financial statements would have been materially different.

iii. Non – compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not assess its property, plant and equipment and investment property for indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date. Had the Council assessed its assets for indicators of impairment, the carrying amount of property, plant and equipment would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Billing of revenue

Finding

The Council did not bill development levy for communal households due to absence of registers. In addition, Council invoiced 174 low density houses out of a customer listing of 214 houses in the area resulting in a variance of 40 houses.

Risk/ Implication

Loss of revenue.

Recommendation

Ensure that all customers are billed according to the tariffs for the year.

Management response

The registers have been activated to facilitate billing of the same. Residents in Dete would be subjected to the normal rates and taxes chargeable in an urban set up.

1.2 Authorisation of journals

Finding

The Council posted journal entries in the accounting system from 2021 to 2023 which were not supported by underlying documentation.

Risk/ Implication

Fraud may be perpetrated and go unnoticed.

Misstatements of financial statements.

Recommendation

All journals should be supported by underlying records.

Management response

The recommendation is noted and shall be implemented accordingly.

1.3 Reporting in hyperinflationary economies

Finding

The Council did not prepare inflation adjusted financial statements. This was contrary to the provisions of IPSAS 10 – "Financial Reporting in Hyperinflationary Economies" paragraph 1A which requires entities operating in hyperinflationary economies to prepare inflation adjusted financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should prepare inflation adjusted financial statements.

Management response

Noted. This will be addressed in year 2024.

1.4 Expenditure supporting documents

Finding

Expenditure amounting to ZWL57.74 million, ZWL65.50 million and ZWL660.55 million for the 2021, 2022 and 2023 financial years respectively did not have supporting documents.

Risk/ Implication

Misstatement of financial statements.

Misappropriation of Council funds.

Recommendation

Financial statements should be hyper inflated to be compliant with IPSAS requirements.

Management response

Council take note and relevant attachments will be attached as at December 2024.

1.5 Impairment of assets

Finding

The Council did not assess its property, plant and equipment and investment property for

indicators of impairment. This was contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires assessment of assets for indications of impairment to be made at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period.

Management response

Noted. Council will comply.

1.6 Accounting for land

Finding

The Council did not recognise land in the financial statements for the year ended December 31, 2024. This was contrary to IPSAS 45 – "Property, Plant and Equipment" which requires assets which meet the recognition criteria of an asset be accounted for as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise land in the financial statements.

Management response

Council engaged the services of an external evaluator in 2025. Land will be recorded separate from buildings in 2025 financial statements

1.7 Investment property

Finding

The Council accounted for properties held to earn rentals as property, plant and equipment. This was contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires such properties to be recognised as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise property held to earn rentals as investment property.

Management response

Noted.

1.8 Segment reporting

Finding

The Council did not disclose its segment information contrary to IPSAS 18 – "Segment Reporting" paragraph 52 which requires the Council to disclose segments financial information.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose segment information in compliance with IPSAS 18.

Management response

Council implemented a new chart of accounts in 2025. Therefore, Council will be able to generate segmented reports.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised six (6) findings, two (2) were addressed and four (4) were not addressed as indicated below;

2.1 Cash and cash equivalents

The finding was addressed. The Council availed the USD cashbook.

2.2 Payables

The finding was addressed. The Council provided supporting documentation.

2.3 Unsupported expenditure

The finding was not addressed. The Council did not provide supporting documentation for expenditure.

2.4 Receivables

The finding was not addressed. The Council did not provide supporting documentation for receivables.

2.5 Revenue

The finding was not addressed. Revenue was not accounted for in line with IPSAS 47.

2.6 Policy and procedure manual.

The finding was not addressed. The Council did not have the policies and procedure manual.

I have audited the financial statements of Hwedza Rural District Council, for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Hwedza Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised beer levy income of ZWG0.22 million on cash basis contrary to IPSAS 47- "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. Had the Council complied with the requirements of IPSAS 47 – "Revenue" in accounting for its beer levy the financial statements would have been materially different.

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ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognize inventory items such as fuel, stationery and communication materials in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 12 which requires items to be consumed in the ordinary course of business to be recognized as inventory. Had the Council recognized these inventory items the financial statements would have been materially different.

Below are other material issues noted during the audit**;**

1. GOVERNANCE ISSUES

1.1 Inventory

Finding

The Council did not recognize inventory items such as fuel, stationery and communication materials in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 12 which requires items to be consumed in the ordinary course of business to be recognized as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognize inventory in the financial statements.

Management response

The issue is noted and inventory counts and reconciliations will be done twice per year as per our Stores policy and records to be maintained thereto.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Beer levy

Finding

The Council recognised beer levy income of ZWG0.22 million on cash basis contrary to IPSAS 47- "Revenue" paragraph 3 which requires revenue to be recognised on accruals basis. In addition, the Council did not obtain beer sales schedule from the breweries contrary to the Traditional Beer Act [Chapter 14:24] section 15 which requires the Council to obtain records of production to verify the accuracy of the amount remitted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should obtain beer sales schedules from the breweries and account for beer levy on accruals basis.

Management response

Council has escalated the issue to the Association of Rural District Councils for engagement with the brewer to ensure that the brewer declares its sales volumes.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2024 report. I raised four (4) findings, three (3) were addressed and one (1) was not addressed as indicated below;

3.1 Statutory audit deadline

The finding was addressed. The Council submitted financial statements within the statutory deadline.

3.2 Property, plant and equipment

The finding was addressed. The Council conducted an asset valuation exercise during the year.

3.3 Allowance for credit losses

The finding was addressed. The Council made a provision for credit losses during the year.

3.4 Beer levy

The finding was not addressed. The Council did not obtain beer sales schedules and accounted for beer levy on cash basis.

INSIZA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Insiza Rural District Council, for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Insiza Rural District Council as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Recognition of beer levy income

The Council recognised beer levy income on cash basis, contrary to International Public Sector Accounting Standard (IPSAS) 47 - "Revenue" paragraph 3 which requires revenue to be recognized on accruals basis. Had Council recognised beer levy revenue on accrual basis, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 – "Financial Instruments"

The Council did not provide for allowance for credit losses on receivables. This was contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets. Had Council recognize allowance for credit losses the financial statements would have been materially different.

iii. Impairment

The Council did not carry out an impairment assessment as at December 31, 2024. This was contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 21 – "Impairment of Non-Cash Generating Assets", which requires the Council to assess at each reporting date whether there is any indication that an asset may be impaired. Had Council assessed its assets for impairment, the financial statements would have been materially different.

iv. Provision for leave days

The Council did not recognise leave pay provision in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 19 – "Provisions, Contingent Liabilities and Contingent Assets" paragraph 22 which requires recognition of a provision when there is a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation. Had Council recognised a leave pay provision the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Allowance for credit losses

Finding

The Council did not provide for allowance for credit losses on receivables. This was contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should make an assessment of allowance of expected credit losses at each reporting date.

Management response

The policy is in place and will be implemented accordingly.

1.2 Impairment of assets

Finding

The Council did not carry out an impairment assessment as at December 31, 2024. This was contrary to the requirements of International Public Sector Accounting Standard (IPSAS) 21- "Impairment of Non-Cash Generating Assets", which requires the Council to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21.

Management response

Noted. This will be implemented going forward.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue

Finding

The Council recognised beer levy income on cash basis, contrary to International Public

Sector Accounting Standard (IPSAS) 47 - “Revenue” paragraph 3 which requires revenue to be recognized on accruals basis.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should obtain records of actual sales from brewers.

Management response

Council has been requesting for schedules but breweries are not complying. Going forward there might be need to seek legal advice and assistance.

3. EMPLOYMENT ISSUES

3.1 Leave pay

Finding

The Council did not recognise leave pay provision in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 19 - “Provisions, Contingent Liabilities and Contingent Assets” paragraph 22 which requires recognition of a provision when there is a present obligation as a result of a past event and it is probable that an outflow of resources will be required to settle the obligation.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise leave pay provision in line with IPSAS 19.

Management response

Noted. The omission will be rectified as leave days and pay rates are available for implementation.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing findings that I raised in my 2023 report. I raised eleven (11) findings, eight (8) findings were addressed, one (1) was partially addressed and two (2) were not addressed as indicated below;

4.1 Property, plant and equipment

The finding was addressed. The Council depreciated the assets.

4.2 Accounting for biological assets

The finding was addressed. The Council recognised biological assets in the financial statements.

4.3 Intangible assets

The finding was addressed. The Council accounted for intangible assets.

4.4 Leases

The finding was addressed. The Council accounted for the leases in the financial statements.

4.5 Weak inventory system

The finding was addressed. The Council updated the system to include inventory module.

4.6 Refuse removal equipment

The finding was partially addressed. The Council budgeted for the procurement under Filabusi Town Board.

4.7 Statutory audit deadline

The finding was not addressed. The Council did not meet statutory deadline on submission of financial statements.

4.8 Investment property

The finding was addressed. The Council classified investment properties in line with IPSAS 16 – “Investment Property”.

4.9 Segment reporting

The finding was addressed. The Council disclosed segment information in the financial statements.

4.10 Statutory deductions

Partially addressed. The Council paid part of the statutory deductions.

4.11 Allowance for credit losses

The finding was not addressed. The Council did not assess for allowance for credit losses.

I have audited the financial statements of Kusile Rural District Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly the financial position of Kusile Rural District Council as at December 31, 2024, its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS)45 - "Property, Plant and Equipment"

The Council did not perform a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from that which would be determined using current values at the reporting date. In addition, the Council did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires such assessments to be done at each reporting date. Had the Council revalued and assessed residual values of its property, plant and equipment, the carrying amounts disclosed in the financial statements would have been materially different.

ii. Suspense account balance

The Council's financial statements had a suspense account balance of ZWG1.04 million included in payables which was not cleared by management. Had Council resolved the suspense account balance, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose its segment information contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information. Had the Council disclosed its segment information, the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise allowance for credit losses on receivables balance amounting to ZWG21.27 million disclosed in the financial statements. This was contrary to IPSAS 41 - "Financial Instruments", paragraph 73 which requires the Council to recognise expected credit losses on financial assets. Had the Council assessed and provided for allowance for expected credit losses, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 20 - "Related Party Disclosures"

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to IPSAS 20- "Related Party Disclosures" paragraph 34 which requires disclosure of transactions with related parties.

vi. Non-compliance with International Public Sector Accounting Standard (IPSAS) 24 - "Presentation of Budget Information in the Financial Statements"

The Council did not disclose budget information in the financial statements. This is contrary to IPSAS 24 - "Presentation of Budget Information in the Financial Statements" paragraph 1 which requires a comparison of budgeted and actual amounts to be included in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not perform a revaluation of its property, plant and equipment since 2009. This was contrary to IPSAS 45- "Property, Plant and Equipment" paragraph 29 which requires revaluations to be made with sufficient regularity to ensure that the carrying amounts of assets do not differ materially from that which would be determined using current values at the reporting date. In addition, the Council did not carry out an assessment of the residual value and useful life of its property, plant and equipment as required by IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires such assessment to be done at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets and review the residual values and useful lives of its property, plant and equipment.

Management response

Observation is noted. We expect to be compliant to IPSAS 45 - "Property, Plant and Equipment" in 2025 financial statements.

1.2 Allowance for credit losses

Finding

The Council did not recognise allowance for credit losses on receivables balance amounting to ZWG21.27 million disclosed in the financial statements. This was contrary to IPSAS 41 - "Financial Instruments", paragraph 73 which requires the Council to recognise expected credit losses on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses in accordance with IPSAS 41 - "Financial Instruments".

Management response

This will be implemented in 2026. The policy is still draft and is pending Council adoption.

1.3 Segment reporting

Finding

The Council did not disclose segment information in the financial statements. This was contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment information.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information in line with IPSAS 18.

Management response

The Council will disclose its segment information from 2025 going forward.

1.4 Suspense account

Finding

The Council's financial statements had a suspense account balance of ZWG1.04 million included in payables which was not cleared by management since 2021.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should investigate and resolve the suspense account.

Management response

The investigation will be carried to solve and clear the suspense account.

1.5 Related parties

Finding

The Council did not disclose related party transactions and balances for key management personnel. This was contrary to International Public Sector Accounting Standards (IPSAS) 20 – "Related Party Disclosures" paragraph 34 which requires disclosure of transactions with related parties.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose transactions involving related parties.

Management response

The Council will adjust and disclose the executives and Councillor's remuneration accordingly.

1.6 Lease agreements

Finding

The Council did not have lease agreements for its fourteen (14) properties leased out to tenants. This was contrary to section 44(1) of the Public Finance Management Act [*Chapter 22:19*] which requires a public entity to establish and maintain effective, efficient and transparent systems of internal control.

Risk/ Implication

Financial loss due to lack of recourse in the event of disputes with tenants.

Recommendation

The Council should put in place lease agreements for all leased out properties.

Management response

The finding will be implemented. Lease agreements were reviewed and letters of demand for those owing were issued out in 2025.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings that I raised in my 2024 report. I raised twelve (12) findings, seven (7) were addressed, one (1) was partially addressed and four (4) findings were not addressed as indicated below;

2.1 Hyperinflationary accounting

The finding was addressed. Council prepared inflation adjusted financial statements.

2.2 Suspense account

The finding was not addressed. The Council did not resolve the suspense account balance.

2.3 Related parties

The finding was not addressed. The Council did not disclose related party transactions in the financial statements.

2.4 Inventory management

The finding was addressed. The Ministry of Local Government and Public Works template was completed for 2024 inventory.

2.5 Cash and cash equivalents

The finding was addressed. The Council cleared the bank balance variances.

2.6 Property, plant and equipment

The finding was not addressed. Council engaged the Department of Valuations under the Ministry of Local Government and Public Works.

2.7 Payables

The finding was addressed. Council cleared the payable variances.

2.8 Business licence fees

The finding was addressed. The Council is now maintaining a complete database of the businesses operating within its jurisdiction.

2.9 Receivables

The finding was partially addressed. The Council is in the process of clearing the variances.

2.10 Allowance for credit losses

The finding was not addressed. The Council did not recognise allowance for credit losses.

2.11 Unsupported expenditure

The finding was addressed. Council availed supporting documentation for expenditure.

2.12 Payroll taxation

The finding was addressed. The Council paid taxes in currency paid.

MAKONDE RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Makonde Rural District Council for the years ended December 31, 2023, and December 31, 2024, and I issued a disclaimer of opinion for 2023 and an adverse opinion for 2024.

Disclaimer of Opinion 2023

I do not express an opinion on the financial statements of Makonde Rural District Council. Because of the significance of the matters described in the Basis for Disclaimer of Opinion section of my report, I have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements.

Basis for Disclaimer of Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

During December 31, 2023 financial year, the foreign currency denominated transactions and balances of the Council were translated into ZWL using the interbank exchange rates and which was not considered appropriate spot rates for transactions as required by IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" because foreign currency was not available for immediate delivery at these rates. Had the financial statement been prepared in accordance with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", many elements would have been materially affected.

ii. Incomplete records

The Council did not maintain adequate accounting records such as client database, ledgers for receivables and payables during the year under review. As a result, I could not ascertain the accuracy and completeness of the receivables, revenue and payables figures amounting to ZWL$998 million, ZWL$6.8 billion and 1.006 billion respectively disclosed in the financial statements.

Adverse Opinion 2024

Basis for Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position Makonde Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

i. Incomplete records

The Council did not maintain adequate accounting records for trade payables such as age analysis, creditor listings, supplier statements and payment reconciliations for trade payables during the year under review. As a result, I could not ascertain the accuracy and completeness of the trade payables figures amounting to ZWG106 million disclosed in the financial statements. Had the council kept an age analysis to verify the existence, accuracy and completeness of trade payables as at 31 December 2024, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

During the prior and current financial year, the foreign currency transactions and balances were translated into ZWG using interbank exchange rates which did not meet the definition of spot exchange rate as foreign currency was not available for delivery at these rates. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 24, which requires foreign currency transactions to be translated using spot exchange rates. Had the financial statements been prepared in accordance with the requirements of IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", some elements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment."

The Council did not maintain an asset register to support the property, plant and equipment balance of ZWG 520 thousand recognised in the financial statements. I could therefore not satisfy myself on the completeness and valuation of property, plant and equipment.

iv. Non-compliance with IPSAS 19 - "Provisions, Contingent Liabilities and Contingent Assets."

The Council did not recognise provision for leave pay in the financial statements despite having outstanding leave days as at year end. This was contrary to IPSAS 19- "Provisions, Contingent Liabilities and Contingent Assets", paragraph 14 which requires a provision to be recognized if the recognition criteria for a provision is met. Had the Council recognised the provision, the financial statements would have been materially different.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments."

The Council did not make an assessment for allowance for credit losses for receivables amounting to ZWG 1.1 billion, this was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires an assessment of allowance for credit losses at each reporting period. Had the Council assessed allowance for credit losses, the receivables balance would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1. Asset register

Finding

The Council did not maintain an asset register to support the property, plant and equipment balance of ZWG 520 thousand recognised in the financial statements. As a result, I could not confirm completeness and valuation of property, plant and equipment. This was contrary to the Public Finance Management Act [Chapter 22:19] section 49(1)(a) which requires the Council to keep full records of its financial affairs.

Risk/ Implication

Financial statements may be materially misstated. Misappropriation of Council assets.

Recommendation

The Council should keep and maintain a comprehensive asset register.

Management response

Finding has been noted. Management is working on the observation.

1.2. Incomplete records

Finding

The Council did not maintain adequate accounting records such as client database for revenue, ledgers for receivables, payables, inventory and property, plant and equipment during the year under review. As a result, I could not ascertain the accuracy and completeness of the balances disclosed in the financial statements. This was contrary to Public Finance Management Act [Chapter 22:19] section 49 (1) (a) which requires the accounting authority for a public entity to keep full records of financial affairs of the public entity.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The schools should maintain adequate accounting records such as ledgers for payables and receivables.

Management response

Finding has been noted. Management is working on the observation.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1. Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on receivables amounting to ZWG 1.1 billion which was contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires an entity to recognise a loss allowance for expected credit losses on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council’s financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should make an assessment for allowance for credit losses in accordance with IPSAS 41 - “Financial Instruments”.

Management response

Management to work on the finding raised by the auditors

3. EMPLOYMENT COSTS

3.1 Leave pay provision

Finding

The Council had no formal leave tracking system. As a result, the Council did not provide for leave pay as at December 31, 2024, which was contrary to IPSAS 19 – "Provisions, Contingent Liabilities and Contingent Assets" requires provisions to be provided for and reviewed at the end of each reporting period and adjusted to reflect the current best estimate.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should recognise provision for leave pay to comply with accounting standards.

Management response

Finding has been noted. Management will act on it.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations I raised in my previous report. I raised seven (7) findings, six (6) were addressed and one (1) was not addressed as indicated below

4.1 Receivables

The finding was not addressed. Council did not recognize allowance for credit losses.

4.2 Property, plant and equipment

The finding was addressed. Council revalued its assets.

4.3 Lease rentals

The finding was addressed, the lease register is now in place.

4.4 Housing benefit

The finding was addressed. Council employees no longer receive double benefit

4.5 Murereka dumpsite

The finding has been addressed. The dumpsite is now fenced.

4.6 Policies

The finding was addressed. All the policies are now in place.

4.7 Land reserve

The finding was addressed. The Council is now maintaining the record for the land reserve and it was recognised in the financial statements.

MAKONI RURAL DISTRICT COUNCIL 2024 AND 2025

I have audited the financial statements of Makoni Rural District Council for the year ended December 31, 2024, and 2025 and I issued a qualified opinion and unmodified/ clean opinion respectively.

Qualified Opinion 2024

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Makoni Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting" and IPSAS 1- "Presentation of Financial Statements"

The Council did not recognise the revenue, expenses, assets and liabilities of its two hundred and seventy-five (275) schools in the financial statements for the year ended 31 December 2024. This was contrary to IPSAS 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to present fairly the financial position, financial performance and cashflows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52-57, which requires the Council to disclose its separate segments. Had the Council complied with IPSAS - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Opinion 2025

In my opinion, the financial statements present fairly, in all material respects, the financial position of Makoni Rural District Council as at December 31, 2025, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for Schools

Finding

The Council did not recognise the revenue, expenses, assets and liabilities of its two hundred and seventy-five (275) schools in the financial statements for the year ended December 31, 2024. This was contrary to International Public Sector Accounting Standard (IPSAS) 1- "Presentation of Financial Statements" paragraph 27, which requires financial statements to present fairly the financial position, financial performance and cashflows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52-57, which requires the Council to disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should account for its Schools in the financial statements.

Management response

There was no clear information as regards the inclusion of Schools in the Council's financial statements since there was speculation on who was actually in control of the schools Ministry of Education or Council. Council is now working on gathering the information for Schools to include in the 2025 financial statements since the issue has now been resolved.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing audit findings and recommendations raised in my 2024 annual report. I raised four (4) audit findings, two (2) were addressed, and two (2) were not addressed as indicated below;

2.1 Property, plant and equipment

The finding was addressed. Council conducted a revaluation exercise.

2.2 Ambulance services

The finding was not addressed. The Council did not have an ambulance service.

2.3 Statutory obligations

The finding was not addressed. The Council was not remitting statutory obligations on time.

2.4 Inventory

The finding was addressed. The Council recognised all inventories recognised in the financial statements.

MARONDERA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Marondera Rural District Council for the year ended December 31, 2024, and I issued an unmodified/ clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of Marondera Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International

Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make any progress in addressing audit findings and recommendations raised in my 2024 report. I raised four (4) audit findings and all of them were not addressed as indicated below;

3.1 Ambulance

The finding was not addressed. The Council is still waiting for devolution funds to procure ambulance for the district.

3.2 Offer of house to senior official

The finding was not addressed. The Council is seeking guidance from the parent Ministry on the matter.

3.3 Funeral grants and life assurance for Councillors

The finding was not addressed. The Council paid funeral assistance and life assurance for Councillors without Ministerial approval.

3.4 Supply and delivery of equipment

The finding was not addressed. The tipper truck and tractor loader backhoe which were paid for in 2018 were not delivered.

I have audited the financial statements of Mangwe Rural District Council for the year ended December 31, 2023, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mangwe Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 19 – "Provisions, Contingent Liabilities, and Contingent Assets"

The Council did not recognise a provision for leave pay in the financial statements despite having outstanding leave days as at year end. This was contrary to IPSAS 19 - "Provisions, Contingent Liabilities and Contingent Assets", paragraph 22 which requires a provision to be recognised if the recognition criteria for a provision is met. Had the Council recognised leave pay provision, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise an allowance for expected credit losses on its receivables with a carrying amount of ZWL1.25 billion. This was contrary to IPSAS 41- "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets. Had the Council recognised an allowance for credit losses, the receivable balance would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Policies and procedures manual

Finding

The Council did not have key policies and procedures manuals such as asset management policy, debt management policy, disaster management and recovery plan policy, transport policy and information communication technology (ICT). As a result, reliance was being placed on Council resolutions. This was contrary to Section 44 (1) (a) of the Public Finance Management Act [*Chapter 22:19*] which requires a public entity to establish and maintain an effective, efficient and transparent systems of financial, risk management and internal controls.

Risk / Implication

Inconsistences in the handling of operational issues.

Service delivery may be compromised.

Recommendation

The Council should put in place key policies and procedures to govern Council operations.

Management response

Outstanding policies will be crafted on a quarterly basis starting from the first quarter of 2026. All adopted policies to be signed by the Chief Executive Officer and Council Chairperson within two weeks after the full Council meeting adopting them.

1.2 Leave pay provision

Finding

The Council did not recognise a provision for leave pay in the financial statements despite having outstanding leave days as at year end. This was as a result of the client's Human Resource Department been understaffed due to cash flow challenges. This was contrary to IPSAS 19 – "Provisions, Contingent Liabilities and Contingent Assets", paragraph 14 which requires a provision to be recognised if the recognition criteria for a provision is met.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should recognise provision for leave pay for outstanding leave days.

Management response

We take full responsibility for the matter and have already initiated corrective measures. Management will ensure that provisions for employee entitlements are properly recognised going forward, in full compliance with IPSAS 14 requirements.

1.3 Allowance for expected credit losses

Finding

The Council did not recognise an allowance for expected credit losses on its receivables with a carrying amount of ZWL1.25 billion. This was contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires recognition of a loss allowance for expected credit losses on financial assets.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should assess and recognise allowance for expected credit losses.

Management response

Noted, Council is working on producing an allowance for credit losses policy.

2. SERVICE DELIVERY

2.1 Izimnyama Clinic

Finding

The Izimnyama Clinic did not have an autoclaving pot for sterilizing baby delivery packs. As a result, clinic staff would travel to Madabe Clinic for sterilization. In addition, there were no waiting shelters for expecting mothers. This was contrary to the Rural District Council Act [*Chapter 29:13*] First Schedule Section 34 which requires the Council to take any measures or provide any facilities which are necessary for the maintenance of health.

Risk / Implication

Service delivery may be compromised.

Recommendation

The Council should acquire an autoclaving pot for the Clinic and construct waiting shelter for expecting mothers.

Management Response

Observation noted. Council to include the works in 2026 budget.

2.2 Ingwizi dumpsite

Finding

The Council did not have a landfill to manage solid waste at Ingwizi Growth Point and was instead using a dumpsite, which was contrary to the Environmental Management Act [*Chapter 20:27],* First Schedule 11(a) which requires the Council to have a landfill for solid waste management.

Risk / Implication

Service delivery may be compromised.

Penalties and fines from Environmental Management Agency (EMA).

Recommendation

Council should mobilise funds for the construction of a landfill.

Management response

The dumpsite at Ingwizi growth point is a temporary measure for solid waste management. There is a proper landfill site that was approved by EMA. Environmental Impact Assessment process and landfill designs are yet to be done.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 annual report. I raised twelve (12) findings, six (6) were addressed, one (1) was partially addressed and five (5) were not addressed as indicated below;

3.1 Mining levy

The finding was partially addressed. Database verification and updating is being done continuously and more frequently so that all licenced operators are billed.

3.2 Property plant and equipment

The finding was addressed. Infrastructure assets now recognised in financial statements.

3.3 Statutory audit deadline

The finding was not addressed. The Council did not meet the submission deadline.

3.4 Allowance for credit losses

The finding was not addressed. The Council did not assess receivables for allowance for credit losses and did not recognise allowance for credit losses.

3.5 Revaluation of property plant and equipment.

The finding was addressed. All Council assets were revalued.

3.6 Value added tax

The finding was addressed. Council charged value added tax (VAT) on licences.

3.7 Cattle project management

The finding was addressed. The Council livestock were disposed.

3.8 Lease agreements

The finding was addressed. Lease agreements for Council rented properties are in place, except for those that have no takers due their dilapidated state.

3.9 Foreign exchange gains and losses

The finding was addressed. Council recognised foreign exchange gains and losses on receivables.

3.10 Beer levy

The finding was not addressed. Council did not obtain statistics from brewers.

3.11 Statutory returns

The finding was not addressed. Council did not meet the statutory payment deadlines and submitted returns late.

3.12 Investment property

The finding was not addressed. The Council did not reclassify investment property from property, plant and equipment.

I have audited the financial statements of Manyame Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Manyame Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates" and IPSAS 10 - "Financial Reporting in Hyperinflationary Economies"

The Council changed its functional currency from the Zimbabwe Dollar (ZWL) to the Zimbabwe Gold (ZWG) by converting historical Zimbabwe Dollar (ZWL) comparative amounts without first inflating the balances. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 49 which requires restatement of financial statements in accordance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" before translating the balances. Had the Council restated the balances before translating, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise the revenue, expenses, receivables and payables of its sixty-four (64) schools in its financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council recognised its schools, the financial statements would have been materially different.
Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Foreign Exchange Rates

Finding

The Council changed its functional currency from the Zimbabwe Dollar (ZWL) to the Zimbabwe Gold (ZWG) by converting historical Zimbabwe Dollar (ZWL) comparative amounts without first inflating the balances. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 49 which requires restatement of financial statements in accordance with IPSAS 10 - "Financial Reporting in Hyperinflationary Economies" before translating the balances.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should restate its financial statements in accordance with IPSAS 10 before translating the balances.

Management response

The observation is noted management will comply with IPSAS 4 in preparing its financial statements.

1.2 Accounting for schools

Finding

The Council did not recognise the revenue, expenses, receivables and payables of its sixty-four (64) schools in its financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 12, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should recognise the revenue, expenses, receivables and payables of its sixty-four (64) schools in the financial statements.

Management response

Management will in future include the schools in its financial statements.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised two (2) findings and all of them were addressed as indicated below;

2.1 Valuation of property, plant and equipment

The finding was addressed. The Council revalued its property, plant and equipment.

2.2 Beer levy revenue

The finding was addressed. The Council obtained beer sales schedules from the brewers.

I have audited the financial statements of Masvingo Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matter described in the basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Masvingo Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis of Qualified Opinion

Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not apply the requirements of IFRS 9 - "Financial Instruments" on the recognition of an allowance for credit losses of ZWG2.38 million which was based on a fixed rate of 10%. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires an entity to assess whether the credit risk on a financial asset has significantly increased. Had the Council recognised allowance for credit losses in line with IFRS 9 – "Financial Instruments", the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Assessment of expected credit losses

Finding

The Council did not apply the requirements of IFRS 9 - "Financial Instruments" on the recognition of an allowance for credit losses of ZWG2.38 million which was based on a fixed rate of 10%. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires an entity to assess whether the credit risk on a financial asset has significantly increased.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should apply the requirements of the reporting standards in recognising allowance for credit losses.

Management response

Council made a resolution of providing for Credit loss of 10% for all debts that are 60 days old as at December 31. Management will continue to build on this by developing historical model.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations raised in my previous audit report. I raised four (4) audit findings, two (2) were addressed, one (1) was partially addressed and one (1) was not addressed as indicated below;

2.1 Valuation of property, plant and equipment

The finding was addressed. The Council revalued its assets.

2.2 Alignment of accounting processes with the reporting framework

The finding was not addressed. The Council is still reporting under International Financial Reporting Standards (IFRSs).

2.3 Assessment of expected credit losses

The finding was partially addressed. Council introduced a flat rate of 10% on its receivables.

2.4 Revenue from mining claims

The finding was addressed. The data base was updated.

I have audited the financial statements of Matobo Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Matobo Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise land in its financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires land to be recognised as it meets the recognition criteria of an asset. I could not satisfy myself on the completeness and valuation of property, plant and equipment reported in the financial statements.

ii. Non–compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets"

The Council did not carry out an impairment assessment of assets as at December 31, 2024. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment at each reporting date whether there is any indication that an asset may be impaired. Had the Council conducted an impairment assessment of its assets, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Impairment of assets

Finding

The Council did not carry out an impairment assessment of assets as at December 31, 2024. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period in compliance with IPSAS 21.

Management response

The observation is noted impairment tests will be carried at the end of each year to ensure assets are carried at their true values.

1.2 Property, plant and equipment

The Council did not recognise land in its financial statements. This was contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 34 which requires land to be recognised as it meets the recognition criteria of an asset.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise land in the financial statements.

Management response

The observation is noted the Council shall value its land and account for land in it’s financial statements.

2 SERVICE DELIVERY ISSUES

2.1 Clinics

Finding

The Council started the construction of a clinic in 2016. However, as of September 2025, the Clinic was yet to be completed, as there was no clear completion timeline and there was no consistent funding to complete the project. This was contrary to First Schedule section 34 of Rural District Council Act [*Chapter 29:13*] which requires Council to provide and operate clinics and to take measures for the maintenance of health.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should improve its cashflows and fund the completion of the Clinic

Management response

Observation noted, Council prioritized Nhlupho Clinic as one of the key projects to be implemented in the year 2025 and 2026 however non disbursement of funds has hindered progress, we have however seen significant progress through external/ community funding of the project. One staff house is at 90% completion as a result of external funding.

3 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised seven (7) findings, one (1) was addressed, two (2) were partially addressed and four (4) were not addressed, as indicated below;

3.1 Receivables

The finding was partially addressed. Seventy percent of the variance noted was cleared.

3.2 Payables

The finding was not addressed. Council did not clear the unresolved variance.

3.3 Valuation of property, plant and equipment

The finding was not addressed. The Council did not account for land in its financial statements.

3.4 Valuation of investment property

The finding was addressed. The Council documented the valuation assumptions in line with IPSAS 16 – Investment property.

3.5 Landfill

The finding was not addressed. Council did not put in place a landfill.

3.6 Statutory obligations

The finding was partially addressed. Payment plans were put in place to clear the statutory balances.

3.7 Repair of motor vehicles

The finding was not addressed. The two vehicles sent for repairs were not yet recovered.

I have audited the financial statements of Mazowe Rural District Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mazowe Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 6 which requires infrastructure assets to be recognised as property, plant and equipment.

In addition, Council did not depreciate its assets contrary to IPSAS 45 – "Property, Plant and Equipment" paragraph 41 which requires items of property, plant and equipment to be depreciated. Had the Council recognised infrastructure assets and depreciated its property, plant and equipment, the carrying amount disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

Council did not provide for an allowance for credit losses on receivables contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires recognition of allowance for expected credit losses on receivables. Had the Council recognised an allowance for credit losses, the carrying amount of receivables disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 12 - "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. Had the Council recognised stands inventory the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council classified its investment properties as property, plant and equipment contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rentals to be classified as investment property. Had the Council classified properties held to earn rentals as investment property, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Stands inventory

Finding

The Council did not recognise stands inventory contrary to International Public Sector Accounting Standard (IPSAS) 12 - “Inventories”, which requires assets held for sale or distribution in the ordinary course of business to be recognised as inventory.

Risk/ Implication

Misstatements of financial statements.

Recommendation

The Council should recognise stands inventory in compliance with IPSAS 12 - “Inventories”.

Management response

Observation noted, the stands inventory will be recognized in future.

1.2 Property, plant and equipment

Finding

Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 6 which requires infrastructure assets to be recognised. In addition, Council did not depreciate property, plant and equipment contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 41 which requires items of property, plant and equipment to be depreciated.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognize infrastructure assets and depreciate property, plant and equipment in compliance with IPSAS 45.

Management response

Observation noted, Council is now in possession of an asset valuation report and a depreciation policy, which it will use for the purposes of calculating its assets depreciation. Additionally, the process to recognise infrastructure assets have been initiated.

1.3 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 73 which requires recognition of allowance for credit losses on receivables at each reporting date.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses in compliance with IPSAS 41 - "Financial Instruments".

Management response

Noted, allowance for credit losses will be recognised in compliance with the standard.

1.4 Investment property

Finding

The Council classified its investment properties as property, plant and equipment contrary to IPSAS 16 - "Investment Property" paragraph 7 which requires properties held to earn rentals to be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Lack of recourse in the event of disputes with tenants.

Recommendation

The Council should classify properties held to earn rentals as investment properties.

The Council should put in place lease agreements for all leased out properties.

Management response

Observation noted, however not all Council premises had no lease agreements, some had running leases for more than 1 year. The Council is working on reclassifying the assets from property, plant and equipment to investment property.

2. PROCUREMENT OF GOODS AND SERVICES

2.1 Undelivered vehicle

Finding

The Council procured a motor vehicle at a cost of USD35 000 in April 2022 which was not yet delivered as at December 31, 2024. This was contrary to the specifications in the contract which required the supplier to deliver the vehicle by April 2022. The Council had an out of court settlement for the delivery of the vehicle.

Risk/ Implication

Financial loss due to non-delivery of procured goods.

Recommendation

Council should pursue the matter with the supplier for the delivery of the vehicle.

Management response

The issue was handed over to Council lawyers and progress had since been made to recover the vehicle. An out of court settlement was reached for the supplier to deliver the vehicle.

3. SERVICE DELIVERY

3.1 Schools infrastructure

Finding

Jingamvura Primary School, Mukunyadzi Primary School and Bare High School had a shortage of classrooms and therefore lessons for some classes were being conducted outside. The Schools needed infrastructure improvements. I noted that some classrooms had no doors, broken windows and dilapidated floors and ceilings. This was contrary to the Rural District Councils Act [*Chapter 29:13*], which requires Council to operate and maintain its Schools.

Risk/ Implication

Service delivery may be compromised.

Recommendation

Council should maintain its Schools.

Management response

Observation noted, Council as the responsible authority of the Schools has since started levying Council Schools so that funds will be raised and availed to those Schools in need of assistance.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised five (5) audit findings, one (1) was addressed while four (4) were not addressed as indicated below;

4.1 Stands inventory

The finding was not addressed. Council did not account for stands inventory.

4.2 Allowance for expected credit losses

The finding was not addressed. The Council did not assess its receivables for allowance for expected credit losses.

4.3 Lease management

The finding was not addressed. Council did not have lease agreements with the tenants.

4.4 Property, plant and equipment

The finding was not addressed. The Council did not depreciate its assets.

4.5 Reserves opening balance

The finding was addressed. Council reconciled the variance on the prior year opening balance of reserves.

MHONDORO NGEZI RURAL DISTRICT COUNCIL 2023

I have audited the financial statements of Mhondoro Ngezi Rural District Council for the year ended December 31, 2023, and I issued an adverse opinion.

Adverse Opinion.

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Mhondoro Ngezi Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to the requirements of IPSAS 45 – "Property, Plant and Equipment" paragraph 6 which requires assets that meet the definition criteria of property, plant and equipment to be recognised. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses, liabilities and assets of its seventy-seven (77) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires segment information to be disclosed. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18- "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not recognise revenue, expenses, liabilities and assets of its seventy-seven (77) Schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires segment information to be disclosed.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendations

The Council should account for its schools in line with IPSAS 1 and IPSAS 18.

Management response

There was initial confusion as to who was supposed to consolidate schools, however the position has been clarified and the Council will institute measures to capacitate bursars in Council schools on IPSASs so that consolidation would be made easier.

1.2 Submission of financial statements

Finding

The Council submitted its financial statements for the year ended December 31, 2023 for audit in June 2024.This was contrary to Section 35(6) of the Public Finance Management Act [*Chapter 22:19*] which requires financial statements to be submitted for audit within 60 days after year-end.

Risk/ Implication

Transparency and decision making may be compromised.

Recommendation

The Council should submit financial statements for audit within the statutory deadline.

Management response

The observation is noted, and we have cleared the audit backlog we had, and we are on course to improve by trying to meet the deadline in future.

1.3 Accounting for infrastructure assets

Finding

The Council did not recognise infrastructure assets such as roads and bridges in the financial statements. This was contrary to the requirements of IPSAS 45 - “Property, Plant and Equipment” paragraph 6 which requires assets that meet the definition criteria of property, plant and equipment to be recognised.

Risk/ Implication

Misstatement of the financial statements.

Recommendation

The Council should recognise infrastructure assets in the financial statements.

Management response

Observation is noted – we will implement the audit recommendation

1.4 Statutory obligations

Finding

The Council was not remitting statutory obligations on time due to cash flow challenges. As a result, the Council had accrued PAYE of ZWL1.10 billion, VAT of ZWL620.20 million and NSSA of ZWL5.30 million as at December 31, 2023.

Risk/ Implication

Financial loss due to fines and penalties.

Recommendation

The Council should mobilise resources to clear outstanding statutory obligations.

Management response

Cashflow challenges impacted negatively on Council resulting in late payment of creditors, however efforts are being made to clear out the statutory obligations.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised ten (10) findings, six (6) findings were addressed, and four (4) findings were not addressed as indicated below;

2.1 Estate funds

The finding was addressed. The Council complied with the RDC Act to use estate funds on capital expenditure.

2.2 Property, plant and equipment

The finding was not addressed. The Council did not perform a revaluation of property, plant and equipment.

2.3 Biological assets

The finding was addressed. The Council valued and recognised biological in the financial statements.

2.4 Unsupported expenditure

The finding was not addressed. The Council had unsupported expenditure in 2023.

2.5 Schools

The finding was not addressed. The Council did not account for schools.

2.6 Stands and business licenses

The finding was addressed. The Council accounted for stands and business licenses on accrual basis.

2.7 Stands inventory

The finding was addressed. The Council accounted for stands inventory in accordance to IPSAS 12.

2.8 Revenue

The finding was addressed. The Council performed the reconciliation in 2023.

2.9 Cash and cash equivalents

The finding was not addressed. Bank confirmation responses were still outstanding

2.10 Motorcycles

The finding was addressed. The Council registered the motorcycles.

I have audited the financial statements of Mudzi Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mudzi Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated its foreign currency denominated expenditure into the reporting currency using internally generated exchange rates which were not reflective of the prevailing interbank rates on date of the respective transactions. As a result, expenditure was understated by ZWG1.09 million. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 18 which requires that the spot rate be used when translating foreign exchange transactions for hyperinflationary currencies. Had the correct spot exchange rates been applied, the translated expenditure amounts would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The revenue reported in the current year includes amounts relating to prior years from 2019. The Council retrospectively billed its clients, mostly mines, for levies that had not been previously billed and recognized the revenue in the current year. This was contrary to IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors", paragraph 47-51, which requires prior period errors to be corrected by retrospective restatement. Had the prior year errors been properly corrected, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Submission of financial statements

Finding

The financial statements for the year ended December 31, 2024, were submitted for audit eight months after the statutory deadline in September 2025. This was contrary to the requirements of section 35(6)(b) of the Public Finance Management Act [*Chapter 22:19*] which requires submission of financial statements within 60 days after the year end.

Risk / Implication

Transparency and accountability may be compromised.

Recommendation

The Council should submit financial statements for audit within 60 days after the year end as required by section 35(6)(b) of the Public Finance Management Act [*Chapter 22:19*].

Management response

Council did not meet the statutory audit deadline as Council considered it necessary to address key audit findings from the 2023 audit report before embarking on 2024 external audit. Among the issues which needed attention was the valuation of Council assets which were to be included in the 2024 financial statements. The Valuation exercise was only completed in August 2024. External Audit shall be carried out within 60 days going forward.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Revenue recognition

Finding

The revenue reported in the current year include amounts relating to prior years from 2019. The Council retrospectively billed its clients, mostly mines, for levies that had not been previously billed and recognized the revenue in the current year. This was contrary to IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors", paragraph 47-51, which requires prior period errors to be corrected by retrospective restatement.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should correct prior period errors in line with IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors". All revenue should be billed in the period in which it is earned.

Management response

Council had no reliable accounting package for effective billing and to store value for debtor amounts. However, Council acquired an accounting package in the form of Sage Evolution which was implemented from the 1st of January 2024. Council considered it financially prudent to do retrospective billing so as to establish and carry correct debtors` balances and to recover revenue that was due to Council. Revenue to be properly recognised on accrual basis going forward.

3. PROCUREMENT OF GOODS AND SERVICES

3.1 Expenditure variances

Finding

The Council translated its foreign currency denominated expenditure into the reporting currency using internally generated exchange rates which were not reflective of the prevailing interbank rates on date of the respective transactions. As a result, expenditure was understated by ZWG1.09 million. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 18 which requires that the spot rate be used when

translating foreign exchange transactions for hyperinflationary currencies.

Risk / Implication

Misstatement of financial statements

Recommendation

The Council should translate the foreign currency transactions using the appropriate spot rate as required by IPSAS 4.

Management response

Observation Noted. Council shall attend to audit finding timeously.

4. PROGRESS IN ADDRESSING AND IMPLEMENTATION OF PRIOR YEAR AUDIT FINDINGS AND RECOMMENDATIONS

The Council made progress in addressing audit findings that I raised in my 2024 annual report. I raised ten (10) audit findings, eight (8) were addressed and two (2) were partially addressed as indicated below;

4.1 Investment property

The finding was addressed. Investment property was separated disclosed.

4.2 Impairment of assets

The finding was addressed. Impairment assessment was done.

4.3 Property, plant and equipment

The finding was addressed. The assets were depreciated.

4.4 Segment reporting

The finding was addressed. The Council disclosed segment information.

4.5 Trade receivables

The finding was addressed. Reconciliations were done.

4.6 Allowance for credit losses

The finding was addressed. Credit policy now in place and was implemented.

4.7 Opening balances

The finding was addressed. Reconciliations of opening balances were done.

4.8 Statutory deductions

The finding was partially implemented. Council significantly reduced the outstanding statutory obligations.

4.9 Payables

The finding was partially addressed. The Council recruited a creditors clerk and reconciliation of creditors was underway.

4.10 Financial reporting in hyper-inflationary economies

The finding was addressed. The Council prepared inflation adjusted financial statements.

I have audited the financial statements of Murewa Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Murewa Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise land measuring 97 hectares in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires recognition of land as property, plant and equipment in the financial statements. Had the Council recognised the land, the balance of property, plant and equipment disclosed would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise revenue, expenses and liabilities of its schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27 which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 72, which requires the Council to disclose revenue, expenses, liabilities and assets which should be reconciled to the aggregated information in the entity's financial statements. Had the Council complied with IPSAS 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting" in accounting for its Schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not account for revenue, expenses and liabilities of its 128 Schools in its jurisdiction. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. As a result, no segment information was reported in respect of the Council's education services segment contrary to IPSAS 18 - "Segment Reporting" paragraph 52 to 57, which requires the Council to disclose for each segment revenue, expenses, liabilities and assets which should be reconciled to the aggregated information in the entity's financial statements.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should recognise revenue, expenses and liabilities of its schools in the financial statements.

Management response

Council takes note of the observation and is in the process of engaging Schools on how best this can be implemented. Challenges being faced includes capacity of schools in the knowledge of bookkeeping and general accounting standards, including availability of qualified personnel for schools. Furthermore, issues of availability of software to facilitate the integration are not yet in place making it a complex issue considering the large numbers.

Headmasters have been sensitised through the District Schools Inspector on the need to submit financial statements for council schools and issues of capacity building of key financial persons were raised as great concern. Council to schedule training programmes subject to availability of financial resources.

1.2 Accounting for land

Finding

The Council did not recognise land measuring 97 hectares in the financial statements. This was contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 34 which requires recognition of land as property, plant and equipment in the financial statements.

Risk/ Implication

Mis-appropriation of land.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should account for its land bank in the financial statements.

Management response

Noted, it was a management oversight. The land will be recorded in the financial statement.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made little progress in addressing findings that I raised in my 2024 annual report. I raised six (6) findings, two (2) findings were addressed, one (1) was partially addressed and three (3) were not addressed as indicated below;

2.1 Billboards revenue

The finding was addressed. The Council is now billing for all billboards.

2.2 Ambulances and mothers' shelters

The finding was not addressed. The Council did not have an ambulance, and the three clinics did not have mother's shelters.

2.3 Sewer systems

The finding was partially addressed. The Council only constructed sewer systems in Mapako and part of Magamba.

2.4 Landfill

The finding was not addressed. The Council did not have a landfill.

2.5 Motor vehicles logbooks

The finding was addressed. The Council was completing logbooks.

2.6 Delivery of materials

The finding was not addressed. The quarry stones were not delivered.

MUTARE RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Mutare Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mutare Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and IPSAS 3 - "Accounting Policies, Changes in Accounting Estimates and Errors"

The Council did not revalue its property, plant and equipment since 2009 thereby impacting opening balances carried forward from the prior periods. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires assets to be revalued with sufficient regularity such that the carrying amounts of assets do not differ materially from the current values at the reporting date.

The Council also did not separate land and buildings resulting in land being depreciated contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which requires land and buildings to be accounted for separately.

In addition, infrastructure assets such as road networks and bridges were not recognised in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires such assets to be accounted for as property, plant and equipment. Had the Council revalued its assets, recognised infrastructure assets and separated land and buildings, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment property for the year ended December 31, 2024. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed. In addition, thirteen (13) cottages rented out to tenants at Dora camp were not recognised in the financial statements contrary to IPSAS 16- "Investment Property" which requires property held to earn rentals or for capital appreciation to be classified as investment property.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council recognised receivables amounting ZWG68.8 million in the financial statements. These receivables were not adjusted for allowance for credit losses contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on a financial asset. Had the Council recognised a loss allowance for expected credit losses, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment since 2009 thereby impacting opening balances carried forward from the prior periods. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires assets to be revalued with sufficient regularity such that the carrying amounts of assets do not differ materially from the current values at the reporting date.

The Council did not also separate land and buildings resulting in land being depreciated contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which requires land and buildings to be accounted for separately.

In addition, infrastructure assets such as road networks and bridges were not recognised in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires such assets to be accounted for as property, plant and equipment

Risk / Implication

Mis appropriation of assets.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

The Council should revalue all its assets, recognise infrastructure assets and separate land from buildings in accordance with IPSAS 45.

Management response

The Council infrastructure assets could not be recorded in the fixed assets register and subsequently accounted for because they had not been valued before. Land and buildings could not be accounted for separately in the accounts because a separate valuation had not been concluded at the time of preparation of financial statements. Valuation of assets has been outstanding due to financial constraints. Valuation of Property Plant and Equipment was carried out in 2025.

1.2 Investment property

Finding

The Council did not disclose the fair value of its investment property for the year ended December 31, 2024. This was contrary to International Public Sector Accounting Standard (IPSAS) 16- "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed. In addition, the Council did not carry out a valuation exercise to determine the fair values of thirteen (13) cottages rented out to tenants at Dora camp. As a result, these properties were not recognised as investment property contrary to IPSAS 16- "Investment Property" paragraph 7 which requires property held to earn rentals or for capital appreciation to be classified as investment property.

Risk / Implication

Poor decision making.

Risk of asset mismanagement.

Misstatement of financial statements.

Recommendation

The Council should disclose the fair values of its investment property and account for its Dora camp cottages in the financial statement.

Management response

Observation noted. Dora camp was previously used to accommodate the roads staff however, most employees now reside in Zimunya Township hence the decision to rent out. The property was revalued together with other Council assets and will be accounted for in our financial statements.

1.3 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit loss on its gross receivables amounting to ZWG68.8 million and ZWG153.8 million for the reporting dates of the 2024 and 2025 financial years respectively. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 73, which requires credit losses to be measured and recognised on financial assets.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council’s financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for expected credit losses on its receivables to reflect the fair value of the financial asset.

Management response

Council policy on credit losses will be aligned to IPSAS 41 and applied accordingly.

2. SERVICE DELIVERY

2.1 Odzi Clinic

Finding

The Council’s Odzi clinic had no running water due to theft of solar panels which were pumping water from the borehole to the facility.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should safeguard its assets.

Management response

Government funds for the operation of clinics have not been disbursed as expected and we are negotiating with the Ministry of Health for authority to charge admin fees to beneficiaries. Revenue from the admin fees will be channelled towards the operational and repair cost of the clinic.

2.2 Council school examination centre

Finding

The infrastructure at Hamamaoko Primary School was not adequate to cater for the needs of the School. The School was established in 2002 and was not registered as an examination centre since it had not yet met the Zimbabwe School Examination Council (ZIMSEC) registration requirement of having an administration block with a strong room. As a result, Grade 7 candidates were travelling 19 km to the nearby Nyagonda Primary School to access examination services. Although, the Council procured 350 bags of cement, window frames, doors and brick force on July 7, 2023 for purposes of constructing additional infrastructure at the School, no progress had been reported to date.

Risk / Implication

Service delivery may be compromised.

Financial loss as the condition of building materials may deteriorate before use.

Recommendation

The Council should mobilise resources for the construction of additional infrastructure at the school.

Management response

The project is being funded under the Inter-Governmental Fiscal Transfers (IGFT) and funds have not been disbursed as expected. Council together with the community has made arrangements with Zimbabwe Prisons and Correctional Services (ZPCS) to provide builders while the community provides general labour and upkeep (food) for the builders. Work should be starting soon. The School was not registered as an exam centre because it currently does not have an administration block with a strong room as required by the Zimbabwe School Examination Council (ZIMSEC) and the Ministry of Education. The strong room will be constructed when IGFT funds are made available.

3. PROGRESS TOWARDS ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations raised in my previous audit report. I raised five (5) audit findings, three (3) were addressed, and two (2) was not addressed as indicated below;

3.1 Infrastructure assets

The finding was not addressed. Infrastructure assets such as road networks were not recognised in the financial statements.

3.2 Valuation of investment property

The finding was not addressed. The fair value of the investment property was not disclosed in the financial statements.

3.3 Mining claims

The finding was addressed. Mining claims revenue was recognised in the financial statements in accordance with IPSAS 47 – “Revenue”.

3.4 Motor vehicle loan scheme

The finding was addressed. The outstanding receivables amount from the respective Heads of Departments was recovered.

3.5 Policies

The finding was addressed. The policies are now in place.

I have audited the financial statements of Mutoko Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mutoko Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis of Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47 - "Revenue"

The Council recognised beer levy revenue amounting to ZWG221.7 thousand on a cash basis instead of the accruals basis resulting in misstatement of beer levy income. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. The extent of misstatement could not be quantified due to unavailability of supporting beer sales statistics. Had the Council complied with the requirements of IPSAS 47- "Revenue" the disclosed revenue would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and equipment

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements contrary to paragraph 6 of IPSAS 45 - "Property, Plant and Equipment" which requires assets that meet the recognition criteria of an asset to be accounted for as property, plant and equipment. Had the Council recognised infrastructure assets, the property, plant and equipment disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

Finding

The Council did not recognise infrastructure assets such as road networks and bridges in the financial statements contrary to parahraph 6 of IPSAS 45 - "Property, Plant and Equipment" which requires assets that meet the recognition criteria of infrastructure asset to be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise infrastructure assets in accordance with IPSAS 45.

Management response

Noted. We are going to recognise infrastructure assets in 2025 financial statements. We have taken advantage of the transition period.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Beer Levy revenue

Finding

The Council recognised beer levy revenue amounting to ZWG221.7 thousand on a cash basis instead of the accruals basis resulting in misstatement of beer levy income. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. The extent of misstatement could not be quantified due to unavailability of supporting beer sales statistics.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should obtain beer schedules from brewers to substantiate beer levy.

Management response

Observation has been noted. However, engagements with brewers has been done though not yielding much desired results.

3. SERVICE DELIVERY ISSUES

3.1 Dumpsite

Finding

The Council did not have a landfill for disposal of solid waste and was using a dumpsite. This was contrary to the Environmental Management Act [*Chapter 20:27*], First Schedule Section 11 (a) which requires the Council to have a landfill facility for solid waste management.

Risk/ Implication

Financial loss due to fines and penalties.

Health hazards to the community.

Recommendation

The Council should mobilise resources for the construction of a landfill.

Management response

We had budgeted to construct a landfill using devolution funds, but the funds did not permit. Therefore, the council is going mobilise funds for the construction of a landfill.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised five (5) audit findings and one (1) was addressed, two (2) were partially addressed and two (2) were not addressed as indicated below;

4.1 Ambulance

The finding was addressed**.** The Council procured an ambulance.

4.2 Stands inventory

The finding was partially addressed. The Council was in the process of capturing stands information in the system.

4.3 Beer levy

The finding was not addressed. The Council accounted for beer levy on cash basis.

4.4 Procurement and contract management

The finding was partially addressed. The truck was not delivered whilst the backhoe loader and roller were delivered.

4.5 Submission of financial statements

The finding was not addressed. The Council still did not meet the submission deadline.

I have audited the financial statements of Mutasa Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mutasa Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 47- "Revenue"

The Council recognised beer levy revenue amounting to ZWG0.075 million on cash basis. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. Had the Council recognised beer levy revenue on accrual basis the financial statements would have been materially different.

ii. Inter-fund balances

The financial statements had an inter-account balance of ZWG39.81 million for income and ZWG59.45 million for expenditure which could not be reconciled resulting in a variance of ZWG19.64 million. In addition, a variance of ZWG0.2 million between interfund receivables of ZWG0.8 million and interfund payables of ZWG0.6 million could not be cleared. I could therefore not satisfy myself on the completeness and accuracy of the interfund balances disclosed in the financial statements.

iii. Unallocated receipts

The Council's billing system was not interfaced with accounting system as a result, there were unallocated receipts amounting to ZWG2.7 million which could not be cleared. Had the Council cleared the unallocated receipts, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Beer levy

Finding

The Council recognised beer levy revenue amounting to ZWG0.075 million on cash basis. This was contrary to IPSAS 47 - "Revenue" paragraph 3 which requires revenue to be recognised on accrual basis. The Council did not obtain sales schedules from the breweries to support the revenue recognised contrary to the Traditional Beer Act [Chapter 14:24] section 15(2) which requires the Council to obtain beer sales schedules and verify the accuracy of the amount remitted.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should obtain beer sales schedules from the brewers and account for beer levy revenue on accruals basis.

Management response

The Council has engaged lawyers to assist with legal advice.

1.2 Interfund balances

Finding

The Council did not maintain records to account for inter-fund transfers and transactions were being posted manually to the respective accounts. As a result, the financial statements had an inter-account balance of ZWG39.81 million for income and ZWG59.45 million for expenditure which could not be reconciled resulting in a variance of ZWG19.64 million. In addition, a variance of ZWG0.2 million between interfund receivables of ZWG0.8 million and interfund payables of ZWG0.6 million could not be cleared.

Risk/ Implication

Misstatement of the financial statements.

Recommendation

Council should reconcile their inter-account balances on a monthly basis.

Management response

We have now devised a method to facilitate updating inter-account transactions. We will make sure such transactions are fully accounted for so that they knock off on reconciliation. We are going to ensure that detailed reconciliations of all fund account transactions relating to the contributions are done regularly. Quarterly internal reviews of fund accounts to detect anomalies early and properly approved and referenced adjusting journal vouchers that eliminate the variance shall be done.

1.3 Unallocated receipts

Finding

The Council's billing system was not interfaced with the accounting system and transactions were being posted manually to the respective accounts. As a result, Council had unallocated receipts amounting to ZWG2.67 million included in the current liabilities balance as at December 31, 2024.

Risk/ Implication

Misstatement of the financial statements.

Recommendation

Council should investigate and clear the direct deposits. In addition, they should interface their billing system and the accounting system.

Management response

Observation is noted. Most uncleared receipts are as a result of direct deposits that did not have full details to enable updating to the respective account. We will also educate our clientele on the need to capture account details whenever making direct deposits.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

Council made some progress in addressing findings that I raised in my 2024 report. I raised seven (7) findings, five (5) were addressed and two (2) were not addressed as indicated below;

2.1 Unsupported year end journals

The finding was not addressed. The Council did not support journal entries posted.

2.2 Communal land layout plan

The finding was not addressed. The Council did not put in place a layout plan for communal land.

2.3 Tariffs

The finding was addressed. Council billed using correct tariffs.

2.4 Allowances for expected credit losses

The finding was addressed. The Council assessed and adjusted its receivables for allowance for credit losses.

2.5 Depreciation and valuation of assets

The finding has been addressed. The Council adopted a policy to ensure that depreciation is charged.

2.6 Receivables

The finding was addressed. Council procured and installed the Sage Evolution multi-currency module to resolve the challenges.

2.7 Payroll reconciliation

The finding was addressed. Council is now performing reconciliations every month as per policy.

MBERENGWA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Mberengwa Rural District Council for the year ended December 31, 2024 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mberengwa Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not maintain an updated asset register as some assets were not recorded. As a result, these assets were excluded from the property, plant and equipment balance of ZWG 0.96 million disclosed in the financial statements. In addition, the Council did not depreciate its assets as required by IPSAS 45 - "Property, Plant and Equipment" paragraph 67 which requires the Council to depreciate its assets over their useful lives. Had the Council updated its assets register and depreciated its assets the property, plant and equipment balance disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment property"

The Council did not disclose the fair value of its investment property such as beerhalls and service station disclosed in the financial statements at ZWG 6 000. This was contrary to IPSAS 16 - "Investment Property" paragraph 90 which requires fair values for investment property to be disclosed. Had the Council determined the fair value of its investment property, the carrying amount disclosed in the financial statements would have been materially different.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of property, plant equipment

Finding

The Council did not maintain an updated asset register as some assets were not recorded. As a result, these assets were excluded from the property, plant and equipment balance of ZWG 0.96 million disclosed in the financial statements. In addition, the Council did not depreciate its assets as required by IPSAS 45 - "Property, Plant and Equipment" paragraph 67 which requires the Council to depreciate its assets over their useful lives.

Risk/ Implication

Misstatement of financial statements.

Misappropriation of assets.

Recommendation

Management should update the asset register and depreciate its asset.

Management response

The Council accepts the observation and is actively pursuing engagement of an expert valuer to revalue its assets. Upon completion of the valuation, the Council will regularly assess the assets' residual values and useful lives, and accounting recognition will be adjusted accordingly.

1.2 Investment property

Finding

The Council did not disclose the fair value of its investment property such as beerhalls and service station disclosed in the financial statements at ZWG 6 000. This was contrary to IPSAS 16 - “Investment Property” paragraph 90 which requires fair values of investment property to be disclosed.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its investment property in line with IPSAS.

Management response

The Council concurs with the observation, recognizing the importance of regular assessments and valuations to ensure properties are reflected at market-related values. To achieve this, we are actively seeking the expertise of a professional valuer to determine current value.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised three (3) findings, one (1) was addressed and two (2) were not addressed as indicated below;

2.1 Completeness of asset register

The finding was not addressed. The Council is yet to update the asset register.

2.2 Receivables and allowance for credit loss

The finding was addressed. The Council recognised allowance for credit losses in its financials.

2.3 Street lighting

The finding was not addressed. The Council is yet to install street lights.

I have audited the financial statements of Muzarabani Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Muzarabani Rural Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

Non-compliance with International Public Sector Accounting Standards, (IPSAS) 45 - "Property, plant and equipment"

The Council did not recognise infrastructure assets such as bridges, sewer networks, and water reticulation systems in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment", paragraph 6, which requires the Council to recognise assets that meet the definition criteria of property, plant, and equipment. Had the Council recognised infrastructure assets, the financial statements would have been materially different.

Below are other material issues noted during the audit:

1. GOVERNANCE ISSUES

1.1 Property, Plant and Equipment

Finding

The Council did not recognise infrastructure assets such as bridges, sewer networks, and water reticulation systems in the financial statements. This was contrary to the requirements of IPSAS 45 - "Property, Plant and Equipment", paragraph 6, which requires the Council to recognise assets that meet the definition criteria of property, plant, and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should identify, value, and recognise infrastructure assets.

Management response

Recommendation is upheld to identify the infrastructure valuer and to have these included in the Council's financial statements.

1.2 Staff establishment

Finding

The Council had key vacant posts for district planner, civil engineer technician assistant

internal auditor and personal assistant to the chief executive officer. The vacancies were due to funding constraints.

Risk/ Implication

Service delivery maybe compromised.

Recommendation

Council should come up with a recruitment plan for the filling of the vacant posts.

Management response

Recommendation is hereby upheld.

1.3 Procedures and policies

Finding

The Council was operating without key policies such as human resource policy, procurement policy, firearms management policy and information technology (IT) policy. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*] which requires a public entity to ensure that it establishes and maintains effective, efficient and transparent systems of financial, risk management and internal controls.

Risk/ Implication

Inconsistences in decision making.

Recommendation

The Council should draft all key policies and have them approved.

Management response

Council shall ensure that all key policies are in place.

1.4 Ambulance

Finding

The Council did not have an ambulance to service the thirteen (13) clinics operating within the district. This was contrary to section 35 of the first schedule of the Rural District Council Act [*Chapter 29:13*] section which requires the Council to provide and operate an ambulance service inside the Council area. The Council relies on St Albert's Mission Hospital ambulance to serve the entire district.

Risk/ Implication

The Council’s response to medical emergencies and timely healthcare services may be compromised.

Recommendation

The Council should prioritize acquiring an ambulance to respond timely to medical emergencies.

Management response

Recommendation upheld.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations that I raised in my 2024 report. I raised four (4) findings, 2 were addressed and two (2) were not addressed as indicated below;

2.1 Inventory valuation

The finding was addressed. The Council accounted for inventory in line with IPSAS 12 – "Inventories".

2.2 Infrastructure assets

The finding was not addressed. The Council did not recognise infrastructure assets in the financial statements.

2.3 Centenary dumpsite

The finding was not addressed. The Council is still using a dumpsite.

2.4 Beer levy

The finding was addressed. The Council obtained beer sales schedules and accounted for beer levy.

I have audited the financial statements of Mwenezi Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Mwenezi Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council used a fixed rate of 5% to calculate the allowance for credit losses on its receivables balance of ZWG157.6 million. This was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires the Council to assess whether the credit risk on a financial instrument has increased significantly at each reporting date. Had Council assessed the credit risk in determining the expected credit losses the receivables balance disclosed would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognise medical drugs inventory held for its Clinics in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 9 which requires recognition of inventory items. Had the Council recognised medical drugs, inventory balance would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-Cash Generating Assets" and IPSAS 45 - "Property, Plant and Equipment"

The Council did not assess its assets for impairment at the reporting date despite there being indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment for impairment indicators at each reporting date.

In addition, the Council did not review the useful lives of its assets contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful life of assets to be reviewed at each reporting date. Had the Council assessed the property, plant and equipment for impairment, and reviewed the useful lives of its assets, the carrying amounts could have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 1 - "Presentation of Financial Statements" and IPSAS 18 - "Segment Reporting"

The Council did not recognise the revenue, expenses, assets and liabilities of its one hundred and fifty (150) schools in the financial statements. This was contrary to IPSAS 1 - "Presentation of Financial Statements" paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. Consequently, no segment information was reported in respect of the Council's education

services segment contrary to IPSAS 18 - “Segment Reporting” paragraph 12, which requires an entity to identify and disclose its separate segments. Had the Council recognised revenue, expenses, assets and liabilities for its schools, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accounting for schools

Finding

The Council did not recognise revenue, expenses, assets and liabilities of its one hundred and fifty (150) schools in the financial statements. This was contrary to IPSAS 1- “Presentation of Financial Statements” paragraph 27, which requires financial statements to fairly present the financial position, financial performance and cash flows of an entity. Consequently, no segment information was disclosed in respect of the Council’s education services segment contrary to IPSAS 18 -“Segment Reporting” paragraph 12, which requires an entity to identify and disclose its separate segments.

Risk/ Implication

Weak financial oversight.

Possible misuse of funds.

Undetected fraud.

Loss of accountability and transparency.

Misstatement of financial statements.

Recommendation

Council should recognise revenue, expenses, assets and liabilities for its schools in the financial statements.

Management response

Management concurs with the audit observation. We acknowledge that the exclusion of the one hundred and fifty (150) schools’ results is an incomplete representation of the Council’s financial position and performance, as required by IPSAS 1 and IPSAS 18. Historically, these schools operated with a high degree of financial autonomy; however, we recognize our obligation to consolidate these controlled entities to ensure full compliance and transparency. Council will implement the following measures:

Development of a consolidation framework. We will establish a formal accounting policy for school integration, defining the control relationship and standardizing the reporting period to align with the Council’s fiscal year. Standardization of financial reporting - The Finance Department will roll out a simplified, standard reporting template for all 150 schools. This will ensure that revenue (grants and fees), expenses, assets (land and buildings), and liabilities are captured uniformly. Capacity building- We will conduct workshops for School Heads and Bursars to sensitize them on the requirements of IPSAS and the necessity of providing accurate financial data for consolidation. Segment reporting implementation- Once the school-level data is aggregated, Management will

include a specific "Education Services" segment in the Notes to the Financial Statements, in full compliance with IPSAS 18. Audit trail & verification- A dedicated internal audit exercise will be carried out to verify the opening balances of these schools to ensure the accuracy of the figures being consolidated for the first time.

1.2 Cash receipts

Finding

The Council utilised cash receipts amounting to USD7.8 thousand and ZAR31.89 thousand before banking. This was contrary to Section 123 (2) (a) and (b) of the Rural District Councils Act [*Chapter* 29:13], which requires the Council to bank its cash receipts intact before use.

Risk/ Implication

Transparency and accountability may be compromised.

Financial loss due to misappropriation of cash.

Recommendation

Banking should be done intact.

Management response

Recommendation Noted. Mwenezi RDC at times uses cash before banking due to the pressing needs of some urgent payments and remoteness to its bankers. In future the Management will ensure that cash is not used before banking.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Expected credit losses

Finding

The Council used a fixed rate of 5% to calculate the allowance for credit losses on its receivables balance of ZWG157.6 million. This was contrary to IPSAS 41- “Financial Instruments” paragraph 81 which requires the Council to assess whether the credit risk on a financial instrument has increased significantly at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should assess and account for credit losses on its receivables in line with IPSAS 41.

Management response

Mwenezi RDC Management accounted for credit losses on its receivables using a flat rate of 5% on its debtors above the age of 180 days on its risky debtors (unit tax debtors) as per council resolution. Management shall assess its receivables in compliance with IPSAS 41 in its 2025 financials.

3. MANAGEMENT OF ASSETS

3.1 Inventory balance

Finding

The Council could not obtain medical drugs inventory from Nat Pham. As a result, Council did not recognise medical drugs inventory for its clinics in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 9 which requires recognition of inventory items.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should account for all inventory.

Management response

The Council is failing to have prices on drugs supplied to its clinics by Nat Pham. Previous engagements have been done but to no avail. Management will continuously engage its local District Hospital Pharmacy for drug prices for its 2025 Financials.

3.2 Impairment of assets

Finding

The Council did not assess its assets for impairment at the reporting date despite there being indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26, which requires an assessment for impairment indicators at each reporting date.

In addition, the Council did not review the useful lives of its assets in line with IPSAS 45 - "Property, Plant and Equipment" paragraph 48 which requires the useful life of assets to be reviewed at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should carry out an impairment assessment at the end of each reporting period and review the useful lives of its property, plant and equipment.

Management response

The Council did not carry out impairment assessment for the period under review as it was an oversight. In its 2025 financial statements management will ensure that assessments are carried out and included.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing the findings that I raised in my 2024 report. I raised twenty (20) audit findings, ten (10) findings were addressed, one (1) was partially addressed and nine (9) were not addressed as indicated below;

4.1 Valuation of property, plant and equipment

The finding was addressed. Council revalued its property, plant and equipment.

4.2 Expected credit loss

The finding was not addressed. The Council applied an arbitrary rate of 5% in determining expected credit losses.

4.3 Payables

The Finding was addressed. Council valued its payables correctly.

4.4 Stand sales revenue

The finding was addressed. Council recognised stand sales revenue on accrual basis.

4.5 Beer levy revenue

The finding was addressed. Council received monthly beer levy schedules from the Brewery and invoiced based on the received schedules.

4.6 Valuation of receivables

The finding was not addressed. The Council applied an arbitrary rate of 5% in determining expected credit losses.

4.7 Policies

The finding was partially addressed. The Council now have policies at draft stage awaiting Council approval.

4.8 Inventories

The finding was addressed. Council recognised stands inventory in its 2024 financial statements.

4.9 Business licenses

The finding was addressed. Council billed business licenses fees from four (4) businesses operated by Council employees.

4.10 Allocation of Council Motorbike

The finding was not addressed. The allocation was yet to be approved by the Council.

4.11 Taxation of benefits

The finding was addressed. The Council processed employee benefits such as school fees allowance through payroll for taxation purposes.

4.12 Salary payables

The finding was not addressed. Council has six months in salary arrears.

4.13 Sewer and water reticulation

The finding was not addressed. Council did not put in place a sewer and water reticulation system in Orewood High-density suburb.

4.14 Non-exchange receivables - Inter account transfers

The finding was addressed. Council cleared the interfund in the 2024 financial statements.

4.15 Accounting for salary arrears

The finding was addressed. Salary arrears were now being maintained in the system.

4.16 Donations

The finding was addressed. All the donated assets values were obtained and recognised in the financial statements.

4.17 Undelivered assets

The finding was not addressed. Toyota Hilux double cab was not delivered.

4.18 Effluent management – sewer ponds

Finding was not addressed. Council did nor repair the sewer ponds.

4.19 Accounting for game meat revenue

The finding was not addressed. The Council did not account for game meat donations.

4.20 Rutenga Dumpsite

The finding was not addressed. The Council was yet to construct a landfill and the dumpsite was not fenced.

I have audited the financial statements of Nkayi Rural District Council, for the year ended December 31, 2024 and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of the Nkayi Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment in 2008 despite significant changes in the operating environment contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires assets to be revalued with sufficient regularity.

In addition, the Council did not recognise infrastructure assets such as road networks and bridges contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be included in the property, plant and equipment as a separate class. Had the Council revalued its property, plant and equipment and recognised infrastructure assets the carrying amounts disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment property"

The Council leased out its buildings such as community hall, Lodge and old Council buildings for rental income. However, these buildings were classified as property, plant and equipment instead of investment property contrary to paragraph 5 of IPSAS 16 - "Investment Property", which requires any building held to earn rentals should be classified as investment property. Had Council reclassified leased assets as investment property the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose its segments contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires the Council to disclose segment financial information. Had the Council disclosed its segments, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Property, plant and equipment

The Council last revalued its property, plant and equipment in 2008 despite significant changes in the operating environment contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires assets to be revalued with sufficient regularity.

In addition, the Council did not recognise infrastructure assets such as road networks and bridges contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 34 which requires infrastructure assets to be included in the property, plant and equipment as a separate class.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should revalue its assets and recognise infrastructure assets in line with IPSAS 45 - “Property, Plant and Equipment”.

Management response

The auditor’s observation is indeed valid. The Council is yet to undertake the revaluation exercise, which is essential for identifying, classifying, and revaluing assets in accordance with IPSAS 45 and the delays in revaluations was due to high professional valuations costs to the Council.

1.2 Investment properties

The Council leased out its buildings such as community hall, Lodge and old Council buildings for rental income. However, these buildings were classified as property, plant and equipment instead of investment property contrary to paragraph 5 of the IPSAS 16 - “Investment Property”, which requires any building held to earn rentals should be classified as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should correctly classify its assets in line with IPSAS 16.

Management response

The auditor’s observation is correct. The root cause is the Council’s inability to carry out revaluation and re-classification of assets in accordance with the Zimbabwe Financial Reporting Manual, so that the cost of the assets could be determined for re-classification. As a result, assets such as the Community Hall, Old Council Buildings and Lodge were incorrectly recorded under Property, Plant and Equipment instead of Investment Property, contrary to IPSAS 16 - “Investment Property”.

1.3 Segment reporting

Finding

The Council did not disclose its segments contrary to IPSAS 18 - “Segment Reporting” paragraph 52 which requires the Council to disclose segment financial information. This was due to incomplete system configuration to enable the Council to generate segment transactions.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS 18 - “Segment Reporting”.

Management response

Noted. The auditor's observations are correct. The absence of segment reporting during the year under review was due to the recent implementation of the Sage Evolution system, which initially produced only consolidated financial statements. At that stage, the system had not been fully configured to support segment-level transaction capture and reporting. Full implementation of segment reporting in line with IPSAS 18 requirements is scheduled for the 2025 financial year. Future financial statements will include appropriate segment disclosures to enhance transparency, accountability, and compliance.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made some progress in addressing the findings that I raised in my 2024 report. I raised five (5) findings, three (3) were addressed, one (1) was partially addressed and one (1) was not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. Council did not revalue its assets.

2.2 Assessment of expected credit losses

The finding was addressed. Council’s credit allowance model is now in place.

2.3 Revenue

The finding was partially addressed. Council is now keeping the register for fines, permits leases and unit taxes.

2.4 Management of stands

The finding was addressed. The Council did not account for stands inventory.

2.5 Beer levy

The finding was addressed. Council obtained beer sales schedules from delta.

I have audited the financial statements of Nyaminyami Rural District Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Nyaminyami Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment", IPSAS 16 - "Investment Property", and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council did not recognise infrastructure assets such as roads and bridges and investment properties were classified as property, plant and equipment. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 5 and IPSAS 16 - "Investment Property" which requires infrastructure assets to be recognised as property, plant and equipment and properties held to earn rental income to be classified as investment property.

In addition, the Council did not carry out an impairment assessment of its assets contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" which requires an assessment to be done at each reporting date, to determine whether there are indications that an asset may be impaired. Had the Council recognised infrastructure assets and classified properties held to earn rental income as investment property, and assessed for indicators of impairment, the financial statements would have been materially different.

ii. Employment costs

There was an unresolved variance of ZWG9.4 million between employment costs reported in the financial statements and balances in the ledger. Consequently, I was unable to obtain sufficient and appropriate audit evidence to determine whether any adjustments to employee costs and related disclosures were necessary.

iii. Inventory valuation

The Council did not provide the basis on which the price per unit used in the valuation of inventory was determined to support the inventory balance of ZWG5.6 million disclosed in the financial statements. As a result, I was unable to verify the valuation of inventories disclosed in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 18 - "Segment Reporting"

The Council did not disclose segment information contrary to IPSAS 18 - "Segment Reporting" paragraph 52, which requires revenue, expenses, assets and liabilities to be disclosed for each segment. Had Council disclosed segment information, the disclosures to the financial statements would have been materially different.

v. Receivables

The Council was not performing receivables reconciliations during the period under review. As a result, there was an unresolved variance of ZWG2 million between receivables age analysis and receivables disclosed in the financial statements. Consequently, I was unable to verify the accuracy and existence of the receivables balance disclosed in the financial statements.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Submission of financial statements

Finding

The Council did not submit financial statements for the year ended December 31, 2024 for audit within the statutory deadline. The financial statements were submitted for audit in August 2025 contrary to the requirements of Public Finance Management Act [*Chapter 22:19*] section 49 which requires public entities to submit their financial statements within two months after the end of the financial year.

Risk/ Implication

Transparency and accountability may be compromised.

Recommendation

Council should submit financial statements for audit within the statutory deadline.

Management response

The failure to meet statutory audit deadline was as a result of a backlog which Council was trying to clear. Now that Council is up to date and receipting online, we are confident that accounts for 2025 will be submitted to auditors within 60 days in terms of the Public Finance Management Act [*Chapter* 22:*19*].

1.2 Property, plant and equipment

Finding

The Council did not recognise infrastructure assets, such as roads and bridges and investment properties were classified as property, plant and equipment. This was contrary to IPSAS 45 - “Property, Plant and Equipment” paragraph 5 and IPSAS 16 - “Investment Property” which requires infrastructure assets to be recognised as property, plant and equipment and properties held to earn rental income to be classified as investment property. In addition, the Council did not carry out an impairment assessment contrary to IPSAS 21 - “Impairment of Non-Cash Generating Assets” which requires an assessment at each reporting date, to determine whether there are indications that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise infrastructure assets, reclassify investment properties and assess assets for indicators of impairment.

Management response

Audit observation has been noted. According to the Council's IPSAS Implementation Plan for 2025, a revaluation exercise was supposed to be carried out during 2025. However, the Local Authority's budget performance was 18% as at September 30, 2025. Because of cash flow challenges, the valuation has been rolled over to 2026. Impairment assessment will be undertaken at the end of 2026 financial year.

1.3 Segment reporting

Finding

The Council did not disclose segment information contrary to IPSAS 18- "Segment Reporting" paragraph 52, which requires revenue, expenses, assets and liabilities to be disclosed for each segment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose segment information as required by IPSAS 18 - "Segment Reporting".

Management response

The observation is noted and accounts for 2025 will be prepared in terms of IPSAS 18 requirements.

1.4 Receivables

Finding

The Council was not performing receivables reconciliations during the period under review. As a result, there was an unresolved variance of ZWG2 million between receivables age analysis and receivables disclosed in the financial statements.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should investigate and resolve these variances.

Management response

The observation is noted. Because of the accounting backlog that Council was trying to resolve, entries were made in retrospect thereby creating potential risk of omissions resulting in variances. Council is now transacting online through its ERP, Sage Evolution and investigation and resolution of any variances will be carried.

1.5 Inventory valuation

Finding

The Council did not provide the basis on how the price per unit used in the valuation of inventory was determined to support the inventory balance of ZWG5.6 million disclosed in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should compile and provide a valuation report for all inventories held at year end.

Management response

Audit observation noted. Some of the inventory items were purchased some years back while other items were acquired during the year. In such cases valuation would be done based on the latest invoice. In future management will file for audit purposes the invoices used in inventory valuation. At year end, the Council had an inventory of stands at Siakobvu Growth Point.

1.6 Payroll costs

Finding

There was an unresolved variance of ZWG9.4 million between employment costs reported in the financial statements and balances in the ledger.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should perform reconciliations.

Management response

The observation is noted and payroll reconciliations will be carried out monthly.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised nine (9) findings, three (3) were addressed and six (6) findings were not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. The Council is yet to recognise the infrastructure assets and assess for impairment of assets.

2.2 Reporting in hyperinflationary economies

The finding was addressed. The Council restated the balances for inflation.

2.3 Opening accumulated fund

The finding was not addressed. The adjustment was still not substantiated.

2.4 Investment property

The finding was not addressed. The Investment property was yet to be recognised.

2.5 Beer levy

The finding was addressed. The Council engaged the breweries and obtained information regarding beer sales schedules.

2.6 Inter-funds accounting

The finding was not addressed. Interfund accounts were not reconciled.

2.7 Segment reporting

The finding was not addressed. The Council did not disclose segment information.

2.8 Unsupported expenditure

The finding was addressed. The Council now have Procurement Management Unit (PMU) and expenditure was supported.

2.9 Dumpsite

The finding was not addressed. The Council was yet to construct a Landfill.

I have audited the financial statements of Nyanga Rural District Council for the year ended December 31, 2023 and I issued a qualified opinion.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Nyanga Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and (IPSAS) 3- "Accounting Policies, Changes in Accounting Estimates and Errors"

The Council's infrastructure assets such as road networks, sewer reticulation systems and bridges were not valued and accounted for in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires the Council to recognise infrastructure assets.

In addition, the Council did not revalue property, plant, and equipment since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluation to be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined at the reporting date. Had the Council revalued its property, plant and equipment, accounted for its infrastructure assets the carrying amounts of items of property, plant and equipment disclosed in the financial statements would have been materially different.

ii. Donations

The Council did not recognise the revenues and assets arising from donations received which included construction materials, stationery and an assortment of groceries. This was contrary to International Public Sector Accounting Standard (IPSAS) 47 - "Revenue" paragraph 170 (e) which requires donations to be recognised and adequate disclosures to be made of the nature and type of major classes of donations. Had the Council recognised the revenue and the corresponding assets arising from donations the financial statements would have been materially different.

iii. Non - compliance with International Public Sector Accounting Standard (IPSAS 41) - "Financial Instruments"

The Council applied an arbitrary rate of 20% on receivables to determine the expected credit losses. This was contrary to IPSAS 41 – "Financial Instruments" paragraph 81 which requires the assessment of a financial asset to consider the risk of default occurring at the reporting date. Had Council assessed the risk of default, receivables balance disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not assign values to inventory items such as spare parts, maintenance materials and consumables. As a result, these inventory items were not recognised in the

financial statements for the year ended December 31, 2023. This was contrary to IPSAS 12 - “Inventories” paragraph 12 which requires stock items that meet the definition criteria to be recognised as inventory. I could not satisfy myself of the valuation and completeness of inventory of ZWL$2.8 billion disclosed in the financial statements.

Below are other material issues noted during the audit;

1 GOVERNANCE ISSUES

1.1 Infrastructure assets

Finding

The Council did not recognise infrastructure assets in the financial statements contrary to International Public Sector Accounting Standard (IPSAS) 45 - “Property, Plant and Equipment” which requires infrastructure assets such as sewer, water and road networks that meet the recognition criteria of an asset to be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise its infrastructure assets in accordance with the requirements of IPSAS 45 - “Property, Plant and Equipment”.

Management response

The finding is noted and the finding will be implemented in line with IPSAS 45 - property, plant and equipment and the Zimbabwe Financial Reporting Manual (ZFRM).

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for credit loss

Finding

The Council applied an arbitrary rate of 20% on receivables to determine the expected credit losses. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 81 which requires the assessment to take into account the risk of default occurring on the financial asset at the reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should perform an assessment of credit losses at each reporting period as required by IPSAS 41 - “Financial Instruments”.

Management response

The finding is noted and acknowledged. Council will implement the recommendation.

2.2 Donations

Finding

The Council did not assign values on donations received, as a result, donations which include construction materials, groceries and cleaning materials were not incorporated in the financial statements. This was contrary to International Public Sector Accounting Standard (IPSAS) 47- “Revenue” paragraph 170 (e) which requires donations to be recognised and adequate disclosures to be made of the nature and type of major classes of donations.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should record all the donations received and account for them in the financial statements.

Management response

The findings are noted and acknowledged. Council will implement the recommendation in the 2024 financial statements.

3 MANAGEMENT OF ASSETS

3.1 Valuation of property, plant and equipment

Finding

The Council did not revalue its property, plant and equipment to reflect the current values since 2009 despite significant changes in the operating environment. This was contrary to IPSAS 45 – “Property, Plant and Equipment” paragraph 29, which requires revaluations to be made with sufficient regularity to ensure that the carrying amount does not differ materially from current values at the reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Management should revalue its property, plant and equipment in compliance with IPSAS 45.

Management response

An asset valuation exercise was conducted by Council in 2024 which may help to implement the recommendation in future financial periods.

3.2 Inventories

Finding

The Council did not assign values to inventory items such as spare parts, maintenance materials and consumables. As a result, these inventory items were not recognised in the

financial statements for the year ended December 31, 2023. This was contrary to International Public Sector Accounting Standard (IPSAS) 12 – "Inventories" paragraph 12 which requires stock items that meet the definition criteria to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise all inventory items that meet the inventory definition in line with the requirements of IPSAS 12 - "Inventories".

Management response

A valuation exercise will be conducted in due course and the values so determined will be attached to the inventory items and included in the financial statements.

4 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised fifteen (15) findings, four (4) findings were not addressed, one (1) was partially and ten (10) finding were addressed as indicated below;

4.1 Bank reconciliations

The finding was addressed. The Council performed bank reconciliations.

4.2 Inter-funds

The finding was addressed. The Council reconciled the interfunds.

4.3 Fuel management

The finding was addressed. The Council maintained records relating to fuel management.

4.4 Property, plant and equipment

The finding was not addressed. The Council did not revalue and assess its assets for impairment.

4.5 Education levy

The finding was addressed. The Council maintained records relating education levy.

4.6 Revenue from mining claims

The finding was addressed. Council came up with a schedule of miners in its jurisdiction

4.7 Beer levy

The finding was addressed. Council reconciled beer levy funds with the brewer.

4.8 Other income - foreign exchange gain

The finding was not addressed. Council still did not supply evidence of how the figure was arrived at.

4.9 Receivables

The finding was not addressed. Credit balances were not cleared.

4.10 Inventories

The finding was not addressed. Council did not value its inventory items.

4.11 Policy and procedures manual

The finding was partially addressed. Policies are awaiting approval by Council.

4.12 Asset register

The finding was addressed. The Council now have a complete asset register on excell.

4.13 Fees received in advance

The finding was addressed. Management is now keeping supporting information for the journals passed.

4.14 Receipts from receivables

The finding was addressed. Council debtor records kept in the system.

4.15 Management of receipt books.

The finding was not addressed. Management is yet to provide missing receipt books for audit verification.

PFURA RURAL DISTRICT COUNCIL 2022 AND 2023

I have audited the financial statements of Pfura Rural District Council for the years ended December 31, 2022 and 2023, and I issued an adverse opinion for 2022 and a qualified opinion for 2023.

Adverse Opinion 2022

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Pfura Rural District Council as at December 31, 2022, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council last revalued its property, plant and equipment which includes infrastructure assets such as roads and bridges, in 2018. This was contrary to IPSAS 17 – "Property, Plant and Equipment" paragraph 44, which requires revaluations to be performed with sufficient regularity such that the carrying amounts does not differ materially from fair values. Had the Council revalued its assets, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 29 - "Financial Instruments"

The Council did not assess and recognise expected credit losses on receivables amounting to ZWL155 million. This was contrary to IPSAS 29 – "Financial Instruments" paragraph 67 which requires that an assessment of expected credit losses be performed at each reporting date. Had the Council recognised expected credit losses, the receivables balance would have been materially different.

iii. Inventory valuation

The Council recognised inventory amounting to ZWL40.3 million which was not supported by a valuation report. I could not verify valuation of stands inventory balance recognised in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 23 - "Revenue from Non - Exchange Transactions"

The Council recognised beer levy amounting to ZWL62 million on cash basis instead of accrual basis. This was contrary to IPSAS 23 - "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accrual basis. Had the Council recognised beer levy revenue on accrual basis, revenue would have been materially different.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly in all material respects, the financial position of Pfura Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment" and IPSAS 21 - "Impairment of Non-Cash Generating Assets"

The Council last revalued its property, plant and equipment which includes infrastructure assets such as roads and bridges, in 2018. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluations to be performed with sufficient regularity such that the carrying amounts does not differ materially from the current values at the reporting date.

In addition, the Council did not conduct an impairment assessment of its assets at year-end contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment at each reporting date whether there is any indication that an asset maybe impaired. Had the Council revalued its assets, and carried out an impairment assessment test, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair values of investment property contrary to IPSAS 16 - "Investment Property" paragraph 90 (e) which requires the Council to disclose the fair values of Investments property when the cost model is adopted. Had the Council disclosed the fair values of investment property, the financial statements would have been materially different.

Below are other matters noted during the audit;

1 GOVERNANCE ISSUES

1.1 Valuation of assets

Finding

The Council last revalued its property, plant and equipment which includes infrastructure assets such as roads and bridges, in 2018. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29, which requires revaluations to be performed with sufficient regularity such that the carrying amounts does not differ materially from the current values at the reporting date.

In addition, the Council did not conduct an impairment assessment of its assets at year-end contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment at each reporting date whether there is any indication that an asset maybe impaired.

Risk/ Implication

Misstatements of financial statements.

Recommendations

The Council should revalue its assets and conduct impairment assessment in compliance with IPSAS 45 and IPSAS 21.

Management response

Council takes note of the audit observation regarding IPSAS 45 and 21. The noted non-compliance was largely due to financial constraints that limited the engagement of professional valuers, as well as human resource capacity gaps that affected the performance of regular assessments. The Council has commenced an asset identification and verification process and will prioritize the valuation and recognition of all infrastructure assets in the financial statements. Impairment assessment procedures, as required by IPSAS 21, will be embedded into the financial reporting framework, with relevant staff receiving targeted training.

1.2 Allowance for expected credit losses

Finding

The Council did not assess and recognise expected credit losses on receivables amounting to ZWL155 million for 2022. There was no documented policy guiding the methodology of such assessments. This was contrary to IPSAS 29 - "Financial Instruments" paragraph 67 which requires that an assessment of expected credit losses be performed at each reporting date.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should have a documented policy guiding the assessment of expected credit losses as required by IPSAS 29.

Management response

The Council acknowledges the audit observation which requires the annual assessment the allowance for credit losses on receivables. We also note the absence of a documented policy guiding the methodology of such assessments. Council will develop a formal policy outlining the methodology for calculating credit loss allowance. Whilst the policy is being consulted on Council will estimate an approximate allowance for credit loss using a methodology aligned to IPSAS 29. The Council will ensure adherence to IPSAS 29 in the future.

1.3 Beer Levy

Finding

The Council recognised beer levy amounting to ZWL62 million on cash basis instead of accrual basis in the 2022 financial statements. I was not availed with beer levy supporting schedules for beer levy income recognised in the financial statements. This was contrary to IPSAS 23 – "Revenue from Non-Exchange Transactions" paragraph 2 which requires revenue to be recognised on accrual basis.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should obtain beer sales schedules and recognise beer levy on accrual basis.

Management response

Noted. Council will continue pursuing the returns with the commercial brewer.

1.4 Stand Inventory

Finding

The Council recognised inventory amounting to ZWL40.3 million in the 2022 financial statements which was not supported by a valuation report. I could not verify valuation of stands inventory balance recognised in the financial statements.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands inventory in accordance with IPSAS 12 paragraph 12(i).

Management response

Observation noted. In future council will do the inventory valuation on year-ends

1.5 Investment Property

Finding

The Council did not disclose the fair values of investment property contrary to IPSAS 16 - “Investment Property” paragraph 90 (e) which requires the Council to disclose the fair values of Investments property when the cost model is adopted. The Council experienced a funding gap that prevented the engagement of a professional expert.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should disclose fair values of investment property when the cost model is adopted.

Management response

The Council acknowledges the finding regarding the lack of a fair value assessment for investment property. This was due to funding limitations that prevented the engagement of a professional valuer. The Council will budget for valuation services and establish a routine fair value assessment process to ensure full compliance with IPSAS 16 and accurate reporting of investment property.

2 PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2023 report. I raised four (4) findings and all were not addressed as indicated below;

2.1 Property, plant and equipment

The finding was not addressed. The Council did not assess the residual values and useful lives of all the property, plant and equipment and an impairment test was not performed.

2.2 Allowance for credit losses

The finding was not addressed The Council did not carry out credit loss assessment of trade receivables.

2.3 Stands inventory

The finding was not addressed. The Council did not account for stands inventory in accordance with IPSAS 12.

2.4 Manuals and policies

The finding was not addressed. Key policies such as disaster management plan, asset management, Information Technology (IT) disaster recovery plan and an Information Technology (IT) security policy are not yet in place

RUNDE RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Runde Rural District Council for the year ended December 31, 2024. I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the significance of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, the financial position of Runde Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis of Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory. I could not satisfy myself on the adjustments that could have been necessary.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council's infrastructure assets such as road networks were not accounted for in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be recognised as property, plant and equipment. Had the Council recognised its infrastructure assets, the carrying amounts would have been materially different.

The following are material issues that were noted during the audit;

1. GOVERNANCE ISSUES

1.1 Infrastructure assets

Finding

The Council's infrastructure assets such as road networks were not accounted for in the financial statements contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires infrastructure assets to be recognised as property, plant and equipment.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise its infrastructure assets in line with IPSAS 45.

Management response

Council is engaging a valuer in the third quarter of 2025 to value its assets including infrastructure assets.

1.2 Inventory

Finding

The Council did not recognise stands inventory in the financial statements contrary to International Public Sector Accounting Standards (IPSAS) 12 – "Inventories" paragraph 11 which requires stands held for sale to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands held for sale as inventory in its financial statements.

Management response

Noted.

1.3 Employee benefits

Finding

The Council was not processing school fees allowance through payroll contrary to Section 8 of the Income Tax Act [*Chapter 23:06*] which requires accrued benefits to be taxed.

Risk/ Implication

Financial loss due to fines and penalties.

Recommendation

Council should properly account for employee benefits in line with the Income Tax Act.

Management response

School fees were not being taxed because some members' fees were being paid directly at school. The fees will be taxed going forward.

1.4 Council ambulance

Finding

The Council was operating without an ambulance for emergencies cases for the past two (2) due to breakdown. This was contrary to section 35 of the First Schedule of the Rural District Council Act [*Chapter 29.13*] which states that the Council is required to provide and operate an ambulance service inside the Council area.

Risk/ Implication

Service delivery may be compromised.

Recommendation

Council should consider procuring or repairing the current ambulance.

Management response

Noted. Council will work towards procuring or repairing the ambulance.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing findings that I raised in my 2024 report. I raised five (5) findings, two (2) were addressed, one (1) was partially addressed and two (2) were not addressed as indicated below;

2.1 Valuation of land

The finding has been addressed. Valuation of property, plant and equipment was done.

2.2 Inventory

The finding was not addressed. The Council did not include stands as part of inventory.

2.3 Income collecting database

The finding has been addressed. The Council updated its customer database and mining claims were billed.

2.4 Council ambulance

The finding was not addressed. The Council did not have a functional ambulance.

2.5 Lease agreement

The finding was partially addressed. All leases are now in place, except for the Council farm.

SANYATI RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Sanyati Rural District Council for the year ended December 31, 2024 and I issued an unmodified /clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of Sanyati Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. SERVICE DELIVERY

1.1 Sewer ponds

The Council's sub office sewer infrastructure was not functional as the sewer mainline was blocked since January 2019. In addition, the Council had no functional ablution facilities at the ARDA township as the toilets were blocked. This was contrary to Statutory Instrument 6 of 2007 Environmental Management (Effluent and Solid Waste Disposal) which requires Council to promote a healthy, clean and safe environment.

Risk / implication

Financial losses due to penalties for non-compliance with environmental laws.

Health hazards as a result of poor sanitation.

Recommendation

Management should upgrade the sewer system and repair the toilets**.**

Management response

The audit recommendation is acknowledged. Council is also seized with the matter of upgrading the sewer reticulation system. Budgetary provisions for the sewer ponds and upgrading of the main sewer line had already been made in the current year (2025). The capital expenditure component of the devolution grant is also expected to be used to upgrade the sewer system if funds are disbursed as per budget. The Council is currently constructing toilets and fixing soak away for the existing toilets which was blocked.

2. PROGRESS IN ADDRESSING PRIOR YEAR FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings I raised in my 2024 annual report. I raised four (4) audit findings and all were addressed as indicated below;

2.1 Property, plant and equipment

The finding was addressed. Land and buildings have now been separated, a valuation of assets was done as at December 31, 2024.

2.2 Allowance for credit losses

The finding was addressed. Council provided for an allowance for expected credit losses in accordance with IPSAS 41.

2.3 Segregation of duties

The finding was addressed. Segregation of duties now in place.

2.4 Accounting procedure manual

The finding was addressed. The Council developed an accounting procedure manual.

I have audited the financial statements of Tongogara Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Tongogara Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standards (IPSAS) 18 - "Segment Reporting"

The Council did not disclose its segment information contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires segment financial information to be disclosed. Had the Council disclosed segment information, disclosures to the financial statements would have been enhanced.

ii. Non-compliance with International Public Sector Accounting Standards (IPSAS) 21 - "Impairment of Non-Cash-Generating Assets"

The Council did not assess its property, plant and equipment for indicators of impairment. This was contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires Council to assess at each reporting date whether there is any indication that an asset may be impaired. Had the Council assessed its assets for indicators of impairment, the property, plant and equipment balance would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Statutory deadline

Finding

The Council did not submit financial statements for the year ended December 31, 2024, within the statutory deadline. The financial statements were submitted for audit in September 2025, six (6) months after the statutory deadline contrary to the Public Finance Management Act [*Chapter 22:19*] Section 49, which requires financial statements to be submitted for audit within two (2) months after the end of the financial year.

Risk/ Implication

Accountability, transparency and decision making may be compromised.

Recommendation

Council should submit financial statements for audit within statutory deadline.

Management response

Noted. The finance department is currently working on meeting the statutory deadline.

1.2 Segment reporting

Finding

The Council did not maintain separate segment information. As a result, Council did not disclose its segment information contrary to IPSAS 18 - "Segment Reporting" paragraph 52 which requires segment financial information to be disclosed.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose segment information as required by IPSAS18.

Management response

It is difficult to apply IPSAS 18 according to sub programs since Council does not have differentiated assets for each sub program. Assets such as offices and vehicles are being shared among all sub programs. In addition, some programs do not generate any income, they just consume revenue from other programs.

1.3 Impairment of assets

Finding

The Council did not assess its property, plant and equipment for indicators of impairment.-This was contrary to IPSAS 21 - "Impairment of Non-cash Generating Assets" paragraph 26 which requires Council to assess at each reporting date whether there is any indication that an asset may be impaired.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment at the end of each reporting period.

Management response

Noted. Impairment of assets will be done after valuation of assets.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the findings that I raised in my 2023 report. I raised eight (8) audit findings, three (3) issues were addressed, and five (5) issues were not addressed and as indicated below;

2.1 Impairment of non-current assets

The finding was not addressed. The Council did not assess non-current assets for impairment.

2.2 Investment property

The finding was addressed. Council recognised its investment property.

2.3 Property, plant and equipment

The finding was not addressed. Council did not separate land and buildings.

2.4 Segment reporting

The finding was not addressed. Council did not disclose its segments information.

2.5 Opening balances

The finding was addressed. Opening balances were corrected.

2.6 Vehicle registration books

The finding was not addressed. Council did not avail vehicle registration books.

2.7 Land fill

The finding was not addressed. The Council did not have a landfill.

2.8 Unsupported expenditure

The finding was addressed. Council availed supporting documentation for expenditure.

TSHOLOTSHO RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Tsholotsho Rural District Council for the year ended December 31, 2024, and I issued an unmodified / clean opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects the financial position of Tsholotsho Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. SERVICE DELIVERY

1.1 Council ambulance

Finding

The Council's jurisdiction area covers approximately 130 000 square meters with a population of 115 782. However, the Council was operating without an ambulance to provide emergency medical services to its communities. This was contrary to first schedule, item 35 of the Rural District Councils Act [*Chapter 29.13*] which requires the Council to provide and operate an ambulance service inside the Council area.

Risk/ Implication

Service delivery may be compromised.

Recommendation

Council should procure a fully equipped ambulance.

Management response

In the 2026 budget the Council has earmarked funds from its own resources for procurement of a fully equipped ambulance. In addition, Council will engage hunting partners under campfire and development partners with existing Memorandum of Understanding (MOU) in the district to mobilise core funding.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing findings that I raised in my 2024 report. I raised seven (7) findings, and all were addressed as indicated below;

2.1 Depreciation of assets and asset register

The finding was addressed. The Council provided for depreciation and asset register is now up to date.

2.2 Investment property

The finding was addressed. The investment property was correctly classified.

2.3 Allowance for credit losses

The finding was addressed. Council assessed its receivables for allowance for credit losses.

2.4 Year-end adjustments

The finding was addressed. The Council is now investigating the year - end adjustments.

2.5 Cash and cash equivalents

The finding was addressed. The variance was resolved.

2.6 Property, plant and equipment

The finding was addressed. The Council reviewed the useful lives of property, plant and equipment.

2.7 Revenue recognition

The finding was addressed. All revenue is now being recognised on accrual basis.

UMGUZA RURAL DISTRICT COUNCIL 2023 and 2024

I have audited the financial statements of Umguza Rural District Council for the year ended December 31, 2023, and 2024 and issued an adverse opinion for both years.

Adverse Opinion 2023

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Umguza Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange rates"

The Council translated the foreign currency denominated transactions and balances into ZWL using the interbank rates which did not meet the definition of spot rate as defined by IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates" paragraph 24 as foreign currency was not available for immediate delivery at these rates. Had the Council applied the spot rate in line with IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", many elements in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment with a carrying amount of ZWL 7.92 billion since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires an entity to conduct revaluations with sufficient regularity. In addition, the value of land was not separated from buildings for depreciation calculation purposes. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which prohibits the depreciation of land. Had the Council revalued its property, plant and equipment with sufficient regularity, and disclosed the land and buildings separately, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16 - "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWL42.65 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires an entity to disclose the fair value of its investment property at each reporting date. Had the Council disclosed the fair value of its investment property, the financial statements would be materially different.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - "Inventories" paragraph 11, which requires items held in the ordinary course of business to be recognised as inventory. I was not availed with details such as land size, location or number of stands. As a result, I could not satisfy myself on the valuation and completeness of inventory disclosed in the financial statements.

v. Non-compliance with International Public Sector Accounting Standard (IPSAS) - 41 "Financial Instruments"

The Council did not avail sufficient documentation to support the assumptions used in recognizing an allowance for credit losses of ZWL$17.90 million. This was contrary to IPSAS 41 - "Financial Instruments", paragraph 81, which requires an assessment of expected credit loss to be done at each reporting date. Had the Council assessed expected credit losses the financial statements would have been materially different.

vi. Revenue and receivables

The Council did not update and validate its customer database which forms the basis for the recognition of revenue from licences amounting to ZWL24.26 billion and receivables amounting to ZWL13.14 billion. As a result, I could not satisfy myself on the completeness of revenue recognised and valuation of receivables balance disclosed in the financial statements.

Adverse Opinion 2024

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Umguza Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45- "Property, Plant and Equipment"

The Council did not revalue its property, plant and equipment with a carrying amount of ZWG 27.78 million since 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires an entity to conduct revaluations with sufficient regularity. In addition, the value of land was not separated from buildings for depreciation calculation purposes. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 50 which prohibits the depreciation of land. Had the Council revalued its property, plant and equipment with sufficient regularity, and disclosed the land and buildings separately, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 16- "Investment Property"

The Council did not disclose the fair value of its investment property with a carrying amount of ZWG0.15 million. This was contrary to IPSAS 16 - "Investment Property" paragraph 90(e) which requires an entity to disclose the fair value of its investment property at each reporting date. Had the Council disclosed the fair value of its investment property, the financial statements would be materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12- "Inventories"

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - "Inventories" paragraph 11, which requires items held in the ordinary course of business to be recognised as inventory. I was not availed with details such as land size, location or number of stands. As a result, I could not satisfy myself on the valuation and completeness of inventory disclosed in the financial statements.

iv. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41- "Financial Instruments"

The Council did not avail sufficient documentation to support the assumptions used in recognizing an allowance for credit losses for receivables amounting to ZWG52.49 million. This was contrary to (IPSAS) 41 - "Financial Instruments", paragraph 81, which requires an assessment of expected credit loss to be done at each reporting date. Had the Council assessed expected credit losses the financial statements would have been materially different.

v. Valuation and existence of receivables from exchange transactions

The Council did not update and validate its customer database which forms the basis for the recognition of revenue from licences amounting to ZWG90.27 million and receivables amounting to ZWG52.49 million. As a result, I could not satisfy myself on the completeness of revenue recognised and valuation of receivables balance disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Valuation of property, plant and equipment

Finding

The Council last revalued its property, plant and equipment in 2009. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 29 which requires revaluations to be carried out with sufficient regularity, to ensure that the carrying amount does not differ materially from its fair value at the reporting date.

In addition, the Council did not separate land from buildings. As a result, land was depreciated contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 34 which requires land and buildings to be accounted for separately.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should revalue assets with sufficient regularity and separate land from building.

Management response

The valuation exercise has been initiated and is at an advanced stage. Separation of buildings from land will be addressed upon the completion of the valuation exercise.

1.2 Valuation of investment property

Finding

The Council did not disclose the fair value of its investment property contrary to IPSAS 16 - "Investment Property" paragraph 41 which requires disclosure of the fair value of investment property at each reporting date.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should disclose the fair values of assets at each reporting year.

Management response

The revaluation exercise is on the cards to address this matter.

1.3 Inventories

Finding

The Council did not recognise stands inventory in the financial statements contrary to IPSAS 12 - “Inventories” paragraph 12, which requires items held in the ordinary course of business to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should recognise all inventory in the financial statements.

Management response

Council has a manually compiled register for all the properties in the district. There are plans to implement a Housing management system developed by LADS to better manage our database.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Receivables

Finding

The Council did not update and validate its customer database which forms the basis for the recognition of revenue from licences amounting to ZWG90.27 million (2023: ZWL24.26 billion) and receivables amounting to ZWG52.49 million (2023 ZWL13.14 billion). This was contrary to of the Public Finance Management Act *[Chapter 22:19]* Section 44(1), which requires the accounting officer to establish and maintain effective internal controls and ensure the proper management.

Risk/ Implication

Misstatement of revenue and accounts receivables.

Recommendation

Council should conduct update its customer database.

Management response

The customer emigration to the new accounting system has been completed and Council is diligently reviewing its customer database to ensure there is data integrity. Statements will also be regularly sent to customers which will assist an anomaly that might exist from customer feedback.

2.2 Expected credit losses

Finding

The Council did not avail sufficient documentation to support the assumptions used in recognizing an allowance for credit losses for receivables amounting to ZWG52.49 million (2023: ZWL17.90 million). This was contrary to IPSAS 41 - "Financial Instruments", paragraph 81, which requires an assessment of expected credit loss to be done at each reporting date.

Risk/ Implication

Mismanagement of financial statements.

Recommendation

Management must conduct an impairment test annually to assess the position of each long outstanding balance.

Management response

Council is in the process of developing a comprehensive debtor's policy, that will incorporate default models for determining provisions for credit losses.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my 2024 report. I raised twelve (11) audit findings, one (1) was addressed, four (4) were partially addressed and six (6) were not addressed as indicated below;

3.1. Valuation of property, plant and equipment

The finding was not addressed. The Council did not revalue its assets and did not separate land from buildings.

3.2. Valuation of investment property

The finding was not addressed. Council did not revalue its investment property.

3.3. Inventories

The finding was partially addressed. Council compiled a register for all the properties in the district. Council did not recognise inventories in the financial statements.

3.4. Receivables

The finding was not addressed. Council did not avail documentation for expected credit losses.

3.5. Temporary deposits

The finding was not addressed. Council did not manage to clear unallocated deposits.

3.6. Staff benefits

The finding was addressed. Council processed staff benefits through the payroll and accounted for the related tax.

3.7. Beer Levy

The finding was partially addressed. Statements were availed by the brewer. Council is yet to perform reconciliations

3.8. Stand sales

The finding partially addressed. Council put in place a manual register and is yet to assign values to the stands.

3.9. Public sewerage service

The finding was not addressed. The Council did not rehabilitate its sewer system.

3.10. Revenue variances

The finding was not addressed. Revenue variances were not cleared.

3.11. Supporting documents

The finding was partially addressed. The Council did not avail the supporting documents.

I have audited the financial statements of Umzingwane Rural District Council for the year ended December 31, 2024, and I issued a qualified opinion.

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Umzingwane Rural District Council as at December 31, 2024, and of its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council recognised an allowance for credit loss amounting to ZWG9.55 thousand without taking into account the recoverability and changes in the credit risk of the receivables. This was contrary to IPSAS 41- "Financial Instruments" paragraph 81 which requires an assessment at each reporting date to determine whether the credit risk on a financial instrument has changed significantly. Had the Council considered recoverability and credit risk, the receivable balance would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The Council did not translate USD denominated trade receivables at the reporting date exchange rate contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 27, which requires monetary assets to be measured and reported at the closing rate at each reporting date. As a result, the receivable balance of ZWG207.24 million disclosed in the financial was misstated by ZWG67.56 million. Had the foreign denominated receivables been translated using the closing rate the trade receivables balance would have been materially different.

iii. Bank balance

Included in the cash and cash equivalents disclosed in the financial statements was a balance of ZWG0.2 million which could not be verified by bank statements and confirmation. Therefore, I could not satisfy myself as to the completeness and accuracy of the bank balance disclosed in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Remittance of statutory deductions

Finding

The Council did not remit National Social Security (NSSA) contributions for the period under review. In addition, the Council last remitted Pay As You Earn in May 2024 due to resource constraints. This was contrary to section 3 of the National Social Security Authority Act [*Chapter 17:04*] and paragraph 3 of the income Tax Act [*Chapter 23:06*], which require timely monthly remittance of employee contributions and taxes.

Risk/ Implication

Financial loss due to fines and penalties.

Recommendation

The Council should strengthen its revenue collection strategies and remit statutory deductions on time.

Management response

Council will prioritize strengthening to ensure statutory deductions are paid timeously and will reinforce internal controls to support consistent compliance.

2 REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for expected credit losses

Finding

The Council recognised an allowance for credit loss amounting to ZWG9.55 thousand without taking into account the recoverability and changes in the credit risk of the receivables. This was contrary to IPSAS 41 - “Financial Instruments” paragraph 81 which requires an assessment at each reporting date to determine whether the credit risk on a financial instrument has changed significantly.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should assess the recoverability of its receivables at the end of each reporting period.

Management response

The Council will draft a policy for expected credit losses based on historical and forward-looking data for all Council receivables and provide for expected credit loss.

2.2 Bank balance

Finding

Included in the cash and cash equivalents disclosed in the financial statements was a balance of ZWG0.2 million which could not be verified by bank statements and confirmation. This was contrary to section 45(a) of the Public Finance Management Act [*Chapter* 22:19] which requires Council to establish strong system of financial management and internal controls.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should avail bank statements and follow up with the bank to provide independent confirmations on the bank account.

Management response

Council has many accounts and there was an inconsistency in obtaining and filing bank statements. The recommendation will be implemented, and Council will obtain and file bank statements daily and do reconciliations by the 7th of the following month.

2.3 Receivables

Finding

The Council did not translate USD denominated trade receivables at the reporting date exchange rate contrary to IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates", paragraph 27, which requires monetary assets to be measured and reported at the closing rate at each reporting date. As a result, the receivable balance of ZWG207.24 disclosed in the financial was misstated by ZWG67.56 million.

Risk/ Implication

Misstatements of financial statements.

Recommendation

The Council should translate all monetary items using the official closing exchange rate at reporting date.

Management response

The Council acknowledges the recommendation, and debtors will be revalued using the closing rate at the reporting date to ensure all foreign- currency receivables are translated accurately.

3 PROGRESS IN ADDRESSING AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings and recommendations raised in my 2024 report. I raised four (4) audit findings, three (3) were addressed and one (1) was not addressed as indicated below;

3.1 Revaluation of assets

The finding was addressed. Council cleared the variance that was between the ledger and revaluation report.

3.2 Inflation adjusted financial statements

The finding was addressed. The Council prepared inflation-adjusted financial statements.

3.3 Inventories

The finding was addressed. Inventory valuation report was availed.

3.4 Allowance for credit losses

The finding was not addressed. Council did not assess its receivables for expected credit losses.

UZUMBA MARAMBA PFUNGWE ZVATAIDA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Uzumba Maramba Pfungwe Zvataida Rural District Council for the year ended December 31, 2024, and I issued an adverse opinion.

Adverse Opinion

In my opinion, because of the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Uzumba Maramba Pfungwe Zvataida Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Adverse Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 17 - "Property, Plant and Equipment"

The Council did not disclose the methods and assumptions applied in determining fair values of property, plant and equipment with a carrying amount of ZWG460.5 million. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 92 which requires the disclosure of assumptions and methodology used in revaluing assets. I was unable to verify the valuation of the carrying amount of property, plant and equipment recognised in the financial statements.

ii. Valuation of receivables

The Council recognised gross receivables balance of ZWG15.3 million which was not supported with customer databases and debtors' ledgers. As a result, I was unable to determine the existence, completeness and valuation of the receivable balance recognised in the financial statements.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 9 - "Revenue from Exchange Transactions"

The Council recognised education and development levies, and business leases revenue amounting to ZWG46.74 million on a cash basis instead of accrual basis. This was contrary to IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14, which requires that revenue to be recognised on accrual basis. Had Council recognised revenue on accruals basis, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. REVENUE COLLECTION AND DEBT RECOVERY

1.1 Valuation of receivables

Finding

The Council recognised gross receivables balance of ZWG15.3 million which was not supported with customer databases and debtors' ledgers. This was contrary to section 120(1)(b) of the Rural District Council [*Chapter 29:13*] which requires maintenance of books of accounts relating to the financial transactions of the Council.

Risk / Implication

Misstatement of financial statements.

Recommendation

Council should maintain customer databases and debtors' ledgers to support receivables' balances recognised in the financial statements.

Management response

Noted will do as per your recommendation. Management will ensure that regular debtors' reconciliations are conducted.

1.2 Revenue billing

Finding

The Council recognised education and development levies, and business leases revenue amounting to ZWG46.74 million on a cash basis instead of accrual basis. This was contrary to IPSAS 9 - "Revenue from Exchange Transactions" paragraph 14, which requires that revenue to be recognised on accrual basis.

Risk / Implication

Misstatement of financial statements.

Recommendation

Management should recognise revenue on accrual basis.

Management response

Issue noted. The customer database is now available, revenue billing was conducted and effected in first quarter of 2025.

1.3 Revaluation of property, plant and equipment

Finding

The Council did not disclose the methods and assumptions applied in determining fair values of property, plant and equipment with a carrying amount of ZWG460.5 million. This was contrary to IPSAS 17 - "Property, Plant and Equipment" paragraph 92 which requires the disclosure of assumptions and methodology used in revaluing assets.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should disclose assumptions and methodology used in revaluing assets.

Management response

Noted, to correct our revaluation and effect it 2025 financial year end.

2. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings raised in my 2024 report. I raised three (3) audit findings, two (2) findings were addressed and one (1) was partially addressed as indicated below;

2.1 Revaluation of property, plant and equipment

The finding was partially addressed. The Council performed a valuation, however the supporting assumptions were not availed.

2.2 Allowance for expected credit losses

The finding was addressed. The Council recognised an allowance for expected credit losses on receivables.

2.3 Depreciation of assets

The finding was addressed. The Council has depreciated its assets, and revaluation was conducted however, the methods and assumptions were not availed.

VUNGU RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Vungu Rural District Council for the years ended December 31, 2023, and 2024, and I issued an adverse opinion for both years.

Adverse Opinion 2023

In my opinion, due to the significance of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of the Vungu Rural District Council as at December 31, 2023, and its financial performance and its cash flows for the year then ended in accordance with International Financial Accounting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard 21 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency denominated transactions and balances into ZWL using the interbank exchange rates which did not meet the definition of spot rate as defined by IAS 21- "The Effects of Changes in Foreign Exchange Rates" paragraph 8 as foreign currency was not available for immediate delivery at these rates. Had the Council applied the spot rate in line with IAS 21 - "The Effects of Changes in Foreign Exchange Rates", many elements in the financial statements would have been materially different.

ii. Non-compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment valued at an amount of ZWL$3.3 billion contrary to IAS 16 - "Property, Plant and Equipment" paragraph 43 which requires allocation of depreciable amount systematically over the asset's useful life. Had Council depreciated its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Accounting Standard IAS 40 - "Investment Property"

The Council included properties held to earn rental income in property, plant and equipment contrary to IAS 40 - "Investment Property" paragraph 7 which requires such properties to be recognised as investment property. Had Council recognised the investment property, the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS) 2 - "Inventories"

The Council did not recognise stands inventories in the financial statements. This was contrary to IAS 2 - "Inventories" paragraph 6 which requires items held in the ordinary course of business to be recognised as inventory. Had the Council recognised the stands inventory the amount disclosed in the financial statements would have been materially different.

v. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

The Council did not assess for an allowance for credit losses for its receivables balance amounting to ZWL828.7 million. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires an assessment to be made at each reporting date. Had Council made an assessment for allowance for credit losses, receivable balance disclosed in

the financial statements would have been materially different.

vi. Trade payables

Included in the Council's other current liabilities are temporary deposits amounting to ZWL$26. 9 million from unidentified customers who made direct deposits into the Council's EcoCash and bank accounts. However, the Council did not conduct any reconciliation to resolve this outstanding account. As a result, I could not satisfy myself regarding the valuation of trade and other payables and the accuracy and completeness of trade and other receivables. Had Council identified customers who made direct deposits financial statements would have been materially different.

Adverse Opinion 2024

In my opinion, due to the effects of the matters discussed in the Basis for Adverse Opinion section of my report, the financial statements do not present fairly, the financial position of Vungu Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Financial Accounting Standards (IFRSs).

Basis for Adverse Opinion

i. Non-compliance with International Accounting Standard (IAS) 21 - "The Effects of Changes in Foreign Exchange Rates"

The Council translated foreign currency denominated transactions and balances into ZWG using the interbank exchange rates which did not meet the definition of spot rate as defined by IAS 21 - "The Effects of Changes in Foreign Exchange Rates" paragraph 8 as foreign currency was not available for immediate delivery at these rates. Had the Council applied the spot rate in line with IAS 21 - "The Effects of Changes in Foreign Exchange Rates", many elements in the financial statements would have been materially different.

ii. Non-Compliance with International Accounting Standard (IAS) 16 - "Property, Plant and Equipment"

The Council did not depreciate its property, plant and equipment valued at an amount of ZWG49.2 million contrary to IAS 16 - "Property, Plant and Equipment" paragraph 43 which requires allocation of depreciable amount systematically over the asset's useful life. Had Council depreciated its property, plant and equipment, the financial statements would have been materially different.

iii. Non-compliance with International Financial Reporting Standard (IFRS) 9 - "Financial Instruments"

Council did not assess for an allowance for credit losses for its receivables balance amounting to ZWG445.78 million. This was contrary to IFRS 9 - "Financial Instruments" paragraph 5.5.9 which requires an assessment to be made at each reporting date. Had Council made an assessment for allowance for credit losses, receivable balance disclosed in the financial statements would have been materially different.

iv. Non-compliance with International Accounting Standard (IAS) 1 - "Presentation of Financial Statements"

The Council did not recognise the assets, liabilities, revenue, and expenses of its one hundred and twenty-three (123) schools in its financial statements. This was contrary to IAS

1 - “Presentation of Financial Statements” paragraph 15**,** which requires the Council’s financial statements to fairly present the effects of transactions, events and conditions. Had the Council complied with the requirements of IAS 1 - “Presentation of Financial Statements”, the financial statements would have been materially different.

vi. Non- compliance with International Financial Reporting Standard (IFRS) 8 - “Operating Segments”

The Council did not disclose segment information contrary to IFRS 8 - “Segment Reporting” paragraph 23 which requires the Council to identify and disclose reportable segments. Had the Council disclosed segment information, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Depreciation of property, plant and equipment

Finding

The Council did not depreciate its property, plant and equipment valued at an amount of ZWG49.2 million contrary to IAS 16 - “Property, Plant and Equipment” paragraph 43 which requires allocation of depreciable amount systematically over the asset’s useful life.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should depreciate its assets.

Management response

Noted. Council intends to conduct asset valuation for all assets.

1.2 Inventory management

Finding

The Council did not have adequate inventory management systems in place. As a result, the Council did not recognise stands inventories in the financial statements for the year ended December 31,2023. This was contrary to IAS 2- “Inventories” paragraph 6 which requires items held in the ordinary course of business to be recognised as inventory. In addition, there was no documentation available to trace inventory movement or proper procedures followed in receiving and issuing inventory as there was no person responsible for inventory management.

Risk/ Implication

Misstatement of financial statements.

Financial loss due to misappropriation of inventories.

Recommendation

Council should put in place an inventory management system.

Management response

Noted. An Officer solely responsible for inventory management will be appointed and a proper inventory management system will be put in place.

1.3 Investment property

Finding

The Council included properties held to earn rental income in the property, plant and equipment contrary to IAS 40- "Investment Property" paragraph 7 which requires such properties to be recognised as investment property.

Risk/ Implication

Misstatement of financial statements.

Recommendation

Council should separate investment property and property, plant and equipment to comply with IAS 40 – "Investment Property".

Management response

Well, noted. Council intends to conduct an asset valuation.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Assessment of expected credit losses

Finding

The Council did not assess for an allowance for credit losses for its receivables balance amounting to ZWG445.78 million (2023: ZWL828.7 million). This was contrary to IFRS 9 paragraph 5.5.9 which requires an assessment to be made at each reporting date.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should perform an assessment of expected credit losses.

Management response

Noted. The Council will assess for expected credit losses.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing the audit findings that I raised in my 2024 report. I raised seven (7) audit findings, and all the findings were not addressed, as indicated below;

3.1 Depreciation

The finding was not addressed. The Council did not depreciate assets.

3.2 Trade payables

The finding was not addressed. Direct deposits were not assigned to respective customers account.

3.3 Valuation of property, plant and equipment

The finding was not addressed. The Council is facing financial constraints hence could not carry out asset valuation in time.

3.4 Investment property

The finding was not addressed. The Council did not reclassify investment property from property, plant and equipment.

3.5 Inventory management

The finding was not addressed. The Council did not put in place an inventory management system.

3.6 Allowance for credit losses

The finding was not addressed. The Council did not assess for credit loss allowance.

3.7 Revenue recognition

The finding was not addressed. The Council did not compile a data base of all the revenue streams.

ZAKA RURAL DISTRICT COUNCIL 2023 AND 2024

I have audited the financial statements of Zaka Rural District Council for the years ended December 31, 2023, and 2024, and I issued a qualified opinion for both years.

Qualified Opinion 2023

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements presents fairly, in all material respects, the financial position of Zaka Rural District Council as at December 31, 2023 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables with a carrying amount of ZWL8.6 billion disclosed in the financial statements. This was contrary to IPSAS 41 - "Financial Instruments", paragraph 73 which requires a loss allowance for expected credit losses to be recognised on a financial asset. Had the Council recognised an allowance for credit losses on its receivables, the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise land and infrastructure assets such as road networks and water reticulation systems in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires items that meet the definition criteria of property, plant and equipment to be recognised. Had the Council recognised land and infrastructure assets, the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 12 - "Inventories"

The Council did not recognise stands and consumables as inventory in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 11 which requires items held for sale or distribution in the ordinary course of business to be recognised as inventory. Had, the Council recognised stands and consumables as inventory, the financial statements would have been materially different.

Qualified Opinion 2024

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zaka Rural District Council as at December 31, 2024 and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-Compliance with International Public Sector Accounting Standards (IPSAS) 45 - "Property, Plant and Equipment"

The Council did not recognise land and infrastructure assets such as road networks and water reticulation systems in the financial statements. This was contrary to IPSAS 45 - "Property, Plant and Equipment" paragraph 6 which requires items that meet the definition criteria of property, plant and equipment to be recognised. Had the Council recognised land and infrastructure assets, the financial statements would have been materially different.

ii. Non-Compliance with International Public Sector Accounting Standard (IPSAS) 31 - "Intangible Assets"

The Council recognised three (3) software programs amounting to ZWG0.32 million as intangible assets in its financial statements. These software programs did not meet the recognition criteria of IPSAS 31 - "Intangible Assets" paragraph 21 which requires intangible assets to be recognised only when the Council had control over the software programs. Had the Council not recognised the intangible assets, the financial statements would have been materially different.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Inventory

Finding

The Council did not recognise two hundred and nineteen (219) stands and consumables as inventory in the financial statements. This was contrary to IPSAS 12 - "Inventories" paragraph 11 which requires items held for sale or distribution in the ordinary course of business to be recognised as inventory.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should recognise stands and consumables inventory in the financial statements.

Management response

Valuation of inventory in the storeroom for inclusion in the accounts to be done in 2024 accounts. Management to include values of pegged stands inventory in 2024 Accounts.

1.2 Property, plant and equipment

Finding

The Council did not recognise land and infrastructure assets such as road networks and water reticulation systems in the financial statements. This was contrary to IPSAS 45 - "Property,

Plant and Equipment" paragraph 6 which requires items that meet the definition criteria of property, plant and equipment to be recognised.

Risk/ Implication

Financial statements may be misstated.

Recommendation

Management should value and recognise land and infrastructure assets in its financial statements.

Management response

Management to capture infrastructure assets in the 2025 financial statements. Land to be valued after approval of the master plan.

1.3 Intangible assets

Finding

The Council recognised three (3) software programs amounting to ZWG0.32 million as intangible assets in its financial statements. These software programs did not meet the recognition criteria of IPSAS 31 - "Intangible Assets" paragraph 21 which requires intangible assets to be recognised only when the Council had control over the software programs.

Risk/ Implication

Misstatement of financial statements.

Recommendation

The Council should derecognise the software programs in the financial statements.

Management response

The Council will derecognise the software systems in the 2025 financial statements.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Allowance for expected credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables with a carrying amount of ZWL8.6 billion disclosed in the financial statements. This was contrary to IPSAS 41 - "Financial Instruments", paragraph 73 which requires a loss allowance for expected credit losses to be recognised on a financial asset.

Risk/ Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise allowance for credit losses on its receivables at each reporting date.

Management response

Draft debt management policy is being finalised and will be presented to Council so that the provision and debt assessments are guided accordingly.

3. SERVICE DELIVERY

3.1 Dumpsite

Finding

The Council did not have a land for disposal of waste. As a result, the Council was using a dumpsite. This was contrary to the Environmental Management Act [*Chapter 20:27*] item 11(a) and section 71 which prohibits disposal of waste in a manner that causes pollution to the environment, and which requires Council to have a landfill facility.

Risk/ Implication

Financial loss due to fines and penalties.

Health hazard to the community.

Recommendation

Council should establish a landfill in compliance with environmental regulations.

Management response

Old dumpsite to be decommissioned. New site Environmental Impact Assessment to be done.

4. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing the findings that I raised in my 2024 annual report. I raised two (2) audit findings one (1) issue was addressed and one (1) was not addressed as indicated below;

4.1 Inventory valuation

The finding was not addressed. Stores inventory was not valued and recognised.

4.2 Property, plant and equipment

The finding was addressed. Property, plant and equipment were depreciated.

I have audited the financial statements of Zibagwe Rural District for the year ended December 31, 2024, and I issued a qualified opinion

Qualified Opinion

In my opinion, except for the effects of the matters described in the Basis for Qualified Opinion section of my report, the financial statements present fairly, in all material respects, the financial position of Zibagwe Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Basis for Qualified Opinion

i. Non-compliance with International Public Sector Accounting Standard (IPSAS) 41 - "Financial Instruments"

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 - "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on financial assets. Had the Council recognised an allowance for credit losses, the receivables disclosed in the financial statements would have been materially different.

ii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 21 - "Impairment of Non-cash generating Assets"

The Council did not assess its assets for indicators of impairment contrary to IPSAS 21 - "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment for indicators of impairment at each reporting date. Had the Council carried out an impairment test on its items of property, plant and equipment, the carrying amount disclosed in the financial statements would have been materially different.

iii. Non-compliance with International Public Sector Accounting Standard (IPSAS) 4 - "The Effects of Changes in Foreign Exchange Rates"

The exchange gains or losses arising from trade receivables were computed up to April 05, 2024, instead of up to December 31, 2024. This was contrary to IPSAS 4 – "The Effects of Changes in Foreign Exchange Rates", paragraph 32, which requires recognition of exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition. I therefore could not satisfy myself on the accuracy and completeness of revenue or expenditure reported in the financial statements.

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Risk register

Finding

The Council was not maintaining a risk register to report risk, to prioritise improvement action and monitor results. This was contrary to the Council's risk management policy which requires maintenance of a risk register which should be reviewed on a quarterly basis.

Risk / Implication

The Council may fail to identify and respond to significant risk that may compromise operational efficiency.

Recommendation

The Council should maintain a risk register.

Management response

Noted, we are going to generate a risk register.

2. REVENUE COLLECTION AND DEBT RECOVERY

2.1 Foreign exchange gains or losses

Finding

The exchange gains or losses arising from trade receivables were computed up to April 05, 2024, instead of up to December 31, 2024. This was contrary to IPSAS 4 - "The Effects of Changes in Foreign Exchange Rates", paragraph 32, which requires recognition of exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should recognise exchange gains in line with the requirements of IPSAS 4.

Management response

Council is engaging a consultant to assist with exchange gains or losses on a daily basis.

2.2 Receipt books

Finding

The Council did not avail two receipt books with serial numbers 196551 to 196750 and 434801 to 434900 for audit verification. These receipt books went missing during the year under review. This was contrary to section 44 of the Public Finance Management Act [*Chapter 22:19*], which requires public entities to establish and maintains effective, efficient

and transparent systems of financial, risk management and internal controls.

Risk / Implication

Fraud and errors may go undetected.

Recommendation

The Council should strengthen controls over custody and issuance of receipt books.

Management response

An investigation was done. A police report was also filed. We also advertised to the community that the receipt books were missing.

2.3 Allowance for credit losses

Finding

The Council did not recognise an allowance for credit losses on its receivables contrary to IPSAS 41 – "Financial Instruments" paragraph 73 which requires a loss allowance for expected credit losses to be recognised on financial assets.

Risk / Implication

Overstatement of receivables and misleading financial information for users regarding the Council's financial position and revenue collectability.

Misstatement of financial statements.

Recommendation

The Council should recognise an allowance for credit losses in its financial statements.

Management response

Noted a policy will be crafted.

3. MANAGEMENT OF ASSETS

3.1 Impairment of non-current assets

Finding

The Council did not assess its assets for indicators of impairment contrary to IPSAS 21 – "Impairment of Non-Cash Generating Assets" paragraph 26 which requires an assessment for indicators of impairment at each reporting date.

Risk / Implication

Misstatement of financial statements.

Recommendation

The Council should carry out an impairment assessment annually in compliance with IPSAS 21.

Management response

Noted Council will carry out impairment assessment of its assets.

4. PROGRESS IN ADDRESSING AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council did not make progress in addressing audit findings and recommendations raised in my previous management letter. I raised six (6) audit findings, two (2) were addressed and four (4) were not addressed as indicated below;

5.1 Investment property

The finding was addressed. The Council separated investment property from property, plant and equipment.

5.2 Property, plant and equipment

The finding was not addressed. The Council did not assess assets for impairment and useful lives.

5.3 Allowance for credit loss

The finding was not addressed. The Council did not provide for allowance for credit losses on receivables.

5.4 Recognition of revenue from sale of land

The finding was addressed. Revenue from sale of stands was properly recognised.

5.5 Sewer ponds

The finding was not addressed. The Council did not fence the sewer ponds.

5.6 Ambulances

The finding was not addressed. The Council did not procure ambulances.

ZVIMBA RURAL DISTRICT COUNCIL 2024

I have audited the financial statements of Zvimba Rural District Council for the year ended December 31, 2024 and I issued an unmodified / clean Opinion.

Opinion

In my opinion, the financial statements present fairly, in all material respects, the financial position of Zvimba Rural District Council as at December 31, 2024, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs).

Below are other material issues noted during the audit;

1. GOVERNANCE ISSUES

1.1 Accumulation of leave days

Finding

The Council had seventeen (17) employees from various departments who had accumulated leave days exceeding ninety (90) days. This was contrary to the Zimbabwe Labour Act [*Chapter 28:01*] section 14 which requires that employees accrue vacation leave days to a maximum of ninety (90) days paid vacation leave unless the employee can prove that he/she was declined to take leave for operational reasons.

Risk/ Implication

Service delivery may be compromised.

Recommendation

The Council should enforce leave plans and employees should go on leave regularly.

Management response

To address this, management will enforce adherence to leave plans, ensuring that leave is taken consistently while still maintaining continuity of service delivery.

1.2 Lease renewal

Finding

The Council had ten (10) properties being leased to tenants without valid lease agreements for a period ranging between seven (7) to ten (10) years.

Risk/ Implication

Financial loss due to inability to enforce lease terms or revise rentals in line with inflation.

Recommendation

The Council should put in place controls to monitor leases to ensure that they are renewed or terminated on time.

Management response

Management has noted the observation and will facilitate a comprehensive review of all leases, implementing corrective measures to ensure the timely renewal of expired leases and repossession where applicable. To strengthen the lease management process, the LADS software system has been procured. In the interim, all beneficiaries with expired leases will be formally served with notices.

2. SERVICE DELIVERY

2.1 School infrastructure

Finding

The Council schools such as Newlands Primary School, Pamwechete Secondary School, Pindi Park Secondary School and Riverside Secondary School were in a state of disrepair. Signs of infrastructure dilapidation included crumbling classroom blocks, dilapidated roofing, cracked walls, inadequate sanitation facilities, and broken furniture. This was contrary to Section 16 (1) of the Education Act, which requires Schools to ensure the safety and welfare of students, with the head of the School being responsible for taking all reasonable measures to safeguard students from harm during their time at the School.

Risk/ Implication

Service delivery, health and safety of students and staff may be compromised.

Recommendation

The Council should mobilise resources for the rehabilitation of the school's infrastructure.

Management response

The Council is currently undertaking the rehabilitation of school infrastructure and sanitary facilities to improve the learning environment and promote public health standards.

3. PROGRESS IN ADDRESSING PRIOR YEAR AUDIT FINDINGS AND IMPLEMENTATION OF RECOMMENDATIONS

The Council made progress in addressing audit findings I raised in my 2024 report. I raised three (3) audit findings and all were addressed as indicated below;

3.1 Inventory valuation

The finding was addressed. The Council valued its inventory in accordance with IPSAS 12 – "Inventory".

3.2 Valuation of property, plant, and equipment

The finding was addressed. The Councils property, plant and equipment was revalued.

3.3 Valuation of investment property

The finding was addressed. The Council's investment property was valued in line with IPSAS 16 – "Investment Property".

ANNEXURES

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
	CITY COUNCILS										
1	Bulawayo City Council	2022 2023 2024 2025	The basis of preparation was not clear on the framework used The basis of preparation was not clear on the framework used Accounts not submitted Accounts not submitted	2021 2022 2023 2024	The basis of preparation was not clear on the framework used Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2019 2020 2021 2022 2023	The basis of preparation was not clear on the framework used The basis of preparation was not clear on the framework used Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	-	-	-	-
2	Gweru City Council	2024 2025	Disclaimer due to non-compliance with IPSAS 10, IPSAS 36, IPSAS 1, IPSAS 18, IPSAS 45, leave pay, cash and bank, suspense, receivables, IPSAS 12, Journals and IPSAS 41 Accounts not submitted	2021 2022 2023	Adverse due to Non-compliance with IPSAS 10, IPSAS 35, IPSAS 17, Cash and cash equivalents, Expenditure, Grant income and Journal entries. Adverse due to IPSAS 10, IPSAS 35, IPSAS 17, Cash and cash equivalent, Expenditure, Grant income and Journal entries Adverse due to Non-compliance with IPSAS 10,	2020 2021 2022 2023	Disclaimer due to Non-compliance with IPSAS 10, Opening balances, expenditure, payables, IPSAS 17, Cash, Inventories, IPSAS 23, IPSAS 35 - Consolidated Financial Statements, Receivables Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, payables, receivables, expenditure, employment costs, Go Beer investment, cash, IPSAS 9 and inventories	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					IPSAS 35, IPSAS 17, Cash and cash equivalents, Expenditure, Grant income and Journal entries. 2024 Accounts submitted and audit in progress						
3	Harare City Council	2022

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2024 2025	Unsupported expenditure, Payables, VAT, IPSAS 16, Foreign exchange gains and losses, Receivables, Cash and cash equivalent, IPSAS 20, IPSAS 24, Going concern Accounts submitted and audit in progress Accounts submitted and audit in progress						IPSAS 26 , IPSAS 16, IPSAS 12 Inventories, IPSAS 27 Agriculture, Receivables, Prepayments, Cash and bank, Borrowings, grant, Equity/net assets, Revenue, Employment costs, expenses, Impairment loss, IPSAS 20, Provisions, Going concern.		
4	Kadoma City Council	2024 2025	Accounts not submitted Accounts not submitted	2023 2024	Qualified due to non-compliance with IPSAS 1 and IPSAS 18 Accounts not submitted	2022 2023	Qualified due to Non-compliance with IPSAS 17 IPSAS 16 Investment Property, IPSAS 1, IPSAS 18 and IPSAS 23 Accounts submitted and audit in progress	2019 2020 2021	Adverse due to IPSAS 4, IPSAS 17, IPSAS 12 Inventories and IPSAS 14 Adverse due to IPSAS 4, IPSAS 17 Adverse due to IPSAS 17, IPSAS 16	2018	Adverse due to non-compliance with IPSAS 4

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
5	Kwekwe City Council	2023 2024 2025	Adverse due to non -compliance with IPSAS 17 and IPSAS 21, inventories, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress Accounts submitted and audit in progress	2021 2022 2023 2024	Qualified due to non -compliance with IPSAS 17 and IPSAS 21 Qualified due to non -compliance with IPSAS 17 and IPSAS 21 Accounts submitted and audit in progress Accounts submitted and audit in progress	2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress	2019 2020	Adverse due to Non-compliance with IPSAS 4 Adverse due to Non-compliance with IPSAS 4		
6	Masvingo City Council	2024 2025	Qualified due to non-compliance with IPSAS 47, IPSAS 45 and IPSAS 16 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 47, IPSAS 16 and IPSAS 45 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 35, IPSAS 17, IPSAS 12, intangible assets and revenue from non-exchange transactions Accounts submitted and audit in progress	2021	Adverse due to non-compliance with IPSAS 17 property, plant and equipment, IPSAS 9 revenue from exchange transactions and IPSAS 12 inventories	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17, Valuation of construction work-in-progress, transfers from Government revenue and Land reserves.
7	Mutare City Council	2024	Qualified due to non-compliance with IPSAS 45 Qualified	2023	Qualified due to schools opening balances,	2022	Adverse due to IPSAS 35, IPSAS	2021	Adverse due to non-compliance	2020	Adverse due to non-compliance

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			due to non-compliance with IPSAS 16 Accounts submitted and audit in progress		Schools incomplete records. Accounts submitted and audit in progress	2023	17 and IAS 12 income taxes Accounts submitted and audit in progress		with IPSAS 17 property, plant and equipment, IPSAS 9 unreconciled variance on business licence revenue, Council subsidiary, payables, rental income and beer sales revenue.		with IPSAS 4 on opening balances, Investment in subsidiary, Impairment on Investment properties, Unreconciled revenue, Stands inventory and IPSAS 17.
8	Victoria Falls City Council	2024 2025	Qualified due to non-compliance with IPSAS 16 Accounts submitted and audit in progress	2023 2024	Qualified due to IPSAS 12, and IPSAS 47 Accounts submitted and audit in progress	2022 2023	Qualified due to IPSAS 17 Accounts submitted and audit in progress	2021	Qualified opinion due to non-compliance with IPSAS 17 property, plant and equipment	2020	Qualified due to Non-compliance with IPSAS 4 opening balances translation
MUNICIPAL COUNCILS											
9	Beit-Bridge Municipality	2022 2023 2024 2025	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2021 2022	Disclaimer due to Property, plant and equipment, IPSAS 10, IPSAS 41 and revenue Accounts submitted and audit in progress	2020 2021	Adverse due to non-compliance with IPSAS 4, Valuation of Property, Plant and Equipment, Inter-fund account balances, IPSAS 10	-	-	2019	Adverse

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts not submitted	2023 2024	Accounts not submitted Accounts not submitted	 2022 2024	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted				
10	Bindura Municipality	2024 2025	Accounts submitted and audit in progress Accounts submitted and audit in progress	2022 2023 2024	Adverse due to IPSAS 18, IPSAS 17, Cash and cash equivalents, water bill, IPSAS 29, IPSAS 12 and IPSAS 16 Adverse due to IPSAS 45, IPSAS 18, IPSAS12 and Cash and cash equivalents Accounts not submitted	2022 2023	Accounts submitted and audit in progress Accounts not submitted	2020 2021	Qualified due to non-compliance with IPSAS 4 and exclusion of nostro bank balance from cash and cash equivalents. Adverse due to non-compliance with IPSAS 4, IPSAS 17 and unreconciled variances on Property, plant and equipment, Cash, Revenue and payroll.	-	-
11	Chegutu Municipality	2024	Qualified due to Opening balances, IPSAS 45, revenue recognition, billing, unallocated receipts	2023	Qualified due to non-compliance to IPSAS 45, IPSAS 16, IPSAS 41, opening balance,	2022	Non-compliance with IPSAS 17, IPSAS 1, Accounting for joint arrangement ,18	2021	Adverse due to non-compliance with IPSAS 4, investment in joint ventures,	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2025	Accounts submitted and audit in progress		donation, inventories, supporting documentation		Segment Reporting and IPSAS 23		inventories, IPSAS 17, cash and bank balances, and unreconciled variances on payables.		
				2024	Accounts not submitted	2023	Accounts not submitted				
12	Chinhoyi Municipality	2024	Accounts submitted and audit in progress	2023	Adverse due to non- compliance with IPSAS 45, IPSAS 21 and shop licensing income.	2021	Adverse due to IPSAS 35, IPSAS 21, IPSAS 17, Business licence	2020	Qualified due to non-compliance with IPSAS 4	-	-
		2025	Accounts submitted and audit in progress			2022	Adverse due to IPSAS 21, IPSAS 16, IPSAS 17 and revenue				
				2024	Accounts not submitted	2023	Accounts not submitted				
13	Chitungwiza Municipality	2023	Qualified due to non-compliance with IPSAS 17	2021	Qualified due to IPSAS 10 and payables	2020	Disclaimer due to non-compliance with IPSAS 4, IPSAS 3, IPSAS 10, IPSAS 17, accounts payables, revenue, cash and bank balances and inventory	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 17, revenue, inventory and unreconciled variances on payables.	-	-
		2024	Accounts submitted and audit in progress	2022	Qualified due to non-compliance with IPSAS 17						
		2025	Accounts not submitted	2023	Accounts not submitted	2022	Accounts submitted and audit in progress				
				2024	Accounts not submitted		Accounts submitted and audit in progress				
						2021	Accounts not submitted				

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		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
						2023					
14	Gwanda Municipality	2024 2025	Qualified due to non-compliance with IPSAS 16, IPSAS 21 and IPSAS Accounts not submitted	2022 2023 2024	Adverse due to IAS 16, IAS 36, IFRS 9, IAS 29. Adverse due to IAS 16, Payroll, IAS 40 and VAT Accounts not submitted	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, exchange rates used in current year. Qualified due to opening balances, exchange rates used in the current year and property, plant and equipment. Accounts submitted and audit in progress Accounts not submitted	-	-	2016 2017 2018 2019	Qualified due to trade receivables Qualified due to trade receivables , Qualified due to trade receivables Adverse due to non-compliance with IAS 21 and IAS 8
15	Kariba Municipality	2024 2025	Adverse due to revenue, Payroll, IPSAS 1 Accounts submitted and audit in progress	2022 2023	Adverse due to non -compliance with IPSA 4, IPSAS 17, unsupported expenditure, inventory, IPSA 9, payables, cash and cash and inter funds. Adverse due to non -compliance with IPSA 47, IPSAS 45, expenditure,	2021 2022 2023	Qualified due to Non-compliance with IPSAS 9 IPSAS 17, Receivables, Payables, Cash, expenditure, journal entries Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 9, IPSAS 17, unsupported expenditure, payables, cash and cash equivalents and journal entries.	-	-

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		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					IPSAS 1, IPSAS 18 Accounts not submitted						
16	Marondera Municipality	2024 2025	Qualified due to non-compliance with IPSAS 45 Property, plant and equipment Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non- compliance with IPSAS 1, IPSAS 21, IPSAS 23, IPSAS 3, investments and investment property Adverse due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 45, IPSAS 21, Investment is shares and investment property Accounts submitted and audit in progress	2021 2022 2023	Adverse Opinion due to non-compliance with IPSAS 1, IPSAS 18 Segment Reporting, IPSAS 21 Impairment of Non-Cash Generating asset IPSAS 23 Revenue from Non-Exchange Transactions, IPSAS 4 The Effects of Changes in Foreign Exchange Rates, Investment in shares, IPSAS 16 Investment Property Accounts submitted and audit in progress Accounts not submitted	-	-	2019 2020	Adverse due to non-compliance with IPSAS 4, date of change in functional currency Qualified due to `non-compliance with IPSAS 4 opening balances translated at an inappropriate exchange rate

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		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
17	Redcliff Municipality	2024 2025	Accounts submitted and audit in progress Accounts submitted and audit in progress	2023 2024	Qualified due to IPSAS 21, 45 and 47 Accounts submitted and audit in progress	2022 2023	Qualified due to non-Compliance with International Accounting Standard IAS 16 Property, Plant and Equipment Accounts submitted and audit in progress	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment.	2020	Adverse due to noncompliance with IPSAS 4 on opening balances, valuation of property, plant and equipment.
TOWN COUNCILS											
18	Chipinge Town Council	2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 1, IPSAS 18, donations, IPSAS 27 and IPSAS 16 Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 27, IPSAS 23 and IPSAS 1 Adverse due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 17, IPSAS 27, Donations and investment property Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 17, biological assets and IPSAS 23 Accounts submitted and audit in progress Accounts not submitted	2020	Qualified due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, inventories, revenue, expenditure and payables.	2018 2019	Adverse due to non-compliance with IPSAS 4 the effects of changes in foreign exchange rate and Property, plant and equipment Adverse due to non-compliance with IPSAS 4 and property, plant and equipment.
19	Chiredzi Town Council	2024	Adverse due to non-compliance with IPSAS 1, Payables,	2021	IPSAS 4, Receivables, Payables,	2020	Adverse Opinion due to non - compliance with	2019	Adverse due non-compliance	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Expenditure, IPSAS 18, IPSAS 4, IPSAS 45, IPSAS 47, IPSAS 16 Accounts submitted and audit in progress		Revenue, Property, plant and equipment, Cash and cash, Expenditure Adverse due to non- compliance with IPSAS 4, receivables, Payables, IPSAS 23, Cash Adverse due to non- compliance with IPSAS 47, IPSAS 18 IPSAS 9, IPSAS 45, payables, expenditure, inventory and cash Accounts not submitted		IPSAS 4, IPSAS 10, Receivables, Revenue, Unsupported expenditure, Property, plant and equipment, Payroll, Cash Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted		with IPSAS 4, IPSAS 10, IPSAS 17, IPSAS 12, revenue and expenditure, payables.		
20	Gokwe Town Council	2023 2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 18, Payroll. Receivables. Payables. Inventory, Accumulated fund and expenditure Accounts submitted and audit in progress	2023 2024	Accounts submitted and audit in progress Accounts not yet submitted	2022 2023	Adverse due to non -compliance with foreign exchange gain, Revenue, Compensation of employees, Unsupported expenditure, IPSAS 17 Property, Plant and Equipment, Payables, IPSAS 12 Inventories	2019	Adverse due non-compliance with IPSAS 4, IPSAS 12 inventories, expenditure not supported and absence of a register and investment property.	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts not yet submitted				Accounts not submitted	2020 2021	Adverse due non-compliance with IPSAS 4, property, plant and equipment, revenue, receivables, inventories, expenditure, net assets and investment property. Adverse due to expenditure not supported, property, plant and equipment, revenue, inventory and investment property.		
21	Karoi Town Council	2023 2024 2025	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2021 2022	Adverse due to non - compliance with IPSAS 17, inventories, IPSAS 1 and IPSAS 18 Qualified due to non-compliance with IPSAS 1, IPSAS 18, IPSAS 17, IPSAS 23	2020 2021 2022	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, IPSAS 18 and IPSAS 9 Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and unallocated deposits.	2018	Adverse due to non-compliance with IPSAS 4

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
				2023 2024	Accounts not submitted Accounts not submitted	2023	Accounts not submitted				
22	Mvurwi Town Council	2023 2024 2025	Adverse due to non-compliance with IPSAS 1 and IPSAS 18, IPSAS 41, IPSAS 45, IPSAS 16, Revenue and Payables Adverse due to non-compliance with IPSAS 1 and IPSAS 18, IPSAS 47, IPSAS 45, IPSAS 16, and foreign exchange gains Accounts not submitted	2022 2023 2024	Adverse due to IPSAS 41, receivables, IPSAS 4, IPSAS 3 and Revenue Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, business licence, beer levy and receivables Accounts not submitted audit in progress Accounts not submitted	2019 2020	Adverse due to non-compliance with IPSAS 4, IPSAS 10 and value added tax. Adverse due to non-compliance with IPSAS 4, IPSAS 10, revenue, statutory obligation and property, plant and equipment	-	-
23	Norton Town Council	2024 2025	Qualified due to non-compliance with IPSAS 21 Accounts not submitted	2023 2024	Qualified due to IAS 16, IFRS 9 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 16, IAS 21, IAS 29, IFRS 9 Accounts not submitted	2021	Adverse due to non-compliance with IAS 21 and IAS 16 property, plant and equipment	2020	Adverse due to non-compliance with IAS 21 and property, plant and equipment valuation,
24	Plumtree Town Council	2024 2025	Qualified due to non-compliance with IPSAS 18 and IPSAS 21	2023	Adverse due to IPSAS 47, suspense, IPSAS 18, expenditure IPSAS 21 and	2022	Adverse due to non-compliance with IPSAS 9, suspense account, value added tax	2020	Adverse due to non-compliance with IPSAS 9, IPSAS 16	2019	Adverse due to non-compliance with IPSAS 4, receivables

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		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts submitted and audit in progress		property, plant and equipment. Accounts not yet submitted	2023	Accounts submitted and audit in progress	2021	Adverse due to non-compliance with IPSAS 9 revenue, suspense account		, suspense account, revenue stands sales, revenue completeness, occurrence and accuracy of system billed revenue.
25	Rusape Town Council	2023 2024 2025	Adverse due to incomplete record, IPSAS 4, IPSAS 17 and IPSAS 16 Accounts submitted and audit in progress Accounts not submitted	2022 2023 2024	Qualified due to non-compliance with IPSAS 10, IPSAS 16 and 17 Accounts not yet submitted Accounts not yet submitted	2021 2022 2023	Qualified due to non-compliance with IPASA 4, IPSAS 3, IPSAS 10, IPSAS 17 and IPSAS 16 Accounts submitted and audit in progress Accounts not submitted	-	-	2020	Qualified
26	Shurugwi Town Council	2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 16, unsupported expenditure, revenue and payables Accounts submitted and audit in progress	2023 2024	Adverse due to non-compliance with IPSAS 10, IPSAS 45, expenditure, employment costs Accounts not yet submitted	2022 2023	Adverse due to Non-compliance with IPSAS 10, IPSAS 9 and IPSAS 23 Revenue Accounts not submitted	2021	Adverse due to non-compliance with IPSAS 10, revenue, Land, payroll, expenditure, revenue, payroll and cash.	2020	Adverse due to non-compliance with IPSAS 10, revenue, payroll, expenditure, property, plant and equipment and cash

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
											and cash equivalents .
27	Zvishavane Town Council	2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 46, IPSAS 16, Payables, IPSAS 41, IPSAS 47, Payroll, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress	2023 2024	Adverse due to non-compliance with IPSAS 47, receivables, expenditure, payables, IPSAS 1 and IPSAS 18, IPSAS 45 Accounts not yet submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 9- Revenue from Exchange Transactions and IPSAS 23, Inventory, IPSAS 1, IPSAS 18 Accounts submitted and audit in progress	2020 2021	Adverse due to non-compliance with IPSAS 10, IPSAS 3 Adverse due to non-compliance with IPSAS 4, IPSAS 10, inventory, property, plant and equipment	-	-
	LOCAL BOARDS										
28	Chirundu Local Board	2023 2024 2025	Adverse due to non-compliance with IPSAS 4, IPSAS 45, IPSAS 26, IPSAS 41, IPSAS 47 and unsupported expenditure Accounts not submitted Accounts not submitted	2022 2023 2024	Qualified due to non-compliance with IPSAS 4, IPSAS 17 and revenue Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17 and IPSAS 29 Accounts submitted and audit in progress Accounts not submitted	-	-	2019	Adverse
29	Epworth Local Board	2023 2024	Adverse due to non-compliance with IPSAS 4, IPSAS 45, IPSAS 43 and IPSAS 41	2022 2023	Adverse due to non- compliance with IAS 21, IAS 29, IFRS 15, IAS 16 and IAS 20	2021 2022	Adverse due to non-compliance with IAS 21, IAS 29 and IAS 16	-	-	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2025	Accounts submitted and audit is in progress Accounts submitted and audit in progress	2024	Accounts not yet submitted Accounts not yet submitted	2023	Accounts submitted and audit in progress Accounts not submitted				
30	Hwange Local Board	2023 2024 2025	Adverse due to non-compliance with IPSAS 18, opening balances and unsupported expenditure Accounts submitted and audit in progress Accounts not submitted	2020 2021 2022 2023 2024	Adverse due to IPSAS 1, IPSAS 18, Suspense account, IPSAS 4, IPSAS 23 and IPSAS 17 Adverse due to non-compliance with IPSAS 1, IPSAS 18 and IPSAS 17 Adverse due to non-compliance with IPSAS 1, IPSAS 18 and IPSAS 17 Accounts not submitted Accounts not submitted	2019 2020 2021 2022 2023	Disclaimer due to non-compliance with IPSAS 4, IPSAS 10, cash and bank balances, expenditure, payables, property, plant and equipment, receivables and revenue. Accounts submitted and audit in progress Accounts not submitted Accounts not submitted Accounts not submitted	2017 2018	Disclaimer due to property, plant equipment, cash and cash, receivables, payables revenue and expenses Cash, receivable, Disclaimer due to property, plant equipment, cash and cash, inventory	-	-
31	Lupane Local Board	2024 2025	Qualified due to non-compliance with IPSAS 45, IPSAS 16 and IPSAS 21	2022	Qualified due to non-compliance with IPSAS 41 and IPSAS 17	2020	Disclaimer due to non-compliance with IPSAS 23, Revenue, Completeness of deferred income,	-	-	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts not submitted	2023 2024	Adverse due to non- compliance IPSAS 45, IPSAS 16, opening balances Accounts not submitted	 2021 2022 2023	impairment of receivables, Completeness and property, plant and equipment Disclaimer due to non-compliance with IPSAS 17 Completeness, accuracy and existence of payable receivables Accounts submitted and audit in progress Accounts not submitted				
32	Ruwa Local Board	2024 2025	Qualified due to non-compliance with IPSAS 41 and incomplete records Accounts submitted and audit in progress	2022 2023 2024	Qualified due to non-compliance with IPSAS 23, IPSAS 1 and IPSAS 18 Qualified due to non-compliance with IPSAS 23, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress	2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress	2021	Unmodified	-	-
	RURAL DISTRICT COUNCIL										

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
33	Beitbridge Rural District Council	2023 2024 2025	Adverse due to non-compliance with IAS 21, IAS 40, IFRS 9, IAS 16 Adverse due to non-compliance with IAS 21, IAS 40, IFRS 9, IAS 16 Accounts not submitted	2022 2023 2024	Adverse due to non-compliance with IAS 21, IAS 40, IFRS 9, IAS 16 Accounts not submitted Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, IAS 16, revenue and receivables and IFRS 9 Accounts not submitted Accounts not submitted	2020	Adverse due to non-compliance with IAS 21, IAS 16, asset register, revenue and receivables	-	-
34	Bikita Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 16, IPSAS 21 and IPSAS 41 Accounts submitted and audit in progress	2023 2024	Adverse due to non- compliance with IPSAS 10, IPSAS 41, IPSAS 21, IPSAS 45 and Hanyanya investment Accounts not submitted	2022 2023	Adverse due to IPSAS 10 Accounts not submitted	-	-	2020	Adverse
35	Bindura Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 45 and IPSAS 47 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 45 and IPSAS 47 revenue Accounts not submitted	2022 2023	Qualified due to non-compliance with IPSAS 17, IPSAS 9, IPSAS 23, IPSAS 12 Accounts not submitted	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment	2020	Adverse due to opening balances translated at an inappropriate exchange rate, valuation of property, plant and

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
											equipment and allowance for credit losses
36	Binga Rural District Council	2024 2025	Qualified due to IPSAS 47, Receivables and Cash and cash equivalents Accounts not submitted	2023 2024	Qualified due to non- compliance with IPSA 16 Property, plant and equipment Accounts not submitted	2022 2023	Qualified due to non-compliance with IAS 21, completeness of receivables Accounts not submitted	2021	Qualified due to non-compliance with IAS 21	2020	Adverse due to non-compliance with IAS 21 on opening balances and property, plant and equipment valuation.
37	Bubi	2024 2025	Qualified due to non-compliance with IPSAS 41 and opening balances Accounts submitted and audit in progress	2022 2023 2024	Adverse due to IPSAS 10, IPSAS 17, inventories, IPSAS 18 and IPSAS 29 Qualified due to IPSAS 17, and receivables Accounts not submitted	2020 2021 2022 2023	Adverse due to IPSAS 4, IPSAS 10, IPSAS 17 and IPSAS 12 Adverse due to IPSAS 4, IPSAS 10, IPSAS 17 and IPSA 12 inventory Accounts not submitted Accounts not submitted	2018 2019	Adverse due to IPSAS 4, expenditure, inventories, cash and cash equivalents, payables Adverse due to IPSAS 4, revenue from exchange transactions, expenditure, payable, payroll, revenue	-	-
38	Buhera Rural District Council	2025	Accounts submitted and audit in progress	2023 2024	Qualified due to IPSAS 23, IPSAS 41 and IPSAS 31.	2022	Qualified due to recognition of revenue, Non-compliance with IFRS 9, IAS 16	2021	Qualified due non-compliance with IAS 8 and IAS 21, IAS 29,	2020	Adverse due to non-compliance with IAS 21 on opening balances,

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					Qualified due to non- compliance with IPSAS 41, 21, 47 and 12	2023	Accounts submitted and audit in progress		property, plant and equipment		valuation of property, plant and equipment, cash and cash equivalents and unreconciled receivable balances.
39	Bulilima Rural District Council	2023 2024 2025	Qualified due to non-compliance with IPSAS 16, IPSAS 26, IPSAS 20 and opening balances Qualified due to IPSAS 12, IPSAS 47 and IPSAS 21 Accounts not submitted	2022 2023 2024	Qualified due to IFRS 9 and IAS 16 Accounts submitted audit in progress Accounts not submitted	2021 2022 2023	Adverse due to Non- compliance with IAS 21, IAS 16 and IAS 36 Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due non-compliance with IAS 41, IAS 8, IAS 21 and IAS 29	-	-
40	Chaminuka Rural District Council	2024 2025	Unmodified / Clean Accounts not yet submitted	2023 2024	Qualified due to IPSAS 45 Accounts submitted audit in progress	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 1 Accounts not submitted	2021	Adverse due to non-compliance with IPSAS 4 and IPSAS 17.	2020	Adverse
41	Chegutu Rural District Council	2024 2025	Unmodified / Clean Accounts submitted and audit in progress	2023 2024	Qualified due to IPSAS 45, IPSAS 41 Accounts not submitted			-	-	2020	Adverse

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
42	Chikomba Rural District Council	2024 2025	Qualified due non-compliance with IAS 40 and IFRS 9 Accounts not submitted	2023 2024	Qualified due to non- compliance with IAS 16, IAS 2 Accounts not submitted	2022 2023	Qualified due to non-Compliance with IAS 16 Accounts not submitted	2021	Adverse due non-compliance with IAS 8, IAS 21 and IAS 29	2020	Adverse
43	Chipinge Rural District Council	2024 2025	Accounts submitted and audit in progress Accounts submitted and audit in progress	2023 2024	Adverse due to IPSAS 4, IPSAS 45, IPSAS 16, IPSAS 47 and IPSAS 41 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 16. Accounts not submitted	2018 2019 2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue, net assets. Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue, unsupported amount in statement of net assets. Adverse due to non-compliance with IPSAS 4, IPSAS 17, IPSAS 12, revenue,	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
									unsupported amount in statement of net assets.		
44	Chimanimani Rural District Council	2024 2025	Qualified due to IPSAS 41 and IPSAS 45 Accounts submitted and audit in progress	2023 2024	Qualified due to IPSAS 45 and Allowance for credit losses Accounts not submitted	2022 2023	Adverse due to non-compliance with IAS 21, revenue Accounts not submitted	2021	Adverse due to non-compliance with IAS 21, IFRS 15, IAS 16, IAS 2, biological assets, inventories		
45	Chiredzi Rural District Council	2024 2025	Adverse due to non-compliance with IPSAS 41, IPSAS 1, IPSAS 18, IPSAS 3, IPSAS 21 and IPSAS 4 Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non-compliance with IPSAS 4, IPSAS 10 and property, plant and equipment Adverse due to non-compliance with IPSAS 4, IPSAS 10 and property, plant and equipment, IPSAS 23 Accounts submitted and audit in progress	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, land and buildings and IPSAS 29 financial instrument Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and IPSAS 41	-	-
46	Chirumanzu Rural District Council	2023 2024	Qualified due to non-compliance with IAS 16, IFRS 9, IAS 2 Qualified opinion due to non-	2021	Adverse due to non- compliance with IAS 21, IAS 29, IAS 16, IAS 10, IFRS 9	2021 2022	Accounts submitted and audit in progress Accounts not submitted	2020	Qualified due non-compliance with IAS 8 and IAS 21, property, plant	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			compliance with IPSAS 16, IAS 12 and IPSAS Accounts not submitted	2022 2023 2024	Qualified due to non-compliance with IAS 16, IAS 36 and IFRS 9 Accounts submitted and audit in progress Accounts not submitted	2023	Accounts not submitted		and equipment, impairment		
47	Chivi Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 21 Accounts not submitted	2023 2024	Qualified due to non- compliance with IFRS 9 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, Property, Plant and Equipment, Revenue, IFRS 9 Financial Instruments Accounts not submited	-	-	-	-
48	Gokwe North District Council	2024 2025	Qualified due to non-compliance IPSAS 45 and incompleteness of revenue Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IAS 16 and completeness of revenue Accounts submitted and audit in progress	2022 2023	Adverse due to IAs 21, IAS 16, incompleteness of revenue Accounts not submitted	2021	Qualified due to non-compliance with IAS 21, receivables and IAS 16	2020	Adverse
49	Gokwe South District Council	2024	Qualified due to non-compliance with IPSAS 12 and IPSAS 41	2023	Adverse due to non-compliance with IPSAS 45, IPSAS 41,	2022	Adverse due to non-compliance with IAS 21, IAS 8, IAS 16, IFRS 9	2021	Adverse due non-compliance with IAS 8, IAS 21, IAS 16, IAS	2020	Qualified

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2025	Accounts submitted and audit in progress	2024	IPSAS 16 and IPSAS 18 Accounts submitted and audit in progress	2023	Accounts not submitted		36, IAS 29 and IFRS 9		
50	Goromonzi Rural District Council	2024 2025	Unmodified Accounts submitted and audit in progress	2023 2024	Unmodified Accounts submitted and audit in progress	2022 2023	Unmodified Accounts submitted and audit in progress	2021	Qualified due to non-compliance with IPSAS 17	2020	Adverse due to non-compliance with IAS 16 and IAS 21
51	Guruve Rural District Council	2023 2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 21, IPSAS 47, IPSAS 12, IPSAS 41 and Leases Accounts submitted and audit in progress Accounts not submitted	2022 2023 2024	Adverse due to non- compliance with IAS 16, IFRS 8, IFRS 15 and IAS 37 Accounts submitted and audit in progress Accounts not submitted	2020 2021 2023	Adverse due to non-compliance with IAS 21, IAS 8, IAS 29 and IFRS 13 Qualified due to non-compliance with IAS 16, IAS 36 and IFRS 9 Accounts not submitted			-	-
52	Gutu Rural District Council	2024 2025	Accounts submitted and audit in progress Accounts not submitted	2023 2024	Qualified due to non-compliance with IPSAS 4, IPSAS 45, IPSAS 12 and IPSAS 41 Accounts not submitted	2022	Qualified due to IPSAS 4, IPSAS 17 Property, Plant and Equipment, IPSAS 12 IPSAS 23, IPSAS 41 - "Financial Instruments, IPSAS 10	-	-	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
						2023	Accounts not submitted				
53	Gwanda Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 21 Accounts not submitted	2022 2023 2024	Qualified due to IAS 16, IAS 36, IFRS 9 and IAS 29 Adverse due to non-compliance with IPSAS 16, Value Added Tax, receivables, Payroll and Investment property Accounts not submitted	2021 2022 2023	Qualified due to non-compliance with IPSAS 4 and IPSAS 17 Accounts submitted and audit in progress Accounts not submitted	-	-	-	-
54	Hurungwe Rural District Council	2023 2024 2025	Qualified due to non-compliance with IPSAS 45, IPSAS 21, IPSAS 16 Accounts submitted and audit in progress Accounts submitted and audit in progress	2023 2024	Accounts submitted and audit in progress Accounts not submitted	2022 2023	Qualified due to non-compliance with IPSAS 21-Impairment, IPSAS 12 Inventories Accounts not submitted	-	-	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17 and IPSAS 27 biological assets valuation
55	Hwange Rural District Council	2021	Disclaimer due to non-compliance with IPSAS 10, Receivables, Income, Expenditure and Journal entries.	2019	Disclaimer due to IPSAS 10, revenue, expenditure, Cash, expenditure,	2019 2020	Accounts submitted and audit in progress	2017	Qualified due to non-compliance with IPSAS 17, payables, expenses.	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2022 2023 2024 2025	Disclaimer due to IPSAS 10, Receivables, Income, Expenditure, Journal Disclaimer due to IPSAS 10, Receivables, Income, Expenditure, Journal Qualified due to IPSAS 45, IPSAS 16, IPSAS 21, and IPSAS 18 Accounts submitted and audit in progress	2020 2021 2022 2023 2024	Receivables, payables Disclaimer due to non-compliance with revenue, expenditure, cash, capital expenditure, receivables, payables Accounts submitted and audit in progress Accounts submitted and Audit in progress Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023	Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2018	Adverse due to non-compliance with IPSAS 17, cash and bank, revenue, payables, expenditure		
56	Hwedza Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 47 and IPSAS 12 Accounts submitted and audit in progress	2023 2024	Qualified due to IAS 21, IAS 16 and IFRS 9 Accounts submitted and audit in progress	2022 2023	Qualified due to non-compliance with IAS 21 Accounts not submitted	2021	Qualified due to non-compliance with IAS 21 effects of changes in foreign exchange rates.	-	-
57	Insiza Rural District Council	2024	Qualified due to beer levy revenue,	2022	Qualified due to non- compliance	2020	Adverse due to non-compliance	2019	Adverse due to non-	2020	Qualified opinion

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			IPSAS 41, impairment and leave days Accounts submitted and audit in progress		with IPSAS 16, IPSAS 41, IPSAS 40, IPSAS 9 and IPSAS 8 Qualified due to non- compliance with IPSAS 16, IPSAS 41, IPSAS 40, IPSAS 9 and IPSAS 8 Accounts not submitted		with IAS 21, IAS 8 and property, plant and equipment Qualified due to non-compliance with IAS 21, IAS 8, opening balances Accounts submitted and audit in progress Accounts not submitted		compliance with IAS 21, IAS 16, IFRS 16, biological assets and intangible assets		
58	Kusile Rural District Council	2024 2025	Adverse due to suspense, IPSAS 18, IPSAS 41, IPSAS 20 and IPSAS 24 Accounts not submitted	2020 2021 2022	Disclaimer due to IPSAS 4, IPSAS 10, IPSAS 17, Payables, Cash and cash, IPSAS 23, Unsupported expenditure and inventories Adverse due to IPSAS 17, Suspense Account balance, Receivables, IPSAS 10, IPSAS 29 and IPSAS 20 Adverse due to IPSAS 17, Suspense account,	2019 2020 2021 2022 2023	Disclaimer due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 10, payables, revenue, cash and bank, receivables, employment cost and inventories Accounts not submitted Accounts not submitted Accounts not submitted Accounts not submitted	2018	Disclaimer due to non-compliance with IPSAS 4, IPSAS 17, revenue from non-exchange transactions, cash and cash equivalents, receivables, inventories, unsupported payables and expenditure	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					receivables, IPSAS 10 and IPSAS 29 Adverse due to IPSAS 45, Suspense account, Receivables, IPSAS 10, IPSAS 41, IPSAS 20 Accounts submitted and audit in progress						
59	Makonde Rural District Council	2023 2024 2025	Disclaimer of opinion due to non-compliance with IPSAS 4, Incomplete records Adverse due to non-compliance with IPSAS 4, IPSS 19, IPSAS 17, IPSS 41 and incomplete records Accounts submitted and audit in progress	2021 2022 2023 2024	Qualified due to non-compliance with IPSAS 17 and IPSAS 10 Qualified due to non-compliance with IPSAS 17 and IPSAS 10 Accounts submitted and audit in progress Accounts not submitted	2020 2021 2022 2023	Disclaimer due to opening balances, IPSAS 10, IPSAS 3. Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	-	-	2016 2017	Disclaimer due to non-compliance with IPSAS 17, unsupported payables, revenue expenditure, cash and bank receivables, inventory, employment costs and segment reporting Disclaimer due to non-compliance with IPSAS

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
											17, unsupported payables, revenue expenditure, cash and bank receivables, inventory, employment costs
60	Makoni Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 1 and IPSAS 18 Unmodified/ clean	2023 2024	Qualified due to non-compliance with IAS 16 and IAS 2 Accounts submitted and audit in progress	2022 2023	Qualified due to non-compliance with IAS 16 Accounts not submitted	2021	Adverse due to non-compliance with IAS 21 and IAS 29	-	-
61	Mangwe Rural District Council	2023 2024 2025	Qualified due to non-compliance IPSAS 19 and IPSAS 41 Accounts submitted and audit in progress Accounts not submitted	2021 2022 2023 2024	Qualified due to non- compliance with IPSAS 23, IPSAS 17, IPSAS 29. Qualified due to IPSAS 29, IPSAS 1 and IPSAS 23 Accounts submitted and audit in progress Accounts not submitted	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, IAS 29, IFRS 9, IFRS 13, IAS 40 Accounts submitted and audit in progress Accounts submitted and audit in progress Accounts not submitted	2019	Adverse due to non-compliance with IAS 8, IAS 21, IAS 29, property, plant and equipment, IAS 40, IFRS 9 and IAS 41	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
62	Manyame Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IAS 21 and IAS 16 Accounts not yet submitted	2022 2023	Adverse due to non-compliance with IAS 21, IAS 29, IAS 16 Accounts not submitted	2021	Qualified due to non-compliance with IAS 21	-	-
63	Marondera Rural District Council	2024 2025	Unmodified/ Clean Qualified due to non-compliance with IPSAS 1 and IPSAS 18	2023 2024	Unmodified Accounts not submitted	2022 2023	Unmodified Accounts not submitted	2021	Qualified due to non-compliance with IPSAS 17 property, plant and equipment	2020	Qualified due to non-compliance with IAS 21
64	Masvingo Rural District Council	2024 2025	Qualified due to non-compliance with IFRS 9 Accounts submitted and audit in progress	2023 2024	Qualified due to IAS 21, mining levy, IFRS 9, Valuation of assets, IAS 16, IAS 40 Accounts submitted and audit in progress	2022 2023	Adverse due to non-compliance with IAS 21, IAS 29, revenue and trade receivables, IFRS 9, IAS 20, valuation of property, plant and equipment, revaluation of land and buildings, depreciation of buildings Accounts submitted audit in progress	-	-	2020	Adverse due to non-compliance with IPSAS 4, prior period adjustments and unexplained balances on cashflows
65	Matobo Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 45 and IPSAS 21	2023	Adverse due to non-compliance with IPSAS 17, IPSAS 16, receivables and payables	2022 2023	Adverse due to non-compliance with IPSAS 4 Accounts submitted audit in progress	2021	Adverse due to non-compliance with IPSAS 4 and IPSAS 17	2020	Adverse due to non-compliance with IAS 21, valuation of property,

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts submitted and audit in progress	2024	Accounts not submitted				property, plant and equipment		plant and equipment, depreciation and inventory
66	Mazowe Rural District Council	2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 41, IPSAS 12 and IPSAS 16 Accounts not submitted	2023 2024	Adverse due to non- compliance with IPSAS 17, IPSAS 29, IPSAS 21, IPSAS 12 and opening balance Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 17 and revenue Accounts not submitted	2020 2021	Adverse due to non-compliance with IAS 21, IAS 16, revenue, stands and unreconciled inter fund balances. Disclaimer due to non-compliance with IPSAS 16, revenue, stand register	2018 2019 2020	Adverse due to non-compliance with IPSAS 4, investment property and suspense account. Adverse due to non-compliance with IPSAS 4 on opening balances Adverse due to non-compliance with IPSAS 4 Effects of foreign exchange rates.
67	Mberengwa Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 45 and IPSAS 16 Accounts not submitted	2022 2023	Qualified due to non-compliance with IPSAS 17 and IPSAS 41	2021 2022	Adverse due to prior year balances, revenue, receivables Accounts not submitted	-	-	-	-

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	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					Qualified due to non- compliance with IPSAS 45, IPSAS 41 valuation of receivables Accounts not submitted	2023	Accounts not submitted				
68	Mbire Rural District Council	2024 2025	Accounts submitted and audit in progress Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IFRS 9, IFRS 15, Valued Added Tax and unsupported journal Accounts not submitted	2021 2022 2023	Qualified due to non-compliance in IFRS 9, unsupported journal entries. Qualified due to non-compliance with IAS 21, IFRS 9, Billing and IFRS 15 Accounts not submitted	2019 2020	Adverse due incomplete records following system crash, non-compliance with IAS 8, IAS 16, IAS 29 Qualified due non-compliance with IAS 21, IAS 8, IFRS 9, lease income	2020	Adverse
69	Mhondoro-Ngezi Rural District Council	2023 2024 2025	Adverse due to non-compliance with IPSAS 45, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non-compliance with IPSAS17, IPSAS12, IPSAS 27, Expenditure, IPSAS 9, IPSAS 1 and IPSAS 18 Accounts submitted and audit in progress Accounts not yet submitted	2020 2021	Adverse due to IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 12, IPSAS 27, expenditure and revenue Adverse due to IPSAS 4, IPSAS 17, IPSAS 12, IPSAS 27 and Expenditure, Revenue, Cash	-	-	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
						2022 2023	Accounts submitted and audit in progress Accounts not submitted				
70	Mudzi Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 4 and IPSAS 3 Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non- compliance with IAS 16, IAS 36, IAS 40, IFRS 9, IFRS 8 and IFRS 29 Adverse due to non-compliance with IPSAS 41, IPSAS 18, IPSAS 10, IPSAS 45 and open balances Accounts not yet submitted	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 8, IFRS 9, property, plant and equipment and payables Adverse due to non-compliance with IAS 16, IFRS 9, receivables and payables, IAS 36 Adverse due to non-compliance with IAS 16, IFRS 9, receivables and payables, IAS 36 Accounts submitted and audit in progress Accounts not submitted	-	-	2019	Adverse due to non-compliance with IPSAS 4 Effects of foreign exchange rates, property, plant and equipment, land stock and Agriculture
71	Murewa Rural District Council	2024 2025	Qualified due non-compliance with IPSAS 45, IPSAS 1 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with billboards revenue Accounts not yet submitted	2022 2023	Qualified due to IPSAS 17, Conceptual framework, IPSAS 35, IPSAS 16	2021	Qualified due to non-compliance with IPSAS 17	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
							Accounts not submitted				
72	Mutare Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 3, IPSAS 45, IPSAS 17 and IPSAS 41 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 12, IPSAS 17, IPSAS 16, IPSAS 31 and IPSAS 41 Accounts submitted and audit in progress	2022 2023	Qualified due to non-compliance with IPSAS 9, IPSAS 17, IPSAS 31, IPSAS 29 Accounts submitted and audit in progress	2020	Adverse due non-compliance with IPSAS 3, IPSAS 4, IPSAS 10, IPSAS 13, IPSAS 17 and IPSAS 23	2020	Adverse
73	Mutasa Rural District Council	2024 2025	Qualified due to non-compliance with IPSS 47, interfund balances and unallocated receipts Accounts submitted and audit in progress	2023 2024	Adverse due to unallocated receipts, IPSAS 4, IPSAS 41 and payroll Accounts not submitted	2022 2023	Adverse due to unallocated receipts, non-compliance with IAS 16, IFRS 9, cash and cash Accounts submitted and audit in progress	2020 2021	Adverse due non-compliance with IAS 21, IAS 16, IAS 29 and IFRS 9 Disclaimer due unverified year end journals, foreign currency receipts, non-compliance with IAS 16, IFRS 13, cash and cash equivalent allowances for credit losses	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 13 Leases, IPSAS 17, unallocated receipts, unverified beer levy, cash and cash and eco-cash
74	Mutoko Rural District Council	2024 2025	Qualified 47, IPSAS 45	2023	Qualified due to non-compliance with IAS 2, conceptual framework	2022	Adverse opinion due to non-compliance with IAS 21, inventories and beer levy	-	-	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts not submitted	2024	Accounts not submitted	2023	Accounts submitted and audit in progress				
75	Muzarabani Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 45 Accounts not submitted	2023 2024	Qualified due to non- compliance with IPSAS 45, IPSAS 12 Accounts submitted and audit in progress	2021 2022 2023	Adverse due to non-compliance with IPSAS 4, stand re-possessions. Qualified due to IPSAS 4 and IPSAS 10 Qualified due to IPSAS 4 and IPSAS 10 Accounts not submitted	-	-	-	-
76	Mwenezi Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 41, IPSAS 12, IPSAS 21, IPSAS 45, IPSAS 1 Accounts submitted and audit in progress	2021 2022 2023	Adverse due to non- compliance with IPSAS 4, IPSAS 3, IPSAS 17, IPSAS 9 and IPSAS12 Adverse due to non-compliance with IPSAS 17, IPSAS 9 and IPSAS 23, IPSAS 29 and Payables Qualified due to non-compliance with IPSAS 45, IPSAS 41	2020 2021 2022	Adverse due to on-compliance with IPSAS 4, Receivables, Donations, Payables, Non-exchange receivables, Inventories, Cash and cash equivalents Accounts submitted and audit in progress Accounts not submitted	-	-	2019	Adverse due to non-compliance with IPSAS 4, opening balances

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
				2024	Accounts submitted and audit in progress	2023	Accounts not submitted				
77	Nkayi Rural District Council	2024 2025	Qualified due non-compliance with IPSAS 45, IPSAS 16 and segment report Accounts not submitted	2023 2024	Adverse due to completeness of revenue, IAS 16 Accounts not yet submitted	2022 2023	Qualified due to completeness of revenue Accounts not submitted	2021	Adverse due to IAS 21, IFRS 13, IAS 16	2019	Adverse due to non-compliance with IPSAS 4, stand sales revenue and mobile money balance.
78	Nyaminyami Rural District Council	2024 2025	Adverse due non-compliance with IPSAS 45, employment cost, IPSAS 21 and IPSAS 12, IPSAS 18 and receivables Accounts submitted and audit in progress	2021 2022 2023	Adverse due to non-compliance with IPSAS 10, IPSAS17, IPSAS 21, IPSAS 16, Accumulated fund and IPSAS18 Adverse due to non-compliance with IPSAS17, IPSAS 23, unreconciled inter fund, unsupported expenditure and IPSAS 18. Adverse due to IPSAS 17, IPSAS 23, Inter-funds, Unsupported expenditure and	2020 2021 2022 2023	Disclaimer due to non-compliance to IPSAS 4, IPSAS 3, IPSAS 10, adjustments in the statement of changes in equity, IPSAS 17, inventory, revenue, expenditure not supported, compensation of employees, provision and contingencies Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2016 2017 2018	Adverse due to non-compliance with IPSAS 17, land stock, employment cost, revenue, payables, expenditure, and IPSAS 9 Adverse due to non-compliance with IPSAS 17, land stock and inventory employment cost, revenue, payables, expenditure Disclaimer due to non-compliance with IPSAS 4	2015	Qualified due to non-compliance with IPSAS 4 Effects of foreign exchange rates and property, plant and equipment

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
				2024	IPSAS 18 and Inventories Accounts not yet submitted			2019	IPSAS 17, IPSAS 9, land stock and inventory, employment costs, revenue, payables and cash Disclaimer due to non-compliance with IPSAS 4, IPSAS 10, net assets, IPSAS 17, IPSAS 9, land stock inventory, employment benefits, payables, receivables, expenditure, cash segment reporting		
79	Nyanga Rural District Council	2023 2024 2025	Qualified due to non-compliance with IPSAS 45, IPSAS 3, IPSAS 41, IPSAS 12 and donation Accounts not submitted Accounts not submitted	2022 2023 2024	Qualified due to IPSAS 17, conceptual framework, beer levy, foreign exchange gains, inter-funds and IPSAS 29. Accounts submitted and audit in progress	2021 2022 2023	Adverse with non-compliance with IPSAS 17, IPSAS 23, Inter-funds, 12 Inventories Accounts submitted and audit in progress Accounts not submitted	2019 2020	Adverse due to non-compliance with IPSAS 4, IPSAS 17, inventories, revenue and inter funds. Adverse due to non-compliance with IPSAS 4, IPSAS 17,	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					Accounts not submitted				inventories, revenue from mining claims and inter funds.		
80	Pfura Rural District Council	2022 2023 2024 2025	Adverse due to non-compliance with IPSAS 17, IPSAS 29, inventories and IPSAS 23 Qualified due to non-compliance with IPSAS 45, IPSAS 21 and IPSAS 16 Accounts submitted and audit in progress Accounts not submitted	2022 2023 2024	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with IPSAS 29, IPSAS 4, IPSAS 17, IPSAS 21 Accounts submitted and audit in progress Accounts not submitted	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 12 and IPSAS 17	-	-
81	Runde Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 12 and IPSAS 45 Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IAS 16, IAS 2 and revenue Accounts submitted and audit in progress	2022 2023	Adverse due to Stands inventory and incompleteness of revenue Accounts not submitted	-	-	2019	Adverse
82	Rushinga Rural District Council	2024 2025	Accounts not submitted Accounts not submitted	2023	Adverse due to non-compliance with IPSAS 33, IPSAS 41 and IPSAS 12	2022	Qualified due to non-compliance with IAS 37 Provisions, Contingent Liabilities and	2020	Adverse due to non-compliance with IAS 21, IAS 29, IAS 16, receivables,	2020	Adverse due to valuation of property, plant and equipment,

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
				2024	Accounts not submitted		Contingent Assets and IAS 1 Presentation of Financial Statement, IAS 16 Property, Plant and Equipment Accounts not submitted		IFRS 9, revenue, opening balances. Qualified due to non-compliance with IAS 16, unverified journal entries, IFRS 9		unsupported transactions, non-compliance with IPSAS 29 and IPSAS 21.
83	Sanyati Rural District Council	2024 2025	Unmodified Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 45, IPSAS 21 and IPSAS 41 Accounts submitted and audit in progress	2022 2023	Qualified Opinion due to non-compliance with IPSAS 17 Property, Plant and Equipment and IPSAS 21 Impairment of Non-Cash Generating Assets, IPSAS 1and IPSAS 18 Segment Reporting Accounts not submitted	2020 2021	Adverse due to non-compliance with IPSAS 4 and IPSAS 17 Qualified due to non-compliance with IPSAS 17	2019	Adverse due to non-compliance with IPSAS 4 Effects of foreign exchange rates.
84	Tongogara Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 18, IPSAS 21 Accounts submitted and audit in progress	2022 2023	Qualified opinion due to non-compliance with IPSAS 26, IPSAS 16. Qualified opinion due to non-compliance with IPSAS 17, accumulated	2021 2022	Qualified due to non-compliance with IPSAS 4, unsupported expenditure, unsubstantiated receivables Accounts not submitted	2020	Qualified due to non-compliance with IPSAS 4 and unsupported expenditure.	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
					fund, IPSAS 18 and IPSAS 26 2024 Accounts not submitted	2023	Accounts not submitted				
85	Tsholotsho Rural District Council	2024 2025	Unmodified/ Clean Accounts submitted and audit in progress	2021 2022 2023 2024	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash Adverse due to non- compliance with IFRS 15, cash on hand, IAS 21, IFRS 16, IAS 40, IFRS 9 Qualified due to non-compliance with IFRS 9 Accounts submitted and audit in progress	2020 2021 2022 2023	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash Accounts submitted audit in progress Accounts not submitted Accounts not submitted	2019	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IFRS 9 and cash on hand	-	-
86	Umguza Rural District Council	2023 2024	Adverse due to non-compliance with IPSAS 4, IPSAS 45, IPSS 16, IPSAS 12 and IPSAS 41 Adverse due to non-compliance with IPSAS 45, IPSAS 16, IPSAS 12, IPSAS 41, receivables.	2021 2022	Adverse due to IPSAS 10, IPSAS 4, IPSAS 17, IPSAS 16, Temporary deposits, IPSAS 29 and IPSAS 12 Adverse due to IPSAS 4, IPSAS 17, IPSAS 16, IPSAS 12 and IPSAS 29	2020	Adverse due to non-compliance with IPSAS 4, IPSAS 10, property, plant and equipment, beer levy, stand sales, lease income inventory, payroll, expenditure not supported and cash and bank	2019	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 17, unsupported expenditure and revenue.	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
		2025	Accounts submitted and audit in progress	2023 2024	Accounts submitted and audit in progress Accounts submitted and audit in progress	2021 2022 2023	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted				
87	UMP (Zvataida) Rural District Council	2024 2025	Adverse due to non-compliance with IPSAS 17, Receivables, IPSAS 9 Accounts not submitted	2023 2024	Adverse due to non-compliance with IAS 21, IFRS 9 IAS 16 Accounts not yet submitted	2022	Qualified due to non-compliance with IAS 21, IAS 8, IAS 16	2021	Adverse	-	-
88	Umzingwane Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 41, IPSAS 4 and bank balance Accounts submitted and audit in progress	2022 2023 2024	Adverse due to non-compliance with IPSAS 29 and IPSAS 16 Adverse due to non-compliance with IPSAS 4, 12 and 41 Accounts not submitted	2021	Adverse due to non- compliance with International Accounting Standard (IAS) 29 – "Financial Reporting in Hyperinflationary Economies"	2020	Adverse	-	-
89	Vungu Rural District Council	2023 2024 2025	Adverse due to non-compliance with IAS 21, IAS 16, IAS 40, IAS 2, IFRS 9 Adverse due to non-compliance with IAS 21, IAS 16, IAS 9 IAS 1 and IFRS 8	2020 2021	Adverse due to non-compliance with IAS 21, IAS 16, revenue and receivables and Payables Adverse due to valuation of Property, plant	2020 2021 2022 2023	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted	-	-	-	-

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts submitted and audit in progress	2022 2023 2024	and equipment, IAS 2 and IFRS 9 Adverse due to non-compliance with IAS 21, IAS 40, IAS 16, IAS 2, IFRS 15 and IFRS 9 Accounts submitted and audit in progress Accounts not submitted		Accounts not submitted				
90	Zaka Rural District Council	2023 2024 2025	Qualified due to non-compliance with IPSAS 41, IPSAS 45, IPSAS 12 Qualified due to non-compliance with IPSAS 31 and IPSAS 45 Accounts submitted and audit in progress	2022 2023 2024	Adverse due to IPSAS 4, IPSAS 17 and IPSAS 12 Accounts not submitted Accounts not submitted	2021 2022 2023	Adverse due to non-compliance with International Public Sector Accounting Standard IPSAS 4 and IPSAS 17 "Property, Plant and Equipment" Accounts not submitted Accounts not submitted	-	-	-	-
91	Zibagwe Rural District Council	2024 2025	Qualified due to non-compliance with IPSAS 41, IPSAS 21 and IPSAS 4	2021 2022	Qualified due to non-compliance with IPSAS 9, IPSAS 16 and IPSAS 41	2020 2021	Qualified due to non-compliance with IPSAS 3 Qualified due to revenue from beer levy	-	-	2018 2019	Adverse due to non-compliance with IPSAS 4

ANNEXURE "A": LOCAL AUTHORITIES AUDIT OPINIONS PER ENTITY											
	LOCAL AUTHORITY	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**	**FY**	**Opinion issued**
		2025 AG Report		2024 AG Report		2023 AG Report		2022 AG Report		2021 AG Report	
			Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 9, IPSAS 16 and IPSAS 41 Qualified due to non-compliance with IPSAS 21 and IPSAS 41 Accounts submitted audit in progress	2022 2023	Accounts submitted and audit in progress Accounts not submitted Accounts not submitted			2020	Adverse due to non-compliance with IPSAS 4 Adverse due to non-compliance with IPSAS 4
92	Zvimba Rural District Council	2024 2025	Unmodified / Clean Accounts submitted and audit in progress	2023 2024	Qualified due to non-compliance with IPSAS 45, IPSAS 16 and IPSAS 12 Accounts not submitted	2022 2023	Adverse due to non-compliance with IPSAS 4, IPSAS 10, IPSAS 29 Financial instruments, Incomplete asset register, Beer Levy, Donations Accounts not submitted	2021	Adverse	-	-

ANNEXURE "B" AUDITS IN PROGRESS AND BEING FINALISED

	ANNEXURE "B" AUDITS IN PROGRESS AND BEING FINALISED		
	LOCAL AUTHORITY	**YEAR**	**STAGE IN AUDIT**
	CITY COUNCILS		
1	Harare City Council	2024 and 2025	2024 and 2025 Planning
2	Kwekwe City Council	2024 and 2025	2024 and 2025 Planning
3	Masvingo City Council	2025	Assurance
4	Mutare City Council	2025	Assurance
5	Victoria Falls City Council	2025	Planning
	MUNICIPALITIES		
6	Beitbridge Municipality	2022	Conclusion and reporting
7	Bindura Municipality	2024 and 2025	2024 Conclusion and reporting and 2025 Planning
8	Chegutu Municipality	2025	Planning
9	Chinhoyi Municipality	2024 and 2025	2024 Conclusion and reporting and 2025 Planning
10	Chitungwiza Municipality	2024	Planning
11	Kariba Municipality	2025	Planning
12	Marondera Municipality	2025	Assurance
13	Redcliff Municipality	2024 and 2025	2024 Conclusion and reporting and 2025 Planning
	TOWN COUNCILS		
14	Chipinge Town Council	2025	Planning
15	Chiredzi Town Council	2025	Planning
16	Karoi Town Council	2023 and 2024	Conclusion and reporting
17	Gokwe Town Council	2024	Planning
18	Rusape Town Council	2024	Conclusion and reporting
19	Shurugwi Town Council	2025	Planning
20	Plumtree Town Council	2025	Planning
21	Zvishavane Town Council	2025	Assurance
	LOCAL BOARDS		
22	Epworth Local Board	2024 and 2025	2024 Conclusion and Reporting 2025 Planning
23	Hwange Local Board	2024	Planning
24	Ruwa Local Board	2025	Conclusion and reporting
	RURAL DISTRICT COUNCIL		
25	Bikita Rural District Council	2025	Planning
26	Bindura Rural District Council	2025	Planning
27	Bubi Rural District Council	2025	Assurance
28	Buhera Rural District Council	2025	Conclusion and reporting
29	Chegutu Rural District Council	2025	Conclusion and reporting
30	Chimanimani Rural District Council	2025	Planning
31	Chipinge Rural District Council	2024 and 2025	Planning
32	Chiredzi Rural District Council	2025	Planning
33	Chivi Rural District Council	2025	Conclusion and reporting

	ANNEXURE "B" AUDITS IN PROGRESS AND BEING FINALISED		
	LOCAL AUTHORITY	**YEAR**	**STAGE IN AUDIT**
34	Gokwe North Rural District Council	2025	Conclusion and reporting
35	Gokwe South Rural District Council	2025	Conclusion and reporting
36	Goromonzi Rural District Council	2025	Conclusion and reporting
37	Guruve Rural District Council	2024	Conclusion and reporting
38	Gutu Rural District Council	2024	Planning
39	Hurungwe Rural District Council	2024 and 2025	2024 and 2025 Conclusion and reporting
40	Hwange Rural District Council	2025	Planning
41	Hwedza Rural District Council	2025	Planning
42	Insiza Rural District Council	2025	Conclusion and reporting
43	Makonde Rural District Council	2025	Conclusion and reporting
44	Mangwe Rural District Council	2024	Conclusion and reporting
45	Manyame Rural District Council	2025	Planning
46	Marondera Rural District Council	2025	Conclusion and reporting
47	Masvingo Rural District Council	2025	Planning
48	Matobo Rural District Council	2025	Planning
49	Mbire Rural District Council	2024 and 2025	2024 Conclusion and reporting and 2025 Planning
50	Mhondoro-Ngezi Rural District Council	2024 and 2025	Conclusion and reporting
51	Mudzi Rural District Council	2025	Planning
52	Murewa Rural District Council	2025	Conclusion and reporting
53	Mutare Rural District Council	2025	Conclusion and reporting
54	Mutasa Rural District Council	2025	Conclusion and reporting
55	Mwenezi Rural District Council	2025	Planning
56	Nyaminyami Rural District Council	2025	Planning
57	Pfura Rural District Council	2024	Conclusion and reporting
58	Runde Rural District Council	2025	Conclusion and reporting
59	Sanyati Rural District Council	2025	Conclusion and reporting
60	Tongogara Rural District Council	2025	Conclusion and reporting
61	Tsholotsho Rural District Council	2025	Planning
62	Umguza Rural District Council	2025	Assurance
63	Umzingwane Rural District Council	2025	Conclusion and reporting
64	Vungu Rural District Council	2025	Conclusion and reporting
65	Zaka Rural District Council	2025	Planning
66	Zibagwe Rural District Council	2025	Planning
67	Zvimba Rural District Council	2025	Planning

ANNEXURE "C" AUDITS AT SIGNING STAGE

	LOCAL AUTHORITY	At signing
	CITY COUNCILS	
1	Bulawayo City Council	2023
2	Harare City Council	2022 and 2023
	MUNICIPALITY	
3	Chitungwiza Municipality	2023
4	Gweru City	2024
	RURAL DISTRICT COUNCIL	
5	Beit-Bridge Rural District Council	2023 and 2024
6	UMP Zvataida Rural District Council	2024

ANNEXURE "D" ACCOUNTS NOT SUBMITTED FOR AUDIT AS AT MAY 31, 2025

	ACCOUNTS NOT YET SUBMITTED FOR AUDIT AS AT MAY 31, 2025	
	LOCAL AUTHORITY	**YEAR**
	CITY COUNCILS	
1	Bulawayo City Council	2025 and 2024
2	Gweru City Council	2025
3	Kadoma City Council	2025 and 2024
	MUNICIPALITIES	
4	Beitbridge Municipality	2025, 2024 and 2023
5	Chitungwiza Municipality	2025
6	Gwanda Municipality	2025
	TOWN COUNCILS	
7	Gokwe Town Council	2025
8	Karoi Town Council	2025
9	Mvurwi Town Council	2025
10	Rusape Town Council	2025
11	Norton Town Council	2025
	LOCAL BOARDS	
12	Chirundu Local Board	2025 and 2024
13	Hwange Local Board	2025
14	Lupane Local Board	2025
	RURAL DISTRICT COUNCIL	
15	Beitbridge Rural District Council	2025
16	Binga Rural District Council	2025
17	Bulilima Rural District Council	2025
18	Chaminuka Rural District Council	2025
19	Chikomba Rural District Council	2025
20	Chirumanzi Rural District Council	2025
21	Guruve Rural District Council	2025
22	Gutu Rural District Council	2025
23	Gwanda Rural District Council	2025
24	Kusile Rural District Council	2025
25	Mangwe Rural District Council	2025
26	Mazowe Rural District Council	2025
27	Mberengwa Rural District Council	2025
28	Mutoko Rural District Council	2025
29	Muzarabani Rural District Council	2025
30	Nkayi Rural District Council	2025
31	Nyanga Rural District Council	2025 and 2024
32	Pfura Rural District Council	2025
33	Rushinga Rural District Council	2025 and 2024
34	UMP (Zvataida) Rural District Council	2025

ANNEXURE "E" SUBMISSION OF FINANCIAL STATEMENTS STATUS OF LOCAL AUTHORITIES 2018-2025

Key

√ - The financial statements have been submitted, and the entity is up to date.

× - The financial statements have not been submitted, and the entity is in arrears for the years indicated in Annexure D

	SUBMISSION OF FINANCIAL STATEMENTS STATUS FOR THE YEAR ENDED DECEMBER 31,								
	LOCAL AUTHORITY	**2025**	**2024**	**2023**	**2022**	**2021**	**2020**	**2019**	**2018**
	CITY COUNCILS								
1	Bulawayo City Council	×	×	√	√	√	√	√	√
2	Harare City Council	√	√	√	√	√	√	√	√
3	Gweru City Council	×	√	√	√	√	√	√	√
4	Kadoma City Council	×	×	√	√	√	√	√	√
5	Kwekwe City Council	√	√	√	√	√	√	√	√
6	Masvingo City Council	√	√	√	√	√	√	√	√
7	Mutare City Council	√	√	√	√	√	√	√	√
8	Victoria Falls City Council	√	√	√	√	√	√	√	√
	MUNICIPAL COUNCILS								
9	Beitbridge Municipality	×	×	×	√	√	√	√	√
10	Bindura Municipality	√	√	√	√	√	√	√	√
11	Chegutu Municipality	√	√	√	√	√	√	√	√
12	Chinhoyi Municipality	√	√	√	√	√	√	√	√
13	Chitungwiza Municipality	×	√	√	√	√	√	√	√
14	Gwanda Municipality	×	√	√	√	√	√	√	√
15	Kariba Municipality	√	√	√	√	√	√	√	√
16	Marondera Municipality	√	√	√	√	√	√	√	√
17	Redcliff Municipality	√	√	√	√	√	√	√	√
	TOWN COUNCILS								
18	Chipinge Town Council	√	√	√	√	√	√	√	√
19	Chiredzi Town Council	√	√	√	√	√	√	√	√
20	Gokwe Town Council	×	√	√	√	√	√	√	√
21	Karoi Town Council	×	√	√	√	√	√	√	√
22	Mvurwi Town Council	×	√	√	√	√	√	√	√
23	Shurugwi Town Council	√	√	√	√	√	√	√	√
24	Zvishavane Town Council	√	√	√	√	√	√	√	√
25	Plumtree Town Council	√	√	√	√	√	√	√	√
26	Rusape Town Council	×	√	√	√	√	√	√	√
27	Norton Town Council	×	√	√	√	√	√	√	√
	LOCAL BOARDS								
28	Chirundu Local Board	×	×	√	√	√	√	√	√
29	Epworth Local Board	√	√	√	√	√	√	√	√
30	Hwange Local Board	×	√	√	√	√	√	√	√
31	Lupane Local Board	×	√	√	√	√	√	√	√
32	Ruwa Local Board	√	√	√	√	√	√	√	√

	SUBMISSION OF FINANCIAL STATEMENTS STATUS FOR THE YEAR ENDED DECEMBER 31,							
		2025	2024	2023	2022	2021	2020	2019	2018
	RURAL DISTRICT COUNCIL								
33	Beitbridge Rural District Council	×	√	√	√	√	√	√	√
34	Bikita Rural District Council	√	√	√	√	√	√	√	√
35	Bindura Rural District Council	√	√	√	√	√	√	√	√
36	Binga Rural District Council	×	√	√	√	√	√	√	√
37	Bubi Rural District Council	√	√	√	√	√	√	√	√
38	Buhera Rural District Council	√	√	√	√	√	√	√	√
39	Bulilima Rural District Council	×	√	√	√	√	√	√	√
40	Chaminuka Rural District Council	×	√	√	√	√	√	√	√
41	Chegutu Rural District Council	√	√	√	√	√	√	√	√
42	Chikomba Rural District Council	×	√	√	√	√	√	√	√
43	Chimanimani Rural District Council	√	√	√	√	√	√	√	√
44	Chipinge Rural District Council	√	√	√	√	√	√	√	√
45	Chiredzi Rural District Council	√	√	√	√	√	√	√	√
46	Chirumanzi Rural District Council	×	√	√	√	√	√	√	√
47	Chivi Rural District Council	√	√	√	√	√	√	√	√
48	Gokwe North Rural District Council	√	√	√	√	√	√	√	√
49	Gokwe South Rural District Council	√	√	√	√	√	√	√	√
50	Goromonzi Rural District Council	√	√	√	√	√	√	√	√
51	Guruve Rural District Council	×	√	√	√	√	√	√	√
52	Gutu Rural District Council	×	√	√	√	√	√	√	√
53	Gwanda Rural District Council	×	√	√	√	√	√	√	√
54	Hurungwe Rural District Council	√	√	√	√	√	√	√	√
55	Hwange Rural District Council	√	√	√	√	√	√	√	√
56	Hwedza Rural District Council	√	√	√	√	√	√	√	√
57	Insiza Rural District Council	√	√	√	√	√	√	√	√
58	Kusile Rural District Council	×	√	√	√	√	√	√	√
59	Makonde Rural District Council	√	√	√	√	√	√	√	√
60	Makoni Rural District Council	√	√	√	√	√	√	√	√
61	Mangwe Rural District Council	×	√	√	√	√	√	√	√
62	Manyame Rural District Council	√	√	√	√	√	√	√	√
63	Marondera Rural District Council	√	√	√	√	√	√	√	√
64	Masvingo Rural District Council	√	√	√	√	√	√	√	√
65	Matobo Rural District Council	√	√	√	√	√	√	√	√
66	Mazowe Rural District Council	×	√	√	√	√	√	√	√
67	Mberengwa Rural District Council	×	√	√	√	√	√	√	√
68	Mbire Rural District Council	√	√	√	√	√	√	√	√
69	Mhondoro-Ngezi Rural District Council	√	√	√	√	√	√	√	√
70	Mudzi Rural District Council	√	√	√	√	√	√	√	√
71	Murewa Rural District Council	√	√	√	√	√	√	√	√
72	Mutare Rural District Council	√	√	√	√	√	√	√	√
73	Mutasa Rural District Council	√	√	√	√	√	√	√	√
74	Mutoko Rural District Council	×	√	√	√	√	√	√	√

	SUBMISSION OF FINANCIAL STATEMENTS STATUS FOR THE YEAR ENDED DECEMBER 31,								
		2025	2024	2023	2022	2021	2020	2019	2018
75	Muzarabani Rural District Council	×	√	√	√	√	√	√	√
76	Mwenezi Rural District Council	√	√	√	√	√	√	√	√
77	Nkayi Rural District Council	×	√	√	√	√	√	√	√
78	Nyaminyami Rural District Council	√	√	√	√	√	√	√	√
79	Nyanga Rural District Council	×	×	√	√	√	√	√	√
80	Pfura Rural District Council	×	√	√	√	√	√	√	√
81	Runde Rural District Council	√	√	√	√	√	√	√	√
82	Rushinga Rural District Council	×	×	√	√	√	√	√	√
83	Sanyati Rural District Council	√	√	√	√	√	√	√	√
84	Tongogara Rural District Council	√	√	√	√	√	√	√	√
85	Tsholotsho Rural District Council	√	√	√	√	√	√	√	√
86	Umguza Rural District Council	√	√	√	√	√	√	√	√
87	UMP (Zvataida) Rural District Council	×	√	√	√	√	√	√	√
88	Umzingwane Rural District Council	√	√	√	√	√	√	√	√
89	Vungu Rural District Council	√	√	√	√	√	√	√	√
90	Zaka Rural District Council	√	√	√	√	√	√	√	√
91	Zibagwe Rural District Council	√	√	√	√	√	√	√	√
92	Zvimba Rural District Council	√	√	√	√	√	√	√	√